# 個股報告

2026 年 10 月 12 日

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| | |
|---|---|
| 前日收盤價 | 43.20 元 |
| 目標價 | |
| 3 個月 | 50.00 元 |
| 12 個月 | 50.00 元 |

## 康舒(6282 TT) Buy

**燃料電池與伺服器領域展望佳。**

**投資建議**：燃料電池與伺服器領域出貨成長，企業用電源展望佳，營運漸入佳境，投資建議為 Buy，目標價為 50 元。

**燃料電池與伺服器領域出貨成長，企業用電源為營運主要成長動能**：因燃料電池與伺服器領域成長，預估企業用電源 2026 年營收 YoY+64.5%，營收佔比為 48.8%。燃料電池客戶佔康舒營收比重從 2025 年近 10%提升至 2026 年的 20%以上。客戶端中長期目標於 2029 年達到 5GW 出貨規模，將為康舒帶來長期穩定的營收挹注。高功率 AI 伺服器電源 33kW 產品已進入量產，72kW 預計 2H26 完成安規申請。25kW PSU 與 100kW Power Shelf 正處於 NPI 階段，預計 1Q27 通過安規並送樣給客戶，於 2H27 量產。

**電信通訊電源長期穩定**：電信通訊電源主要來自 Omni-On，應用於大型基地台、小型基地台與電信機房。預估電信通訊電源 2026 年營收 YoY+14.2%，營收佔比為 34%。近期新爭取大型資料中心專案，初期毛利略有折讓。但隨專案成熟，預估 2H26 毛利率將逐季回升，預期長線可維持在 30%以上常態水準。

**消費用電源營收比重降低，有助於提升公司整體毛利率**：消費用電源 2022 年營收比重近 5 成，在調整產品策略下，營收比重逐年降低，1H26 已降至 12.7%。受市場需求不佳影響與調整產品策略，預估消費用電源領域 2026 年營收 YoY-23.6%，營收佔比為 10.9%，消費用電源營收比重有助於提升公司整體毛利率。

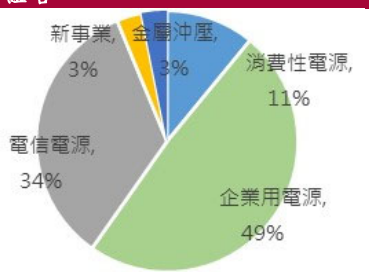
**預期 3Q26 毛利率、營業利益率可回升**：2Q26 產品營收比重分別為消費用電源 11%、企業用電源 48%、電信電源 34%、新事業 3%、金屬沖壓 3%。2Q26 營收為 95.15 億元，QoQ+10.89%；毛利率降至 21.24%，營業利益率為 1.47%；稅後淨利 0.78 億元、QoQ-66.55%，稅後 EPS 為 0.09 元。3Q26 營收為 108.05 億元，QoQ+13.55%；因經濟規模提升、資料中心領域毛利率回升、存貨損失迴轉，預期毛利率、營業利益率可優於 2Q26。

### 近期報告日期、評等及前日股價

### 公司基本資訊

| | |
|---|---|
| 目前股本(百萬元) | 8,561 |
| 市值(億元) | 370 |
| 目前每股淨值(元) | 26.56 |
| 外資持股比(%) | 11.09 |
| 投信持股比(%) | 0.62 |
| 董監持股比(%) | 19.86 |
| 融資餘額(張) | 25,591 |
| 現金股息配發率(%) | 444.41 |

### 產品組合




### 股價相對大盤走勢




| (百萬元) | 2026F | 2027F | 2028F | 3Q25 | 4Q25 | 1Q26 | 2Q26 | 3Q26F | 4Q26F | 1Q27F | 2Q27F | 3Q27F |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| 營業收入淨額 | 40,437 | 51,135 | 62,946 | 8,071 | 9,198 | 8,581 | 9,515 | 10,805 | 11,536 | 10,802 | 12,213 | 13,907 |
| 營業毛利淨額 | 9,257 | 11,588 | 14,089 | 2,035 | 2,445 | 2,093 | 2,021 | 2,407 | 2,736 | 2,407 | 2,736 | 3,184 |
| 營業利益 | 1,244 | 2,051 | 3,523 | 282 | 359 | 251 | 140 | 321 | 532 | 267 | 449 | 649 |
| 稅後純益 | 921 | 1,606 | 2,616 | 254 | 481 | 234 | 78 | 223 | 385 | 187 | 437 | 477 |
| 稅後 EPS(元) | 1.08 | 1.88 | 3.06 | 0.30 | 0.56 | 0.27 | 0.09 | 0.26 | 0.45 | 0.22 | 0.51 | 0.56 |
| 毛利率(%) | 22.89% | 22.66% | 22.38% | 25.22% | 26.58% | 24.39% | 21.24% | 22.28% | 23.71% | 22.29% | 22.40% | 22.89% |
| 營業利益率(%) | 3.08% | 4.01% | 5.60% | 3.49% | 3.90% | 2.93% | 1.47% | 2.97% | 4.62% | 2.48% | 3.68% | 4.66% |
| 稅後純益率(%) | 2.28% | 3.14% | 4.16% | 3.15% | 5.23% | 2.73% | 0.82% | 2.07% | 3.34% | 1.73% | 3.58% | 3.43% |
| 營業收入 YoY/QoQ(%) | 27.45% | 26.46% | 23.10% | 9.96% | 13.96% | -6.71% | 10.89% | 13.55% | 6.77% | -6.36% | 13.07% | 13.87% |
| 稅後純益 YoY/QoQ(%) | 502.61% | 74.44% | 62.87% | N.A | 89.25% | -51.32% | -66.55% | 184.68% | 72.54% | -51.42% | 133.82% | 9.09% |

註：稅後純益係指本期淨利歸屬於母公司業主；稅後 EPS 以股本 85.61 億元計算。

**ESG：**

為落實對地球環境的承諾，康舒科技已正式頒布「環境政策」、「水資源政策」、「能資源政策」與「生物多樣性暨不毀林政策」，作為推動永續發展的最高指導原則。

以「以人為本、價值共創、永續驅動」作為人才策略及發展的核心理念，透過 SMART 文化塑造、員工特質發展、知識賦能體系與 AI 智慧學習平台，建構完整的人才培育架構。在企業願景使命目標下，透過系統性的知識傳承與能力提升機制，打造全方位人才發展 DNA，驅動企業長期穩健成長、國際化擴展與永續轉型。

主動導入 IFRS S1/S2 永續揭露準則，將永續資訊與財務報告深度整合，使利害關係人得以全面評估公司的永續風險與長期價值創造能力；並將 ESG 績效與高階管理層薪酬機制連動，以制度性設計強化管理層的永續當責性。

**主要產品為電源供應器：**

康舒科技成立於 1981 年，主要產品為電源供應器。2023 年收購 ABB 集團旗下電源轉換事業部門(ABB Power Conversion)，後改名為 OmniOn Power(立卬)。OmniOn Power 原先專注於美國電信與資料中心電源，結合康舒後能互補並擴大高功率、高轉換效率的技術優勢，同時康舒也承接其位於墨西哥的生產基地，後續就近供應北美客戶的製造量能。

康舒三大事業體包含電源解決方案、智慧綠能服務、電動動力解決方案。在電源產品線中涵蓋企業雲端電源、工業產品電源、電信電源及消費性電源。2Q26 產品營收比重分別為消費用電源 11%、企業用電源 48%、電信電源 34%、新事業 3%、金屬沖壓 3%。

AI 相關產品包括 CRPS、康舒的 Data Center/伺服器電源、Omni-On 的 Data Center 電源、燃料電池應用。AI 相關產品佔 2025 年營收約 20%，1Q26 AI 營收佔比為 24%，2Q26 拉升至 29%，2026 年全年目標為 30%。

**表、康舒主要產品**

| 類別 | 產品 |
|---|---|
| Consumer<br>消費用電源 | 應用於桌上型電腦、筆記型電腦、手機、AR/VR、智慧家庭、電動自行車、機頂盒、多功能事務機等產品 |
| Enterprise<br>企業用電源 | 應用於伺服器、資料中心、儲存設備、超級運算、燃料電池、網通設備、POS 系統、工作站電腦、智慧電網、醫療設備等產品 |
| Telecom<br>電信電源 | 應用於大型基地台、小型基地台、電信機房等領域 |
| New Business<br>新事業 | 能源、電動車 |
| Metal Stamping<br>金屬沖壓 | 金屬沖壓件製造、銷售 |

資料來源：康舒，群益投顧彙整

**燃料電池與伺服器領域出貨成長，企業用電源為營運主要成長動能：**

企業用電源涵蓋伺服器、資料中心、儲存設備、超級運算與燃料電池等領域，為營運主要成長動能。企業用電源營收比重從 2024 年的 36%提升至 2Q26 的 48%。因燃料電池與伺服器領域成長，預估企業用電源 2026 年營收 YoY+64.5%，營收佔比為 48.8%。

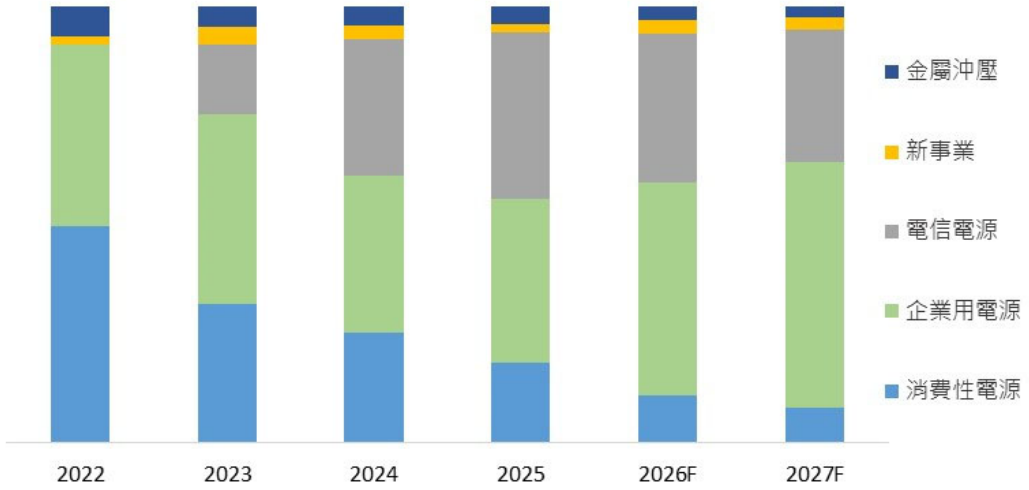
燃料電池客戶佔康舒營收比重從 2025 年近 10%提升至 2026 年的 20%以上。客戶端中長期目標於 2029 年達到 5GW 出貨規模，將為康舒帶來長期穩定的營收挹注。燃料電池產品的毛利率較公司平均毛利率為低，但其營業費用亦較低，故營收規模提升對營業利益率仍為正向。

1H26 對美系燃料電池訂單，全數由台灣淡水廠生產並出貨支應。配合客戶訂單需求以及快速交期要求，公司規劃於 4Q26 借重集團泰國廠產能共同生產，分擔出貨壓力；亦評估透過 Omni-On 墨西哥廠進行就近支援。

高功率 AI 伺服器電源 33kW 產品已進入量產，72kW 預計 2H26 完成安規申請。25kW PSU 與 100kW Power Shelf 正處於 NPI 階段，預計 1Q27 通過安規並送樣給客戶，於 2H27 量產。

在 HVDC 規格尚未底定之際，優先跟進 OCP 開放架構與 LVDC 規格，避開過度集中於單一晶片大廠的規格競爭，切入 Tier-2 CSP、網通大廠與新創客戶，成果預計於 2H26 陸續浮現。

**圖、康舒產品類別營收比重**




資料來源：康舒，群益投顧預估

**電信電源長期穩定：**

電信電源主要來自 Omni-On，應用於大型基地台、小型基地台與電信機房，營收比重長期穩定維持在集團合併營收的 35%~40%。

預估電信電源 2026 年營收 YoY+14.2%，營收佔比為 34%。近期新爭取大型資料中心專案，初期毛利略有折讓。但隨專案成熟，預估 2H26 毛利率將逐季回升，預期長線可維持在 30%以上常態水準。

**消費用電源營收比重降低，有助於提升公司整體毛利率：**

消費用電源涵蓋個人電腦、筆記型電腦、智慧型手機、智慧家庭與事務機等電源。面對 PC 市場復甦緩慢與零組件排擠效應，公司採取調整產品組合、逐步降低份額的策略，不盲目衝量，著重獲利品質。

消費用電源 2022 年營收比重近 5 成，在調整產品策略下，營收比重逐年降低，1H26 已降至 12.7%。受市場需求不佳影響與調整產品策略，預估消費用電源領域 2026 年營收 YoY-23.6%，營收佔比為 10.9%，消費用電源營收比重有助於提升公司整體毛利率。

**預期 3Q26 毛利率、營業利益率可回升：**

2Q26 營收為 95.15 億元，QoQ+10.89%；毛利率降至 21.24%，營業利益率為 1.47%；稅後淨利 0.78 億元、QoQ-66.55%，稅後 EPS 為 0.09 元。

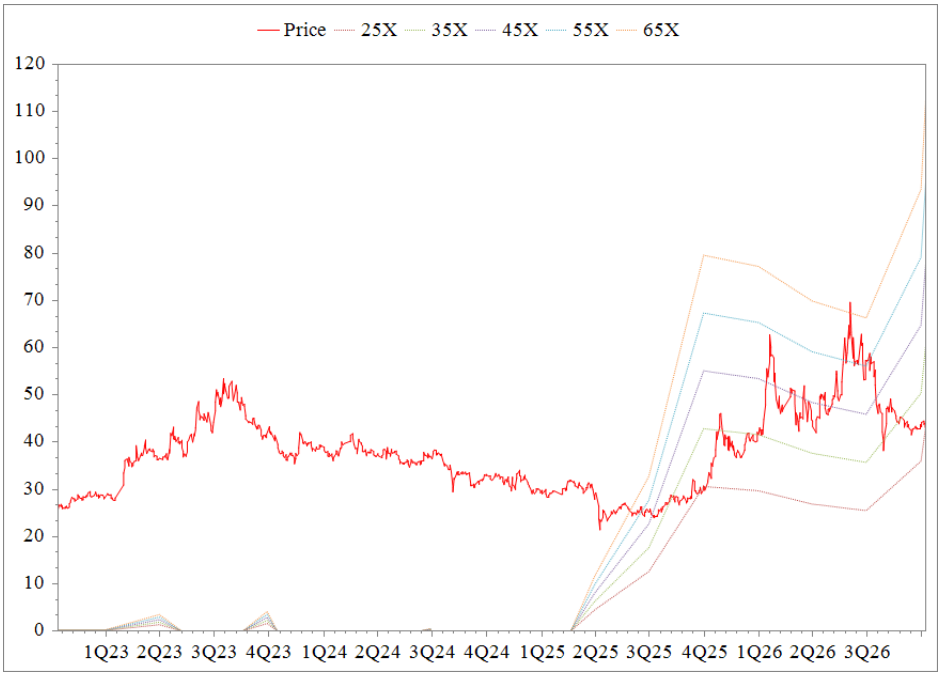
2Q26 毛利率下滑主因為：(1)燃料電池領域出貨量提升，對整體毛利率產生些許稀釋；(2)Omni-On 切入資料中心新專案初期毛利略有折讓，但隨專案成熟，預估 2H26 毛利率將逐季回升；(3)針對長期存貨提列約 4,000 萬元跌價損失，預計於 3Q26 全數迴轉；(4)原物料價格上漲，向客戶洽談的調價效益預計需至 4Q26 顯現。

3Q26 營收為 108.05 億元、QoQ+13.3%；預期毛利率、營業利益率可優於 2Q26；稅後淨利 2.23 億元、QoQ+184.68%，稅後 EPS 為 0.26 元。

**投資建議：**

燃料電池與伺服器領域出貨增長，企業用電源展望佳，電信電源維持穩定成長，營運漸入佳境，投資建議為 Buy，目標價為 50 元。

**Forward PE Band**




資料來源：CMoney，群益預估彙整

**Forward PB Band**




資料來源：CMoney，群益預估彙整

**資產負債表**

| (百萬元) | 2024 | 2025 | 2026F | 2027F | 2028F |
|---|---|---|---|---|---|
| **資產總計** | 52,021 | 51,365 | 52,800 | 55,056 | 59,960 |
| 流動資產 | 28,759 | 27,446 | 36,892 | 41,284 | 48,416 |
| 現金及約當現金 | 7,046 | 6,488 | 8,883 | 9,864 | 11,610 |
| 應收帳款與票據 | 9,146 | 9,670 | 13,745 | 15,815 | 19,780 |
| 存貨 | 7,197 | 8,182 | 10,645 | 13,042 | 16,019 |
| 採權益法之投資 | 2,205 | 3,382 | 1,642 | 1,152 | 643 |
| 不動產、廠房設備 | 8,370 | 8,019 | 8,189 | 8,355 | 8,520 |
| **負債總計** | **28,630** | **28,461** | **29,673** | **31,188** | **34,511** |
| 流動負債 | 19,448 | 19,900 | 26,200 | 26,522 | 30,488 |
| 應付帳款及票據 | 6,190 | 7,263 | 8,212 | 10,954 | 11,025 |
| 非流動負債 | 9,182 | 8,561 | 2,524 | 975 | 261 |
| **權益總計** | 23,391 | 22,905 | 23,127 | 23,868 | 25,449 |
| 普通股股本 | **8,587** | **8,560** | **8,561** | **8,561** | **8,561** |
| 保留盈餘 | 4,191 | 3,771 | 3,994 | 4,734 | 6,315 |
| 母公司業主權益 | 23,078 | 22,606 | 22,842 | 23,592 | 25,180 |
| **負債及權益總計** | **52,021** | **51,365** | **52,800** | **55,056** | **59,960** |

**損益表**

| (百萬元) | 2024 | 2025 | 2026F | 2027F | 2028F |
|---|---|---|---|---|---|
| **營業收入淨額** | 31,695 | 31,727 | 40,437 | 51,135 | 62,946 |
| 營業成本 | 24,316 | 23,558 | 31,180 | 39,546 | 48,858 |
| **營業毛利淨額** | 7,379 | 8,168 | 9,257 | 11,588 | 14,089 |
| 營業費用 | 7,502 | 7,454 | 8,013 | 9,538 | 10,566 |
| **營業利益** | -123 | 714 | 1,244 | 2,051 | 3,523 |
| **EBITDA** | 1,857 | 2,057 | 52,810 | 71,808 | 95,612 |
| 業外收入及支出 | 286 | -427 | -2 | 48 | -97 |
| 稅前純益 | 163 | 287 | 1,242 | 2,099 | 3,426 |
| 所得稅 | 198 | 146 | 335 | 503 | 817 |
| 稅後純益 | -30 | 153 | 921 | 1,606 | 2,616 |
| 稅後 EPS(元) | -0.04 | 0.18 | 1.08 | 1.88 | 3.06 |
| 完全稀釋 EPS** | -0.03 | 0.16 | 0.97 | 1.70 | 2.77 |

註 1：稅後純益係指本期淨利歸屬於母公司業主。

註 2：稅後 EPS 以股本 85.61【最新股本】億元計算

註 3：完全稀釋 EPS 以股本 94.45 億元計算

**現金流量表**

| (百萬元) | 2024 | 2025 | 2026F | 2027F | 2028F |
|---|---|---|---|---|---|
| **營業活動現金** | 2,163 | 2,205 | 2,228 | 781 | 3,813 |
| 稅前純益 | 163 | 287 | 1,242 | 2,099 | 3,426 |
| 折舊及攤銷 | 1,696 | 1,704 | 1,736 | 1,771 | 1,806 |
| 營運資金變動 | 76 | -437 | -5,588 | -1,724 | -6,871 |
| 其他營運現金 | 228 | 651 | 4,838 | -1,365 | 5,453 |
| **投資活動現金** | -3,266 | -3,043 | 5,640 | 1,012 | 1,084 |
| 資本支出淨額 | -2,773 | -858 | -800 | -800 | -800 |
| 長期投資變動 | -160 | -2,147 | 0 | 0 | 0 |
| 其他投資現金 | -333 | -39 | 6,440 | 1,812 | 1,884 |
| **籌資活動現金** | 1,247 | 393 | -5,473 | -813 | -3,150 |
| 長借/公司債變動 | 1,346 | 3,422 | -6,037 | -1,548 | -714 |
| 現金增資 | 0 | 0 | 0 | 0 | 0 |
| 發放現金股利 | -431 | -429 | -685 | -856 | -1,027 |
| 其他籌資現金 | 332 | -2,599 | 1,249 | 1,592 | -1,408 |
| **淨現金流量** | 317 | -557 | 2,395 | 980 | 1,747 |
| **期初現金** | 6,728 | 7,046 | 6,488 | 8,883 | 9,864 |
| **期末現金** | 7,046 | 6,488 | 8,883 | 9,864 | 11,610 |

**比率分析**

| (百萬元) | 2024 | 2025 | 2026F | 2027F | 2028F |
|---|---|---|---|---|---|
| **成長力分析(%)** | | | | | |
| 營業收入淨額 | 13.83% | 0.10% | 27.45% | 26.46% | 23.10% |
| 營業毛利淨額 | 22.69% | 10.69% | 13.33% | 25.19% | 21.58% |
| 營業利益 | N.A | N.A | 74.15% | 64.85% | 71.76% |
| 稅後純益 | N.A | N.A | 502.61% | 74.44% | 62.87% |
| **獲利能力分析(%)** | | | | | |
| 毛利率 | 23.28% | 25.75% | 22.89% | 22.66% | 22.38% |
| EBITDA(%) | 5.86% | 6.48% | 130.60% | 140.43% | 151.89% |
| 營益率 | -0.39% | 2.25% | 3.08% | 4.01% | 5.60% |
| 稅後純益率 | -0.10% | 0.48% | 2.28% | 3.14% | 4.16% |
| 總資產報酬率 | -0.06% | 0.30% | 1.74% | 2.92% | 4.36% |
| 股東權益報酬率 | -0.13% | 0.67% | 3.98% | 6.73% | 10.28% |
| **償債能力檢視** | | | | | |
| 負債比率(%) | 55.03% | 55.41% | 56.20% | 56.65% | 57.56% |
| 負債/淨值比(%) | 122.40% | 124.26% | 128.30% | 130.67% | 135.61% |
| 流動比率(%) | 147.88% | 137.92% | 140.81% | 155.66% | 158.80% |
| **其他比率分析** | | | | | |
| 存貨天數 | 109.34 | 119.14 | 110.20 | 109.31 | 108.55 |
| 應收帳款天數 | 101.54 | 108.24 | 105.68 | 105.50 | 103.20 |

資料來源：CMoney、群益

**季度損益表**

| (百萬元) | 2Q25 | 3Q25 | 4Q25 | 1Q26 | 2Q26 | 3Q26F | 4Q26F | 1Q27F | 2Q27F | 3Q27F | 4Q27F | 1Q28F |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| 營業收入淨額 | 7,340 | 8,071 | 9,198 | 8,581 | 9,515 | 10,805 | 11,536 | 10,802 | 12,213 | 13,907 | 14,212 | 13,341 |
| 營業成本 | 5,473 | 6,035 | 6,753 | 6,488 | 7,494 | 8,397 | 8,800 | 8,395 | 9,478 | 10,724 | 10,950 | 10,390 |
| 營業毛利淨額 | 1,867 | 2,035 | 2,445 | 2,093 | 2,021 | 2,407 | 2,736 | 2,407 | 2,736 | 3,184 | 3,262 | 2,952 |
| 營業費用 | 1,760 | 1,754 | 2,086 | 1,841 | 1,881 | 2,087 | 2,203 | 2,140 | 2,287 | 2,535 | 2,576 | 2,370 |
| 營業利益 | 106 | 282 | 359 | 251 | 140 | 321 | 532 | 267 | 449 | 649 | 685 | 582 |
| 業外收入及支出 | -585 | 112 | 10 | 75 | -11 | -33 | -33 | -28 | 132 | -28 | -28 | -28 |
| 稅前純益 | -479 | 394 | 370 | 326 | 129 | 288 | 499 | 239 | 581 | 621 | 657 | 554 |
| 所得稅 | 61 | 139 | -109 | 95 | 55 | 68 | 117 | 55 | 147 | 146 | 155 | 127 |
| 稅後純益 | -538 | 254 | 481 | 234 | 78 | 223 | 385 | 187 | 437 | 477 | 505 | 428 |
| 最新股本 | 8,561 | 8,561 | 8,561 | 8,561 | 8,561 | 8,561 | 8,561 | 8,561 | 8,561 | 8,561 | 8,561 | 8,561 |
| 稅後EPS(元) | -0.63 | 0.30 | 0.56 | 0.27 | 0.09 | 0.26 | 0.45 | 0.22 | 0.51 | 0.56 | 0.59 | 0.50 |
| **獲利能力(%)** | | | | | | | | | | | | |
| 毛利率(%) | 25.43% | 25.22% | 26.58% | 24.39% | 21.24% | 22.28% | 23.71% | 22.29% | 22.40% | 22.89% | 22.95% | 22.13% |
| 營業利益率(%) | 1.45% | 3.49% | 3.90% | 2.93% | 1.47% | 2.97% | 4.62% | 2.48% | 3.68% | 4.66% | 4.82% | 4.36% |
| 稅後純益率(%) | -7.33% | 3.15% | 5.23% | 2.73% | 0.82% | 2.07% | 3.34% | 1.73% | 3.58% | 3.43% | 3.55% | 3.21% |
| **QoQ(%)** | | | | | | | | | | | | |
| 營業收入淨額 | 3.11% | 9.96% | 13.96% | -6.71% | 10.89% | 13.55% | 6.77% | -6.36% | 13.07% | 13.87% | 2.19% | -6.12% |
| 營業利益 | N.A | 165.38% | 27.46% | -29.98% | -44.50% | 129.75% | 66.04% | -49.77% | 67.96% | 44.41% | 5.66% | -15.12% |
| 稅前純益 | N.A | N.A | -6.18% | -11.76% | -60.43% | 122.91% | 73.62% | -52.05% | 142.73% | 6.80% | 5.92% | -15.77% |
| 稅後純益 | N.A | N.A | 89.25% | -51.32% | -66.55% | 184.68% | 72.54% | -51.42% | 133.82% | 9.09% | 5.84% | -15.20% |
| **YoY(%)** | | | | | | | | | | | | |
| 營業收入淨額 | -7.55% | -4.20% | 12.91% | 20.54% | 29.64% | 33.87% | 25.42% | 25.89% | 28.36% | 28.72% | 23.20% | 23.51% |
| 營業利益 | 57.08% | N.A | N.A | N.A | 31.45% | 13.80% | 48.25% | 6.35% | 221.88% | 102.32% | 28.75% | 117.53% |
| 稅前純益 | N.A | N.A | 172.99% | 12678.76% | N.A | -26.98% | 35.13% | -26.57% | 350.42% | 115.80% | 31.65% | 131.28% |
| 稅後純益 | N.A | N.A | 247.75% | N.A | N.A | -12.28% | -20.02% | -20.19% | 457.90% | 113.79% | 31.16% | 128.96% |

註1：稅後EPS以股本85.61億元計算

註2：稅後純益係指本期淨利歸屬於母公司業主。

## 【投資評等說明】

| 評等 | 定義 |
|---|---|
| 強力買進(Strong Buy) | 首次評等潛在上漲空間≥35% |
| 買進(Buy) | 15%≤首次評等潛在上漲空間<35% |
| 區間操作(Trading Buy) | 5%≤首次評等潛在上漲空間<15% |
| 中立(Neutral) | 無法由基本面給予投資評等<br>預期近期股價將處於盤整<br>建議降低持股 |

## 【投資評等調整機制】

投資評等係「首次」給予特定個股投資評等時，其前一日收盤價相較 3 個月目標價之潛在上漲空間計算而得。個股投資評等分為四個等級，定義如上。爾後的投資評等係依循「首次評等」，直到停止推薦。

「強力買進」、「買進」及「區間操作」均有 upside 目標價。差別僅在於，首次評等時潛在報酬率不同。「中立」則無目標價。

一旦我們給予特定個股「強力買進」、「買進」或「區間操作」之投資評等，就是責任的開始，爾後將透過各式研究報告作定期性、持續性追蹤基本面及股價變化，直到停止推薦。

**停止推薦情境：**

1. 達目標價。
2. 雖未達原訂目標價，但檢視基本面、訊息面、籌碼面等多方訊息，研判股價上漲空間已然有限，將適時出具降評報告。
3. 推薦後股價不漲反跌。

## 【免責聲明】

本研究報告僅提供予特定人之客戶作為參考資料「非經同意不得轉載」。我們並不確保此資訊的完整性與正確性，投資人應了解，報告中有關未來預測之陳述可能不會實現，因而不應被依賴。而且此報告並非根據特定投資目的或依預定對象之財務狀況所撰寫出來的，因此，此研究報告的目的，既非對投資人於買賣證券、選擇權、期貨或其他證券相關之衍生性商品提供詢價服務，亦非作為進行交易的要約。投資人應注意到相關證券之價值及收益，可能會有無預警地上升或下降，產生投資回報金額可能比原始投資來得少的情形。

2026/10/12

貨櫃 維持評等

# 長榮 (2603 TT) 中立(Neutral)

## 美洲線運價仍有支撐

- **9 月營收年增 64%，11 月之前裝載的狀況佳**
- **美線基本面強勁，預期運價有撐**
- **歐線運價高檔回落，有效運力依然吃緊**

**9 月營收年增 64%，管理層持續看好 4Q26 營運狀況：**公司公布 9 月營收 497 億元(YoY+63.8%)，受惠中國大陸十一長假前夕出貨需求帶動，整體貨載增加，運價也維持相對高檔。展望 4Q26，管理層表示到 11 月之前裝載的狀況樂觀，加上 12 月農曆年前出貨潮的帶動下，認為 4Q26 營運將優於 4Q25。

**美線基本面強勁，運價與載貨率展望樂觀：**公司表示美洲線整體需求維持樂觀，受惠於終端市場強勁的消費動能，即使美國各主要港口進口貨量持續創下新高，整體存貨水準仍穩健維持在合理區間，顯示終端去化能力優異。此外，美國政府預計發放約 1,600 億美元的關稅退稅，進口商多將此資金用於商品降價促銷或擴充庫存，雙重效應皆持續轉化為強勁的進口拉貨動能。雖然美西碼頭工人合約將於 2028 年到期，預計談判衝擊自 2H27 起會逐漸顯現，但短中期關稅衝擊減弱有助於貿易回歸常態。在長約運價方面，由於今年現貨運價顯著高於去年同期談約水準，預期未來新簽訂的長約價格亦大概率高於今年。

**歐線運價高檔回落，但紅海復航短期難全面恢復：**歐洲線方面，雖然運價在 3Q26 後隨紅海復航的預期心裡及歐洲終端消費需求不足而逐漸回落，但公司表示目前現貨價格仍處於健康區間，即使未來船隻陸續重返紅海，由於全球關鍵碼頭如新加坡等的利用率已高達九成以上，船隻集中到港會加劇塞港，因此過運河所節省的時間並不會完全轉化為實質運力釋放，有效運力依然吃緊。亞洲線則因 4Q26 為傳統旺季，看法正向。

**中長期運價面臨修正風險，建議區間操作：**綜合上述，我們預估 2026/27 年營收 4,653/3,944 億元(YoY+22.8%/-15.2%)，EPS 37.48/23.08 元，考量 2027 年全球運力將大幅提升，且 2Q27 後可能受通膨滯後影響，運價仍有回落壓力，評價短期內難有大幅上修空間，故維持中立評等，目標價 260 元(2027 年每股淨值*0.85 倍本淨比)。

**風險因子：**地緣政治；運力供需。

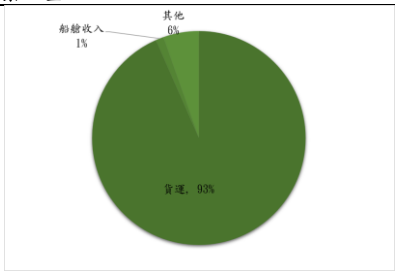
### 臺灣 ESG 永續指數成分股

| | |
|---|---|
| 潛在漲幅 | 11.8% |
| 前日收盤價 | 232.50 元 |
| 目標價 | 260.00 元 |
| 前次目標價 | - |
| 前次評等 | - |

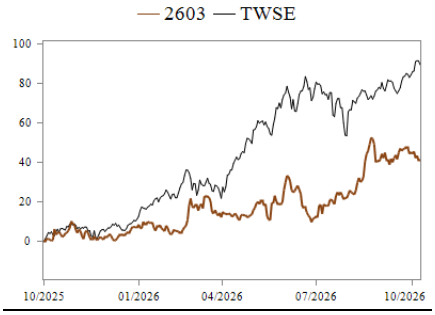
**公司基本資訊**

| | |
|---|---|
| 目前股本(百萬元) | 21,650 |
| 市值(億元) | 5,034 |
| 目前每股淨值(元) | 259.09 |
| 外資持股比(%) | 25.69 |
| 董監持股比(%) | 2.73 |

**營業比重**




**個股與大盤走勢(%)**




賴子璇
Sara.lai@ctbcsis.com

| (百萬元) | 2022 | 2023 | 2024 | 2025 | 2026F | 2027F |
|---|---|---|---|---|---|---|
| 營業收入淨額 | 627,284 | 276,715 | 463,568 | 379,069 | 478,090 | 428,365 |
| 營業毛利淨額 | 398,442 | 49,909 | 176,105 | 92,679 | 123,575 | 83,453 |
| 營業利益 | 374,808 | 34,750 | 159,945 | 74,123 | 99,123 | 58,830 |
| 稅後純益 | 334,201 | 35,337 | 139,453 | 68,581 | 81,122 | 49,976 |
| 公告基本 EPS(元) | 87.07 | 16.70 | 64.87 | 31.68 | -- | -- |
| 調整後 EPS(元) | 157.91 | 16.61 | 64.41 | 31.68 | 37.48 | 23.08 |
| 營業收入 YoY(%) | 28.17% | -55.89% | 67.53% | -18.23% | 26.12% | -10.40% |
| 稅後純益 YoY(%) | 39.82% | -89.43% | 294.64% | -50.82% | 18.29% | -38.39% |
| 本益比 | 0.79 | 6.57 | 2.79 | 5.56 | 6.21 | 10.07 |
| 本淨比 | 0.26 | 0.53 | 0.68 | 0.68 | 0.81 | 0.80 |
| 股息(元) | 70.00 | 9.97 | 32.50 | 16.00 | 18.74 | 11.54 |
| 殖利率(%) | 45.16% | 4.98% | 13.18% | 7.26% | 8.06% | 4.96% |
| ROE(%) | 76.04% | 7.12% | 27.34% | 11.99% | 13.73% | 8.04% |

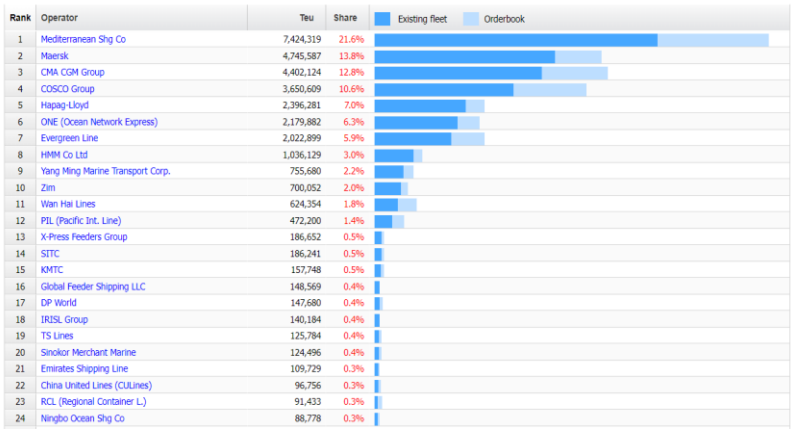
**燃油成本侵蝕獲利，公司加速雙燃料布局：**燃油成本佔整體營業成本逾二成，為影響公司利潤率的關鍵變數，雖然 3Q26 運價推升帶動營收創新高，且現貨運價指數上升至與 2024 年相似的高位，但今年的國際油價顯著高於 2024 年，導致相當一部分的成長效益直接被高漲的燃油成本所侵蝕。面對國際地緣政治衝突所引發的油價劇烈波動，單一能源配置將面臨極高的財務風控風險，為此公司推行多元能源與長遠減碳策略，預計至 2030 年將建置 55 艘雙燃料新能源船，並同時採用 LNG 與甲醇雙燃料系統，除能發揮區域性能源取得優勢（如歐美地區適合 LNG、中國大陸具備生物甲醇運送優勢）之外，亦能藉由分散燃料組合有效降低國際油價劇烈起伏帶來的成本衝擊。考量美伊戰爭仍持續，EIA 在最新報告中也上調了對 2027 年油價的預估，故我們略下調 2027 年獲利。

**深化海洋聯盟合作優化航網，彈性因應紅海繞航：**在航運聯盟消長與地緣政治衝擊下，公司表示其所在的海洋聯盟（Ocean Alliance）穩健的合作架構提供極具競爭力的營運優勢，聯盟合作已正式延長至 2032 年（並附帶 5 年選擇權至 2037 年），整體運力自初始的 334 萬 TEU 持續擴增至目前的 508 萬 TEU，具備全球規模最大且航線配置最為多元的運送網路。面對紅海危機引發的通行疑慮，公司遵循聯盟共同共識，以保障船員、船舶及貨物安全為最高前提進行航線規劃，目前歐地線多採取去程繞航好望角、回程過蘇伊士運河的彈性調度模式，主要用於加速船舶返回遠東以補足過去因塞港產生的空班，而非盲目擴充運力；在地中海等雙向過運河比率較高的區域，公司亦審慎評估地緣風險與高昂保費，動態調整主航線部署。此外，公司持續透過投資關鍵碼頭資源與引進智慧貨櫃（IoT Smart Container）技術，進一步強化聯盟航線的周轉效率與後勤掌控力，確保在市場不確定性中維持穩定獲利與競爭門檻。

**公司簡介：**長榮海運成立於 1968 年，為台灣規模最大的貨櫃航運業者，經營超過 200 艘全貨櫃輪。公司營運網絡涵蓋全球五大洲，主力航線橫跨遠東至北美、遠東至歐洲、地中海及亞洲近洋等主要貿易通道。長榮近年積極優化船隊結構，導入 24,000 TEU（A 級船）與 15,000 TEU（F 級船）等大箱位、低耗能之巨型貨櫃船，以實現規模經濟並降低每 TEU 運力之平均營運成本。目前地中海航運（MSC）、馬士基（Maersk）與達飛海運（CMA CGM）等前三大航商合計已掌控全球近五成的總運力，長榮則全球排名第 7 名。

圖表一、長榮貨櫃運力排名全球第 7

| Rank | Operator | Teu | Share |
|---|---|---|---|
| 1 | Mediterranean Shg Co | 7,424,319 | 21.6% |
| 2 | Maersk | 4,745,587 | 13.8% |
| 3 | CMA CGM Group | 4,402,124 | 12.8% |
| 4 | COSCO Group | 3,650,609 | 10.6% |
| 5 | Hapag-Lloyd | 2,396,281 | 7.0% |
| 6 | ONE (Ocean Network Express) | 2,179,882 | 6.3% |
| 7 | Evergreen Line | 2,022,899 | 5.9% |
| 8 | HMM Co Ltd | 1,036,129 | 3.0% |
| 9 | Yang Ming Marine Transport Corp. | 755,680 | 2.2% |
| 10 | Zim | 700,052 | 2.0% |
| 11 | Wan Hai Lines | 624,354 | 1.8% |
| 12 | PIL (Pacific Int. Line) | 472,200 | 1.4% |
| 13 | X-Press Feeders Group | 186,652 | 0.5% |
| 14 | SITC | 186,241 | 0.5% |
| 15 | KMTC | 157,748 | 0.5% |
| 16 | Global Feeder Shipping LLC | 148,569 | 0.4% |
| 17 | DP World | 147,680 | 0.4% |
| 18 | IRISL Group | 140,184 | 0.4% |
| 19 | TS Lines | 125,784 | 0.4% |
| 20 | Sinokor Merchant Marine | 124,496 | 0.4% |
| 21 | Emirates Shipping Line | 109,729 | 0.3% |
| 22 | China United Lines (CULines) | 96,756 | 0.3% |
| 23 | RCL (Regional Container L.) | 91,433 | 0.3% |
| 24 | Ningbo Ocean Shg Co | 88,778 | 0.3% |




資料來源：公司

圖表二、季度財報與預估差異

| 損益表（單位：百萬元） | 2Q26 | | | | | 3Q26(F) | | | | |
|---|---|---|---|---|---|---|---|---|---|---|
| | 實際數 | 中信預估 | 差異 | 市場共識 | 差異 | 調整後 | 調整前 | 差異 | 市場共識 | 差異 |
| 營業收入 | 105,161 | - | - | 100,115 | 5.0% | 146,776 | 147,159 | -0.3% | 134,306 | 9.3% |
| 營業毛利 | 23,978 | - | - | 20,609 | 16.3% | 49,904 | 49,904 | 0.0% | 30,660 | 62.8% |
| 營業利益 | 19,358 | - | - | 17,763 | 9.0% | 44,306 | 44,306 | 0.0% | 43,857 | 1.0% |
| 稅前純益 | 20,864 | - | - | 18,818 | 10.9% | 45,867 | 48,632 | -5.7% | 45,371 | 1.1% |
| 稅後淨利 | 16,034 | - | - | 15,478 | 3.6% | 35,226 | 37,349 | -5.7% | 36,749 | -4.1% |
| EPS(元) | 7.41 | - | - | 7.89 | -6.1% | 16.27 | 17.25 | -5.7% | 18.37 | -11.4% |
| 財務比率(%/百分點) | | | | | | | | | | |
| 毛利率 | 22.8% | - | - | 20.6% | 2.2 ppts | 34.0% | 33.9% | 0.1 ppts | 22.8% | 11.2 ppts |
| 營益率 | 18.4% | - | - | 17.7% | 0.7 ppts | 30.2% | 30.1% | 0.1 ppts | 32.7% | -2.5 ppts |
| 稅後淨利率 | 15.2% | - | - | 15.5% | -0.2 ppts | 24.0% | 25.4% | -1.4 ppts | 27.4% | -3.4 ppts |

資料來源：Cmoney、Bloomberg，中信投顧整理

圖表三、年度財報與預估差異

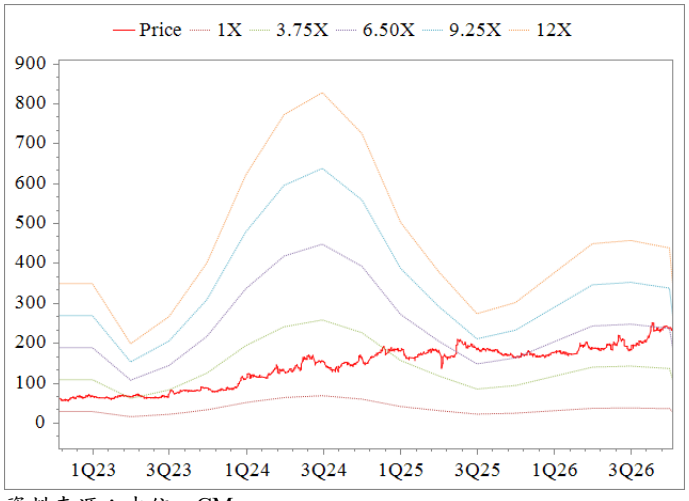
| 損益表（單位：百萬元） | 2026(F) | | | | | 2027(F) | | | | |
|---|---|---|---|---|---|---|---|---|---|---|
| | 調整後 | 調整前 | 差異 | 市場共識 | 差異 | 調整後 | 調整前 | 差異 | 市場共識 | 差異 |
| 營業收入 | 478,090 | 465,389 | 2.7% | 437,708 | 9.2% | 428,365 | 394,455 | 8.6% | 398,395 | 7.5% |
| 營業毛利 | 123,575 | 124,718 | -0.9% | 94,123 | 31.3% | 83,453 | 83,453 | 0.0% | 80,339 | 3.9% |
| 營業利益 | 99,123 | 98,136 | 1.0% | 89,278 | 11.0% | 58,829 | 48,130 | 22.2% | 55,966 | 5.1% |
| 稅前純益 | 105,442 | 104,455 | 0.9% | 97,205 | 8.5% | 65,073 | 54,373 | 19.7% | 48,408 | 34.4% |
| 稅後淨利 | 81,122 | 80,364 | 0.9% | 76,177 | 6.5% | 49,976 | 41,759 | 19.7% | 45,210 | 10.5% |
| EPS(元) | 37.48 | 37.13 | 0.9% | 34.95 | 7.2% | 23.08 | 19.29 | 19.7% | 21.49 | 7.4% |
| 財務比率(%/百分點) | | | | | | | | | | |
| 毛利率 | 25.8% | 26.8% | -1.0 ppts | 26.9% | -1.0 ppts | 19.5% | 21.2% | -1.7 ppts | 20.2% | -0.7 ppts |
| 營益率 | 20.7% | 21.1% | -0.4 ppts | 20.4% | 0.3 ppts | 13.7% | 12.2% | 1.5 ppts | 14.0% | -0.3 ppts |
| 稅後淨利率 | 17.0% | 17.3% | -0.3 ppts | 17.4% | -0.4 ppts | 11.7% | 10.6% | 1.1 ppts | 11.3% | 0.3 ppts |

資料來源：Cmoney、Bloomberg，中信投顧整理

2026/10/12

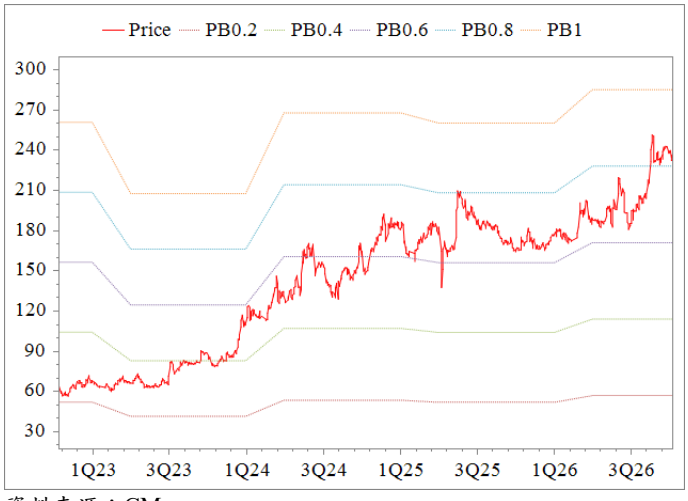
| (百萬元) | 1Q26 | 2Q26 | 3Q26F | 4Q26F | 1Q27F | 2Q27F | 3Q27F | 4Q27F |
|---|---|---|---|---|---|---|---|---|
| 營業收入 | 86,511 | 105,161 | 146,776 | 139,641 | 105,917 | 106,525 | 111,774 | 104,149 |
| 營業成本 | 73,125 | 81,183 | 96,872 | 103,335 | 89,394 | 86,285 | 83,831 | 85,402 |
| 營業毛利 | 13,387 | 23,978 | 49,904 | 36,307 | 16,523 | 20,240 | 27,944 | 18,747 |
| 營業費用 | 4,598 | 4,756 | 5,598 | 9,797 | 5,316 | 5,349 | 5,608 | 8,350 |
| 營業利益 | 8,948 | 19,358 | 44,306 | 26,510 | 11,207 | 14,890 | 22,336 | 10,397 |
| 營業外收支淨額 | 1,691 | 1,507 | 1,561 | 1,561 | 1,561 | 1,561 | 1,561 | 1,561 |
| 稅前純益 | 10,639 | 20,864 | 45,867 | 28,071 | 12,768 | 16,451 | 23,896 | 11,957 |
| 所得稅 | 1,949 | 4,522 | 9,173 | 5,614 | 2,554 | 3,290 | 4,779 | 2,391 |
| 稅後純益 | 8,304 | 16,034 | 35,226 | 21,559 | 9,806 | 12,635 | 18,353 | 9,183 |
| 調整後 EPS(元) | 3.84 | 7.41 | 16.27 | 9.96 | 4.53 | 5.84 | 8.48 | 4.24 |
| 毛利率(%) | 15.47% | 22.80% | 34.00% | 26.00% | 15.60% | 19.00% | 25.00% | 18.00% |
| 營業利益率(%) | 10.34% | 18.41% | 30.19% | 18.98% | 10.58% | 13.98% | 19.98% | 9.98% |
| 稅後純益率(%) | 9.60% | 15.25% | 24.00% | 15.44% | 9.26% | 11.86% | 16.42% | 8.82% |
| 營業收入 | | | | | | | | |
| QoQ(%) | 0.95% | 21.56% | 39.57% | -4.86% | -24.15% | 0.57% | 4.93% | -6.82% |
| YoY(%) | -21.33% | 21.60% | 51.44% | 62.95% | 22.43% | 1.30% | -23.85% | -25.42% |
| 營業利益 | | | | | | | | |
| QoQ(%) | 7.45% | 116.33% | 128.88% | -40.17% | -57.73% | 32.86% | 50.00% | -53.45% |
| YoY(%) | -69.50% | 34.16% | 101.10% | 218.32% | 25.24% | -23.08% | -49.59% | -60.78% |
| 稅後純益 | | | | | | | | |
| QoQ(%) | -2.52% | 93.10% | 119.70% | -38.80% | -54.52% | 28.85% | 45.26% | -49.96% |
| YoY(%) | -69.65% | 46.33% | 61.99% | 153.09% | 18.09% | -21.20% | -47.90% | -57.40% |

**PER Band**




資料來源：中信、CMoney

**PBR Band**




資料來源：CMoney

2026/10/12

**資產負債表**

| (百萬元) | 2022 | 2023 | 2024 | 2025 | 2Q26 |
|---|---|---|---|---|---|
| **資產總計** | 887,512 | 731,831 | 914,214 | 894,332 | 968,347 |
| 流動資產 | 483,935 | 238,140 | 312,872 | 233,728 | 260,718 |
| 現金及約當現金 | 392,346 | 170,230 | 253,370 | 174,366 | 174,747 |
| 應收帳款與票據 | 25,801 | 20,700 | 28,336 | 23,567 | 31,318 |
| 存貨 | 7,705 | 10,117 | 11,018 | 10,428 | 18,598 |
| 採權益法之投資 | 43,648 | 38,322 | 39,789 | 39,822 | 41,947 |
| 不動產、廠房設備 | 211,065 | 260,244 | 346,026 | 398,815 | 431,495 |
| **負債總計** | 304,962 | 261,036 | 311,758 | 308,108 | 384,907 |
| 流動負債 | 164,879 | 111,750 | 150,345 | 146,353 | 187,821 |
| 應付帳款及票據 | 45,558 | 35,257 | 42,604 | 44,106 | 52,114 |
| 非流動負債 | 140,083 | 149,286 | 161,412 | 161,755 | 197,085 |
| **權益總計** | 582,550 | 470,795 | 602,456 | 586,224 | 583,440 |
| 普通股股本 | 21,164 | 21,164 | 21,650 | 21,650 | 21,650 |
| 保留盈餘 | 498,727 | 385,923 | 504,165 | 502,181 | 491,878 |
| 母公司業主權益 | 552,214 | 439,899 | 580,328 | 563,818 | 560,943 |
| **負債及權益總計** | 887,512 | 731,831 | 914,214 | 894,332 | 968,347 |

**損益表**

| (百萬元) | 2023 | 2024 | 2025 | 2026F | 2027F |
|---|---|---|---|---|---|
| **營業收入淨額** | 276,715 | 463,568 | 379,069 | 478,090 | 428,365 |
| 營業成本 | 226,806 | 287,463 | 286,390 | 354,515 | 344,912 |
| **營業毛利淨額** | 49,909 | 176,105 | 92,679 | 123,575 | 83,453 |
| 營業費用 | 16,814 | 21,446 | 20,408 | 24,748 | 24,624 |
| **營業利益** | 34,750 | 159,945 | 74,123 | 99,123 | 58,830 |
| **EBITDA** | 88,606 | 214,417 | 122,353 | 151,711 | 112,001 |
| 業外收入及支出 | 29,422 | 20,405 | 8,737 | 6,319 | 6,244 |
| 稅前純益 | 64,172 | 180,350 | 82,860 | 105,442 | 65,073 |
| 所得稅 | 24,196 | 36,366 | 12,613 | 21,258 | 13,015 |
| 稅後純益 | 35,337 | 139,453 | 68,581 | 81,122 | 49,976 |
| 公告基本 EPS(元) | 16.70 | 64.87 | 31.68 | - - | - - |
| 調整後 EPS(元) | 16.61 | 64.41 | 31.68 | 37.48 | 23.08 |

註：稅後純益係指本期淨利歸屬於母公司業主。

**現金流量表**

| (百萬元) | 2022 | 2023 | 2024 | 2025 | 2Q26 |
|---|---|---|---|---|---|
| **營業活動現金** | 422,430 | -13,833 | 192,259 | 101,202 | 20,008 |
| 稅前純益 | 399,424 | 64,172 | 180,350 | 82,860 | 20,864 |
| 折舊及攤銷 | 27,759 | 33,864 | 39,320 | 42,967 | 11,732 |
| 營運資金變動 | 29,722 | -7,896 | 181 | 6,804 | -10,154 |
| 其他營運現金 | -34,475 | -103,972 | -27,592 | -31,429 | -2,434 |
| **投資活動現金** | 26,761 | -39,756 | -80,721 | -108,997 | -42,784 |
| 資本支出淨額 | -14,222 | -10,076 | -15,933 | -19,069 | -8,795 |
| 長期投資變動 | 58,888 | 13,869 | 15,776 | -1,916 | 0 |
| 其他投資現金 | -17,904 | -43,550 | -80,564 | -88,012 | -33,989 |
| **籌資活動現金** | -168,395 | -168,079 | -32,626 | -66,015 | 14,929 |
| 長借/公司債變動 | -24,079 | -2,590 | 5,040 | 20,049 | 12,500 |
| 現金增資 | 0 | 0 | 0 | 0 | 0 |
| 發放現金股利 | -95,239 | -148,149 | -21,439 | -70,364 | 0 |
| 其他籌資現金 | -49,078 | -17,340 | -16,227 | -15,700 | 2,429 |
| **淨現金流量** | 284,554 | -222,117 | 83,140 | -79,004 | -8,720 |
| **期初現金** | 107,792 | 392,346 | 170,230 | 253,370 | 183,466 |
| **期末現金** | 392,346 | 170,230 | 253,370 | 174,366 | 174,747 |

資料來源：中信、CMoney

**比率分析**

| (百萬元) | 2023 | 2024 | 2025 | 2026F | 2027F |
|---|---|---|---|---|---|
| **成長力分析(%)** | | | | | |
| 營業收入淨額 | -55.89% | 67.53% | -18.23% | 26.12% | -10.40% |
| 營業毛利淨額 | -87.47% | 252.85% | -47.37% | 33.34% | -32.47% |
| 營業利益 | -90.73% | 360.27% | -53.66% | 33.73% | -40.65% |
| 稅後純益 | -88.45% | 260.18% | -51.21% | 18.29% | -38.39% |
| **獲利能力分析(%)** | | | | | |
| 毛利率 | 18.04% | 37.99% | 24.45% | 25.85% | 19.48% |
| EBITDA(%) | 32.02% | 46.25% | 32.28% | 31.73% | 26.15% |
| 營益率 | 12.56% | 34.50% | 19.55% | 20.73% | 13.73% |
| 稅後純益率 | 14.45% | 31.06% | 18.53% | 16.97% | 11.67% |
| ROE(%) | 7.12% | 27.34% | 11.99% | 13.73% | 8.04% |

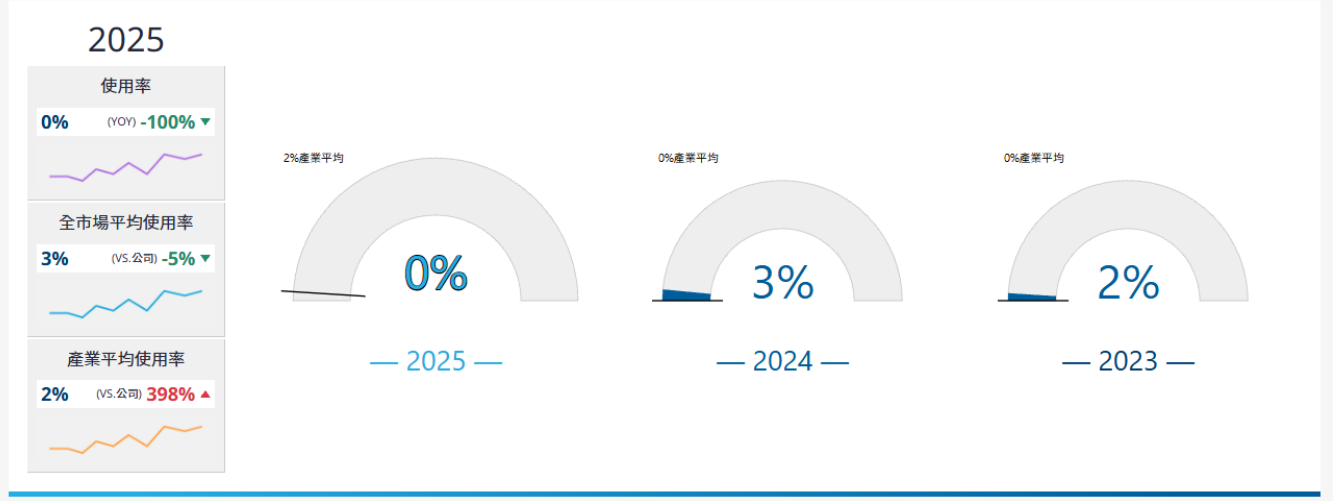
2026/10/12

## ESG 資訊-環境保護(Environmental)

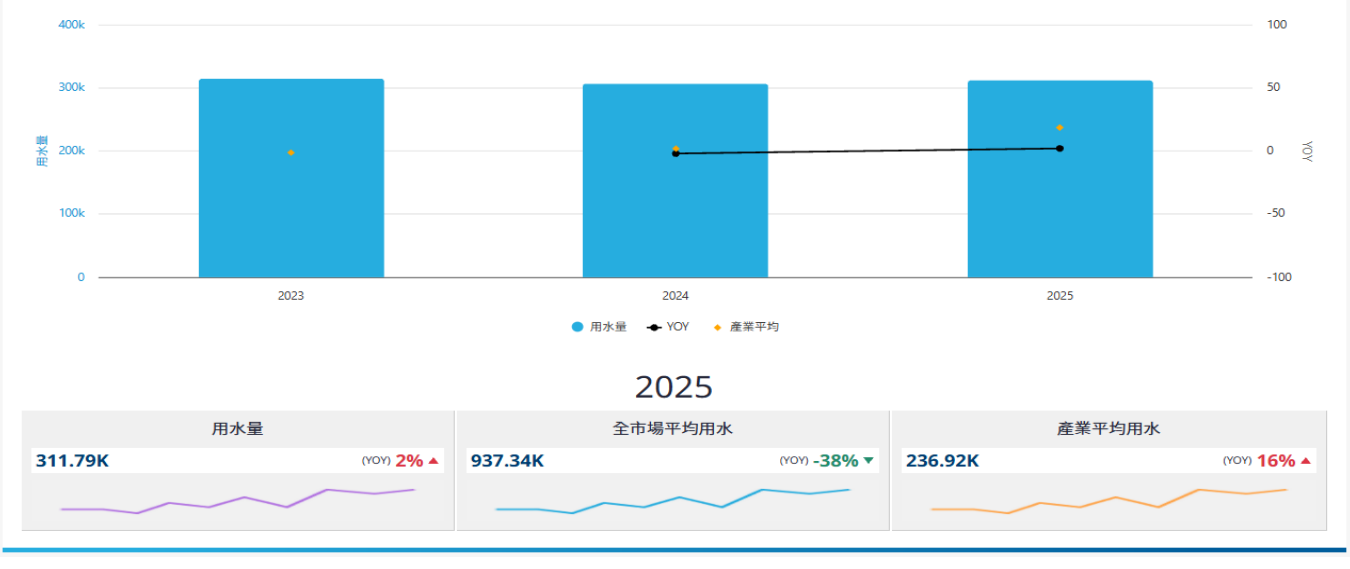
### 溫室氣體(範疇一/二)排放量




### 再生能源使用率




### 用水量

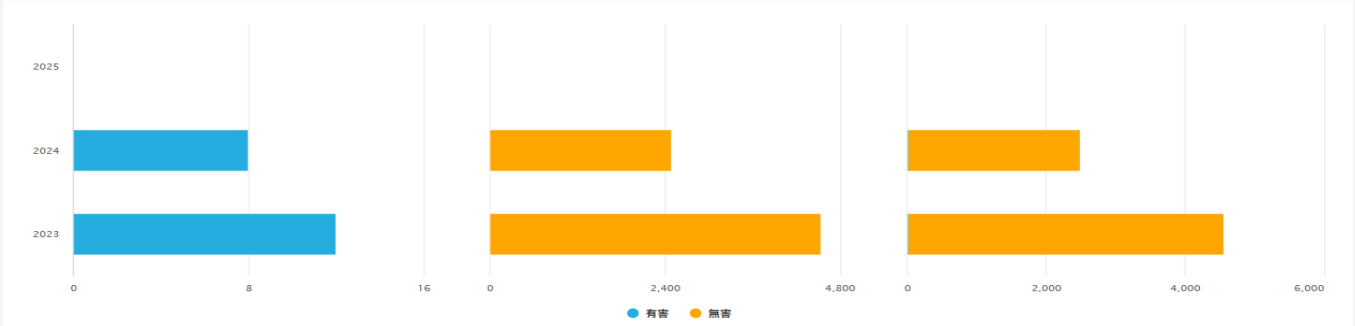


2026/10/12

## 2025

| 用水量 | 全市場平均用水 | 產業平均用水 |
|---|---|---|
| --K (YOY) --% | --K (YOY) --% | --K (YOY) --% |

## 廢棄物量




## 2025

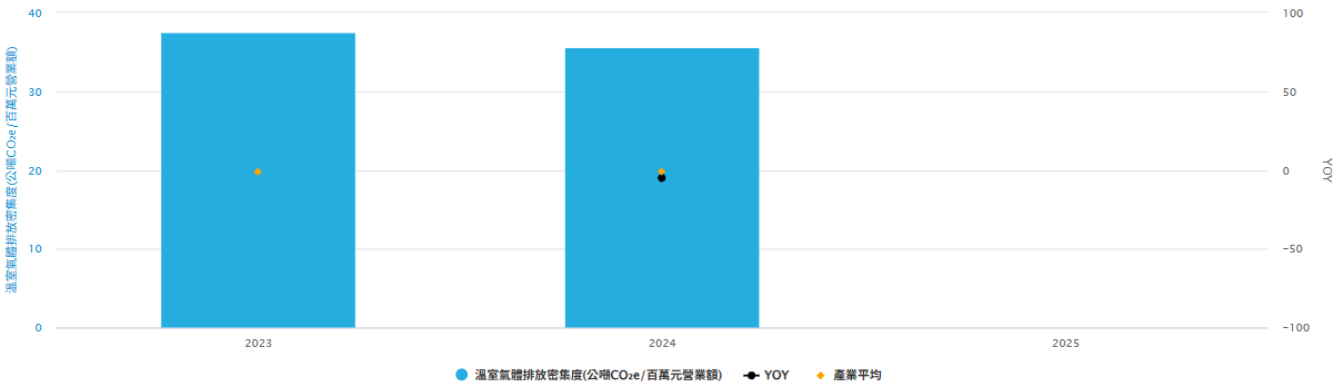
| 有害 | 無害 | 總量 |
|---|---|---|
| --K (YOY) --% | --K (YOY) --% | --K (YOY) --% |

## 密集度

### 2025

| 溫室氣體排放密集度 | 用水密集度 | 廢棄物密集度 |
|---|---|---|
| -- | -- | -- |

## 溫室氣體排放密集度(公噸$CO_2e$/百萬元營業額)

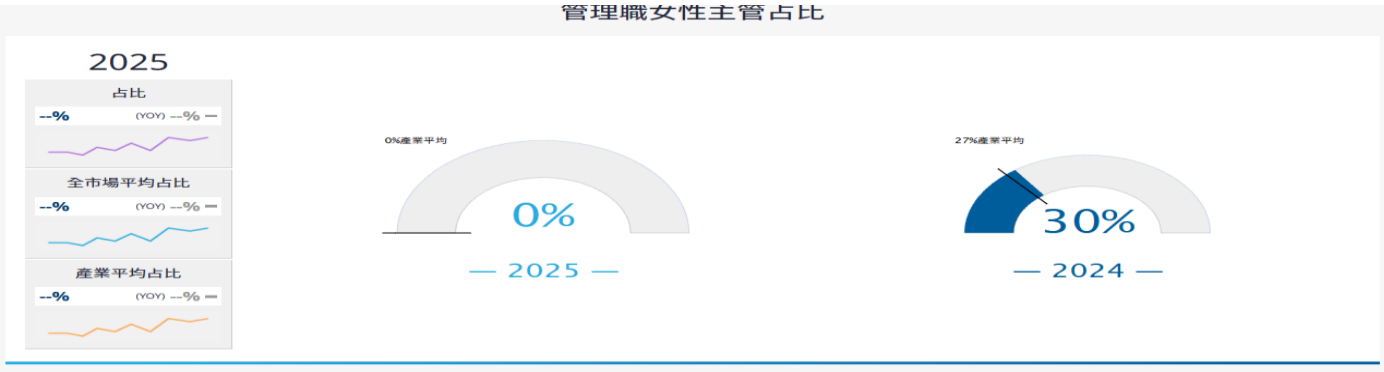



## 2025

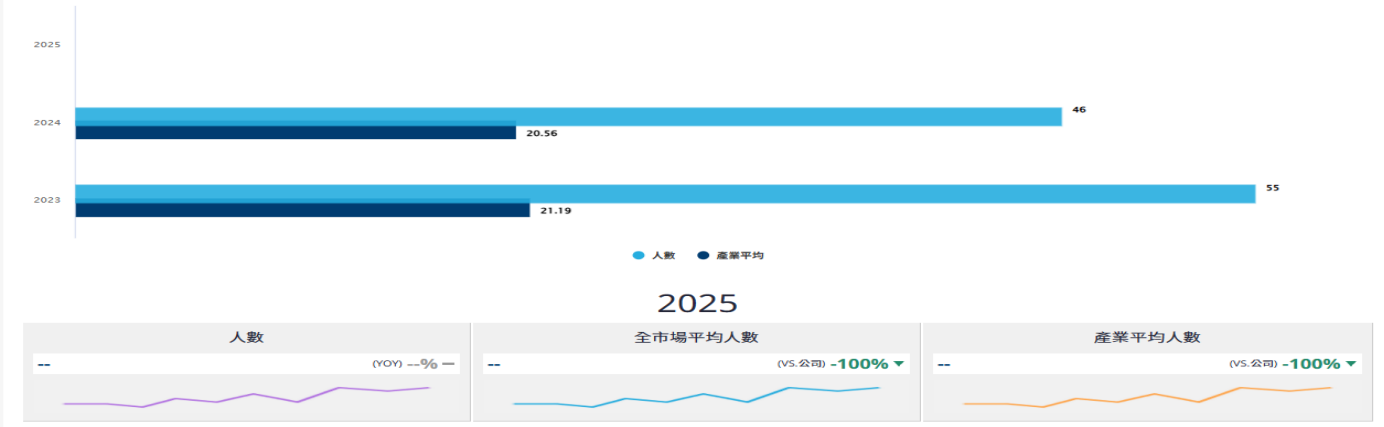
| 溫室氣體排放密集度(公噸$CO_2e$/百萬元營業額) | 全市場平均溫室氣體排放密集度(公噸$CO_2e$/百萬元營業額) | 產業平均溫室氣體排放密集度(公噸$CO_2e$/百萬元營業額) |
|---|---|---|
| --K (YOY) --% | --K (YOY) --% | --K (YOY) --% |

## ESG 資訊-社會責任(Social)

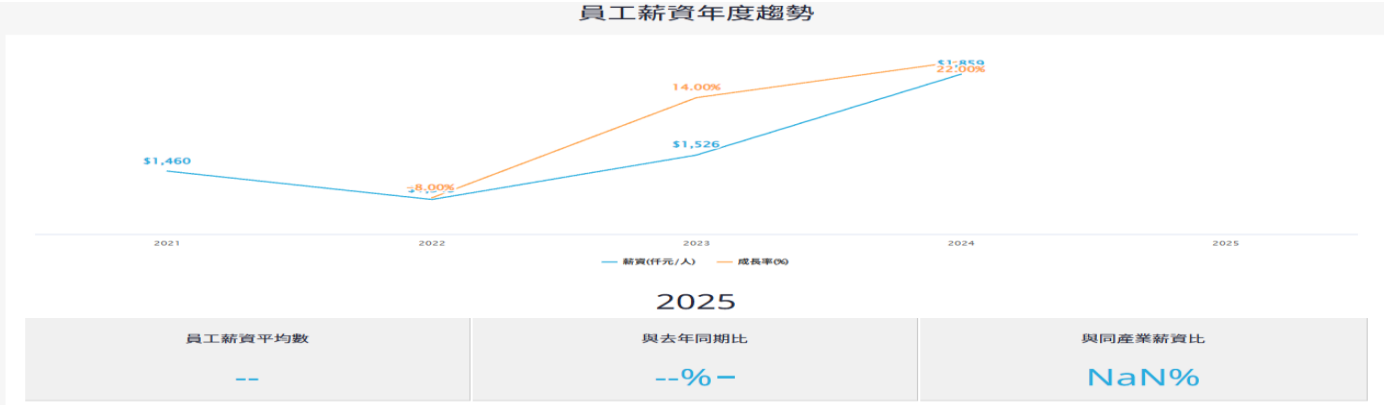
### 管理職女性主管占比



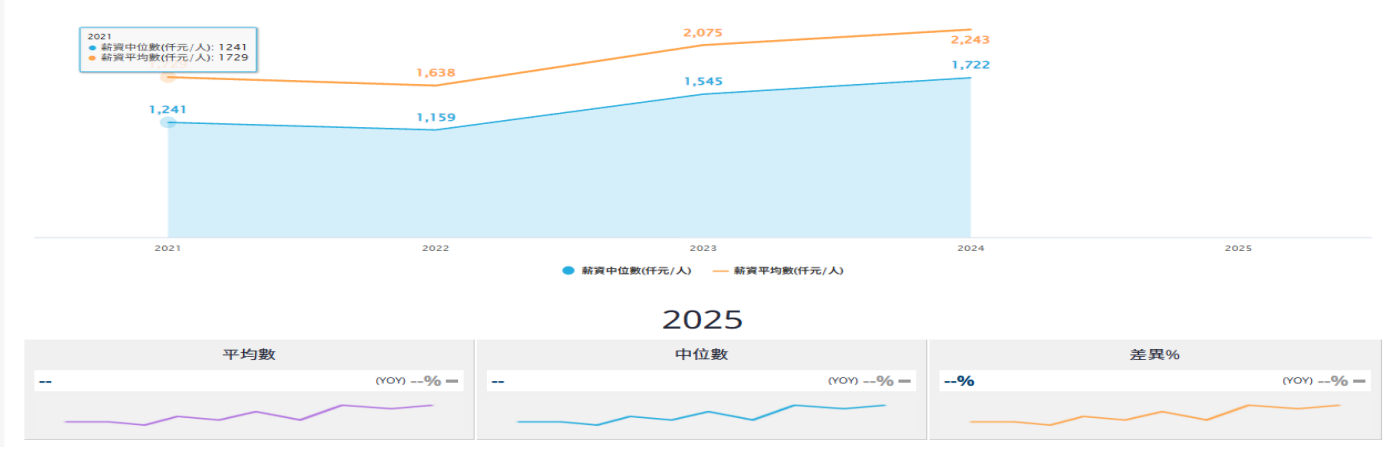

### 職業災害人數



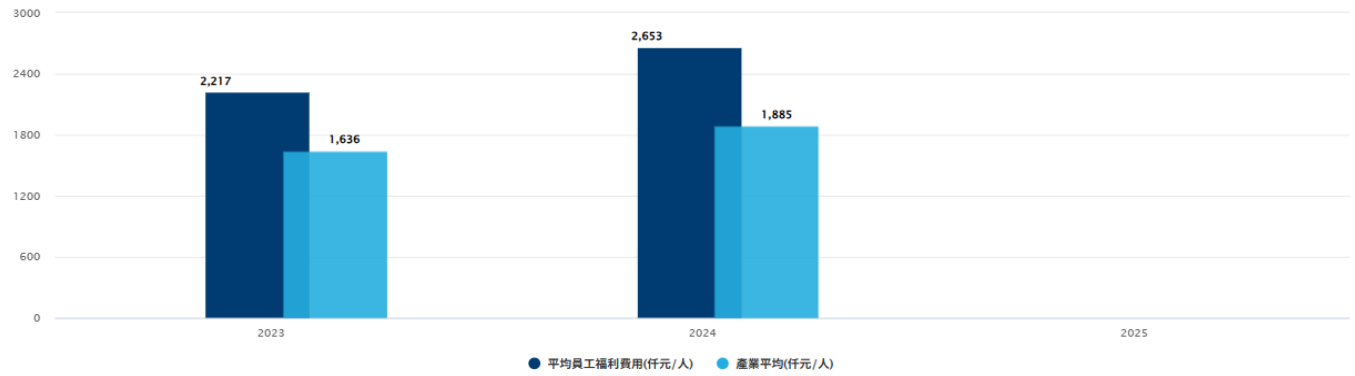

### 員工薪資年度趨勢




### 非擔任主管職務之全時員工薪資



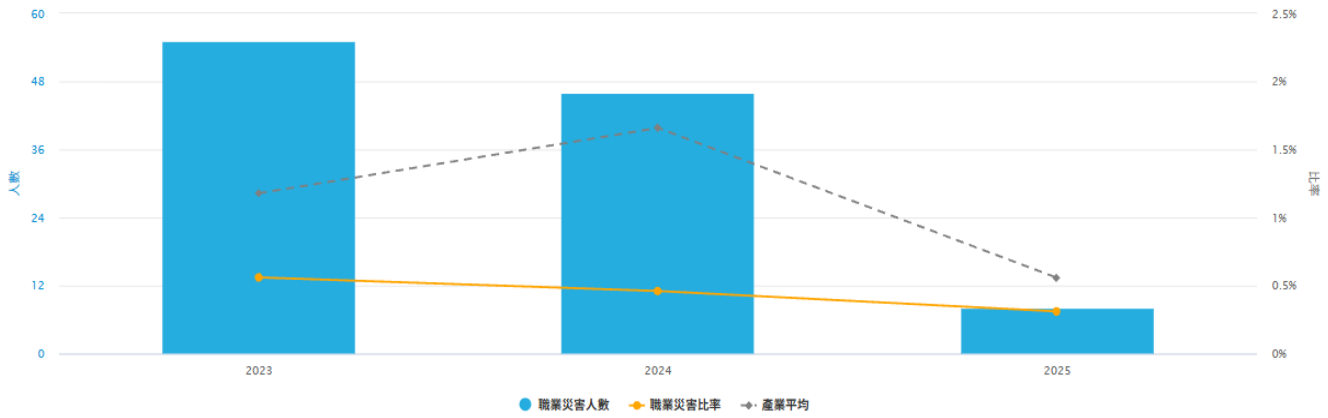
## 平均員工福利費用




### 2025

| 平均福利 | 全市場平均福利 | 產業平均福利 |
|---|---|---|
| -- (YOY) --% | -- (YOY) -100% ▼ | -- (YOY) -100% ▼ |

## 職業災害人數與比率



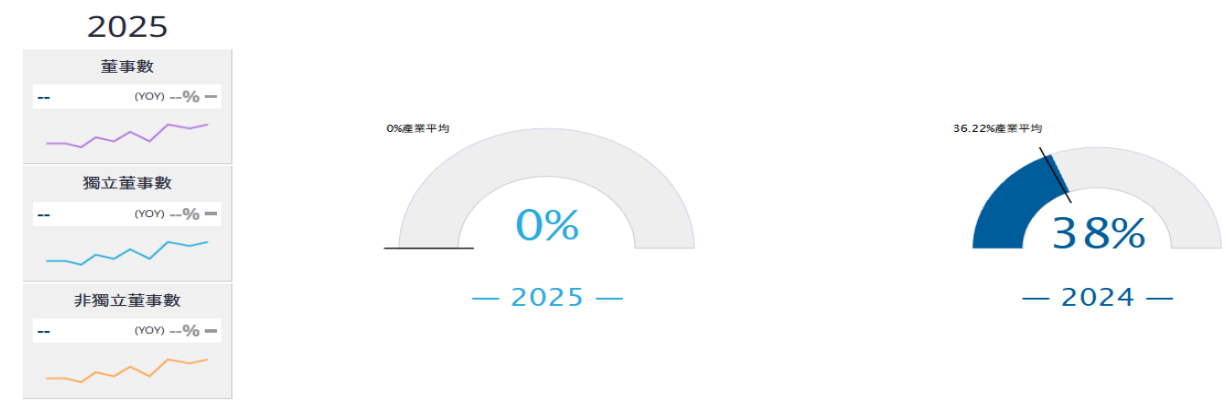

## 火災件數與死傷人數



2026/10/12

## ESG 資訊-公司治理(Governance)

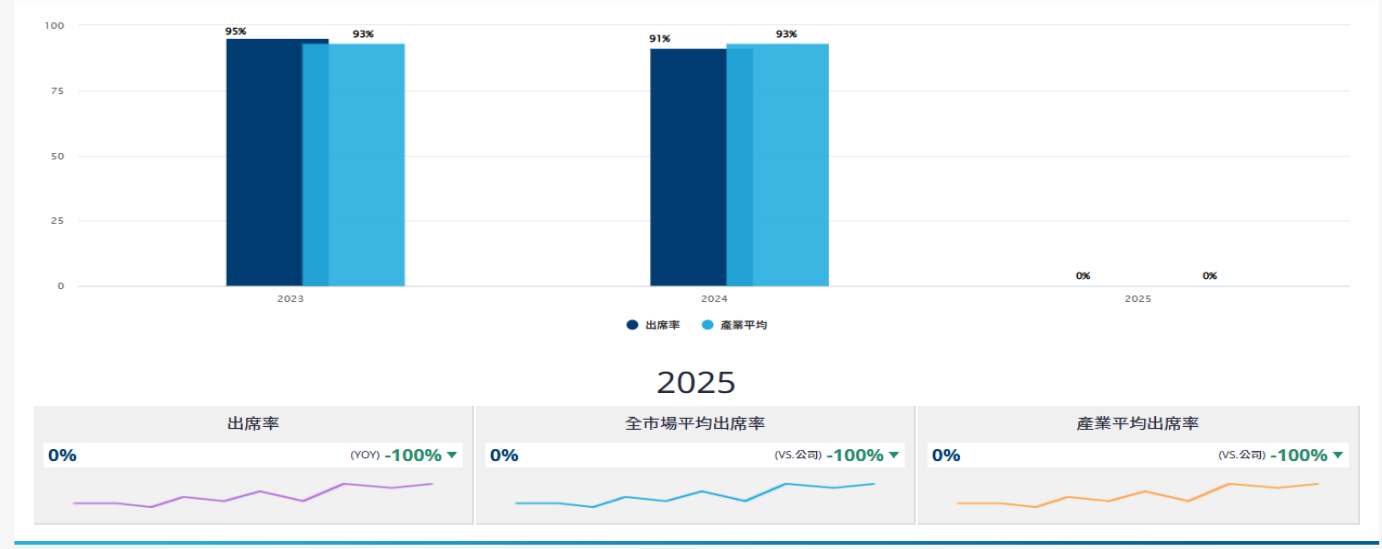
### 獨立董事vs.董事席次占比




### 女性董事席次

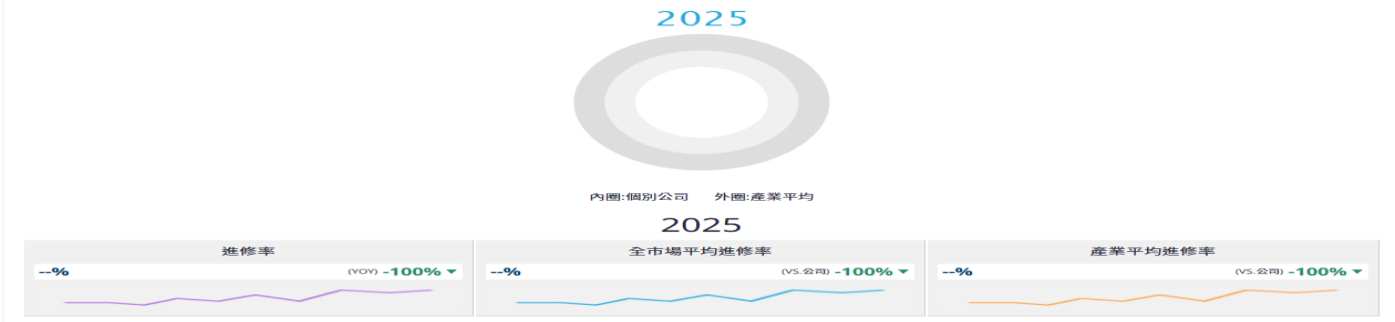



### 董事之董事會出席率

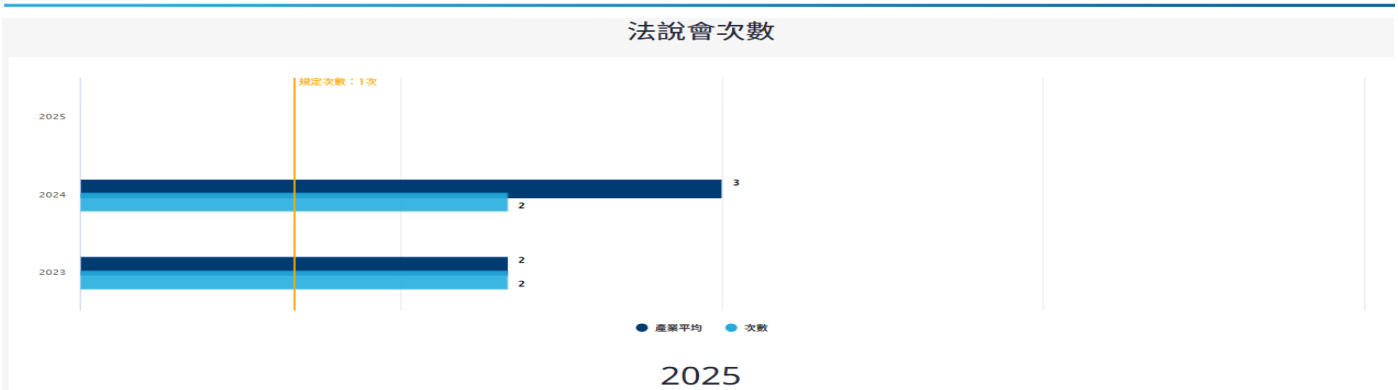


2026/10/12

## 董事進修符合進修要點比率



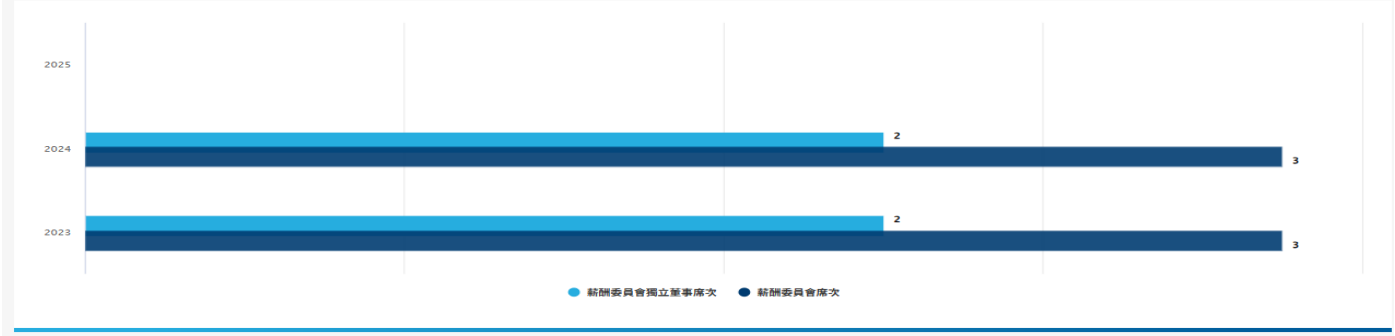

## 法說會次數




## 薪酬委員會出席率




## 薪酬委員會席次




資料來源:證交所

2026/10/12

**投資評等說明**

| 個股評等 | Rating | 定義 |
|---|---|---|
| 買進 | Buy (B) | 相較於市場指數之回報潛力極具吸引力 |
| 增加持股 | Overweight (OW) | 相較於市場指數之回報潛力略有吸引力 |
| 中立 | Neutral (N) | 相較於市場指數之回報潛力相似 |
| 降低持股 | Underweight (UW) | 相較於市場指數之回報潛力稍低 |
| 賣出 | Sell (S) | 相較於市場指數之回報潛力較低 |
| 未評等 | Not Rated (NR) | |

**免責聲明**

【中國信託證券投資顧問股份有限公司獨立經營管理】

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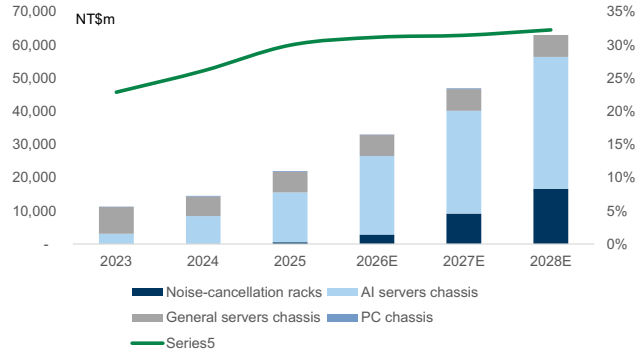
# Chenbro (8210.TW): Chassis and Racks in expansion on AI infrastructure upcycle; Neutral

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We are positive on Chenbro's leading market position in AI server chassis, riding on AI capex across US and China cloud service providers (CSPs), and expanding to full rack business (e.g. noise-cancellation racks, liquid cooling CDU racks, etc.). Chenbro's revenues in Sep increased by 1% MoM, and we expect the sequential increase to continue in Oct-Dec, bringing 4Q26E revenue growth to +58% YoY / +44% QoQ. Catalysts in 4Q26 include: (1) major ASIC AI servers customers' new models ramp-up, (2) rack business expansion on noise-cancellation racks ramping up and expansion to liquid cooling CDU racks, (3) AI servers powered by NVIDIA (e.g. HGX, MGX) in expansion with new chipset platforms, and (4) ongoing capacity expansion to support the revenues growth. Maintain Neutral on fair valuation.

**Exhibit 1: Chenbro revenues by products and GM trend**




Source: Company data, Goldman Sachs Global Investment Research

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**Exhibit 2: Chenbro monthly revenues preview**

| | Jul-26 | Aug-26 | Sep-26 | Oct-26 (E) | Nov-26 (E) | Dec-26 (E) | 3Q26 | 4Q26E |
|---|---|---|---|---|---|---|---|---|
| Rev (NT$m) | 2,462 | 2,457 | 2,476 | 2,847 | 3,417 | 4,418 | 7,395 | 10,681 |
| YoY | 42% | 41% | 14% | 43% | 68% | 63% | 31% | 58% |
| MoM / QoQ | -24% | 0% | 1% | 15% | 20% | 29% | -5% | 44% |
| GS estimates (NT$m) | 2,949 | 3,156 | 3,433 | | | | 9,539 | |
| Act. Vs. GS. | -17% | -22% | -28% | | | | -22% | |

Source: Company data, Goldman Sachs Global Investment Research

# Earnings revision

We lower net income by 8%/3%/4% in 2026-28E mainly on lower revenues to reflect the less-than-expected shipment of AI servers chassis and the 3Q26 revenues miss, which were 22%/15% lower than our estimates / Bloomberg consensus. We lower revenues by 7%/5%/6% in 2026-28E.

**Exhibit 3: Earnings revision**

| | 2026E | | | 2027E | | | 2028E | | |
|---|---|---|---|---|---|---|---|---|---|
| NT$m | Old | New | Diff % | Old | New | Diff % | Old | New | Diff % |
| Revenues | 35,520 | 33,005 | -7% | 49,221 | 46,920 | -5% | 67,376 | 63,214 | -6% |
| GP | 11,138 | 10,343 | -7% | 15,334 | 14,759 | -4% | 21,441 | 20,400 | -5% |
| OP | 8,796 | 8,092 | -8% | 12,627 | 12,178 | -4% | 18,274 | 17,429 | -5% |
| Net income | 6,521 | 5,981 | -8% | 9,324 | 9,020 | -3% | 13,564 | 12,958 | -4% |
| EPS (diluted) | 51.3 | 47.1 | -8% | 73.4 | 71.1 | -3% | 106.8 | 102.1 | -4% |
| Margins | | | | | | | | | |
| GM | 31.4% | 31.3% | | 31.2% | 31.5% | | 31.8% | 32.3% | |
| OPM | 24.8% | 24.5% | | 25.7% | 26.0% | | 27.1% | 27.6% | |
| NM | 18.4% | 18.1% | | 18.9% | 19.2% | | 20.1% | 20.5% | |

Source: Goldman Sachs Global Investment Research

**Exhibit 4: Chenbro P&L**

| NT$ mn | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E | 1Q25 | 2Q25 | 3Q25 | 4Q25 | 1Q26 | 2Q26 | 3Q26E | 4Q26E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Income statement** | | | | | | | | | | | | | | |
| Revenue | 11,247 | 14,517 | 22,001 | 33,005 | 46,920 | 63,214 | 4,154 | 5,443 | 5,665 | 6,740 | 7,107 | 7,821 | 7,395 | 10,681 |
| Gross profit | 2,574 | 3,790 | 6,594 | 10,343 | 14,759 | 20,400 | 1,199 | 1,628 | 1,775 | 1,992 | 2,333 | 2,553 | 2,151 | 3,305 |
| OP income | 1,435 | 2,443 | 4,708 | 8,092 | 12,178 | 17,429 | 834 | 1,229 | 1,290 | 1,355 | 1,766 | 1,913 | 1,697 | 2,716 |
| Net income | 1,085 | 1,934 | 3,558 | 5,981 | 9,020 | 12,958 | 667 | 829 | 993 | 1,069 | 1,336 | 1,383 | 1,257 | 2,005 |
| EPS, diluted (NT$) | 8.95 | 15.48 | 28.41 | 47.12 | 71.08 | 102.12 | 5.33 | 6.64 | 7.93 | 8.51 | 10.52 | 10.90 | 9.91 | 15.80 |
| **Ratios** | | | | | | | | | | | | | | |
| Opex ratio | 10% | 9% | 9% | 7% | 6% | 5% | 9% | 7% | 9% | 9% | 8% | 8% | 6% | 6% |
| Tax rate | 23% | 24% | 24% | 25% | 25% | 25% | 25% | 26% | 24% | 23% | 24% | 26% | 25% | 25% |
| **Margins** | | | | | | | | | | | | | | |
| Gross margin | 22.9% | 26.1% | 30.0% | 31.3% | 31.5% | 32.3% | 28.9% | 29.9% | 31.3% | 29.6% | 32.8% | 32.6% | 29.1% | 30.9% |
| Operating margin | 12.8% | 16.8% | 21.4% | 24.5% | 26.0% | 27.6% | 20.1% | 22.6% | 22.8% | 20.1% | 24.9% | 24.5% | 22.9% | 25.4% |
| Net margin | 9.7% | 13.3% | 16.2% | 18.1% | 19.2% | 20.5% | 16.1% | 15.2% | 17.5% | 15.9% | 18.8% | 17.7% | 17.0% | 18.8% |
| **YoY** | | | | | | | | | | | | | | |
| Revenue | 7% | 29% | 52% | 50% | 42% | 35% | 50% | 51% | 33% | 74% | 71% | 44% | 31% | 58% |
| Gross profit | 21% | 47% | 74% | 57% | 43% | 38% | 74% | 78% | 44% | 108% | 95% | 57% | 21% | 66% |
| OP income | 25% | 70% | 93% | 72% | 50% | 43% | 110% | 111% | 46% | 135% | 112% | 56% | 32% | 100% |
| Net income | 9% | 78% | 84% | 68% | 51% | 44% | 83% | 83% | 54% | 127% | 100% | 67% | 27% | 87% |
| **QoQ** | | | | | | | | | | | | | | |
| Revenue | | | | | | | 7% | 31% | 4% | 19% | 5% | 10% | -5% | 44% |
| Gross profit | | | | | | | 25% | 36% | 9% | 12% | 17% | 9% | -16% | 54% |
| OP income | | | | | | | 44% | 47% | 5% | 5% | 30% | 8% | -11% | 60% |
| Net income | | | | | | | 41% | 24% | 20% | 8% | 25% | 4% | -9% | 59% |

Source: Company data, Goldman Sachs Global Investment Research

Compared to Bloomberg consensus, we are 1%/12%/27% ahead on 2026E/ 27E/28E net income, reflecting our positive view on Chenbro's revenues expansion.

**Exhibit 5: GS vs. Bloomberg consensus**

| | 2026E | | | 2027E | | | 2028E | | |
|---|---|---|---|---|---|---|---|---|---|
| NT$m | GS | Cons. | Diff % | GS | Cons. | Diff % | GS | Cons. | Diff % |
| Revenues | 33,005 | 33,345 | -1% | 46,920 | 45,332 | 4% | 63,214 | 58,292 | 8% |
| GP | 10,343 | 10,611 | -3% | 14,759 | 13,955 | 6% | 20,400 | 17,081 | 19% |
| OP | 8,092 | 7,972 | 2% | 12,178 | 10,755 | 13% | 17,429 | 13,934 | 25% |
| Net income | 5,981 | 5,930 | 1% | 9,020 | 8,063 | 12% | 12,958 | 10,232 | 27% |
| Margins | | | | | | | | | |
| GM | 31.3% | 31.8% | | 31.5% | 30.8% | | 32.3% | 29.3% | |
| OPM | 24.5% | 23.9% | | 26.0% | 23.7% | | 27.6% | 23.9% | |
| NM | 18.1% | 17.8% | | 19.2% | 17.8% | | 20.5% | 17.6% | |

Source: Goldman Sachs Global Investment Research, Bloomberg

## Valuation

We continue to use near-term P/E to derive our 12m TP. We derive our target P/E multiple from (1) peers' avg. ratio of trading P/E to forward year fundamentals (NI YoY and OPM), which is at 0.3x, and (2) Chenbro's forward year fundamentals: 2027-28E NI YoY now at 47% on avg. and OPM is at 26.8% on avg. Our new target P/E multiple is at 21.2x (vs. 20.2x of our previous TP implied 2027E P/E). Our previous target P/E multiple to forward year fundamentals was also 0.3x. Our new target P/E multiple of 21.2x is between the company's avg.+1stv. P/E of 17x and peak P/E of 26x, reflecting our positive view on its expansion toward AI servers. Accordingly, we raise our target price by 1.7% to NT$1,507 (21.2x 2027E P/E) from NT$1,482.

**Exhibit 6: Chenbro peers comparison**

| Company | Ticker | Rating | 2027E PE | 2027-28E NI YoY | 2027-28E OPM | Ratio |
|---|---|---|---|---|---|---|
| Chenbro | 8210.TW | Neutral | 12.3 | 47% | 26.8% | 0.2 |
| Chenbro (TP implied) | 8210.TW | Neutral | 21.2 | 47% | 26.8% | 0.3 |
| **Peers** | | | | | | |
| Karrie | 1050.HK | NC | 7.5 | 31% | 12% | 0.2 |
| King Slide | 2059.TW | Buy | 31.3 | 37% | 72.1% | 0.3 |
| AVC | 3017.TW | Buy | 20.9 | 32% | 25.4% | 0.4 |
| Repon | 6584.TW | NC | 26.9 | 64% | 44.3% | 0.2 |
| Auras | 3324.TWO | Buy | 14.2 | 23% | 19.1% | 0.3 |
| Fositek | 6805.TW | Buy | 17.7 | 32% | 26.1% | 0.3 |
| **AVG.** | | | **19.7** | **36%** | **33%** | **0.3** |

NC: Not Covered - estimates are from Bloomberg consensus

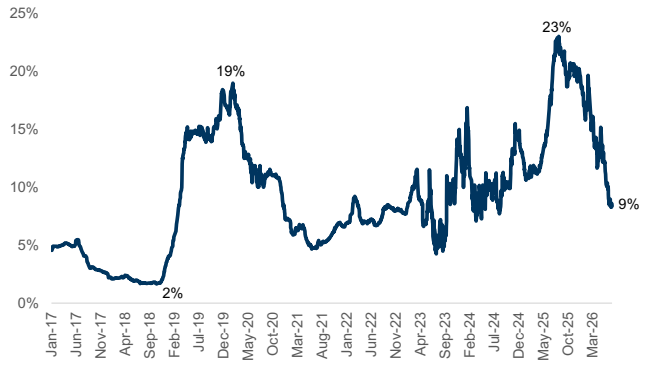
Source: Goldman Sachs Global Investment Research, Bloomberg

**Exhibit 7: Chenbro 12M forward P/E ratio**




Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

**Exhibit 8: Chenbro QFII holdings**




Source: TEJ

### Price Target Risks and Methodology: Chenbro

**Valuation:** We use near-term P/E to derive our 12-month target price for Chenbro, consistent with our Taiwan Technology coverage. We base our target price of NT$1,507 on a target P/E multiple of 21.2x on forward year EPS (2027E). Our target P/E of 21.2x is derived from the peers' avg. ratio of trading P/E to forward year fundamentals (NI YoY and OPM). We have a Neutral rating on Chenbro on fair valuation. **Key upside / downside risks:** faster / slower-than-expected AI infrastructure investments, faster / slower-than-expected rack business ramp-up, or healthier / fiercer-than-expected competition.

| 8210.TW | 12m Price Target: **NT$1,507.00** | Price: **NT$874.00** | Upside: **72.4%** |
|---|---|---|---|

**Neutral**

Market cap: NT$110.9bn / $3.5bn
Enterprise value: NT$108.3bn / $3.4bn
3m ADTV: NT$1.5bn / $45.7mn
Taiwan
Greater China Technology
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

**GS Forecast**

| | 12/25 | 12/26E | 12/27E | 12/28E |
|---|---|---|---|---|
| **Revenue (NT$ mn) New** | **22,001.3** | **33,004.6** | **46,919.8** | **63,213.7** |
| Revenue (NT$ mn) Old | 22,001.3 | 35,519.7 | 49,221.2 | 67,376.5 |
| EBITDA (NT$ mn) | 5,095.5 | 8,549.3 | 12,660.9 | 17,932.7 |
| **EPS (NT$) New** | **28.41** | **47.12** | **71.08** | **102.12** |
| EPS (NT$) Old | 28.41 | 51.33 | 73.39 | 106.76 |
| P/E (X) | 18.1 | 18.5 | 12.3 | 8.6 |
| P/B (X) | 5.9 | 8.0 | 6.0 | 4.4 |
| Dividend yield (%) | 2.7 | 2.7 | 4.0 | 5.8 |
| CROCI (%) | 47.6 | 54.8 | 71.3 | 92.5 |

| | 3/26 | 6/26E | 9/26E | 12/26E |
|---|---|---|---|---|
| EPS (NT$) | 10.52 | 10.90 | 9.91 | 15.80 |

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 8 Oct 2026 close.

# Disclosure Appendix

## Reg AC

We, Verena Jeng and Allen Chang, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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## Rating and pricing information

AVC (Buy, NT$3,440.00), Auras (Buy, NT$1,520.00), Fositek (Buy, NT$2,370.00) and King Slide (Buy, NT$10,615.00)

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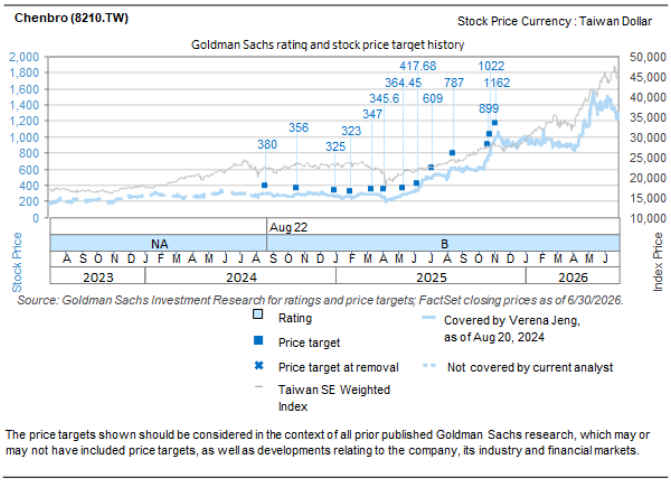
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## Target price history table(s)

### Chenbro (8210.TW)

| Date of report | Target price (NT$) | Closing price (NT$) |
|---|---|---|
| 06-Jul-26 | 1,482.00 | 1,290.00 |
| 07-Nov-25 | 1,162.00 | 1,010.00 |
| 28-Oct-25 | 1,022.00 | 904.00 |
| 22-Oct-25 | 899.00 | 764.00 |
| 18-Aug-25 | 787.00 | 625.00 |
| 06-Jul-25 | 609.00 | 487.50 |
| 08-Jun-25 | 417.68 | 335.50 |
| 12-May-25 | 364.45 | 295.00 |
| 06-Apr-25 | 345.60 | 256.00 |
| 13-Mar-25 | 347.00 | 292.50 |
| 31-Jan-25 | 323.00 | - |
| 02-Jan-25 | 325.00 | 262.50 |
| 21-Oct-24 | 356.00 | 290.50 |
| 22-Aug-24 | 380.00 | 295.00 |

Price targets shown in table(s) are unadjusted for corporate actions.

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October 11, 2026 06:34 PM GMT

## Alchip Technologies Ltd | Asia Pacific

# Solid 2027 and 2028 outlook with potential catalysts; OW

### Key Takeaways

- 2027 Trainium3 revenue could exceed 70% YoY growth, with margins remaining sustainable.
- 2028 Trainium4 revenue tracking bullish MSe US$8bn and could exceed it.
- Alchip is close to securing a new US customer before year-end.
- Keep Alchip PT of NT5,888. Catalysts: 1) new US customer win; 2) AWS re:invent on 11/30; 3) 2028 Trainium4 TAM and allocation confirmation.

**What's new?** Ahead of Alchip's 3Q26 earnings release on November 6, investors are looking for updates on the company's 2027 and 2028 revenue outlook, particularly regarding AWS Trainium programmes and potential new customer wins.

**Major projects – AWS Trainium:** It appears TSMC is allocating additional 3nm capacity to AI ASICs and CPUs in 2027. We do not rule out AWS-related revenue growing more than 70% YoY in 2027, versus our current forecast of 56% YoY growth. As a result, we remain confident in our 2027 revenue forecast of US$4.4bn. We believe gross margin can remain sustainable despite the additional revenue contribution, which would be better than our previous assumption of fixed gross profit from 3nm Trainium3. For 2028, we forecast a Street-high US$8bn revenue contribution from 2nm Trainium4. Our supply-chain checks suggest US$8bn–12bn of revenue is possible if AWS allocates additional volume.

**Potential new projects - Google KGD and others:** In Asia-Pacific Technology: AI Supply Chain: Google ASIC, who gets what for design services? (24 Aug 2026), we highlighted key trends for Google TPU v10, including: "KGD (known good die) for the compute die, which means Google owns the compute-die design and photomask tools, while retaining flexibility to outsource backend design services for the compute die." We believe Alchip is a leading candidate for this KGD backend-design opportunity. In addition, Alchip is pursuing another US HPC customer opportunity. Our checks suggest a switch-networking product is a possibility, potentially involving collaboration with Astera Labs and NVLink Fusion.

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**Alchip Technologies Ltd (3661.TW, 3661 TT)**

Greater China Technology Semiconductors | Taiwan

| | |
|---|---|
| **Stock Rating** | **Overweight** |
| **Industry View** | **Attractive** |
| Price target | NT$5,888.00 |
| Up/downside to price target (%) | 36 |
| Shr price, close (Oct 8, 2026) | NT$4,345.00 |
| 52-Week Range | NT$5,640.00-2,480.00 |
| Mkt cap, curr (mn) | NT$352,568 |
| Avg daily trading value (mn) | NT$8,261 |

| Fiscal Year Ending | 12/25 | 12/26e | 12/27e | 12/28e |
|---|---|---|---|---|
| EPS (NT$)** | 67.68 | 176.72 | 225.82 | 363.29 |
| Prior EPS (NT$)** | - | - | - | - |
| EPS (NT$)§ | 65.78 | 141.48 | 187.91 | 262.18 |
| Revenue, net (NT$ mn) | 30,926 | 94,550 | 135,780 | 303,800 |
| P/E | 51.9 | 24.6 | 19.2 | 12.0 |

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

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**Exhibit 1:** Alchip 2027 and 2028 revenue forecast by key customer

| Revenue (US$ mn) | 2025e | 2026e | 2027e | 2028e | 2025 Y/Y | 2026 Y/Y | 2027 Y/Y | 2028 Y/Y |
|---|---|---|---|---|---|---|---|---|
| **NRE** | | | | | | | | |
| **Total NRE** | **321** | **400** | **450** | **500** | **-15%** | **25%** | **13%** | **11%** |
| **Turnkey** | | | | | | | | |
| AWS | 100 | 1,800 | 2,800 | 8,000 | -86% | 1700% | 56% | 186% |
| Intel Habana | 300 | 0 | 0 | 0 | 50% | -100% | NA | NA |
| Amazon Lab126 | 40 | 50 | 50 | 50 | -33% | 25% | 0% | 0% |
| Sony | 20 | 0 | 0 | 0 | -60% | -100% | NA | NA |
| Chinese CPU | 10 | 200 | 300 | 300 | -75% | 1900% | 50% | 0% |
| Li Auto | 20 | 350 | 500 | 700 | NA | NA | NA | NA |
| Japan Consumer | 30 | 100 | 100 | 100 | NA | NA | NA | NA |
| Others | 143 | 150 | 180 | 150 | -25% | 5% | 20% | -17% |
| **Total turnkey** | **663** | **2,650** | **3,930** | **9,300** | **-47%** | **300%** | **48%** | **137%** |
| **Total revenue** | **984** | **3,050** | **4,380** | **9,800** | **-39%** | **210%** | **44%** | **124%** |

Source: Company data, Morgan Stanley research estimates

# Valuation Methodology and Risks

**Alchip Technologies Ltd (3661.TW)**

Base case value, derived from a residual income model. We assume the cost of equity is constant at 10.4% (2% risk-free rate, 6% risk premium, 1.4 beta). Our intermediate growth rate and terminal growth rates are 12.5% and 4%, respectively.

**Risks to Upside**

- Demand for Chinese GPUs and AI chipsets takes off earlier than expected.
- NRE demand accelerates.
- Alchip wins more US hyperscaler HPC projects.

**Risks to Downside**

- China's HPC localization progress slows down.
- AI chipset progress is much slower to develop.
- NRE demand decelerates.
- Pricing competition intensifies.

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### Global Stock Ratings Distribution

(as of September 30, 2026)
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For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

| | Coverage Universe | | Investment Banking Clients (IBC) | | | Other Material Investment Services Clients (MISC) | |
|---|---|---|---|---|---|---|---|
| Stock Rating Category | Count | % of Total | Count | % of Total IBC | % of Rating Category | Count | % of Total Other MISC |
| Overweight/Buy | 1599 | 43% | 455 | 48% | 28% | 783 | 44% |
| Equal-weight/Hold | 1563 | 42% | 394 | 42% | 25% | 763 | 43% |
| Not-Rated/Hold | 2 | 0% | 1 | 0% | 50% | 1 | 0% |
| Underweight/Sell | 570 | 15% | 96 | 10% | 17% | 227 | 13% |
| Total | 3,734 | | 946 | | | 1774 | |

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

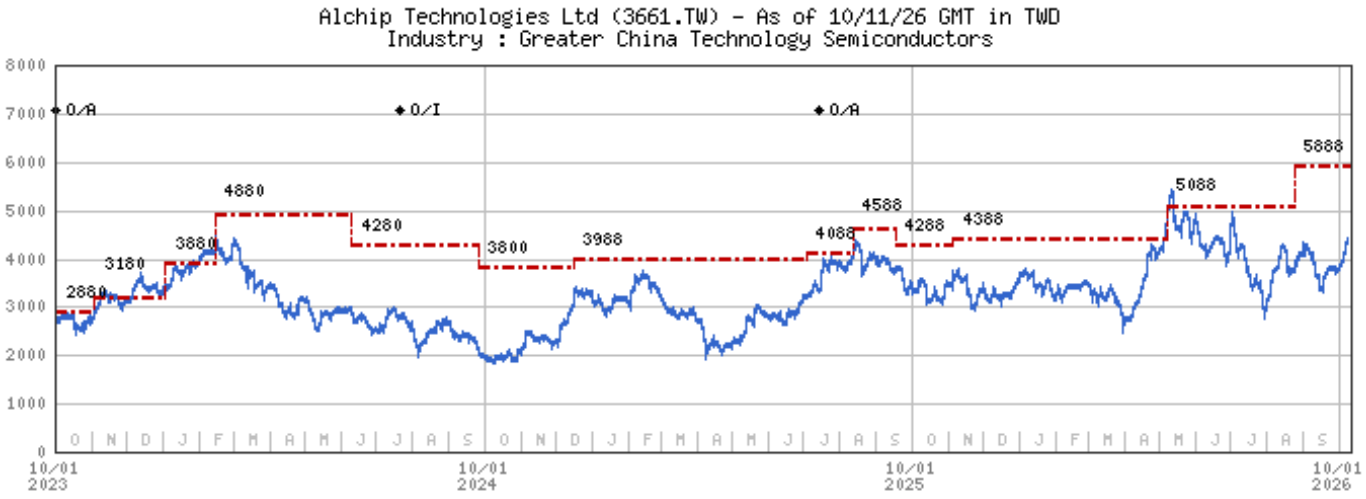
### Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

### Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.
Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.
Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

### Stock Price, Price Target and Rating History (See Rating Definitions)




Stock Rating History: 10/1/21 : O/I; 10/12/21 : O/C; 10/4/22 : O/A; 2/22/23 : O/I; 7/7/23 : O/A; 7/21/24 : O/I; 7/14/25 : O/A

Price Target History: 9/23/21 : 980; 10/8/21 : 1090; 10/30/21 : 1190; 2/10/22 : 1280; 3/7/22 : 1420; 10/18/22 : 1280; 3/13/23 : 1340; 4/26/23 : 1380; 5/10/23 : 1480; 6/12/23 : 1800; 7/3/23 : 2130; 7/7/23 : 2280; 8/14/23 : 2330; 9/12/23 : 2880; 11/3/23 : 3180; 1/2/24 : 3880; 2/14/24 : 4880; 6/10/24 : 4280; 9/26/24 : 3800; 12/16/24 : 3988; 7/3/25 : 4088; 8/12/25 : 4588; 9/17/25 : 4288; 11/5/25 : 4388; 5/7/26 : 5088; 8/24/26 : 5888

Source: Morgan Stanley Research  Date Format : MM/DD/YY  Price Target -·-  No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) —  Stock Price (Covered by Current Analyst) ▬
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

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## INDUSTRY COVERAGE: Greater China Technology Semiconductors

| COMPANY (TICKER) | RATING (AS OF) | PRICE* (10/09/2026) |
|---|---|---|
| **Charlie Chan** | | |
| Advanced Wireless Semiconductor Co (8086.TWO) | U (07/14/2025) | NT$154.00 |
| Alchip Technologies Ltd (3661.TW) | O (05/14/2021) | NT$4,345.00 |
| ASE Technology Holding Co. Ltd. (3711.TW) | O (09/15/2024) | NT$744.00 |
| Cambricon Technology Corporation (688256.SS) | O (04/27/2026) | Rmb985.99 |
| CXMT Corp (688825.SS) | O (08/26/2026) | Rmb51.00 |
| Global Unichip Corp (3443.TW) | O (06/24/2026) | NT$8,360.00 |
| GlobalWafers Co Ltd (6488.TWO) | E (05/19/2026) | NT$1,130.00 |
| Gudeng Precision (3680.TWO) | O (11/25/2025) | NT$571.00 |
| Hua Hong Semiconductor Ltd (1347.HK) | E (03/12/2026) | HK$94.55 |
| Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK) | O (04/27/2026) | HK$88.30 |
| MediaTek (2454.TW) | O (11/28/2025) | NT$4,690.00 |
| MetaX Integrated Circuits (688802.SS) | E (04/27/2026) | Rmb464.08 |
| Nanya Technology Corp. (2408.TW) | O (05/28/2026) | NT$532.00 |
| OmniVision Integrated Circuits Group Inc (603501.SS) | E (11/17/2025) | Rmb79.15 |
| Phison Electronics Corp (8299.TWO) | E (02/25/2026) | NT$2,060.00 |
| SG Micro Corp. (300661.SZ) | E (11/03/2025) | Rmb95.97 |
| Silergy Corp. (6415.TW) | U (05/19/2026) | NT$462.50 |
| SMIC (0981.HK) | O (10/21/2025) | HK$57.65 |
| TSMC (2330.TW) | O (02/07/2022) | NT$2,550.00 |
| UMC (2303.TW) | O (05/19/2026) | NT$147.50 |
| Vanguard International Semiconductor (5347.TWO) | E (01/14/2026) | NT$186.50 |
| WIN Semiconductors Corp (3105.TWO) | E (10/09/2026) | NT$581.00 |

**Daisy Dai, CFA**

| | | |
|---|---|---|
| ASMPT Ltd (0522.HK) | O (07/24/2025) | HK$161.30 |
| China Resources Microelectronics Limited (688396.SS) | U (03/02/2026) | Rmb51.90 |
| Empyrean Technology Co Ltd (301269.SZ) | E (01/17/2025) | Rmb92.25 |
| Hangzhou Silan Microelectronics Co. Ltd. (600460.SS) | U (08/25/2025) | Rmb29.09 |
| Hygon Information Technology Co., Ltd. (688041.SS) | O (07/03/2026) | Rmb219.59 |
| Innoscience (2577.HK) | E (10/13/2025) | HK$36.74 |
| JCET Group Co Ltd (600584.SS) | O (09/16/2026) | Rmb62.74 |
| Shanghai Fudan Microelectronics (1385.HK) | O (03/07/2025) | HK$24.00 |
| SICC Co Ltd (688234.SS) | O (03/20/2026) | Rmb97.54 |
| SJ Semiconductor Corp (688820.SS) | E (09/16/2026) | Rmb111.55 |
| StarPower Semiconductor Ltd (603290.SS) | E (05/14/2026) | Rmb76.25 |
| Unigroup Guoxin Microelectronics Co Ltd (002049.SZ) | U (01/10/2023) | Rmb56.59 |
| Universal Scientific Ind. (Shanghai) (601231.SS) | O (11/05/2025) | Rmb22.63 |
| Yangjie Technology (300373.SZ) | O (06/10/2022) | Rmb83.48 |
| **Daniel Yen, CFA** | | |
| AP Memory Technology Corp (6531.TW) | O (07/11/2025) | NT$980.00 |
| ASMedia Technology Inc (5269.TW) | U (10/03/2025) | NT$1,490.00 |
| Aspeed Technology (5274.TWO) | O (06/09/2025) | NT$17,485.00 |
| Egis Technology Inc (6462.TWO) | E (01/28/2026) | NT$100.50 |
| Elan Microelectronics Corp (2458.TW) | O (10/03/2025) | NT$132.00 |
| eMemory Technology Inc (3529.TWO) | O (08/18/2026) | NT$2,915.00 |
| Espressif Systems (688018.SS) | O (05/15/2023) | Rmb116.90 |
| GigaDevice Semiconductor Beijing Inc (603986.SS) | O (05/15/2025) | Rmb326.46 |
| Macronix International Co Ltd (2337.TW) | O (09/18/2025) | NT$116.00 |
| Montage Technology Co Ltd (6809.HK) | O (03/18/2026) | HK$268.20 |
| Montage Technology Co Ltd (688008.SS) | O (03/18/2026) | Rmb197.60 |
| Novatek (3034.TW) | U (02/04/2026) | NT$531.00 |
| Nuvoton Technology Corporation (4919.TW) | U (11/10/2025) | NT$155.50 |
| Parade Technologies Ltd (4966.TWO) | O (05/27/2026) | NT$558.00 |
| Powerchip Semiconductor Manufacturing Co (6770.TW) | O (10/27/2025) | NT$72.20 |
| Realtek Semiconductor (2379.TW) | E (01/30/2026) | NT$749.00 |
| Shenzhen Goodix Technology Co Ltd (603160.SS) | U (07/14/2025) | Rmb51.95 |
| Winbond Electronics Corp (2344.TW) | O (05/28/2026) | NT$177.00 |
| WPG Holdings (3702.TW) | O (03/16/2026) | NT$117.50 |
| WT Microelectronics Co. Ltd. (3036.TW) | O (01/27/2026) | NT$215.50 |
| **Duan Liu** | | |
| Dosilicon Co Ltd (688110.SS) | U (09/06/2024) | Rmb104.38 |
| Shenzhen Longsys Electronics Co Ltd (301308.SZ) | E (02/25/2026) | Rmb284.00 |
| **Henry Zhao** | | |
| ACM Research Inc (ACMR.O) | O (03/07/2023) | US$71.37 |
| Advanced Micro-Fabrication Equipment Inc (688012.SS) | O (11/06/2023) | Rmb311.00 |
| Maxscend Microelectronics Co Ltd (300782.SZ) | U (01/11/2021) | Rmb62.42 |
| NAURA Technology Group Co Ltd (002371.SZ) | O (11/06/2023) | Rmb594.04 |
| **Lucas Wang** | | |
| AllRing Tech Co. (6187.TWO) | O (09/23/2025) | NT$1,525.00 |
| FOCI Fiber Optic Communications Inc (3363.TWO) | E (10/09/2026) | NT$667.00 |
| Hon Precision (7769.TW) | O (04/17/2026) | NT$5,925.00 |
| King Yuan Electronics Co Ltd (2449.TW) | O (03/03/2023) | NT$304.50 |
| MPI Corporation (6223.TWO) | O (04/17/2026) | NT$5,575.00 |
| **Tiffany Yeh** | | |
| Himax Technologies Inc (HIMX.O) | E (02/04/2026) | US$13.30 |
| Silicon Motion (SIMO.O) | O (05/06/2024) | US$263.90 |
| WinWay Technology Co Ltd (6515.TW) | O (04/17/2026) | NT$5,615.00 |

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.

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October 11, 2026 06:18 PM GMT

## Lite-On Technology | Asia Pacific

# September Sales -4% MoM/ +22% YoY

In this report, we focus on Lite-on's monthly sales, which we believe could be a catalyst for its share price.

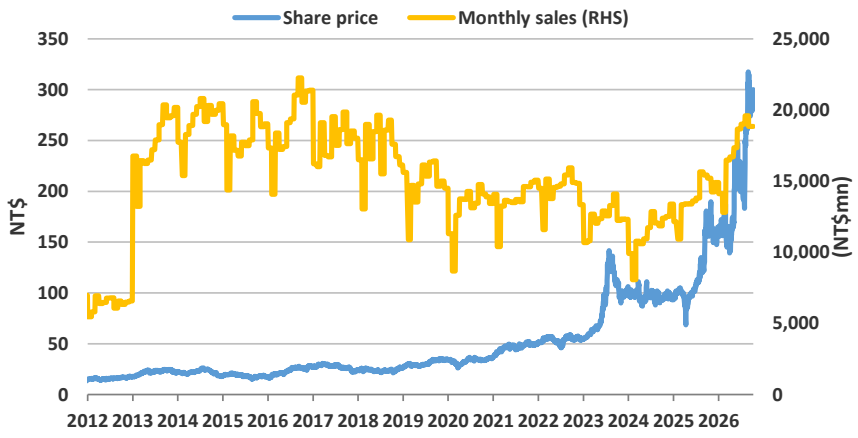
**Details:**

- September sales were NT$18,848mn (-4% MoM/+22% YoY).
- 3Q26 sales came in at NT$57,446mn (+9% QoQ/+28% YoY), lower than our estimate of NT$59,526mn (+13% QoQ/+33% YoY) and the consensus at NT $60,259mn (+14% QoQ/+34% YoY).
- By segment, Cloud&AIoT/Opto-electronics/IT&Consumer Electronics accounted for 59%/14%/27% of total sales, respectively. This implies growth of -5%/-4%/flat MoM and +53%/+7%/-11% YoY for each segment, respectively, in the month.

**Our view:**

- We believe softer revenue growth in September primarily reflected component shortages at customers in the cloud segment and, to a lesser extent, the consumer electronics segment.
- Looking ahead, we expect 4Q26 revenue to grow by double digits QoQ, driven mainly by the cloud segment. We expect gross margin to normalise to around 25% in 2H26, versus 27.2% in 2Q26, as inventory write-back benefits fade and shipments of high-margin products delayed from 2Q26 flow through.
- Stay EW.

**Exhibit 1:** Lite-on's monthly sales vs. its share price




Source: Past performance is no guarantee of future results. Results shown do not include transaction costs. Source: Company data, TEJ, Morgan Stanley Research.

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**Lite-On Technology (2301.TW, 2301 TT)**

Greater China Technology Hardware | Taiwan

| | |
|---|---|
| **Stock Rating** | **Equal-weight** |
| **Industry View** | **In-Line** |
| Price target | NT$315.00 |
| Up/downside to price target (%) | 6 |
| Shr price, close (Oct 8, 2026) | NT$297.50 |
| 52-Week Range | NT$328.00-139.50 |
| Sh out, dil, curr (mn) | 2,275 |
| Mkt cap, curr (mn) | NT$676,960 |
| EV, curr (mn) | NT$613,369 |
| Avg daily trading value (mn) | NT$5,513 |

| Fiscal Year Ending | 12/25 | 12/26e | 12/27e | 12/28e |
|---|---|---|---|---|
| EPS (NT$)** | 6.64 | 11.07 | 15.97 | 21.07 |
| Revenue, net (NT$ bn) | 166.1 | 224.8 | 298.0 | 357.7 |
| EBITDA (NT$ bn) | 19.7 | 33.5 | 48.7 | 63.9 |
| ModelWare net inc (NT $ bn) | 15.1 | 25.2 | 36.3 | 47.9 |
| P/E | 24.6 | 26.9 | 18.6 | 14.1 |
| P/BV | 4.1 | 7.1 | 6.6 | 6.0 |
| RNOA (%) | 70.7 | 85.3 | 112.7 | 140.4 |
| ROE (%) | 16.6 | 28.0 | 38.1 | 46.6 |
| EV/EBITDA | 15.7 | 18.2 | 12.5 | 9.5 |
| Div yld (%) | 2.8 | 2.9 | 4.2 | 5.6 |
| FCF yld ratio (%)** | 1.9 | 3.1 | 5.0 | 5.7 |
| Leverage (EOP) (%) | (74.1) | (71.8) | (71.8) | (66.7) |

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
e = Morgan Stanley Research estimates

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## AlphaSignals Catalyst Event Reaction

| Company / Catalyst | Date | Impact to thesis | Catalyst versus expectation |
|---|---|---|---|
| **Lite-On Technology** 2301.TW | | | |
| September 2026 Sales | 08 Oct 2026 | Unchanged | ↓ Modest downside surprise |

Source: Company data, Morgan Stanley Research

# Valuation Methodology and Risks

**Lite-On Technology (2301.TW)**

Base case: P/E multiple of 17x based on average 2027-28 EPS. We believe our target multiple is justified by the 47% earnings CAGR we estimate for 2025-28, implying a PEG of 0.4, versus the stock's 16x P/E and 2% earnings CAGR during 2022-25, which implied a PEG of 7.2.

**Risks to Upside**

- Stronger optical business growth
- Stronger data center/server demand
- PC/NB demand growth
- Downtrend in raw material prices

**Risks to Downside**

- Macro demand weakness
- Weaker data center/server demand
- PC/NB demand slowdown
- Uptrend in raw material prices

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(as of September 30, 2026)
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| | Coverage Universe | | Investment Banking Clients (IBC) | | | Other Material Investment Services Clients (MISC) | |
|---|---|---|---|---|---|---|---|
| Stock Rating Category | Count | % of Total | Count | % of Total IBC | % of Rating Category | Count | % of Total Other MISC |
| Overweight/Buy | 1599 | 43% | 455 | 48% | 28% | 783 | 44% |
| Equal-weight/Hold | 1563 | 42% | 394 | 42% | 25% | 763 | 43% |
| Not-Rated/Hold | 2 | 0% | 1 | 0% | 50% | 1 | 0% |
| Underweight/Sell | 570 | 15% | 96 | 10% | 17% | 227 | 13% |
| Total | 3,734 | | 946 | | | 1774 | |

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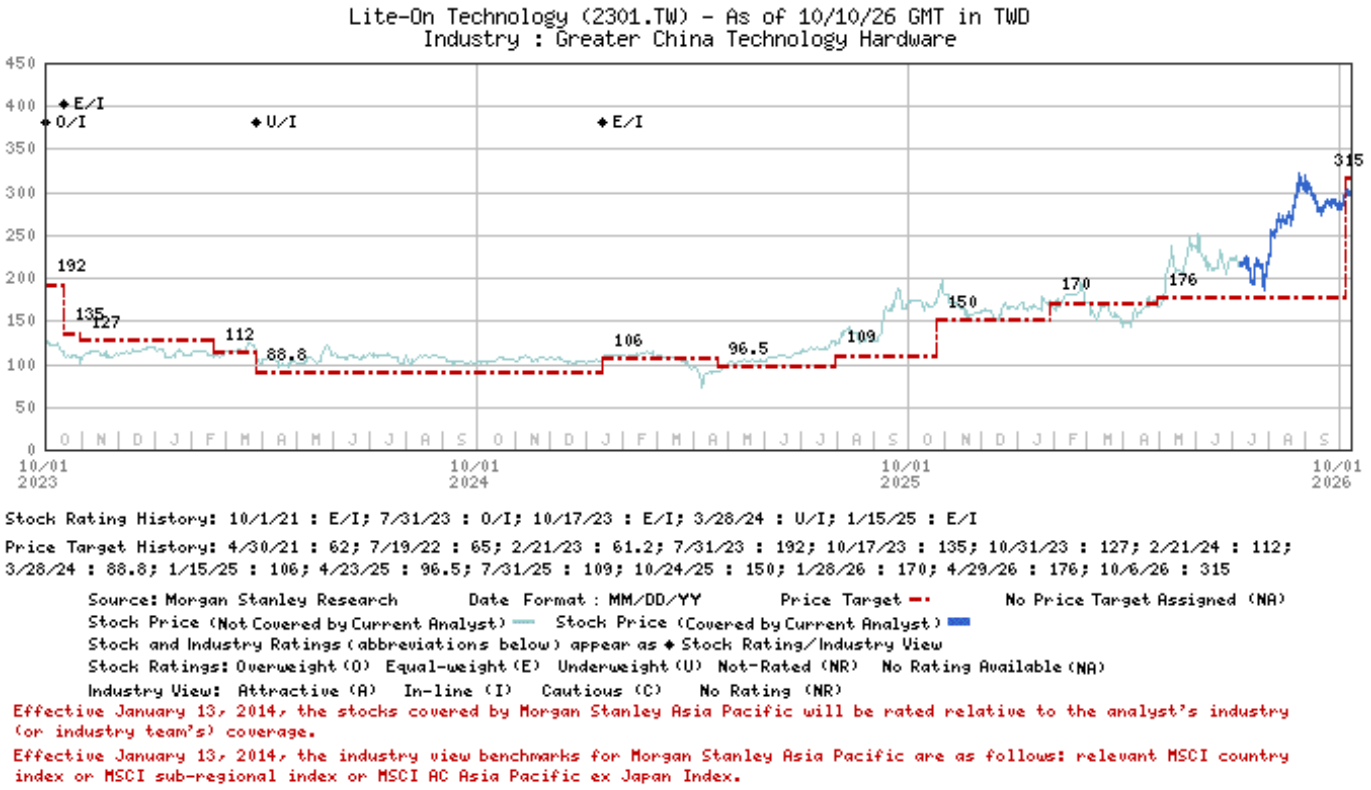
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## INDUSTRY COVERAGE: Greater China Technology Hardware

| COMPANY (TICKER) | RATING (AS OF) | PRICE* (10/09/2026) |
|---|---|---|
| **Andy Meng, CFA** | | |
| AAC Technologies Holdings (2018.HK) | O (01/29/2024) | HK$37.36 |
| Accelink Technologies Co. Ltd. (002281.SZ) | U (05/12/2022) | Rmb148.71 |
| BYD Electronics (0285.HK) | O (04/28/2023) | HK$23.16 |
| China TransInfo Technology Co Ltd (002373.SZ) | E (07/18/2023) | Rmb7.40 |
| Dahua Technology Co. Ltd. (002236.SZ) | E (12/12/2024) | Rmb15.46 |
| Eoptolink Technology Inc Ltd (300502.SZ) | O (02/27/2026) | Rmb370.20 |
| Genius Electronic Optical Co. Ltd. (3406.TW) | U (09/10/2026) | NT$1,060.00 |
| GoerTek Inc (002241.SZ) | E (08/14/2026) | Rmb21.51 |
| Gosuncn Technology Group Co Ltd (300098.SZ) | U (11/07/2022) | Rmb4.20 |
| HIKVision Digital Technology (002415.SZ) | E (12/12/2024) | Rmb32.97 |
| Largan Precision (3008.TW) | E (09/10/2026) | NT$6,660.00 |
| LianChuang Electronic Technology Co Ltd (002036.SZ) | U (06/12/2024) | Rmb5.90 |
| Lingyi Itech Guangdong Co (002600.SZ) | U (04/23/2025) | Rmb11.15 |
| Lingyi Itech Guangdong Co (1688.HK) | O (08/14/2026) | HK$5.05 |
| Luxshare Precision Industry Co., Ltd. (2475.HK) | O (08/14/2026) | HK$50.55 |
| Luxshare Precision Industry Co., Ltd. (002475.SZ) | O (10/24/2016) | Rmb47.59 |
| OFILM Group Co Ltd (002456.SZ) | U (06/12/2024) | Rmb6.46 |
| Q Technology (Group) Company Ltd (1478.HK) | U (03/23/2026) | HK$4.90 |
| Quectel Wireless Solutions Co Ltd (603236.SS) | E (10/09/2024) | Rmb72.20 |
| Shanghai Conant Optical Co Ltd (2276.HK) | O (04/10/2026) | HK$35.60 |
| Shenzhen Transsion Holdings Co Ltd (688036.SS) | E (03/23/2026) | Rmb48.95 |
| Sunny Optical (2382.HK) | E (03/23/2026) | HK$60.50 |
| Suzhou TFC Optical Communication Co Ltd. (300394.SZ) | E (11/06/2025) | Rmb235.04 |
| Wingtech Technology Co Ltd (600745.SS) | U (05/18/2026) | Rmb15.64 |
| Xiaomi Corp (1810.HK) | O (04/14/2021) | HK$25.96 |

| | | |
|---|---|---|
| Yangtze Optical Fibre and Cable JSC Ltd (601869.SS) | U (10/13/2021) | Rmb387.87 |
| Yangtze Optical Fibre and Cable JSC Ltd (6869.HK) | O (07/15/2026) | HK$168.30 |
| Yongxin Optics Co Ltd (603297.SS) | E (11/15/2022) | Rmb98.38 |
| Zhejiang Crystal-Optech Co Ltd (002273.SZ) | O (11/15/2022) | Rmb22.37 |
| Zhongji Innolight Co Ltd (300308.SZ) | O (09/07/2026) | Rmb775.29 |
| Zhongji Innolight Co Ltd (3308.HK) | O (09/07/2026) | HK$974.50 |
| ZTE Corporation (0763.HK) | O (06/04/2026) | HK$20.76 |
| ZTE Corporation (000063.SZ) | E (06/04/2026) | Rmb29.03 |
| **Derrick Yang** | | |
| Accton Technology Corporation (2345.TW) | O (06/06/2024) | NT$2,070.00 |
| Advantech (2395.TW) | O (01/20/2021) | NT$727.00 |
| AirTAC International (1590.TW) | O (04/16/2025) | NT$1,205.00 |
| Asia Vital Components Co. Ltd. (3017.TW) | O (07/30/2024) | NT$3,440.00 |
| AU Optronics (2409.TW) | E (02/10/2026) | NT$36.60 |
| Auras Technology Co Ltd (3324.TWO) | E (05/04/2023) | NT$1,520.00 |
| Bizlink (3665.TW) | O (03/10/2025) | NT$2,360.00 |
| BOE Technology (000725.SZ) | O (09/06/2019) | Rmb5.50 |
| Chenbro (8210.TW) | O (07/23/2025) | NT$874.00 |
| Chroma Ate Inc. (2360.TW) | O (10/05/2021) | NT$2,330.00 |
| Delta Electronics Inc. (2308.TW) | O (07/13/2017) | NT$1,965.00 |
| E Ink Holdings Inc. (8069.TWO) | E (08/10/2026) | NT$144.00 |
| Ennostar Inc (3714.TW) | U (09/23/2022) | NT$67.00 |
| Fositek Corp (6805.TW) | O (06/25/2025) | NT$2,370.00 |
| Hiwin Technologies Corp. (2049.TW) | O (03/30/2026) | NT$332.50 |
| Innolux (3481.TW) | E (04/07/2025) | NT$51.00 |
| King Slide Works Co. Ltd. (2059.TW) | O (11/08/2023) | NT$10,615.00 |
| Lens Technology (300433.SZ) | E (07/22/2020) | Rmb28.41 |
| Lite-On Technology (2301.TW) | E (01/15/2025) | NT$297.50 |
| TCL Corp. (000100.SZ) | E (04/07/2025) | Rmb4.64 |
| Tianma Microelectronics (000050.SZ) | U (01/24/2018) | Rmb6.23 |
| Wuhan Jingce Electronic Group Co Ltd (300567.SZ) | E (11/26/2021) | Rmb168.22 |
| **Howard Kao** | | |
| Acer Inc. (2353.TW) | U (04/23/2025) | NT$31.30 |
| Asustek Computer Inc. (2357.TW) | U (11/16/2025) | NT$996.00 |
| Catcher Technology (2474.TW) | U (11/17/2025) | NT$195.50 |
| Compal Electronics (2324.TW) | U (04/23/2025) | NT$35.50 |
| Elite Material Co. (2383.TW) | O (09/14/2026) | NT$6,000.00 |
| FIT Hon Teng Ltd (6088.HK) | O (11/03/2025) | HK$4.63 |
| Foxconn Industrial Internet Co. Ltd. (601138.SS) | O (07/10/2019) | Rmb56.07 |
| Giga-Byte Technology Co. Ltd. (2376.TW) | E (11/16/2025) | NT$363.00 |
| Gold Circuit Electronics Ltd. (2368.TW) | O (10/06/2022) | NT$1,285.00 |
| Hon Hai Precision (2317.TW) | O (03/15/2024) | NT$249.00 |
| Inspur Electronic Information (000977.SZ) | E (08/28/2023) | Rmb64.69 |
| Kingboard Laminates Holdings Ltd. (1888.HK) | O (09/14/2026) | HK$49.00 |
| LandMark Optoelectronics Corporation (3081.TWO) | E (03/26/2026) | NT$2,960.00 |
| Lenovo (0992.HK) | O (07/10/2026) | HK$32.84 |
| Lotes Co. Ltd. (3533.TW) | E (05/12/2025) | NT$1,915.00 |
| Nan Ya PCB (8046.TW) | O (02/23/2026) | NT$1,475.00 |
| Pegatron Corporation (4938.TW) | E (03/25/2026) | NT$89.70 |
| Quanta Computer Inc. (2382.TW) | O (05/01/2023) | NT$325.50 |
| Shengyi Technology Co Ltd. (600183.SS) | E (05/26/2022) | Rmb124.14 |
| Shennan Circuits Co Ltd (002916.SZ) | E (08/24/2023) | Rmb347.25 |
| Unimicron (3037.TW) | O (02/23/2026) | NT$1,270.00 |
| Visual Photonics Epitaxy Co Ltd (2455.TW) | E (09/11/2023) | NT$558.00 |
| Wistron Corporation (3231.TW) | O (07/12/2023) | NT$188.50 |

| | | |
|---|---|---|
| Wiwynn Corp (6669.TW) | O (11/10/2025) | NT$2,240.00 |
| Yageo Corp. (2327.TW) | O (10/28/2025) | NT$635.00 |
| Zhen Ding (4958.TW) | ++ | NT$592.00 |
| **Irene Yen** | | |
| Co-Tech Development Corp. (8358.TWO) | O (09/14/2026) | NT$535.00 |
| Taiwan Union Technology Corporation (6274.TWO) | O (09/14/2026) | NT$1,740.00 |

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* Historical prices are not split adjusted.

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# Largan Precision

## Core weakness outweighs progress in AI optics

**Equities**

Taiwan

Electric Components & Equipment

| | |
|---|---|
| **12-month rating** | **Sell** |
| **12m price target** | **NT$5,000.00** |
| **Price (08 Oct 2026)** | **NT$6,660** |

**RIC:** 3008.TW **BBG:** 3008 TT

**Trading data and key metrics**

| | |
|---|---|
| **52-wk range** | NT$7,810.00-2,025.00 |
| **Market cap.** | NT$875b/US$27.4b |
| **Shares o/s** | 131m (ORD) |
| **Free float** | 70% |
| **Avg. daily volume ('000)** | 2,379 |
| **Avg. daily value (m)** | NT$13,134.2 |
| **Common s/h equity (12/26E)** | NT$199b |
| **P/BV (12/26E)** | 4.4x |
| **Net debt to EBITDA (12/26E)** | NM |

**EPS (UBS, diluted) (TWD)**

| | From | To | % ch | Cons. |
|---|---|---|---|---|
| **12/26E** | 188.21 | 160.04 | -15 | 184.91 |
| **12/27E** | 214.00 | 180.00 | -16 | 204.02 |
| **12/28E** | 250.66 | 220.00 | -12 | 238.78 |

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### CPO progress is more tangible but substantial success is already priced in

We maintain Sell and our NT$5,000 target price as erosion in the core smartphone business outweighs CPO progress. The Q326 call confirmed that Largan's fiber array has passed customer qualification although its customer qualified another vendor's prism micro-lens assembly (PMLA) that Largan would now buy in. If Largan qualifies the full FAU plus carrier assembly for 2H27, content rises but with more pass-through cost and less margin upside. We roll our valuation to 2028E, the first full year of CPO production, though 25% below the NT$6,660 close on October 8.

### Full FAU assembly would lift content, but with more pass-through

We believe Largan's FA customer is one of two module suppliers on NVIDIA's 2H27 program, which we estimate could reach 40% share. The program is still subject to successful yield ramp and could move to metalens in 2028, which would reopen supplier qualification. Assembling the full FAU could lift Largan's ASP to US$125-150 leveraging its precision alignment and automation but the PMLA, V-groove and carrier parts would be pass through that cuts into margin leverage. We expand our FAU TAM analysis (Figure 9) with FAU market in 2028/30 expanding to 12.3mn/35.6mn units, with Largan base case set at 25% of the TAM.

### Core smartphone business stays soft into 2027

Q326 sales of NT$15.7bn, +15% QoQ/-11% YoY missedUBSe/Street +36%/+33% on weaker flagship smartphone demand. GMs fell 7.2ppts QoQ to 42.2%, lowest in 13 years on renewable energy costs and low variable-aperture yields, dropping OpM to 17 year lows at 30.3% and EPS to NT$39.6, below UBS/street NT$51.50/NT$49.69. We cut Q4 to NT$16.7bn +7% QoQ, 11% below consensus as its customer trimmed orders after a pricier iPhone 18 launch and possible lag to Genius which is picking up periscope share and outgrew in Q3 (+1% YoY vs. -11% YoY). We cut 2027 from NT$77bn to NT $67bn, before a recovery to NT$79bn in 2028 with the next periscope upgrade. We see GM recovering to 47.5%/48.9% in 2027-28 as yields improve and energy costs pass through in 2028 pricing.

### Maintain Sell and our NT$5,000 target

We cut 2026E/27E EPS by 14%/16% to NT$160/NT$180 and introduce 2028E EPS of NT$220 for the core smartphone business. We value the lens business at NT$3,300 (15x 2028E ex-CPO EPS of NT$220, the middle of Largan's 13–18x historical range) and CPO option at NT$1,700 or US$7bn (49x our base-case 2028E CPO EPS of NT$35, near the top of optical peers' 14–54x). Our base case gives Largan 25% of a 12.3mn-unit, US $1.85bn FAU market at US$150 per unit and a 50% gross margin. That credits it with yields and margins it still needs to prove in a quarter when yields and energy costs cut 7.2ppts from its lens margin. At ~NT$6,660, the shares imply ~NT$69 of 2028E CPO EPS, about twice our base case.

| Highlights (NT$m) | 12/23 | 12/24 | 12/25 | 12/26E | 12/27E | 12/28E | 12/29E | 12/30E |
|---|---|---|---|---|---|---|---|---|
| **Revenues** | 48,842 | 59,458 | 61,148 | 61,550 | 67,438 | 79,464 | 78,546 | 81,569 |
| **EBIT (UBS)** | 17,807 | 24,033 | 23,558 | 21,139 | 24,150 | 30,110 | 29,487 | 30,648 |
| **Net earnings (UBS)** | 18,047 | 22,480 | 23,613 | 20,953 | 23,567 | 28,805 | 28,397 | 29,473 |
| **EPS (UBS, diluted) (NT$)** | 135.22 | 168.43 | 176.92 | 160.04 | 180.00 | 220.00 | 216.89 | 225.11 |
| **DPS (net) (NT$)** | 85.50 | 67.50 | 97.50 | 80.00 | 81.97 | 90.34 | 110.41 | 108.85 |
| **Net (debt) / cash** | 111,655 | 117,781 | 122,309 | 109,131 | 120,267 | 127,842 | 144,348 | 160,697 |

| Profitability/valuation | 12/23 | 12/24 | 12/25 | 12/26E | 12/27E | 12/28E | 12/29E | 12/30E |
|---|---|---|---|---|---|---|---|---|
| **EBIT (UBS) margin %** | 36.5 | 40.4 | 38.5 | 34.3 | 35.8 | 37.9 | 37.5 | 37.6 |
| **ROIC (EBIT) %** | 39.3 | 46.2 | 40.9 | 30.3 | 30.1 | 35.1 | 33.1 | 35.3 |
| **EV/EBITDA (UBS core) x** | 7.7 | 7.1 | 6.0 | 24.7 | 21.7 | 18.1 | 17.7 | 16.6 |
| **P/E (UBS, diluted) x** | 16.2 | 15.1 | 13.3 | 41.6 | 37.0 | 30.3 | 30.7 | 29.6 |
| **Equity FCF (UBS) yield %** | 2.0 | 4.3 | 3.0 | 2.1 | 2.5 | 2.2 | 3.6 | 3.5 |
| **Dividend yield (net) %** | 3.9 | 2.7 | 4.1 | 1.2 | 1.2 | 1.4 | 1.7 | 1.6 |

Source: Company accounts, LSEG Eikon, UBS estimates. Metrics marked as (UBS) have had analyst adjustments applied. Valuations: based on an average share price that year, (E): based on a share price of NT$ 6,660.00 on 12-Oct-2026 06:29:19 CST

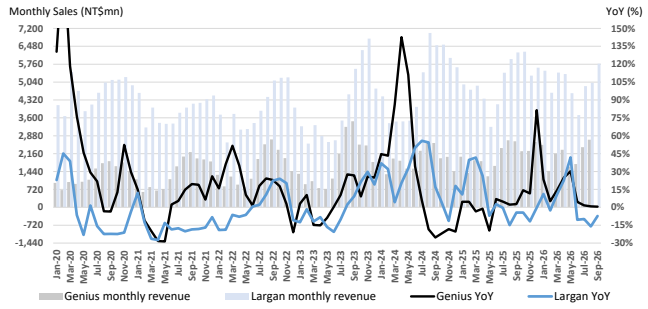
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## Core smartphone lens seeing weakness with declining margins

Q326 sales was reported light at NT$15.7bn, +15% QoQ missing UBSe/Street +36%/ +33% amid weaker flagship smartphone demand. GMs fell 720bp to 42.2%, lowest in 13 years on renewable energy costs and low variable-aperture yields, dropping OpM to 17 year lows at 30.3% and EPS to NT$39.6, below UBS/street NT$51.50/NT$49.69. Renewable-energy costs are structural under Largan's long-term power commitments and rise with Apple's share of the mix; with 2027 pricing set, pass-through is more likely in 2028.

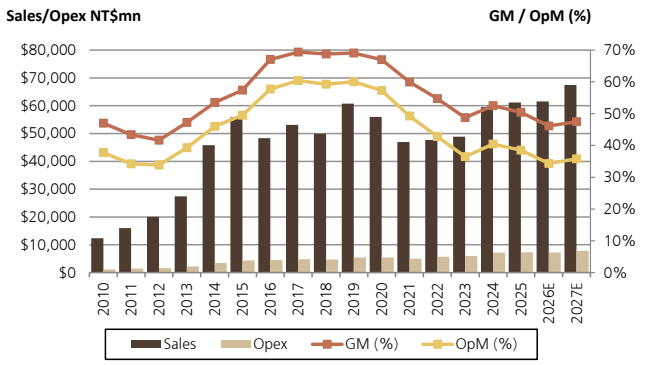
We cut Q4 to NT$16.7bn +7% QoQ, 11% below consensus as its customer trimmed orders after a pricier iPhone 18 launch and possible lag to Genius which is picking up periscope share and outgrew in Q3 (flat vs. -11% YoY). October revenue should be flat MoM and November lower as the key customer has shortened its forecast after cutting flagship orders in September. The spring-2027 model starts shipping in October but will not offset the flagship decline.

**Figure 1: Genius outpacing Largan in recent months**




Source: Company data

**Figure 2: Largan margins dropping in recent years**




Source: Company data, UBS estimates

We cut 2026E/27E revenue 9%/13% to NT$61.6bn/NT$67.4bn and EPS 14%/16% to NT$163/NT$180, and introduce 2028E revenue of NT$79.5bn, +18% YoY for the new smartphone lens upgrade, taking EPS to NT$220. Our estimates exclude CPO, which we value separately under base, bull and bear scenarios. Including our base case, 2008E EPS would be NT$255, 6% above the NT$240 consensus which likely includes some CPO. We see GM recovering to 47.5%/48.9% in 2027-28 as yields improve and energy costs pass-through in 2028 pricing. With a still a range of outcomes on 2028 CPO, we keep it in our valuation as a scenario for our upside/downside/base cases.

**Figure 3: UBS vs. VA Consensus Q126A-Q426E and 2025A-28E**

| | Q126 | Q226 | Q326E | | | Q426E | | |
|---|---|---|---|---|---|---|---|---|
| (NT$m) | Actual | Actual | UBSe | UBSe prior | VA | UBSe | UBSe prior | VA |
| Revenue | 15,544 | 13,665 | 15,651 | 18,566 | 18,147 | 16,690 | 20,094 | 16,173 |
| - QoQ / YoY | -9.7% | -12.1% | 14.5% | 35.9% | 32.8% | 6.6% | 28.4% | 3.3% |
| Gross profit | 7,680 | 6,753 | 6,607 | 9,242 | 8,968 | 7,346 | 10,044 | 6,980 |
| - Gross margin | 49.4% | 49.4% | 42.2% | 49.8% | 49.4% | 44.0% | 50.0% | 43.2% |
| Operating profit | 5,812 | 5,148 | 4,735 | 7,144 | 6,819 | 5,443 | 7,833 | 5,105 |
| - OP margin | 37.4% | 37.7% | 30.3% | 38.5% | 37.6% | 32.6% | 39.0% | 31.6% |
| Non-op profit | 1,476 | 951 | 1,357 | 1,027 | 1,071 | 1,064 | 1,064 | 1,477 |
| Pre-tax profit | 7,288 | 6,099 | 6,092 | 8,171 | 7,889 | 6,507 | 8,897 | 6,582 |
| Tax | -1,112 | -1,373 | -853 | -1,385 | -1,250 | -1,041 | -1,499 | -1,306 |
| - Tax rate | 15.3% | 22.5% | 14.0% | 17.0% | 15.8% | 16.0% | 16.9% | 19.8% |
| Net profit | 6,123 | 4,670 | 5,182 | 6,736 | 6,614 | 5,409 | 7,348 | 5,275 |
| EPS (NT$) | 46.63 | 35.70 | 39.62 | 51.50 | 49.69 | 41.36 | 56.18 | 40.04 |

| 2025 | 2026E | | | 2027E | | | 2028E | | |
|---|---|---|---|---|---|---|---|---|---|
| Actual | UBSe | UBSe prior | VA | UBSe | UBSe prior | VA | UBSe | UBSe prior | VA |
| 61,148 | 61,550 | 67,869 | 61,033 | 67,438 | 77,189 | 68,359 | 79,464 | 83,044 | 115,261 |
| 2.8% | 0.7% | 11.0% | -0.2% | 9.6% | 13.7% | 12.0% | 17.8% | 7.6% | 68.6% |
| 30,837 | 28,386 | 33,718 | 28,019 | 32,008 | 38,405 | 30,319 | 38,823 | 42,004 | 53,520 |
| 50.4% | 46.1% | 49.7% | 45.9% | 47.5% | 49.8% | 44.4% | 48.9% | 50.6% | 46.4% |
| 23,558 | 21,139 | 25,937 | 20,800 | 24,150 | 29,796 | 21,482 | 30,110 | 34,945 | 39,917 |
| 38.5% | 34.3% | 38.2% | 34.1% | 35.8% | 38.6% | 31.4% | 37.9% | 42.1% | 34.6% |
| 2,342 | 4,847 | 4,518 | 5,261 | 4,467 | 4,467 | 4,734 | 4,595 | 4,595 | 4,937 |
| 25,900 | 25,986 | 30,455 | 26,061 | 28,618 | 34,263 | 26,543 | 34,705 | 39,540 | 44,854 |
| -4,340 | -4,379 | -5,369 | -4,763 | -5,050 | -6,244 | -5,150 | -5,900 | -6,722 | -8,572 |
| 16.8% | 16.9% | 17.6% | 18.3% | 17.6% | 18.2% | 19.4% | 17% | 17% | 19% |
| 21,275 | 21,385 | 24,877 | 21,298 | 23,567 | 28,019 | 21,414 | 28,805 | 32,818 | 36,282 |
| 159.41 | 163.33 | 190.00 | 161.25 | 180.00 | 214.00 | 161.64 | 220.00 | 250.66 | 275.28 |

Source: Company data, Visible Alpha, UBS estimates. Note: EPS based on reported and may differ with cover page diluted EPS.

## CPO fiber array qualified, but rising pass-through as it upgrades to FAU production

Largan's fiber array (FA) has passed qualification with a volume customer, and management expects mass-production capacity by mid-2027 in a newly completed fab dedicated to FA/FAU, using in-house equipment. The company's next step is to produce the full detachable FAU mounted on a carrier, a board with three alignment beams that sits on the optical engine's receptor. Largan can build FAUs now and says the customer

would prefer it to supply the full assembly, but qualification is pending with the customer preferring FAU and carrier sampled separately.

Even as its potential to supply the full FAU improve, Largan will buy in most of the content. The customer has qualified another PMLA vendor and prefers semiconductor-made optics; V-grooves and carrier beams and boards are outsourced and the customer does not want Largan to make MT ferrules. Management described its role as closer to a contractor and said margins hinge on yields, as the FA carries a high ASP but also a large bill of materials. Supplying the complete FAU could raise billed content, but a larger purchased bill of materials also dilutes the relationship between revenue and value added. Our full-FAU ASP assumption requires Largan to capture that invoice scope.

Next year's product is grating-coupled and works for both CPO and NPO while edge-coupled designs are being explored with the customer. The current product does not go directly to end customers, but management expects to work directly with end customers on next-generation designs (likely 2028) as it progresses toward multi-row FAs.

To ramp production, Largan has bought several land parcels and will build new fabs from scratch, with construction finishing around 2030. It may outsource some capacity in the interim and said it cannot yet be sure capacity will meet demand.

## Annual FAU TAM reaches US$1.85bn in 2028 and US$4.5bn in 2030 in our base case

We update our FAU (fiber array unit) TAM factoring CPO/NPO penetration into AI networking switches, NVIDIA multi-rack systems, scale-up on compute and switch boards, and non-NVIDIA accelerators. We assume one passive FAU assembly connecting a fiber array to a photonic engine with one unit per optical engine.

We assume one FAU per optical engine and 32 per switch ASIC in our base case, matching NVIDIA's 32x3.2T engines on its 102.4T Spectrum-X package. Broadcom's 102.4Tb/s Davisson uses 16 engines at 6.4Tb/s, so our bear case assumes and even mix of these two designs (24 per ASIC). We note that higher switch bandwidth does not automatically increase FAU count if engine bandwidth rises at the same rate. Our 2030 assumption maintains the 32 FAUs per switch based on bandwidth rising to 204.8Tb/s ASICs using 6.4Tb/s optical engines.

**Figure 4: UBS scenario based on 32 FAUs per switch although switches to date carry a range of specifications**

| | TH5 Bailly | TH6 Davisson | Quantum-X Q3450 | Spectrum-X SN6810 | Spectrum-X SN6800 |
|---|---|---|---|---|---|
| **Year of Introduction** | **2023** | **H225** | **H225** | **H226** | **H226** |
| Switch ASIC | Tomahawk 5 | Tomahawk 6 | Quantum-3 | Spectrum 6 | Spectrum 6 |
| Bandwidth per Switch box | 51.2T | 102.4T | 115.2T | 102.4T | 409.6T |
| Switch ASICs per box | 1 | 1 | 4 | 1 | 4 |
| OE bandwidth (Tb/s each way) | 6.4T | 6.4T | 1.6T | 3.2T | 3.2T |
| Optical engines per ASIC | 8 | 16 | 18 | 32 | 32 |
| FAU per Engine | 1 | 1 | 1 | 1 | 1 |
| **FAU per Switch** | **8** | **16** | **72** | **32** | **128** |

Source: Company Data, UBS

Our base case for the FAU market sums up 4 opportunities for CPO/NPO attach:

### 1. Scale-out and scale-across switches

We estimate annual switch ASIC shipments x CPO + NPO penetration x optical engines per ASIC x FAUs per engine. In 2028, 25% CPO/NPO penetration or 1.0m 102.4T switch ASICs at 32 FAUs each produces 8.0m FAUs. In 2030, 55% of 1.1mn 204.8T switch ASICs at 32 FAUs drives a market size of 19.4mn FAUs.

**Figure 5: Scale-out/scale-across could drive 8.0/19.4mn FAUs in 2028/2030**

| | 2028 | | | 2030 | | | Assumption |
|---|---|---|---|---|---|---|---|
| **Scale out/Scale across** | **Downside** | **Base** | **Upside** | **Downside** | **Base** | **Upside** | |
| Switch ASIC shipments (k units) | 800 | 1,000 | 1,050 | 880 | 1,100 | 1,155 | |
| NPO penetration | 3% | 5% | 7% | 8% | 10% | 12% | Optics on the board beside the ASIC |
| CPO penetration | 10% | 20% | 25% | 35% | 45% | 55% | Optics inside the switch package. |
| **NPO/CPO switch ASICs (k units)** | **104** | **250** | **336** | **378** | **605** | **774** | |
| Bandwidth per Switch (Tbps) | 102.4 | 102.4 | 102.4 | 204.8 | 204.8 | 204.8 | |
| Optical engine (Tb) | 3.2 | 3.2 | 3.2 | 6.4 | 6.4 | 6.4 | |
| FAUs per switch ASIC | 24 | 32 | 32 | 24 | 32 | 32 | NVIDIA: 32 OE per ASIC, Broadcom 16 |
| **Scale out/Scale across # of FAUs (mn)** | **2.5** | **8.0** | **10.8** | **9.1** | **19.4** | **24.8** | |

Source: UBS

### 2. NVIDIA's multi-rack connections for Rubin Ultra and Feynman

NVIDIA at its 2026 GTC San Jose proposed a multi-rack option to network together 8 Oberon NVL72 racks for the Rubin Ultra generation and 8 Kyber NVL144 racks. Feedback at the time showed possible transceiver or NPO connections for Rubin Ultra and CPO connections for Feynman. Our 2028 base case uses 110,000 racks, 15% multi-rack adoption and 75% CPO/NPO penetration, giving approximately 12,400 connected racks.

For 2030, our rack count falls to 35,000 racks as we assume Kyber would have 4x the number of GPUs, equivalent to 140k Oberon equivalents. We assume the 35,000 racks at 55% multi-rack adoption x 80% CPO/NPO attach gives 15,400 connected racks. We assume about 216 and 576 inter-rack FAUs per rack, respectively, driving a market opportunity of 2.7mn FAUs in 2028 and 8.9mn in 2030.

**Figure 6: NVIDIA rack connected pods could drive 2.7mn/8.9mn FAUs in 2028/2030**

| | 2028 | | | 2030 | | | Assumption |
|---|---|---|---|---|---|---|---|
| **NVIDIA Pod Connected GPUs** | **Downside** | **Base** | **Upside** | **Downside** | **Base** | **Upside** | |
| NV platform | Oberon / Rubin Ultra | | | Kyber / Feynman | | | |
| NV racks shipments (k) | 95 | 110 | 125 | 30 | 35.0 | 40 | UBS rack assumptions |
| 8-rack pods penetration (%) | 10% | 15% | 20% | 40% | 55% | 70% | |
| NPO/CPO penetration within pods (%) | 50% | 75% | 80% | 65% | 80% | 95% | Pluggable FAUs excluded from this model |
| **NPO/CPO connected racks (k)** | **4.8** | **12.4** | **20.0** | **7.8** | **15.4** | **26.6** | |
| GPUs per rack | 72 | 72 | 72 | 144 | 144 | 144 | |
| Switches per rack | 72 | 72 | 72 | 144 | 144 | 144 | 72 ASICs in Oberon, 144 per Kyber |
| Optical engine (Tb) bandwidth | 3.2 | 3.2 | 3.2 | 6.4 | 6.4 | 6.4 | |
| FAUs attached per switch | 2.5 | 3.0 | 4.0 | 2.5 | 4.0 | 4.5 | 3.2T OE in 2028; 6.4T in 2030 (each way) |
| NVLink bandwidth per NVIDIA GPU | 14.4 | 14.4 | 14.4 | 28.8 | 28.8 | 28.8 | |
| Optical build-out (% of full) | 56% | 67% | 89% | 56% | 89% | 100% | % of rack to rack bandwidth wired to optics |
| **FAUs per connected racks** | **180** | **216** | **288** | **360** | **576** | **648** | |
| **NV scale up # of FAUs (mn)** | **0.9** | **2.7** | **5.8** | **2.8** | **8.9** | **17.2** | |

Source: UBS. Switch count increases to connect to other racks

### 3. Initial CPO/NPO optical connections on compute and switch boards by 2030

We include by 2030 CPO native optical connections on compute and switch boards in 5% of racks each adding 1,152 FAUs across the GPUs and switches or 2.0mn FAUs by 2030.

**Figure 7: NVIDIA compute board optics could drive 2.0mn FAUs in 2030**

| | 2028 | | | 2030 | | | Assumption |
|---|---|---|---|---|---|---|---|
| **NVIDIA Compute Board Optics** | **Downside** | **Base** | **Upside** | **Downside** | **Base** | **Upside** | |
| NV racks shipments (k) | 95 | 110 | 125 | 30 | 35.0 | 40 | UBS rack assumptions |
| Optical GPU penetration | 0% | 0% | 0% | 3% | 5% | 15% | CPU-native GPUs |
| Compute tray FAUs # | 0 | 0 | 0 | 144 | 144 | 144 | 36 trays x 16 |
| GPUs per rack | 72 | 72 | 72 | 144 | 144 | 144 | |
| Optical engine (Tb) | 3.2 | 3.2 | 3.2 | 6.4 | 6.4 | 6.4 | |
| Optical build-out (% of full) | 56% | 67% | 89% | 56% | 89% | 100% | % of rack to rack bandwidth wired to optics |
| NVLink bandwidth per NVIDIA GPU | 14.4 | 14.4 | 14.4 | 28.8 | 28.8 | 28.8 | |
| FAUs per connected racks | 0 | 0 | 0 | 720 | 1,152 | 1,296 | |
| **NV optical GPU # of FAUs (mn)** | **0.0** | **0.0** | **0.0** | **0.6** | **2.0** | **7.8** | |

Source: UBS.

### 4. Non NVIDIA scale-up opportunity

Non-NVIDIA scale-up uses accelerator rack shipments x optical attach rate x FAUs per rack, producing about 0.5m units in 2028 and 3.7m in 2030.

**Figure 8: ASIC market could drive additional compute board optics could drive 3.7mn FAUs in 2030**

| | 2028 | | | 2030 | | | Assumption |
|---|---|---|---|---|---|---|---|
| **Non-NV scale up** | **Downside** | **Base** | **Upside** | **Downside** | **Base** | **Upside** | |
| ASIC rack shipments (k) | 43.6 | 48.5 | 50.9 | 76.6 | 85.1 | 89.3 | *Trainium 4/5/6, MI500, MI600, Jalapeno |
| Addressable NPO/CPO attach rate (%) | 0% | 5% | 10% | 5% | 15% | 25% | |
| **NPO/CPO connected racks (k)** | **0.0** | **2.4** | **5.1** | **3.8** | **12.8** | **22.3** | |
| Accelerators per rack | 72 | 72 | 72 | 72 | 72 | 72 | Average accelerators per rack |
| FAUs per accelerator | 2.5 | 3.0 | 4.0 | 2.5 | 4.0 | 4.5 | |
| Optical build-out (% of full) | 56% | 67% | 89% | 56% | 89% | 100% | % of rack to rack bandwidth wired to optics |
| Scale-up per non-NVIDIA accelerator (Tb) | 14.4 | 14.4 | 14.4 | 28.8 | 28.8 | 28.8 | |
| FAUs per connected racks | 180 | 216 | 288 | 180 | 288 | 324 | |
| **Non-NV # of FAUs (mn)** | **0.0** | **0.5** | **1.5** | **0.7** | **3.7** | **7.2** | |

Source: UBS

## Overall market opportunity: 12.3mn/35.6mn generates a US$1.85bn/US $4.5bn TAM in 2028/2030

We sum four pools: scale-out/scale-across switches, NVIDIA multi-rack pods, CPO native NVIDIA GPUs and non-NVIDIA scale-up. We add 10%/5% for FAUs lost at downstream attach and test and for field spares, driving a market size of in our base case of 12.3mn FAUs in 2028 and 35.6mn in 2030. At US$150/US$125 per FAU, that is a US$1.85bn market in 2028 and US$4.5bn in 2030 (bear/bull US$0.5bn/US$3.5bn in 2028; US $1.4bn/US$9.0bn in 2030). The expansion to 2030 comes from wider optical adoption and greater content in scale-up systems, despite an assumed FAU ASP decline from US $150 to US$125.

**Figure 9: Summary of FAU drivers: 12.3mn/35.6mn base case in 2028-2030**

| | 2028 | | | 2030 | | |
|---|---|---|---|---|---|---|
| **Summary of FAU drivers** | **Downside** | **Base** | **Upside** | **Downside** | **Base** | **Upside** |
| Scale out/Scale across # of FAUs (mn) | 2.5 | 8.0 | 10.8 | 9.1 | 19.4 | 24.8 |
| NV scale up # of FAUs (mn) | 0.9 | 2.7 | 5.8 | 2.8 | 8.9 | 17.2 |
| NV optical GPU # of FAUs (mn) | 0.0 | 0.0 | 0.0 | 0.6 | 2.0 | 7.8 |
| Non-NV # of FAUs (mn) | 0.0 | 0.5 | 1.5 | 0.7 | 3.7 | 7.2 |
| Downstream yield loss and spares | 10% | 10% | 10% | 5% | 5% | 5% |
| **FAUs (mn units)** | **3.7** | **12.3** | **19.8** | **13.9** | **35.6** | **59.9** |
| FAU ASP | $125 | $150 | $175 | $100 | $125 | $150 |
| **Total FAU TAM (US$bn)** | **$0.5** | **$1.8** | **$3.5** | **$1.4** | **$4.5** | **$9.0** |

Source: UBS

## Scenario analysis on Largan's CPO opportunity

Our base case gives Largan the benefit of the doubt for successfully ramping up a full FAU production and capturing 25% of the overall FAU TAM, yielding NT$35 of 2028E EPS, about 16% of our 2028E lens EPS. A 25% share means 3.1mn FAUs in its first full year of production: about 29% of NVIDIA-linked units and roughly three-quarters of the allocation our checks suggest its module partner holds. We book these at the full US $150 FAU price and 50% gross margin, allowing for an early-supply premium even though the optics, V-grooves and carrier parts are bought in. That gives 2028E CPO sales of US$462mn, rising to US$1.1bn and NT$84 of EPS in 2030 on a larger market.

Our bear case (15% share, 45% GM) gives NT$5 of CPO EPS in 2028E and NT$14 in 2030E; our bull case (35% share, 55% GM) gives NT$103 and NT$267. Each 5ppt of share moves 2028E CPO EPS by ~NT$6.9 (~NT$340/share at 49x), and each 5ppt of gross margin by ~NT$4.6 (~NT$225/share). If gross margin were 35% rather than 50%, holding operating expenses at 12% of sales, EPS would fall to approximately NT$21. A next-generation shift in lens or coupling design could also change content and alignment requirements including a potential metalens design which could invite in different suppliers.

Our 2030 base case implies ~8.9mn Largan FAUs a year (21mn in the upside case), though with risks around competition in a crowded field, yields and technology. A shift to semiconductor-made optics or metalens would loosen alignment tolerances and erode the precision premium behind Largan's pitch. The upside lies in direct work with cloud providers on multi-row FAs from 2028, where Largan's multi-layer alignment is most differentiated.

**Figure 10: Largan downside/base/upside cases for 2028 and 2030**

| Largan CPO | 2028 | | | 2030 | | |
|---|---|---|---|---|---|---|
| **Scenario analysis** | **Downside** | **Base** | **Upside** | **Downside** | **Base** | **Upside** |
| FAUs (mn units) | 3.7 | 12.3 | 19.8 | 13.9 | 35.6 | 59.9 |
| FAU ASP | 125 | 150 | 175 | 100 | 125 | 150 |
| **Total FAU TAM (US$mn)** | **$461** | **$1,847** | **$3,461** | **$1,389** | **$4,452** | **$8,980** |
| **Largan Sales (US$mn)** | **$69.1** | **$461.9** | **$1,211.3** | **$208.3** | **$1,113.1** | **$3,142.8** |
| Largan share of the TAM (%) | 15% | 25% | 35% | 15% | 25% | 35% |
| GM % | 45% | 50% | 55% | 45% | 50% | 55% |
| Pretax % | 33% | 38% | 43% | 33% | 38% | 43% |
| **Pretax income (US$mn)** | **$22.8** | **$175.5** | **$520.8** | **$68.7** | **$423.0** | **$1,351.4** |
| Tax | 18% | 18% | 18% | 18% | 18% | 18% |
| **Net income (US$mn)** | **$18.7** | **$143.9** | **$427.1** | **$56.4** | **$346.8** | **$1,108.2** |
| **Net income (NT$mn)** | **$589** | **$4,533** | **$13,453** | **$1,776** | **$10,925** | **$34,907** |
| **EPS (NT$)** | **$5** | **$35** | **$103** | **$14** | **$84** | **$267** |
| Shares | 130.8 | 130.8 | 130.8 | 130.8 | 130.8 | 130.8 |

Source: UBS

## Valuation and investment implications

We roll our valuation forward to 2028E and value Largan on a sum of the parts. We value the lens business at NT$3,300 (15x 2028E EPS, the middle of Largan's 13–18x historical range) and CPO at NT$1,700 (49x our base-case 2028E CPO EPS of NT$35, near the top of optical peers' 14–54x). Our base case gives Largan 25% of a 12.3mn-unit, US$1.85bn FAU market at US$150 per unit and a 50% gross margin. The 49x multiple also assigns a substantial value to a business whose complete assembly still requires qualification and whose margins still need to demonstrate can reach similar levels to its mature smartphone business. At ~NT$6,660 recent share price level, the shares imply ~NT$69 of 2028E CPO EPS, about twice our base case.

Upside risks include faster full-FAU qualification, firm volume commitments from additional customers, stronger lens demand and better yields. Near-term catalysts are the customer's capacity forecast and its visit to the new fab in the coming month. A large forecast or faster FAU plus carrier qualification would be upside risks to our sell.

**Figure 11: UBS SOTP valuation for Largan**

| (NT$) | | UBSe | | | Prior UBS | | Upside Case | | | Downside Case | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | 2025 | 2026 | 2027 | 2028 | 2026 | 2027 | 2026 | 2027 | 2028 | 2026 | 2027 | 2028 |
| **Lens Business ex-CPO** | | | | | | | | | | | | |
| **Sales** | $61,148 | $61,550 | $67,438 | $79,464 | $67,869 | $77,189 | $62,166 | $70,135 | $82,642 | $59,704 | $64,066 | $75,491 |
| YoY Growth | 2.8% | 0.7% | 9.6% | 17.8% | 11.0% | 13.7% | 1.7% | 12.8% | 17.8% | -2.4% | 7.3% | 17.8% |
| **Gross Profit** | **$30,837** | **$28,386** | **$32,008** | **$38,823** | **$33,718** | **$38,405** | **$28,981** | **$34,410** | **$41,699** | **$26,997** | **$29,446** | **$35,750** |
| **GM%** | **50.4%** | **46.1%** | **47.5%** | **48.9%** | **49.7%** | **49.8%** | **46.6%** | **49.1%** | **50.5%** | **45.2%** | **46.0%** | **47.4%** |
| Opex | $7,279 | $7,247 | $7,857 | $8,714 | $7,781 | $8,609 | $7,283 | $8,015 | $8,888 | $7,138 | $7,661 | $8,496 |
| **Op Profit** | **$23,558** | **$21,139** | **$24,150** | **$30,110** | **25,937** | **29,796** | **21,697** | **$26,396** | **$32,811** | **19,858** | **$21,785** | **$27,254** |
| **OpM%** | **38.5%** | **34.3%** | **35.8%** | **37.9%** | **38.2%** | **38.6%** | **34.9%** | **37.6%** | **39.7%** | **33.3%** | **34.0%** | **36.1%** |
| Non-Op | $2,342 | $4,847 | $4,467 | $4,595 | $4,518 | $4,467 | $4,847 | $4,467 | $4,595 | $4,847 | $4,467 | $4,595 |
| Pretax | $25,900 | $25,986 | $28,618 | $34,705 | $30,455 | $34,263 | $26,545 | $30,863 | $37,405 | $24,706 | $26,253 | $31,849 |
| Tax | ($4,340) | ($4,379) | ($5,050) | ($5,900) | ($5,369) | ($6,244) | ($4,473) | ($5,447) | ($6,601) | ($4,163) | ($4,633) | ($5,621) |
| **Net income** | **$21,275** | **$21,385** | **$23,567** | **$28,805** | **$24,877** | **$28,019** | **$21,849** | **$25,416** | **$30,804** | **$20,321** | **$21,620** | **$26,228** |
| **EPS** | **$159.41** | **$163.33** | **$180.00** | **$220.00** | **$190.00** | **$214.00** | **$166.88** | **$194.12** | **$235.28** | **$155.20** | **$165.13** | **$200.32** |
| Shares | 133 | 131 | 131 | 131 | 131 | 131 | 131 | 131 | 131 | 131 | 131 | 131 |
| **EPS vs. base case** | | | | | | | **-94.1%** | **7.8%** | **6.9%** | **-5.0%** | **-8.3%** | **-8.9%** |
| **Current Price** | | **$6,660** | | | | | | | | | | |
| P/E | | | | 15 | | 15 | | | 16 | | | 14 |
| **Implied Valuation** | | | | **$3,300** | | **$3,270** | | | **$3,670** | | | **$2,810** |
| | | | | | | | | | | | | |
| **CPO Scenario** | | | | | | | | | | | | |
| **EPS** | | | | **$35** | | **$35** | | | **$103** | | | **$5** |
| P/E | | | | 49 | | 50 | | | 52 | | | 47 |
| **Implied Valuation** | | | | **$1,700** | | **$1,730** | | | **$5,300** | | | **$210** |
| | | | | | | | | | | | | |
| **Total Largan** | | | | | | | | | | | | |
| **Implied Share Price** | | | | **$5,000** | | **$5,000** | | | **$8,970** | | | **$3,020** |
| **Upside/Downside** | | | | **-25%** | | | | | **35%** | | | **-55%** |

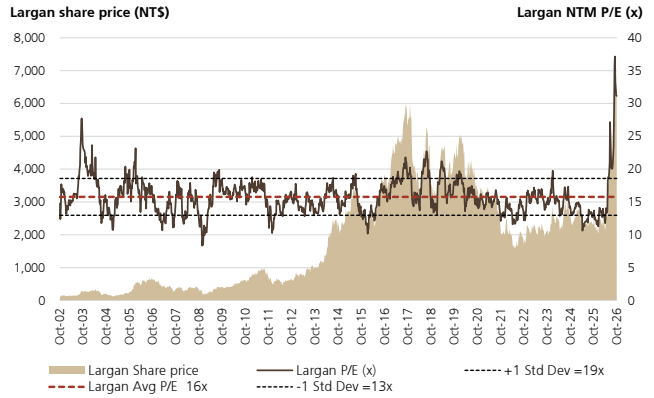
Source: Company data, UBS estimates

## Figure 12: Optical component peers average 27x 2028 with a broad range of 12-75x 2028 P/E

| Optical Company | Ticker | Market cap (US$m) | Price 11-Oct (LC$) | Price target (LC$) | P/E target (x) | Rating | EPS (LC$) 2025 | EPS (LC$) 2026E | EPS (LC$) 2027E | EPS (LC$) 2028E | Earnings growth (%) 2026E | Earnings growth (%) 2027E | Earnings growth (%) 2028E | PE (x) 2026E | PE (x) 2027E | PE (x) 2028E | ROE (%) 2026E | ROE (%) 2027E | ROE (%) 2028E | Historical P/E (x) -1 Std Dev | Historical P/E (x) Avg. | Historical P/E (x) +1 Std Dev |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Lens** | | | | | | | | | | | | | | | | | | | | | | |
| Largan | 3008.TW | 27,378 | 6,660.0 | 5,000 | 23.4 | Sell | 176.92 | 188.21 | 214.00 | 250.66 | 4.4 | 13.7 | 17.1 | 35.4 | 31.1 | 26.6 | 12.7 | 13.7 | 14.8 | 13.1 | 15.9 | 18.8 |
| Genius | 3406.TW | 3,741 | 1,060.0 | 1,250 | 16.9 | Buy | 36.28 | 38.72 | 41.47 | 47.75 | 6.7 | 7.1 | 15.1 | 27.4 | 25.6 | 22.2 | 15.8 | 15.6 | 16.4 | 1.1 | 2.3 | 3.5 |
| **Average** | | | | | | | | | | | **5.5** | **5.5** | **5.5** | **5.5** | **5.5** | **5.5** | **5.5** | **5.5** | **5.5** | **5.5** | **5.5** | **5.5** |
| **CPO Supply Chain** | | | | | | | | | | | | | | | | | | | | | | |
| Lumentum | LITE.O | 93,344 | 1,103.4 | 960 | 40.4 | Neutral | 2.12 | 10.52 | 23.78 | 35.81 | 434.4 | 160.4 | 51.7 | 52.0 | 56.0 | 37.9 | 27.1 | 36.1 | 37.9 | 8.5 | 19.4 | 30.3 |
| Corning | GLW.N | 137,095 | 156.7 | 201 | 42.1 | Buy | 2.57 | 3.34 | 4.78 | 7.12 | 30.6 | 43.5 | 47.3 | 47.7 | 33.4 | 22.4 | 22.9 | 31.8 | 41.1 | -168.2 | 32.9 | 234.0 |
| Coherent | COHR.N | 123,129 | 312.6 | - | - | - | 4.49 | 7.42 | 11.74 | 16.82 | 86.0 | 64.0 | 42.0 | 42.1 | 26.6 | 18.6 | 13.5 | 19.7 | 23.8 | 14.1 | 19.6 | 25.1 |
| Senko | 9069.T | 416,040 | 2,368.0 | - | - | - | 119.98 | 140.89 | 159.70 | 171.34 | 19.5 | 12.8 | 7.4 | 16.8 | 14.8 | 13.8 | 10.4 | 11.3 | 11.6 | 9.2 | 11.6 | 14.0 |
| TFC | 300394.SZ | 256,388 | 235.0 | - | - | - | 2.02 | 3.32 | 5.36 | 6.88 | 65.5 | 60.7 | 28.5 | 70.8 | 43.9 | 34.2 | 47.0 | 47.4 | 42.1 | 21.2 | 33.9 | 46.5 |
| FOCI | 3363.TWO | 75,798 | 667.0 | - | - | - | 0.85 | 0.22 | 13.89 | 43.01 | (66.3) | 6684.0 | 210.2 | 3,102.3 | 48.0 | 15.5 | -1.6 | 39.2 | 74.6 | 51.6 | 115.2 | 178.8 |
| EZconn | 6442.TW | 146,044 | 1,785.0 | - | - | - | 20.95 | 62.01 | 130.00 | NULL | 206.9 | 109.6 | n.a. | 28.8 | 13.7 | n.a. | 56.1 | 63.9 | NULL | 12.9 | 23.7 | 34.5 |
| Himax | HIMX.N | 2,320 | 13.3 | - | - | - | 0.32 | 0.52 | 1.01 | 1.96 | 62.3 | 88.2 | 93.5 | 25.5 | 13.2 | 6.8 | 10.5 | 14.5 | 26.1 | 0.6 | 21.5 | 42.3 |
| Browave | 3163.TWO | 65,204 | 689.0 | - | - | - | 4.36 | 9.33 | 21.17 | NULL | n.a. | n.a. | n.a. | 73.8 | 32.5 | n.a. | 22.2 | 38.6 | NULL | 10.1 | 32.2 | 54.2 |
| VisEra | 6789.TW | 153,102 | 481.0 | - | - | - | 3.60 | 6.13 | 7.45 | 8.95 | 70.9 | 21.5 | 20.2 | 78.4 | 64.6 | 53.7 | 10.7 | 13.3 | 12.2 | 31.3 | 50.4 | 69.6 |
| **Average** | | | | | | | | | | | **101.1** | **805.0** | **62.6** | **353.8** | **34.7** | **25.4** | **21.9** | **31.6** | **33.7** | **-0.9** | **36.0** | **72.9** |
| **Optical Average** | | | | | | | | | | | **76.4** | **606.4** | **50.7** | **325.1** | **35.5** | **27.2** | **19.9** | **27.5** | **28.6** | **1.2** | **30.5** | **59.8** |

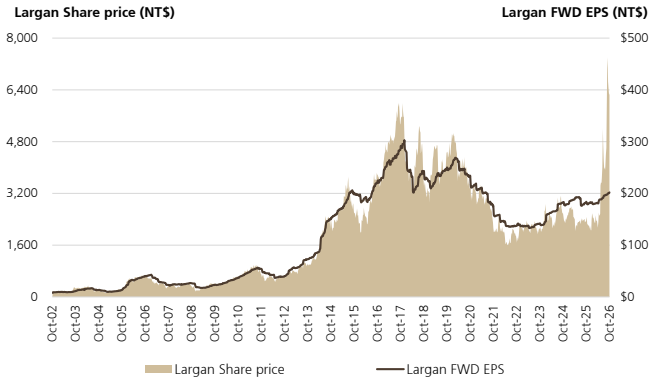
Source: UBSe, Eikon

## Figure 13: Share price rally has re-rated Largan well above its historical range




Source: LSEG Workspace

## Figure 14: Largan's share price has run well ahead of forward EPS as investors price in CPO




Source: LSEG Workspace

## Figure 15: UBS P&L for Largan - mild growth at lower margins in recent years

| Ticker | | 3008.TW | Current Price (NT$) | | | $6,660 |
|---|---|---|---|---|---|---|
| Shares outstanding (mn) | | 130.8 | Mkt cap (NT$ mn) | | | $871,115 |
| **Year** | **2022** | **2023** | **2024** | **2025** | **2026E** | **2027E** |
| **Revenues (NT$ mn)** | **$47,675** | **$48,842** | **$59,458** | **$61,148** | **$61,550** | **$67,438** |
| **YoY Growth (%)** | | **2.4%** | **21.7%** | **2.8%** | **0.7%** | **9.6%** |
| Gross profit (NT$mn) | $26,083 | $23,794 | $31,209 | $30,837 | $28,386 | $32,008 |
| **GM (%)** | **54.7%** | **48.7%** | **52.5%** | **50.4%** | **46.1%** | **47.5%** |
| Operating profit (NT$mn) | $20,384 | $17,807 | $24,033 | $23,558 | $21,139 | $24,150 |
| **OPM (%)** | **42.8%** | **36.5%** | **40.4%** | **38.5%** | **34.3%** | **35.8%** |
| Net profit (NT$ mn) | $22,625 | $17,902 | $25,915 | $21,275 | $21,385 | $23,567 |
| **EPS (NT$)** | **$169.52** | **$134.13** | **$194.17** | **$159.41** | **$163.33** | **$180.00** |
| EPS growth (%) | | -21% | 45% | -18% | 2% | 10% |
| **P/E (x)** | **39.3** | **49.7** | **34.3** | **41.8** | **40.8** | **37.0** |
| Dividend yield (%) | 2% | 1.1% | 1.2% | 1.3% | 2.0% | 1.2% |
| **P/B (x)** | **5.7** | **5.4** | **4.8** | **4.7** | **4.4** | **4.1** |
| ROE (%) | 15% | 11% | 14% | 11% | 11% | 12% |

| **Quarters** | **Q325** | **Q425** | **Q126** | **Q226** | **Q326E** | **Q426E** |
|---|---|---|---|---|---|---|
| **Revenues (NT$ mn)** | **$17,677** | **$17,219** | **$15,544** | **$13,665** | **$15,651** | **$16,690** |
| **QoQ Growth (%)** | | **-2.6%** | **-9.7%** | **-12.1%** | **14.5%** | **6.6%** |
| Gross profit (NT$mn) | $8,352 | $8,260 | $7,680 | $6,753 | $6,607 | $7,346 |
| **GM (%)** | **47.2%** | **48.0%** | **49.4%** | **49.4%** | **42.2%** | **44.0%** |
| Operating profit (NT$mn) | $6,265 | $6,329 | $5,812 | $5,148 | $4,735 | $5,443 |
| **OPM (%)** | **35.4%** | **36.8%** | **37.4%** | **37.7%** | **30.3%** | **32.6%** |
| Net profit (NT$ mn) | $7,080 | $6,720 | $6,123 | $4,670 | $5,182 | $5,409 |
| **EPS (NT$)** | **$53.05** | **$50.35** | **$45.88** | **$34.99** | **$39.58** | **$41.32** |

Source: Company data, UBS estimates. Note: 2026E EPS based on reported.

**Figure 16: UBS Cash Flow Summary - staying positive to invest in CPO**

| Annual (NT$mn) | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 21-25 Avg |
|---|---|---|---|---|---|---|---|---|
| Revenue | $46,962 | $47,675 | $48,842 | $59,458 | $61,148 | $61,550 | $67,438 | $52,817 |
| Capital spending | $5,850 | $8,256 | $8,080 | $11,126 | $12,338 | $11,721 | $11,135 | $9,130 |
| **Capex/revenue (%)** | **12%** | **17%** | **17%** | **19%** | **20%** | **19%** | **17%** | **17%** |
| Dep and amort | $4,650 | $5,031 | $5,299 | $6,038 | $7,511 | $9,221 | $10,460 | $5,706 |
| **Depr/revenue (%)** | **10%** | **11%** | **11%** | **10%** | **12%** | **15%** | **16%** | **11%** |
| Operating cash flow | $20,878 | $44,207 | $18,199 | $31,579 | $26,080 | $20,614 | $33,003 | $28,188 |
| **Free cash flow** | **$15,028** | **$35,951** | **$10,118** | **$20,453** | **$13,743** | **$8,893** | **$21,868** | **$19,058** |

| FCF and Dividends | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 21-25 Avg |
|---|---|---|---|---|---|---|---|---|
| FCF / share (NT$) | $112 | $269 | $76 | $153 | $103 | $68 | $167 | $143 |
| **FCF / EV Yield (%)** | **2%** | **5%** | **1%** | **3%** | **2%** | **1%** | **3%** | **3%** |
| **FCF Yield (%)** | **2%** | **4%** | **1%** | **2%** | **2%** | **1%** | **3%** | **2%** |
| Dividend/share (NT$) | $91.51 | $109.66 | $72.50 | $81.00 | $85.50 | $131.95 | $81.89 | $88.03 |
| **Payout rate (%)** | **50%** | **79%** | **43%** | **60%** | **44%** | **83%** | **50%** | **55%** |
| Dividend amount (NT$) | $12,274 | $14,636 | $9,676 | $10,811 | $11,412 | $17,276 | $10,722 | $11,762 |
| Pre-Dividend close (NT$) | $3,040.00 | $1,990.00 | $2,310.00 | $3,120.00 | $2,260.00 | $6,660.00 | $6,660.00 | |
| **Dividend Yield (%)** | **3.0%** | **5.5%** | **3.1%** | **2.6%** | **3.8%** | **2.0%** | **1.2%** | **3.6%** |

Source: Company data, UBS estimates

# Largan Precision (3008.TW)

| Income Statement (NT$m) | 12/23 | 12/24 | 12/25 | 12/26E | %ch | 12/27E | %ch | 12/28E | 12/29E | 12/30E |
|---|---|---|---|---|---|---|---|---|---|---|
| **Revenues** | **48,842** | **59,458** | **61,148** | **61,550** | *0.7* | **67,438** | *9.6* | **79,464** | **78,546** | **81,569** |
| Gross profit | 23,794 | 31,209 | 30,837 | 28,386 | *-7.9* | 32,008 | *12.8* | 38,823 | 38,398 | 39,903 |
| **EBITDA (UBS)** | **23,106** | **30,070** | **31,069** | **30,360** | *-2.3* | **34,610** | *14.0* | **41,028** | **41,108** | **42,938** |
| Depreciation & amortisation | (5,299) | (6,038) | (7,511) | (9,221) | *-22.8* | (10,460) | *-13.4* | (10,918) | (11,621) | (12,290) |
| **EBIT (UBS)** | **17,807** | **24,033** | **23,558** | **21,139** | *-10.3* | **24,150** | *14.2* | **30,110** | **29,487** | **30,648** |
| Associates & investment income | 212 | 0 | 3 | 12 | *352.1* | 11 | *-7.1* | 11 | 11 | 11 |
| Other non-operating income | 294 | 303 | 419 | 458 | *9.5* | 200 | *-56.4* | 200 | 200 | 200 |
| Net interest | 3,934 | 4,404 | 4,259 | 3,946 | *-7.3* | 4,256 | *7.9* | 4,384 | 4,516 | 4,651 |
| Exceptionals (incl goodwill) | (145) | 3,435 | (2,338) | 432 | *-* | 0 | *-* | 0 | 0 | 0 |
| **Pre-tax profit** | **22,102** | **32,174** | **25,900** | **25,986** | *0.3* | **28,618** | *10.1* | **34,705** | **34,213** | **35,510** |
| Tax | (4,200) | (5,963) | (4,340) | (4,379) | *-0.9* | (5,050) | *-15.3* | (5,900) | (5,816) | (6,037) |
| **Profit after tax** | **17,902** | **26,211** | **21,560** | **21,607** | *0.2* | **23,567** | *9.1* | **28,805** | **28,397** | **29,473** |
| Preference dividends | 0 | 0 | 0 | 0 | *-* | 0 | *-* | 0 | 0 | 0 |
| Minorities | 0 | (296) | (285) | (222) | *22.1* | 0 | *-* | 0 | 0 | 0 |
| Extraordinary items | 0 | 0 | 0 | 0 | *-* | 0 | *-* | 0 | 0 | 0 |
| **Net earnings (local GAAP)** | **17,902** | **25,915** | **21,275** | **21,385** | *0.5* | **23,567** | *10.2* | **28,805** | **28,397** | **29,473** |
| **Net earnings (UBS)** | **18,047** | **22,480** | **23,613** | **20,953** | *-11.3* | **23,567** | *12.5* | **28,805** | **28,397** | **29,473** |
| Tax rate (%) | 19.0 | 18.5 | 16.8 | 16.9 | *0.6* | 17.6 | *4.7* | 17.0 | 17.0 | 17.0 |

| Per Share (NT$) | 12/23 | 12/24 | 12/25 | 12/26E | %ch | 12/27E | %ch | 12/28E | 12/29E | 12/30E |
|---|---|---|---|---|---|---|---|---|---|---|
| EPS (UBS, diluted) | 135.22 | 168.43 | 176.92 | 160.04 | *-9.5* | 180.00 | *12.5* | 220.00 | 216.89 | 225.11 |
| EPS (local GAAP, diluted) | 134.13 | 194.17 | 159.41 | 163.33 | *2.5* | 180.00 | *10.2* | 220.00 | 216.89 | 225.11 |
| EPS (UBS, basic) | 135.22 | 168.43 | 176.92 | 160.04 | *-9.5* | 180.00 | *12.5* | 220.00 | 216.89 | 225.11 |
| DPS (net) (NT$) | 85.50 | 67.50 | 97.50 | 80.00 | *-17.9* | 81.97 | *2.5* | 90.34 | 110.41 | 108.85 |
| Cash EPS (UBS, diluted) [1] | 174.92 | 213.67 | 233.20 | 230.47 | *-1.2* | 259.89 | *12.8* | 303.39 | 305.65 | 318.97 |
| Book value per share | 1,234.64 | 1,382.91 | 1,430.07 | 1,518.08 | *6.2* | 1,616.11 | *6.5* | 1,745.87 | 1,849.64 | 1,963.23 |
| Average shares (diluted) | 133 | 133 | 133 | 131 | *-1.9* | 131 | *0.0* | 131 | 131 | 131 |

| Balance Sheet (NT$m) | 12/23 | 12/24 | 12/25 | 12/26E | %ch | 12/27E | %ch | 12/28E | 12/29E | 12/30E |
|---|---|---|---|---|---|---|---|---|---|---|
| Cash and equivalents | 111,655 | 117,985 | 122,309 | 109,131 | *-10.8* | 120,267 | *10.2* | 127,842 | 144,348 | 160,697 |
| Other current assets | 22,666 | 27,779 | 31,977 | 42,218 | *32.0* | 45,034 | *6.7* | 56,368 | 55,712 | 57,851 |
| **Total current assets** | **134,321** | **145,764** | **154,285** | **151,350** | *-1.9* | **165,301** | *9.2* | **184,210** | **200,060** | **218,547** |
| Net tangible fixed assets | 41,135 | 46,936 | 51,472 | 54,428 | *5.7* | 55,103 | *1.2* | 54,763 | 53,191 | 50,448 |
| Net intangible fixed assets | 0 | 0 | 0 | 0 | *-* | 0 | *-* | 0 | 0 | 0 |
| Investments / other assets | 19,682 | 23,827 | 15,029 | 23,254 | *54.7* | 24,367 | *4.8* | 24,215 | 24,225 | 24,236 |
| **Total assets** | **195,138** | **216,527** | **220,787** | **229,032** | *3.7* | **244,770** | *6.9* | **263,188** | **277,476** | **293,232** |
| Trade payables & other ST liabilities | 29,517 | 30,375 | 29,749 | 30,078 | *1.1* | 32,982 | *9.7* | 34,573 | 35,276 | 36,158 |
| Short term debt | 0 | 203 | 0 | 0 | *-* | 0 | *-* | 0 | 0 | 0 |
| **Total current liabilities** | **29,517** | **30,578** | **29,749** | **30,078** | *1.1* | **32,982** | *9.7* | **34,573** | **35,276** | **36,158** |
| Long term debt | 0 | 0 | 0 | 0 | *-* | 0 | *-* | 0 | 0 | 0 |
| Other long term liabilities | 110 | 561 | 171 | 194 | *13.7* | 194 | *0.0* | 31 | 31 | 31 |
| Preferred shares | 0 | 0 | 0 | 0 | *-* | 0 | *-* | 0 | 0 | 0 |
| **Total liabilities (incl pref shares)** | **29,627** | **31,139** | **29,919** | **30,272** | *1.2* | **33,176** | *9.6* | **34,604** | **35,307** | **36,189** |
| **Common s/h equity** | **165,510** | **185,388** | **190,868** | **198,760** | *4.1* | **211,594** | *6.5* | **228,584** | **242,170** | **257,042** |
| Minority interests | 0 | 0 | 0 | 0 | *-* | 0 | *-* | 0 | 0 | 0 |
| **Total liabilities & equity** | **195,138** | **216,527** | **220,787** | **229,032** | *3.7* | **244,770** | *6.9* | **263,188** | **277,476** | **293,232** |

| Cash Flow (NT$m) | 12/23 | 12/24 | 12/25 | 12/26E | %ch | 12/27E | %ch | 12/28E | 12/29E | 12/30E |
|---|---|---|---|---|---|---|---|---|---|---|
| Net income (before pref divs) | 17,902 | 25,915 | 21,275 | 21,385 | *0.5* | 23,567 | *10.2* | 28,805 | 28,397 | 29,473 |
| Depreciation & amortisation | 5,299 | 6,038 | 7,511 | 9,221 | *22.8* | 10,460 | *13.4* | 10,918 | 11,621 | 12,290 |
| Net change in working capital | (8,990) | (6,633) | (7,328) | (1,082) | *85.2* | (6,064) | *NM* | (9,743) | 1,359 | (1,256) |
| Other operating | (212) | 295 | 282 | 210 | *-25.5* | 5,040 | *NM* | (11) | (11) | (11) |
| **Operating cash flow** | **13,999** | **25,615** | **21,740** | **29,735** | *36.8* | **33,003** | *11.0* | **29,968** | **41,366** | **40,496** |
| Tangible capital expenditure | (8,080) | (11,126) | (12,338) | (11,721) | *5.0* | (11,135) | *5.0* | (10,578) | (10,049) | (9,547) |
| Intangible capital expenditure | 0 | 0 | 0 | 0 | *-* | 0 | *-* | 0 | 0 | 0 |
| Net (acquisitions) & disposals | (2,111) | (13) | (1,200) | 962 | *-* | 0 | *-* | 0 | 0 | 0 |
| Other investing | (959) | (4,927) | 4,302 | (965) | *-* | 0 | *-* | 0 | 0 | 0 |
| **Investing cash flow** | **(11,151)** | **(16,066)** | **(9,236)** | **(11,724)** | *-26.9* | **(11,135)** | *5.0* | **(10,578)** | **(10,049)** | **(9,547)** |
| Equity dividends paid | (9,676) | (10,811) | (11,412) | (17,276) | *-51.4* | (10,732) | *37.9* | (11,816) | (14,811) | (14,601) |
| Share issues / (buybacks) | 0 | 0 | 0 | 0 | *-* | 0 | *-* | 0 | 0 | 0 |
| Other financing | (34) | 1,255 | (2,937) | (4,133) | *-40.7* | 0 | *-* | 0 | 0 | 0 |
| Change in debt & pref shares | (19) | 212 | (212) | 0 | *-* | 0 | *-* | 0 | 0 | 0 |
| **Financing cash flow** | **(9,729)** | **(9,344)** | **(14,561)** | **(21,408)** | *-47.0* | **(10,732)** | *49.9* | **(11,816)** | **(14,811)** | **(14,601)** |
| **Cash flow inc/(dec) in cash** | **(6,881)** | **205** | **(2,057)** | **(3,398)** | *-65.2* | **11,136** | *-* | **7,575** | **16,506** | **16,349** |
| FX / non cash items | 6,823 | 6,125 | 6,380 | (9,780) | *-* | 0 | *-* | 0 | 0 | 0 |
| **Balance sheet inc/(dec) in cash** | **(59)** | **6,330** | **4,324** | **(13,177)** | *-* | **11,136** | *-* | **7,575** | **16,506** | **16,349** |

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.[1] Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

## Largan Precision (3008.TW)

| Valuation (x) | 12/23 | 12/24 | 12/25 | 12/26E | 12/27E | 12/28E | 12/29E | 12/30E |
|---|---|---|---|---|---|---|---|---|
| P/E (local GAAP, diluted) | 16.4 | 13.1 | 14.8 | 40.8 | 37.0 | 30.3 | 30.7 | 29.6 |
| P/E (UBS, diluted) | 16.2 | 15.1 | 13.3 | 41.6 | 37.0 | 30.3 | 30.7 | 29.6 |
| P/CEPS | 12.6 | 11.9 | 10.1 | 28.9 | 25.6 | 22.0 | 21.8 | 20.9 |
| Equity FCF (UBS) yield % | 2.0 | 4.3 | 3.0 | 2.1 | 2.5 | 2.2 | 3.6 | 3.5 |
| Dividend yield (net) % | 3.9 | 2.7 | 4.1 | 1.2 | 1.2 | 1.4 | 1.7 | 1.6 |
| P/BV | 1.8 | 1.8 | 1.6 | 4.4 | 4.1 | 3.8 | 3.6 | 3.4 |
| EV/revenues (core) | 3.6 | 3.6 | 3.1 | NM | NM | 9.3 | 9.3 | 8.7 |
| EV/EBITDA (UBS core) | 7.7 | 7.1 | 6.0 | 24.7 | 21.7 | 18.1 | 17.7 | 16.6 |
| EV/EBIT (core) | 10.0 | 8.9 | 8.0 | 35.4 | 31.1 | 24.6 | 24.7 | 23.2 |
| EV/OpFCF (core) | 8.1 | 7.4 | 6.3 | 25.1 | 22.0 | 18.0 | 17.7 | 16.5 |
| EV/op. invested capital | 3.9 | 4.1 | 3.3 | 10.7 | 9.3 | 8.6 | 8.2 | 8.2 |

| Enterprise value (NT$m) | 12/23 | 12/24 | 12/25 | 12/26E | 12/27E | 12/28E | 12/29E | 12/30E |
|---|---|---|---|---|---|---|---|---|
| Market cap. | 294,465 | 340,820 | 315,906 | 874,578 | 874,578 | 874,578 | 874,578 | 874,578 |
| Net debt (cash) | (111,675) | (114,718) | (120,045) | (115,720) | (114,699) | (124,054) | (136,095) | (152,522) |
| Buy out of minorities | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| Pension provisions/other | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| **Total enterprise value** | **182,790** | **226,102** | **195,861** | **758,858** | **759,879** | **750,524** | **738,483** | **722,055** |
| Non core assets | (4,916) | (12,460) | (8,517) | (9,934) | (9,945) | (9,955) | (9,966) | (9,976) |
| **Core enterprise value** | **177,874** | **213,642** | **187,344** | **748,924** | **749,934** | **740,568** | **728,517** | **712,079** |

| Growth (%) | 12/23 | 12/24 | 12/25 | 12/26E | 12/27E | 12/28E | 12/29E | 12/30E |
|---|---|---|---|---|---|---|---|---|
| Revenue | 2.4 | 21.7 | 2.8 | 0.7 | 9.6 | 17.8 | (1.2) | 3.8 |
| EBITDA (UBS) | (9.1) | 30.1 | 3.3 | (2.3) | 14.0 | 18.5 | 0.2 | 4.5 |
| EBIT (UBS) | (12.6) | 35.0 | (2.0) | (10.3) | 14.2 | 24.7 | (2.1) | 3.9 |
| EPS (UBS, diluted) | 3.8 | 24.6 | 5.0 | (9.5) | 12.5 | 22.2 | (1.4) | 3.8 |
| Net DPS | 21.9 | (21.1) | 44.4 | (17.9) | 2.5 | 10.2 | 22.2 | (1.4) |

| Margins & Profitability (%) | 12/23 | 12/24 | 12/25 | 12/26E | 12/27E | 12/28E | 12/29E | 12/30E |
|---|---|---|---|---|---|---|---|---|
| Gross profit margin | 48.7 | 52.5 | 50.4 | 46.1 | 47.5 | 48.9 | 48.9 | 48.9 |
| EBITDA margin | 47.3 | 50.6 | 50.8 | 49.3 | 51.3 | 51.6 | 52.3 | 52.6 |
| EBIT (UBS) margin | 36.5 | 40.4 | 38.5 | 34.3 | 35.8 | 37.9 | 37.5 | 37.6 |
| Net earnings (UBS) margin | 37.0 | 37.8 | 38.6 | 34.0 | 34.9 | 36.2 | 36.2 | 36.1 |
| ROIC (EBIT) | 39.3 | 46.2 | 40.9 | 30.3 | 30.1 | 35.1 | 33.1 | 35.3 |
| ROIC post tax | 31.8 | 36.6 | 34.6 | 25.1 | 24.8 | 29.1 | 27.5 | 29.3 |
| ROE (UBS) | 11.3 | 12.8 | 12.6 | 10.8 | 11.5 | 13.1 | 12.1 | 11.8 |

| Capital structure & Coverage (x) | 12/23 | 12/24 | 12/25 | 12/26E | 12/27E | 12/28E | 12/29E | 12/30E |
|---|---|---|---|---|---|---|---|---|
| Net debt / EBITDA | (4.8) | (3.9) | (3.9) | (3.6) | (3.5) | (3.1) | (3.5) | (3.7) |
| Net debt / total equity % | (67.5) | (63.5) | (64.1) | (54.9) | (56.8) | (55.9) | (59.6) | (62.5) |
| Net debt / (net debt + total equity) % | NM | NM | NM | NM | NM | NM | NM | NM |
| Net debt/EV % | (61.1) | (50.7) | (61.3) | (15.2) | (15.1) | (16.5) | (18.4) | (21.1) |
| Capex / depreciation % | 152.5 | 184.3 | 164.3 | 127.1 | 106.5 | 96.9 | 86.5 | 77.7 |
| Capex / revenue % | 16.5 | 18.7 | 20.2 | 19.0 | 16.5 | 13.3 | 12.8 | 11.7 |
| EBIT / net interest | - | - | - | - | - | - | - | - |
| Dividend cover (UBS) | 1.6 | 2.5 | 1.8 | 2.0 | 2.2 | 2.4 | 2.0 | 2.1 |
| Div. payout ratio (UBS) % | 63.2 | 40.1 | 55.1 | 50.0 | 45.5 | 41.1 | 50.9 | 48.4 |

| Revenues by division (NT$m) | 12/23 | 12/24 | 12/25 | 12/26E | 12/27E | 12/28E | 12/29E | 12/30E |
|---|---|---|---|---|---|---|---|---|
| Others | 48,842 | 59,458 | 61,148 | 61,550 | 67,438 | 79,464 | 78,546 | 81,569 |
| **Total** | **48,842** | **59,458** | **61,148** | **61,550** | **67,438** | **79,464** | **78,546** | **81,569** |

| EBIT (UBS) by division (NT$m) | 12/23 | 12/24 | 12/25 | 12/26E | 12/27E | 12/28E | 12/29E | 12/30E |
|---|---|---|---|---|---|---|---|---|
| Others | 17,807 | 24,033 | 23,558 | 21,139 | 24,150 | 30,110 | 29,487 | 30,648 |
| **Total** | **17,807** | **24,033** | **23,558** | **21,139** | **24,150** | **30,110** | **29,487** | **30,648** |

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

**Forecast returns**

| | |
|---|---|
| Forecast price appreciation | -24.9% |
| Forecast dividend yield | 1.2% |
| Forecast stock return | -23.7% |
| Market return assumption | 6.3% |
| Forecast excess return | -30.0% |

**Company Description**

Founded in 1987, Largan Precision (Largan) is one of the world's leading manufacturers of lenses used in cameras and IT products. It specialises in plastic/hybrid lenses and, to a lesser extent, glass lenses and modules. In 2022, 20MP+ camera lenses were 10-20% of Largan's shipment mix, 10MP lenses were 50-60%, 8MP lenses were 0-10% and other lenses were 30-40%.

**Valuation Method and Risk Statement**

Our price target is based on SOTP valuation on the CPO opportunity and traditional lens business.
We think Largan's downside risks include: 1) ongoing pricing pressure from smartphone OEM clients and increasingly intense competition among lens suppliers; and 2) a slower-than-expected smartphone demand recovery in China, and 3) CPO commercial success below the market's elevated expectations.
We believe the key upside risk is a faster-than-expected CPO qualification process at Largan. In addition, if the company demonstrates exceptionally efficient and highly accurate automation capabilities, it could support greater market share gains within the industry than we currently anticipate.

**Quantitative Research Review**

UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. The views for this month can be found below. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at https://neo.ubs.com/quantitative, or contact your UBS sales representative for access to the report or the Quantitative Research Team on ubs-quant-answers@ubs.com. A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research Team on the email above.

**Largan Precision**

| Question | Response |
|---|---|
| 1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view) | 3 |
| 2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher 3 = no change, 5 = getting better, N/A = no view) | 3 |
| 3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view) | 4 |
| 4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view) | 2 |
| 5. What's driving the difference? | We expect downside to consensus in 2026 due to slower smartphone sales through August. We indicate things getting better for the stock in the past 3-6 months on the smartphone traction. |
| 6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of:(1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view) | 2 |
| 7. What's driving the difference? | |
| 8. Is there an upcoming catalyst for the company over the next three months? | Negative Catalyst |
| 9. Is there an actual or approximate date for the catalyst? | |
| 10. Is the catalyst date an actual or approximate date? | |
| 11. What is the catalyst? | |

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| 12-Month Rating | Definition | Coverage[1] | IB Services[2] |
|---|---|---|---|
| **Buy** | FSR is > 6% above the MRA. | 55% | 24% |
| **Neutral** | FSR is between -6% and 6% of the MRA. | 39% | 20% |
| **Sell** | FSR is > 6% below the MRA. | 6% | 21% |

Source: UBS. Rating allocations are as of 30 September 2026.
1:Percentage of companies under coverage globally within the 12-month rating category.
2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

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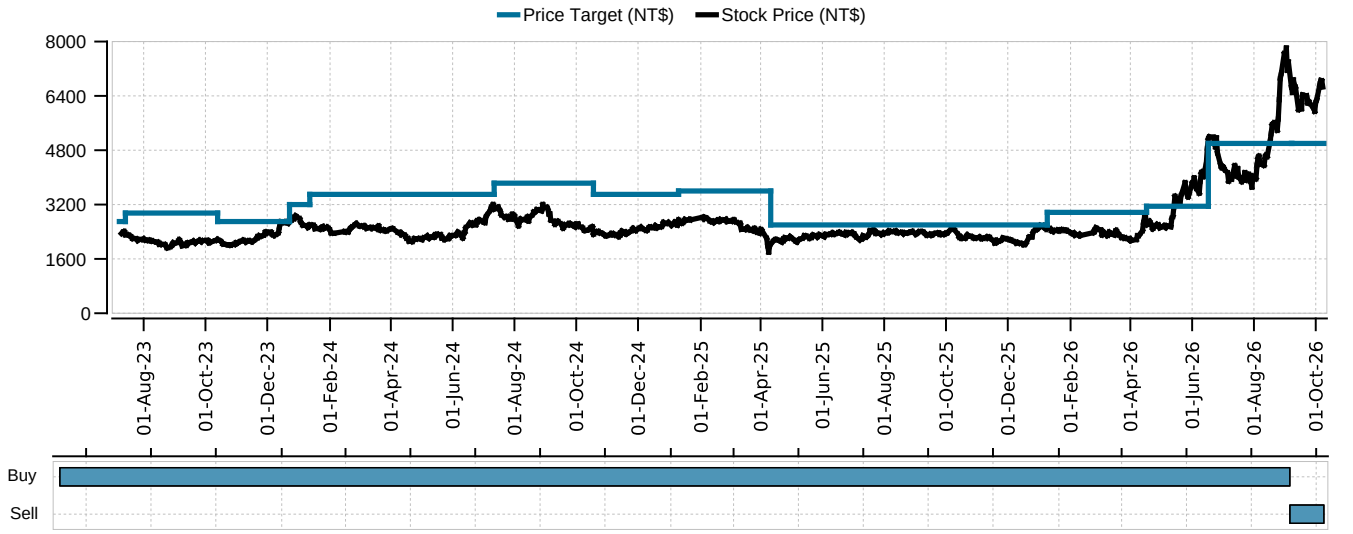
**Company Disclosures**

| Company Name | Reuters | 12-month rating | Price | Price date |
|---|---|---|---|---|
| **Largan Precision**[28] | 3008.TW | Sell | NT$6,660 | 08 Oct 2026 |

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.
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**Largan Precision (NT$)**




| Date | Stock Price (NT$) | Price Target (NT$) | Rating |
|---|---|---|---|
| 2023-07-07 | 2340.00 | 2700.00 | Buy |
| 2023-07-13 | 2405.00 | 2950.00 | Buy |
| 2023-10-12 | 2150.00 | 2700.00 | Buy |
| 2023-12-22 | 2650.00 | 3200.00 | Buy |
| 2024-01-11 | 2550.00 | 3500.00 | Buy |
| 2024-07-11 | 3200.00 | 3830.00 | Buy |
| 2024-10-17 | 2545.00 | 3500.00 | Buy |
| 2025-01-09 | 2595.00 | 3600.00 | Buy |
| 2025-04-10 | 1980.00 | 2600.00 | Buy |
| 2026-01-08 | 2475.00 | 2970.00 | Buy |
| 2026-04-16 | 2820.00 | 3150.00 | Buy |
| 2026-06-16 | 4860.00 | 5000.00 | Buy |
| 2026-09-06 | 7400.00 | 5000.00 | Sell |

Source: UBS Global Research; LSEG Eikon as of 08-Oct-2026. All prices as of local market close. Ratings as of date shown.

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# 緯穎

(6669.TW/6669 TT)

FTSE4Good TIP Taiwan ESG Index stock

## 增加持股 · 維持

| | |
|---|---|
| 收盤價 October 8 (NT$) | 2,240 |
| 12 個月目標價 (NT$) | 3,000 |
| 前次目標價 (NT$) | 7,750 |
| 調升 (%) | 12.8 |
| 上漲空間 (%) | 33.9 |

## 焦點內容

1. 9 月及 3Q26 營收優於我們預期，受惠於通用型伺服器營收較強，以及 9 月 AI 伺服器需求強勁回升。
2. 我們估計 4Q26-2027 年 AI 伺服器需求成長，將帶動 AI 伺服器營收占比提升至 50% 以上，進而推升 EPS 成長。
3. AWS (美) Trainium3 Max 液冷式機櫃、供應 Meta (美) 的 AMD (美) Helios 機櫃、供應 Oracle (美) 的 VR 機櫃，以及新 ASIC 專案，將推升緯穎 2027 年獲利。

## 交易資料表

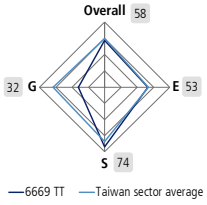
| | |
|---|---|
| 市值：(NT$bn/US$mn) | 1,308 /41,074 |
| 流通在外股數 (百萬股)： | 584 |
| 外資持有股數 (百萬股)： | 145 |
| 3M 平均成交量 (百萬股)： | 1.811.97 |
| 52 週股價 (低 \ 高) (NT$): | 1,075 –2,615 |

| 股價表現 | 3M | 6M | 12M |
|---|---|---|---|
| 絕對表現 (%) | 32.3 | 92.6 | 100.1 |
| 相對表現 (%) | 24.5 | 50.7 | 17.9 |

## 每股盈餘

| NT$ | 1Q | 2Q | 3Q | 4Q |
|---|---|---|---|---|
| 2025 | 52.70A | 65.23A | 82.92A | 74.21A |
| 2026 | 25.46A | 26.96A | 42.76F | 44.56F |
| 2027 | 44.91F | 51.89F | 61.38F | 65.20F |

## ESG 分數評等




*資料來源：Refinitiv；凱基*

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重要免責聲明，詳見最終頁

## 客製化 AI ASIC 持續驅動 2027 年獲利強勁成長

### 重要訊息

緯穎 9 月與 3Q26 營收優於我們預期。我們預期 4Q26 營收將持續季增及年增，並預期在 ASIC AI 伺服器與通用型伺服器營收增加，加上新客戶與新專案帶動下，2027 年獲利展望穩健。

### 評論及分析

**3Q26 營收優於預期；產品組合改善有利利潤率。**緯穎 9 月營收達 1,726 億元 (月增 20%、年增 100%)，優於預期，帶動 3Q26 營收達 4,346.2 億元 (季增 56%)，較我們預估高 16%。此強勁表現應歸因於通用伺服器營收較佳，及 9 月 ASIC AI 伺服器營收成長。9 月 ASIC AI 營收占比已超過營收的 50%，而通用伺服器則維持穩定，3Q26 通用伺服器營收占比仍高於 50%，季增預估超過 20%。AWS (美) Trainium3 (T3)占 3Q26 AI 伺服器(估 5k 櫃以上)營收幾乎全部，而 9 月營收顯著增加 (估 3k 櫃以上)。營收成長及產品組合改善將有利 3Q26 利潤率。我們因而上修 3Q26 EPS 預估至 42.76 元 (季增 59%)。

**AI 專案與通用型伺服器需求帶動 2027 年獲利展望穩健。**我們預期緯穎將於 2027 年受惠於通用型伺服器與 AI 伺服器的需求及營收成長，主因多項 AI 專案啓動所帶動。T3 Max (液冷) AI 伺服器自 4Q26 起開始出貨，1Q27 將量產。預估液冷機櫃 ASP 可能為氣冷 PDS 機種的 2-3 倍，且緯穎應為 T3 Max 的唯一 ODM。此外，緯穎供應 Meta (美) 的 AMD (美) Helios 機櫃，及供應 Oracle (美) 的 VR200 機櫃，這些 GPU AI 相關伺服器預計自 4Q26 末開始貢獻營收，並於 2027 年貢獻更為顯著。但 GPU 專案的變數在於銷售交易條件採買賣制 (buy-and-sell) 或寄售制 (consignment)。再加上對新 Neocloud 客戶的潛在出貨，緯穎明年 AI 伺服器營收擴張應相當顯著。而受惠於 代理式 AI 與推論需求，及潛在新增 CSP 客戶，我們預期 2027 年通用伺服器營收亦將成長，並為利潤率提供支撐。我們預估 4Q26 營收將季增約 10%，毛利率約為 8.5%。受惠於營收表現更強，我們上修 2026 年 EPS 預估至 139.76 元。考量 2027 年營收展望更為樂觀，我們亦將 2027 年 EPS 預估上修至 223.38 元 (年增 60%)。整體而言，我們認為客製化 AI 伺服器的強勁需求，將為緯穎帶來更多商機，如來自 OpenAI (美) 與 Meta 等業者的訂單。

### 投資建議

我們維持緯穎「增加持股」評等，並將目標價重設為 3,000 元 (除權後)，基於 2027 年完全稀釋每股盈餘 200.01 元的 15 倍 (以 6.2 億股股本計算)。

### 投資風險

零組件供應緊缺；AI 伺服器因寄售導致價格變化；AI 伺服器專案遞延。

**主要財務數據及估值**

| | Dec-23A | Dec-24A | Dec-25A | Dec-26F | Dec-27F |
|---|---|---|---|---|---|
| 營業收入 (NT$百萬) | 241,901 | 360,541 | 950,663 | 1,467,357 | 2,596,962 |
| 營業毛利 (NT$百萬) | 22,657 | 37,400 | 78,454 | 125,527 | 196,275 |
| 營業利益 (NT$百萬) | 15,871 | 28,099 | 63,918 | 101,043 | 160,357 |
| 稅後淨利 (NT$百萬) | 12,044 | 22,776 | 51,118 | 77,560 | 124,008 |
| 每股盈餘 (NT$) | 68.88 | 126.57 | 275.06 | 139.76 | 223.38 |
| 每股現金股利 (NT$) | 14.00 | 24.67 | 145.00 | 76.51 | 122.34 |
| 每股盈餘成長率 (%) | (15.0) | 83.7 | 117.3 | (49.2) | 59.8 |
| 本益比 (x) | 32.5 | 17.7 | 8.1 | 16.0 | 10.0 |
| 股價淨值比 (x) | 27.8 | 14.2 | 10.0 | 7.8 | 5.8 |
| EV/EBITDA (x) | 22.6 | 13.1 | 6.2 | 11.7 | 7.8 |
| 淨負債比率 (%) | Net cash | Net cash | 8.2 | Net cash | 19.5 |
| 殖利率 (%) | 0.6 | 1.1 | 6.5 | 3.4 | 5.5 |
| 股東權益報酬率 (%) | 29.7 | 34.9 | 48.0 | 54.6 | 66.2 |

資料來源：公司資料，凱基

**圖 1：3Q-4Q26 財測修正 vs. 市場共識**

| | 3Q26F | | | | | | | 4Q26F | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| 百萬元 | 修正後 | 修正前 | 差異 (%) | QoQ (%) | YoY (%) | 市場共識 | 差異 (%) | 修正後 | 修正前 | 調幅 (%) | QoQ (%) | YoY (%) | 市場共識 | 差異(%) |
| 營收 | 434,617 | 375,506 | 15.7 | 56.3 | 62.9 | 360,520 | 20.6 | 478,079 | 431,832 | 10.7 | 10.0 | 63.5 | 424,085 | 12.7 |
| 毛利 | 38,246 | 30,791 | 24.2 | 48.5 | 62.5 | 29,876 | 28.0 | 40,637 | 31,956 | 27.2 | 6.3 | 92.3 | 33,842 | 20.1 |
| 營業利益 | 30,858 | 25,534 | 20.8 | 52.6 | 57.7 | 24,430 | 26.3 | 32,509 | 26,342 | 23.4 | 5.4 | 97.4 | 27,228 | 19.4 |
| 稅前淨利 | 29,671 | 24,485 | 21.2 | 56.4 | 45.8 | 23,828 | 24.5 | 31,598 | 25,242 | 25.2 | 6.5 | 81.0 | 26,903 | 17.4 |
| 稅後淨利 | 23,737 | 19,588 | 21.2 | 58.6 | 54.0 | 18,514 | 28.2 | 24,739 | 19,946 | 24.0 | 4.2 | 79.4 | 20,960 | 18.0 |
| 每股盈餘 (元) | 42.76 | 35.28 | 21.2 | 58.6 | (48.4) | 33.35 | 28.2 | 44.56 | 35.90 | 24.0 | 4.2 | (40.0) | 37.72 | 18.0 |
| 毛利率 (%) | 8.8 | 8.2 | 0.6 ppts | (0.5)ppts | (0.0)ppts | 8.3 | 0.5 ppts | 8.5 | 7.4 | 1.1 ppts | (0.3)ppts | 1.3 ppts | 8.0 | 0.5 ppts |
| 營業利益率 (%) | 7.1 | 6.8 | 0.3 ppts | (0.2)ppts | (0.2)ppts | 6.8 | 0.3 ppts | 6.8 | 6.1 | 0.7 ppts | (0.3)ppts | 1.2 ppts | 6.4 | 0.4 ppts |
| 淨利率 (%) | 5.5 | 5.2 | 0.2 ppts | 0.1 ppts | (0.3)ppts | 5.1 | 0.3 ppts | 5.2 | 4.6 | 0.6 ppts | (0.3)ppts | 0.5 ppts | 4.9 | 0.2 ppts |

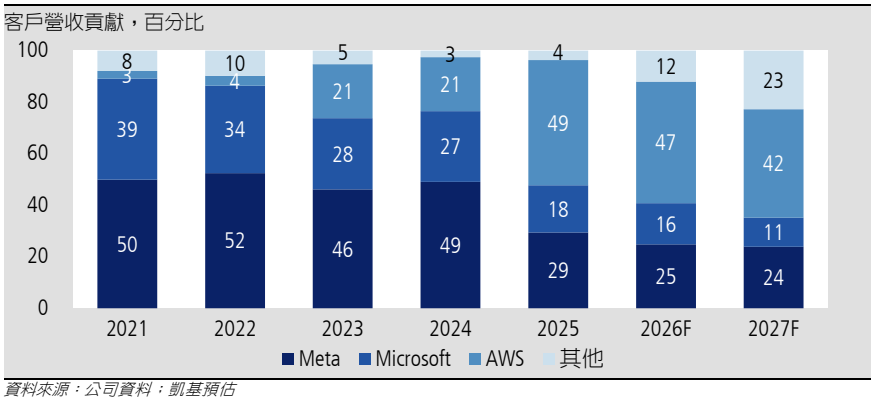
*資料來源：Bloomberg；凱基預估*

**圖 2：2026-27 年財測修正 vs. 共識預估**

| | 2026F | | | | | | 2027F | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| 百萬元 | 修正後 | 修正前 | 調幅 (%) | YoY(%) | 市場共識 | 差異 (%) | 修正後 | 修正前 | 調幅 (%) | YoY(%) | 市場共識 | 差異 (%) |
| 營收 | 1,467,357 | 1,361,998 | 7.7 | 54.4 | 1,331,770 | 10.2 | 2,596,962 | 2,368,079 | 9.7 | 77.0 | 2,368,776 | 9.6 |
| 毛利 | 125,527 | 108,106 | 16.1 | 60.0 | 109,738 | 14.4 | 196,275 | 164,970 | 19.0 | 56.4 | 162,190 | 21.0 |
| 營業利益 | 101,043 | 89,918 | 12.4 | 58.1 | 88,890 | 13.7 | 160,357 | 136,563 | 17.4 | 58.7 | 133,034 | 20.5 |
| 稅前獲利 | 98,177 | 87,201 | 12.6 | 48.6 | 87,477 | 12.2 | 156,973 | 133,245 | 17.8 | 59.9 | 130,807 | 20.0 |
| 稅後淨利 | 77,560 | 68,889 | 12.6 | 51.7 | 68,562 | 13.1 | 124,008 | 105,263 | 17.8 | 59.9 | 103,013 | 20.4 |
| 每股盈餘 (元) | 139.76 | 123.57 | 13.1 | (49.2) | 123.55 | 13.1 | 223.38 | 189.61 | 17.8 | 59.8 | 185.56 | 20.4 |
| 毛利率 (%) | 8.6 | 7.9 | 0.7 ppts | 0.3 ppts | 8.2 | 0.3 ppts | 7.6 | 7.0 | 0.6 ppts | (1.0)ppts | 6.8 | 0.7 ppts |
| 營利率 (%) | 6.9 | 6.6 | 0.3 ppts | 0.2 ppts | 6.7 | 0.2 ppts | 6.2 | 5.8 | 0.4 ppts | (0.7)ppts | 5.6 | 0.6 ppts |
| 淨利率 (%) | 5.3 | 5.1 | 0.2 ppts | (0.1)ppts | 5.1 | 0.1 ppts | 4.8 | 4.4 | 0.3 ppts | (0.5)ppts | 4.3 | 0.4 ppts |

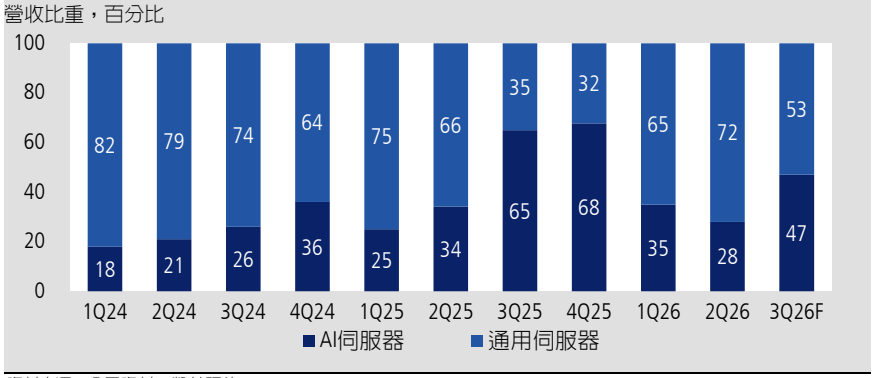
*資料來源：Bloomberg；凱基預估*

**圖 3：2026-27 年客戶組合將更加多元與分散**



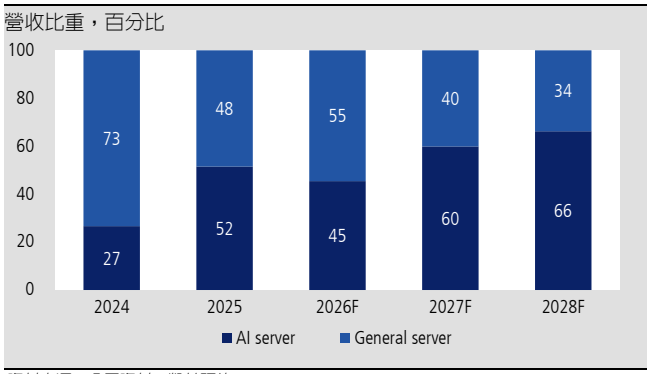

*資料來源：公司資料；凱基預估*

**圖 4：3Q26 緯穎 AI 伺服器營收佔比略微提升**




*資料來源：公司資料；凱基預估*

**圖 5: AI 伺服器收入將在 2027-28 年回升**




*資料來源：公司資料；凱基預估*

**圖 6: ASIC AI 成為 AI 伺服器收入提升的動能 (%)**

| | 2024 | 2025 | 2026F | 2027F | 2028F |
|---|---|---|---|---|---|
| **伺服器收入占比(%)** | | | | | |
| AI 伺服器 | 27 | 52 | 45 | 60 | 66 |
| 通用伺服器 | 73 | 48 | 55 | 40 | 34 |
| **收入 (NT$十億)** | | | | | |
| AI 伺服器 | 96 | 490 | 666 | 1,555 | 2,410 |
| 通用伺服器 | 265 | 461 | 802 | 1,042 | 1,230 |
| 總計 | 361 | 951 | 1,467 | 2,597 | 3,640 |
| **年增率 (%)** | | | | | |
| AI 伺服器 | 99 | 411 | 36 | 134 | 55 |
| 通用伺服器 | 37 | 74 | 74 | 30 | 18 |
| 總計 | 49 | 164 | 54 | 77 | 40 |
| **AI伺服器收入占比(%)** | | | | | |
| ASIC AI | 100 | 88 | 91 | 89 | 90 |
| GPU AI | - | 12 | 9 | 11 | 10 |

*資料來源：公司資料；凱基預估*

**圖 7：市場將 2026-27 年 CSP 資本支出成長上修至年增 96%、33%**

| Capex, US$mn | 2021 | 2022 | 2023 | 2024 | 2025 | 2026F | 2027F |
|---|---|---|---|---|---|---|---|
| Meta | 18,567 | 31,431 | 27,266 | 37,256 | 69,691 | 139,339 | 198,279 |
| Amazon | 55,396 | 58,321 | 48,133 | 82,999 | 131,819 | 221,567 | 281,335 |
| Microsoft | 23,216 | 24,768 | 35,202 | 55,552 | 83,094 | 158,380 | 207,796 |
| Google | 24,640 | 31,485 | 32,251 | 52,535 | 91,447 | 201,797 | 309,448 |
| Oracle | 3,118 | 6,678 | 6,935 | 12,194 | 39,877 | 84,801 | 96,359 |
| Baidu | 1,689 | 1,586 | 1,580 | 1,130 | 1,680 | 3,521 | 3,518 |
| Alibaba | 8,311 | 5,014 | 4,477 | 10,540 | 16,869 | 26,103 | 25,754 |
| Tencent | 4,808 | 4,611 | 3,017 | 8,740 | 12,177 | 25,006 | 25,906 |
| **Hyperscale subtotal** | **139,745** | **163,894** | **158,861** | **260,946** | **446,654** | **860,514** | **1,148,397** |
| Apple | 10,388 | 11,692 | 9,564 | 10,074 | 12,133 | 11,325 | 13,510 |
| IBM | 2,062 | 1,346 | 1,245 | 1,128 | 1,617 | 1,587 | 1,646 |
| Coreweave | N.A. | 72 | 2,943 | 8,702 | 10,309 | 35,659 | 47,787 |
| Nebius | 606 | 750 | 1,073 | 808 | 4,066 | 23,857 | 30,854 |
| Dell | 2,796 | 3,003 | 2,756 | 2,665 | 2,646 | 4,415 | 4,850 |
| Salesforce | 717 | 798 | 736 | 656 | 648 | 683 | 739 |
| Netflix | 525 | 408 | 349 | 440 | 688 | 771 | 788 |
| **Enterprise subtotal** | **17,094** | **18,069** | **18,666** | **24,472** | **32,107** | **78,297** | **100,174** |
| **Total** | **156,838** | **181,962** | **177,527** | **285,419** | **478,761** | **938,811** | **1,248,571** |

| YoY growth, percent | 2021 | 2022 | 2023 | 2024 | 2025 | 2026F | 2027F |
|---|---|---|---|---|---|---|---|
| Meta | 22.8 | 69.3 | (13.3) | 36.6 | 87.1 | 99.9 | 42.3 |
| Amazon | 58.1 | 5.3 | (17.5) | 72.4 | 58.8 | 68.1 | 27.0 |
| Microsoft | 32.0 | 6.7 | 42.1 | 57.8 | 49.6 | 90.6 | 31.2 |
| Google | 10.6 | 27.8 | 2.4 | 62.9 | 74.1 | 120.7 | 53.3 |
| Oracle | 70.1 | 114.2 | 3.8 | 75.8 | 227.0 | 112.7 | 13.6 |
| Baidu | 129.1 | (6.1) | (0.4) | (28.5) | 48.7 | 109.5 | (0.1) |
| Alibaba | 30.3 | (39.7) | (10.7) | 135.4 | 60.0 | 54.7 | (1.3) |
| Tencent | (15.9) | (4.1) | (34.6) | 189.7 | 39.3 | 105.4 | 3.6 |
| **Hyperscale subtotal** | **33.5** | **17.3** | **(3.1)** | **64.3** | **71.2** | **92.7** | **33.5** |
| Apple | 19.4 | 12.6 | (18.2) | 5.3 | 20.4 | (6.7) | 19.3 |
| IBM | (21.2) | (34.7) | (7.5) | (9.4) | 43.4 | (1.8) | 3.7 |
| Coreweave | N.M. | N.M. | 3,964.9 | 195.7 | 18.5 | 245.9 | 34.0 |
| Nebius | 77.7 | 23.7 | 43.2 | (24.8) | 403.5 | 486.8 | 29.3 |
| Dell | 34.3 | 7.4 | (8.2) | (3.3) | (0.7) | 66.9 | 9.8 |
| Salesforce | 1.0 | 11.3 | (7.8) | (10.9) | (1.2) | 5.4 | 8.3 |
| Netflix | 5.4 | (22.3) | (14.5) | 26.1 | 56.6 | 12.1 | 2.2 |
| **Enterprise subtotal** | **14.3** | **5.7** | **3.3** | **31.1** | **31.2** | **143.9** | **27.9** |
| **Total** | **31.1** | **16.0** | **(2.4)** | **60.8** | **67.7** | **96.1** | **33.0** |

*資料來源：公司資料；Bloomberg；凱基*

**圖 8：近期市場將美系五大 CSP 之 2026 年資本支出上修至年增 79%，2027 年上修至年增 34%**

| | | | | | | | 實際數 | | | 市場共識預估 | |
|---|---|---|---|---|---|---|---|---|---|---|---|
| 資本支出(百萬美元) | 1Q25 | 2Q25 | 3Q25 | 4Q25 | 1Q26 | 2Q26 | 2023 | 2024 | 2025 | 2026F | 2027F |
| Meta (Facebook) | 13,692 | 17,012 | 19,374 | 22,137 | 19,840 | 31,100 | 27,266 | 37,256 | 72,215 | 139,339 | 198,279 |
| Amazon | 25,019 | 32,183 | 35,095 | 39,522 | 44,203 | 49,800 | 48,133 | 82,999 | 131,819 | 220,000 | 267,080 |
| Microsoft | 21,400 | 24,200 | 34,900 | 37,500 | 31,900 | 41,000 | 35,202 | 55,552 | 118,000 | 158,380 | 207,796 |
| Google | 17,197 | 22,446 | 23,953 | 27,851 | 35,674 | 44,924 | 32,251 | 52,535 | 91,447 | 201,797 | 309,448 |
| Oracle | 5,862 | 9,080 | 8,502 | 12,033 | 18,635 | 16,493 | 6,935 | 10,745 | 35,477 | 84,801 | 96,359 |
| **美系CSP業者合計** | **83,170** | **104,921** | **121,824** | **139,043** | **150,252** | **183,317** | **149,787** | **239,087** | **448,958** | **804,317** | **1,078,963** |
| **年增率 (%)** | **1Q25** | **2Q25** | **3Q25** | **4Q25** | **1Q26** | **2Q26** | **2023** | **2024** | **2025** | **2026F** | **2027F** |
| Meta (Facebook) | 113.9 | 108.1 | 134.6 | 53.5 | 44.9 | 82.8 | (13.3) | 36.6 | 93.8 | 93.0 | 42.3 |
| Amazon | 67.6 | 82.7 | 55.2 | 42.0 | 76.7 | 54.7 | (17.5) | 72.4 | 58.8 | 66.9 | 21.4 |
| Microsoft | 95.4 | 74.4 | 133.9 | 137.3 | 49.1 | 69.4 | 42.1 | 57.8 | 112.4 | 34.2 | 31.2 |
| Google | 43.2 | 70.2 | 83.4 | 95.1 | 107.4 | 100.1 | 2.4 | 62.9 | 74.1 | 120.7 | 53.3 |
| Oracle | 250.2 | 224.5 | 269.2 | 203.1 | 217.9 | 81.6 | 3.8 | 54.9 | 230.2 | 139.0 | 13.6 |
| **美系CSP業者合計** | **80.9** | **88.5** | **99.2** | **82.2** | **80.7** | **74.7** | **2.6** | **59.6** | **87.8** | **79.2** | **34.1** |
| **季增率 (%)** | **1Q25** | **2Q25** | **3Q25** | **4Q25** | **1Q26** | **2Q26** | **2023** | **2024** | **2025** | **2026F** | **2027F** |
| Meta (Facebook) | (5.1) | 24.2 | 13.9 | 14.3 | (10.4) | 56.8 | | | | | |
| Amazon | (10.1) | 28.6 | 9.0 | 12.6 | 11.8 | 12.7 | | | | | |
| Microsoft | 35.4 | 13.1 | 44.2 | 7.4 | (14.9) | 28.5 | | | | | |
| Google | 20.5 | 30.5 | 6.7 | 16.3 | 28.1 | 25.9 | | | | | |
| Oracle | 47.7 | 54.9 | (6.4) | 41.5 | 54.9 | (11.5) | | | | | |
| **美系CSP業者合計** | **9.0** | **26.2** | **16.1** | **14.1** | **8.1** | **22.0** | | | | | |

*資料來源：公司資料；Bloomberg；凱基*

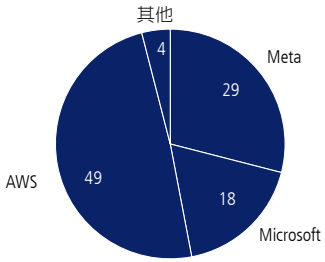
**圖 9：公司概況**

緯穎是緯創(3231 TT，NT$188.5，增加持股)持股 37.68%子公司，專為超大規模雲端資料中心供應硬體與解決方案，受惠來自網路內容供應商(Content Service Provider(CSP))客戶之資料中心擴建需求趨勢，預期隨著人工智慧、自動駕駛及擴增/虛擬實境對運算能力要求提高，網路流量將不斷成長，有助於公司來年營收與獲利持續成長。其客戶主要為 Meta（美）、Microsoft（美)與 AWS (美)，涉及伺服器、儲存以及 AI 伺服器。

*資料來源：凱基*

**圖 10：Microsoft、Meta 與 AWS 為緯穎主要營收貢獻來源**

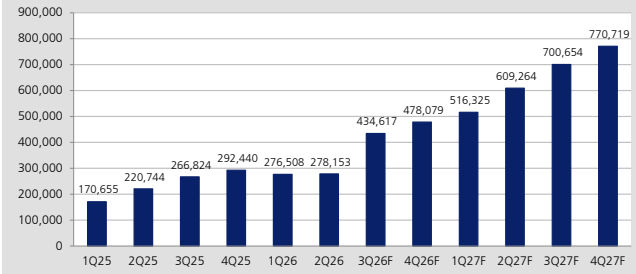
2025 年客戶營收比重，百分比




*資料來源：公司資料；凱基*

**圖 11: 季營業收入**

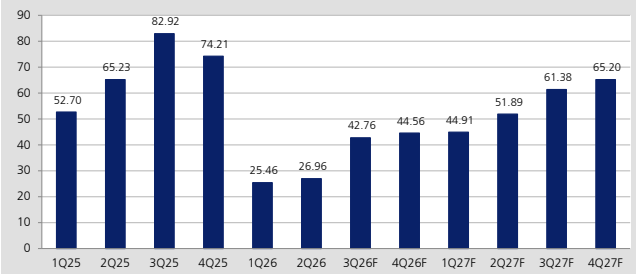
季營業收入，百萬元




*資料來源：凱基*

**圖 12: 每股盈利**

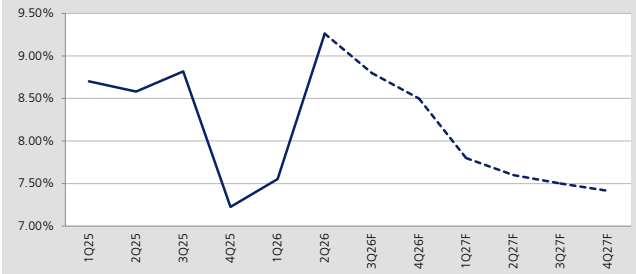
每股盈利，元




*資料來源：凱基*

**圖 13: 毛利率**

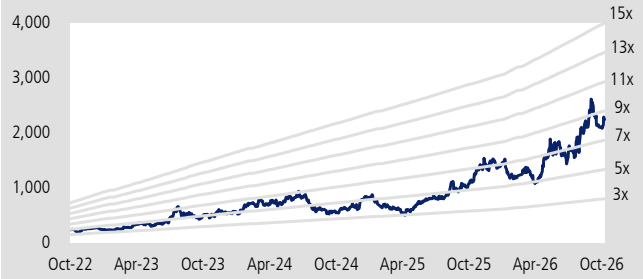
毛利率，百分比




*資料來源：凱基*

**圖 14: 未來一年預估本益比區間**

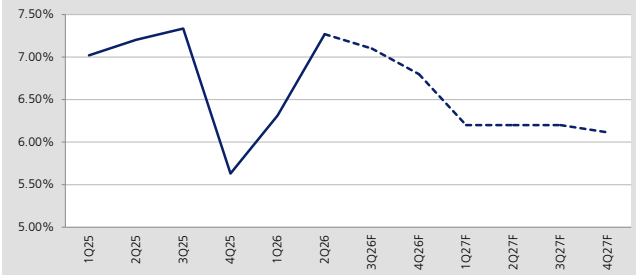
股價，元（左軸）；本益比，倍（右軸）




*資料來源：TEJ；凱基預估*

**圖 15: 營業利潤率**

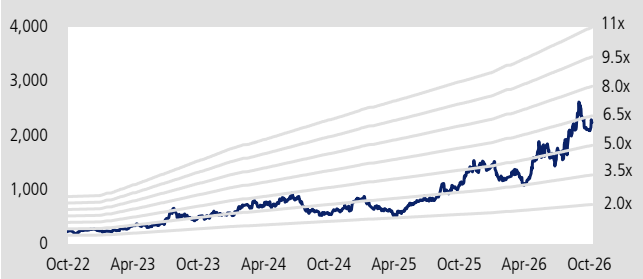
營業利潤率，百分比




*資料來源：凱基*

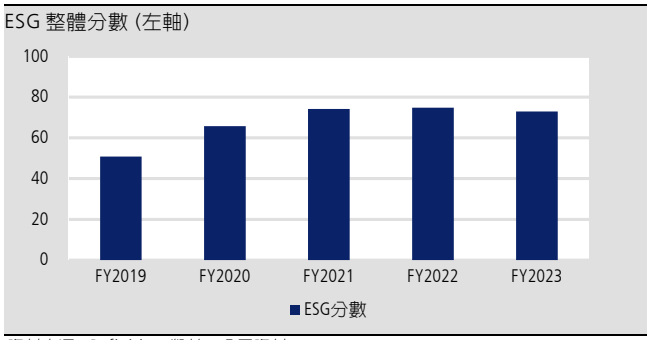
**圖 16: 未來一年預估股價淨值比區間**

股價，元（左軸）；股價淨值比，倍（右軸）



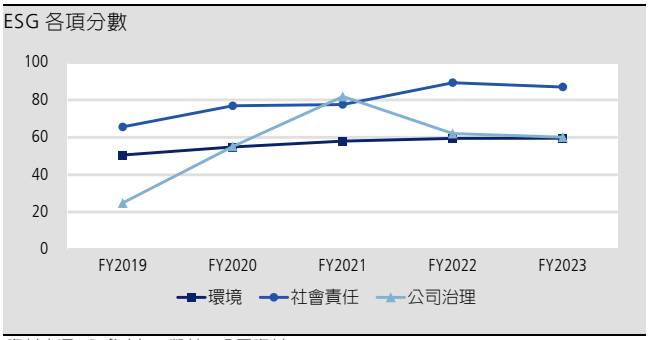

*資料來源：TEJ；凱基預估*

**圖 17：ESG 整體分數**



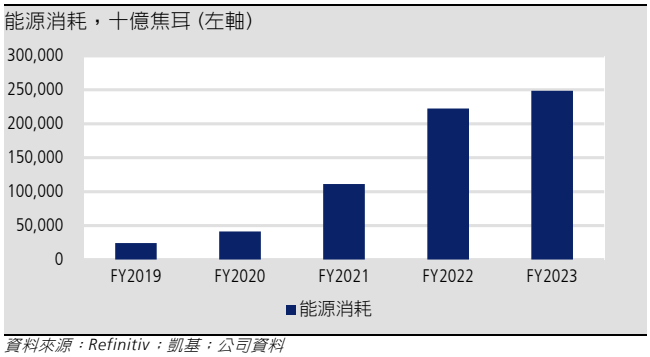

*資料來源：Refinitiv；凱基；公司資料*

**圖 18：ESG 各項分數**



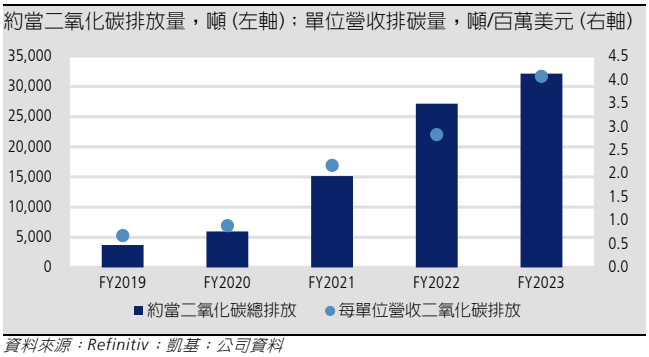

*資料來源：Refinitiv；凱基；公司資料*

**圖 19：能源消耗**



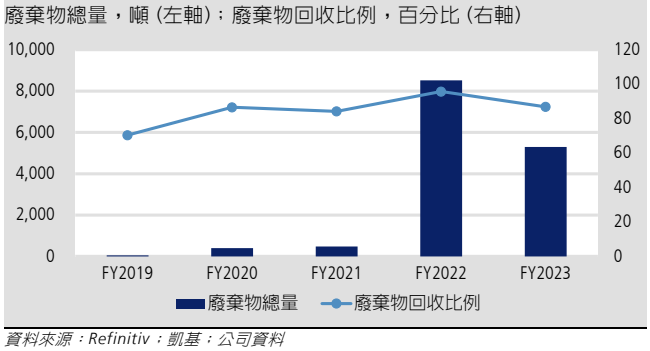

*資料來源：Refinitiv；凱基；公司資料*

**圖 20：碳排量**



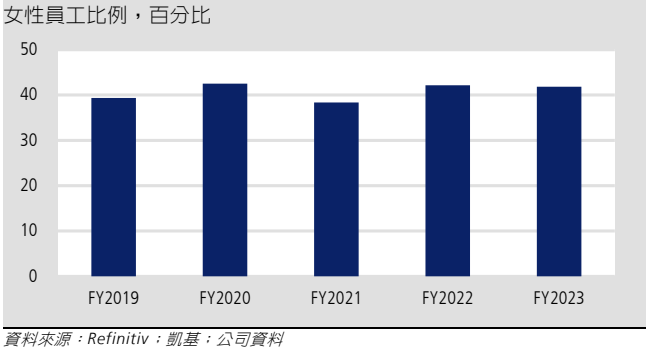

*資料來源：Refinitiv；凱基；公司資料*

**圖 21：廢棄物總量**



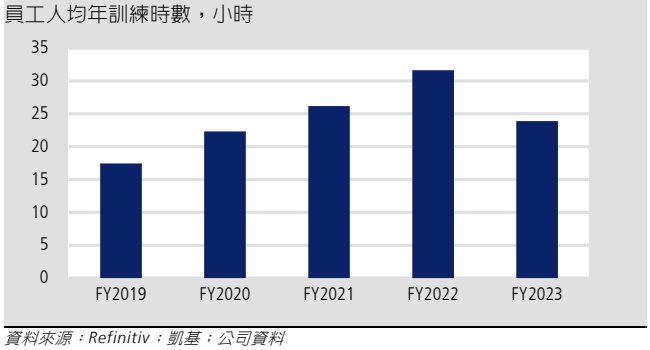

*資料來源：Refinitiv；凱基；公司資料*

**圖 22：性別多樣性**



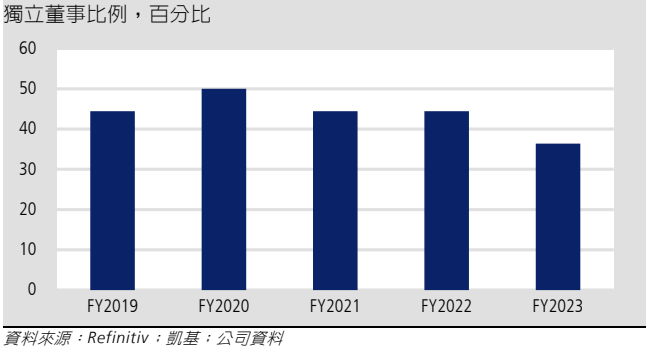

*資料來源：Refinitiv；凱基；公司資料*

**圖 23：員工訓練**




*資料來源：Refinitiv；凱基；公司資料*

**圖 24：獨立董事**




*資料來源：Refinitiv；凱基；公司資料*

**ESG 圖表定義**

| 項目 | 定義 | 說明 |
|---|---|---|
| 能源使用 | 直接與間接能源消耗總量(十億焦耳)<br>- 公司運營範圍內消耗之能源總量<br>- 能源使用總量 = 直接能源消耗總量 + 間接能源消耗量<br>- 總能源使用量包括購買的能源、生產的能源<br>- 就公用事業而言，輸電/電網損耗為其業務活動之一部分，被視為總能源消耗，數據不包括為滿足能源使用而生產的電力（公用事業為出售而生產）<br>- 就公用事業而言，用於能源生產的煤、天然氣或核能等原料不屬於「總能源使用」項下 | |
| 購買之再生能源 | Primary 再生能源購買總量(十億焦耳)<br>- 公司各種來源之能源消耗量與購買的能源中屬於自然界可再生者（太陽能、風能、水能、生物質能、地熱能）之量<br>- 如無證據顯示再生能源由公司生產，則所報告的能源數據視為購買的再生能源 | |
| 再生能源使用率 | 再生能源占總能源消耗量之比例 | |
| CO2 約當排放量 | 直接 CO2 與 CO2 約當排放量(公噸)<br>- 公司擁有或控制的來源的直接排放量（範圍 1 排放量）<br>- 相關氣體：二氧化碳 (CO2)、甲烷 (CH4)、一氧化二氮 (N2O)、氫氟碳化物 (HFCS)、全氟化合物 (PFCS)、六氟化硫 (SF6)、三氟化氮 (NF3) | |
| CO2 約當排放量營收比 | 直接 CO2 與 CO2 約當排放量（公噸）銷售（百萬元）比<br>- 公司擁有或控制的來源的直接排放量（範圍 1 排放量）<br>- 相關氣體：二氧化碳 (CO2)、甲烷 (CH4)、一氧化二氮 (N2O)、氫氟碳化物 (HFCS)、全氟化合物 (PFCS)、六氟化硫 (SF6)、三氟化氮 (NF3) | |
| 廢棄物總量 | 廢棄物總量(公噸)<br>- 總廢棄物 = 無害廢棄物 + 有害廢棄物<br>- 僅考慮固體廢棄物，但如液體廢棄物以公噸為單位呈報，則會將其加入求得包含液體廢棄物之總量<br>- 對於採礦、石油與天然氣等行業，tailings、廢石、煤、飛灰等廢棄物亦考慮在內 | |
| 廢棄物回收率 | 公司呈報的廢棄物回收率<br>- 廢棄物回收率 = 廢棄物回收量/總廢棄物*100<br>- 廢棄物轉化為能源或經由廢棄物焚燒產生能源視為廢棄物回收<br>- 經由堆肥回收的廢棄物視為回收之廢棄物 | |
| 總取水量 | 總取水量(立方公尺)<br>- 由呈報組織直接或經水公司等中介機構從任何水源抽取的總水量<br>- 水井、城鎮/公用事業/市政用水、河水、地表水等不同之水源均予以考慮 | |
| 環保支出 | 環保支出總金額<br>- 所有用於環境保護，或防止、減少、控制環境因素、影響、危害的投資與支出，亦包括處置、處理、衛生、清理支出 | |
| 員工流動率 | 員工流動率<br>- 包括任何原因（自願或非自願）離開公司的員工，如辭職、退休、自然離職/死亡、醫療失能、冗員、裁員、重組、解僱、裁減或定期合約到期<br>- 員工流動率 =（離開之員工/平均員工人數）*100<br>- 平均員工人數 =（本年末員工人數 + 去年末員工人數）/2<br>- 本財年末員工數 =上個財年末員工數 + 新員工數 - 離開之員工數 | |
| 女性經理 | 女性經理百分比<br>- 女性經理占公司經理的百分比<br>- 如有不同階層之百分比，如最高階、高階、中階、初階，則會考慮中階女性經理之百分比<br>- 女性經理百分比 = 女性經理人數/經理總數*100 | |
| 女性員工 | 女性員工百分比<br>- 女性員工占公司員工總數的百分比<br>- 女性員工百分比 = 女性人數/員工總數*100 | |
| 教育訓練總時數 | 所有員工教育訓練總時數<br>- 僅考慮員工教育訓練時數<br>- 包括一般員工所有類型的教育訓練（如健康與安全、環境、急難事件救援、技能與職業發展）<br>- 如果數據以天為單位，則乘以 8，係假設 1 天 = 8 小時工作 | |
| 每位員工教育訓練時數 | 平均每年每位員工總教育訓練時數 | |

*資料來源：Refinitiv；凱基*

## 損益表

| | 季度 | | | | | | | | 年度 | | |
|---|---|---|---|---|---|---|---|---|---|---|---|
| | Mar-26A | Jun-26A | Sep-26F | Dec-26F | Mar-27F | Jun-27F | Sep-27F | Dec-27F | Dec-25A | Dec-26F | Dec-27F |
| **損益表 （NT$百萬）** | | | | | | | | | | | |
| **營業收入** | **276,508** | **278,153** | **434,617** | **478,079** | **516,325** | **609,264** | **700,654** | **770,719** | **950,663** | **1,467,357** | **2,596,962** |
| 營業成本 | (255,627) | (252,390) | (396,371) | (437,442) | (476,052) | (562,960) | (648,105) | (713,570) | (872,209) | (1,341,830) | (2,400,687) |
| **營業毛利** | **20,881** | **25,763** | **38,246** | **40,637** | **40,273** | **46,304** | **52,549** | **57,149** | **78,454** | **125,527** | **196,275** |
| 營業費用 | (3,423) | (5,545) | (7,388) | (8,127) | (8,261) | (8,530) | (9,108) | (10,019) | (14,537) | (24,484) | (35,919) |
| **營業利益** | **17,458** | **20,218** | **30,858** | **32,509** | **32,012** | **37,774** | **43,441** | **47,129** | **63,918** | **101,043** | **160,357** |
| 折舊 | (827) | (919) | (886) | (911) | (1,035) | (1,035) | (1,035) | (1,035) | (2,442) | (3,542) | (4,139) |
| 攤提 | (74) | (79) | (56) | (13) | (56) | (56) | (56) | (56) | (248) | (222) | (222) |
| **EBITDA** | **18,360** | **21,216** | **31,799** | **33,434** | **33,102** | **38,865** | **44,531** | **48,220** | **66,608** | **104,808** | **164,718** |
| 利息收入 | 291 | 521 | 372 | 304 | 250 | 250 | 250 | 250 | 1,112 | 1,488 | 1,000 |
| 投資利益淨額 | - | - | - | - | - | - | - | - | - | - | - |
| 其他營業外收入 | 1,670 | 291 | 50 | 188 | 250 | 250 | 250 | 250 | - | 2,200 | 1,000 |
| **總營業外收入** | **1,962** | **812** | **422** | **492** | **500** | **500** | **500** | **500** | **1,112** | **3,688** | **2,000** |
| 利息費用 | (1,349) | (2,057) | (1,561) | (1,278) | (1,301) | (1,301) | (1,301) | (1,301) | (3,225) | (6,244) | (5,203) |
| 投資損失 | (137) | 0 | (15) | (29) | (13) | (13) | (13) | (13) | (52) | (180) | (50) |
| 其他營業外費用 | (0) | (0) | (33) | (98) | (33) | (33) | (33) | (33) | 4,300 | (130) | (130) |
| **總營業外費用** | **(1,486)** | **(2,056)** | **(1,609)** | **(1,404)** | **(1,346)** | **(1,346)** | **(1,346)** | **(1,346)** | **1,022** | **(6,554)** | **(5,383)** |
| **稅前純益** | **17,934** | **18,974** | **29,671** | **31,598** | **31,166** | **36,928** | **42,595** | **46,283** | **66,052** | **98,177** | **156,973** |
| 所得稅費用[利益] | (3,820) | (4,005) | (5,934) | (6,858) | (6,233) | (8,124) | (8,519) | (10,088) | (14,934) | (20,617) | (32,964) |
| 少數股東損益 | - | - | - | - | - | - | - | - | - | - | - |
| **非常項目前稅後純益** | **14,114** | **14,969** | **23,737** | **24,739** | **24,933** | **28,804** | **34,076** | **36,196** | **51,118** | **77,560** | **124,008** |
| 非常項目 | (0) | 0 | - | (0) | - | - | - | - | - | - | - |
| **稅後淨利** | **14,114** | **14,969** | **23,737** | **24,739** | **24,933** | **28,804** | **34,076** | **36,196** | **51,118** | **77,560** | **124,008** |
| 每股盈餘 (NT$) | 25.46 | 26.96 | 42.76 | 44.56 | 44.91 | 51.89 | 61.38 | 65.20 | 275.06 | 139.76 | 223.38 |
| **獲利率 （%）** | | | | | | | | | | | |
| 營業毛利率 | 7.6 | 9.3 | 8.8 | 8.5 | 7.8 | 7.6 | 7.5 | 7.4 | 8.3 | 8.6 | 7.6 |
| 營業利益率 | 6.3 | 7.3 | 7.1 | 6.8 | 6.2 | 6.2 | 6.2 | 6.1 | 6.7 | 6.9 | 6.2 |
| EBITDA Margin | 6.6 | 7.6 | 7.3 | 7.0 | 6.4 | 6.4 | 6.4 | 6.3 | 7.0 | 7.1 | 6.3 |
| 稅前純益率 | 6.5 | 6.8 | 6.8 | 6.6 | 6.0 | 6.1 | 6.1 | 6.0 | 6.9 | 6.7 | 6.0 |
| 稅後純益率 | 5.1 | 5.4 | 5.5 | 5.2 | 4.8 | 4.7 | 4.9 | 4.7 | 5.4 | 5.3 | 4.8 |
| **季成長率 （%）** | | | | | | | | | | | |
| 營業收入 | (5.4) | 0.6 | 56.3 | 10.0 | 8.0 | 18.0 | 15.0 | 10.0 | | | |
| 營業毛利 | (1.2) | 23.4 | 48.5 | 6.3 | (0.9) | 15.0 | 13.5 | 8.8 | | | |
| 營業收益增長 | 6.0 | 15.8 | 52.6 | 5.4 | (1.5) | 18.0 | 15.0 | 8.5 | | | |
| EBITDA | 6.3 | 15.6 | 49.9 | 5.1 | (1.0) | 17.4 | 14.6 | 8.3 | | | |
| 稅前純益 | 2.7 | 5.8 | 56.4 | 6.5 | (1.4) | 18.5 | 15.3 | 8.7 | | | |
| 稅後純益 | 2.3 | 6.1 | 58.6 | 4.2 | 0.8 | 15.5 | 18.3 | 6.2 | | | |
| **年成長率 （%）** | | | | | | | | | | | |
| 營業收入 | 62.0 | 26.0 | 62.9 | 63.5 | 86.7 | 119.0 | 61.2 | 61.2 | 163.7 | 54.4 | 77.0 |
| 營業毛利 | 40.6 | 36.0 | 62.5 | 92.3 | 92.9 | 79.7 | 37.4 | 40.6 | 109.8 | 60.0 | 56.4 |
| 營業收益 | 45.7 | 27.2 | 57.7 | 97.4 | 83.4 | 86.8 | 40.8 | 45.0 | 127.5 | 58.1 | 58.7 |
| EBITDA | 46.4 | 28.4 | 56.8 | 93.6 | 80.3 | 83.2 | 40.0 | 44.2 | 121.3 | 57.4 | 57.2 |
| 稅前純益 | 43.2 | 20.7 | 45.8 | 81.0 | 73.8 | 94.6 | 43.6 | 46.5 | 129.1 | 48.6 | 59.9 |
| 稅後純益 | 44.1 | 23.5 | 54.0 | 79.4 | 76.6 | 92.4 | 43.6 | 46.3 | 124.4 | 51.7 | 59.9 |

*資料來源：公司資料，凱基*

## 資產負債表

| NT$百萬 | Dec-23A | Dec-24A | Dec-25A | Dec-26F | Dec-27F |
|---|---|---|---|---|---|
| **資產總額** | **88,845** | **190,679** | **338,189** | **456,486** | **653,876** |
| **流動資產** | **79,195** | **173,683** | **306,977** | **410,996** | **594,575** |
| 現金及短期投資 | 37,495 | 48,329 | 89,934 | 108,421 | 58,171 |
| 存貨 | 30,179 | 86,211 | 136,257 | 202,194 | 361,747 |
| 應收帳款及票據 | 10,363 | 37,649 | 76,888 | 96,484 | 170,759 |
| 其他流動資產 | 1,158 | 1,494 | 3,897 | 3,897 | 3,897 |
| **非流動資產** | **9,650** | **16,996** | **31,212** | **45,490** | **59,301** |
| 長期投資 | 159 | 709 | 1,377 | 1,197 | 1,147 |
| 固定資產 | 5,626 | 9,163 | 20,848 | 35,306 | 49,167 |
| 什項資產 | 3,865 | 7,124 | 8,987 | 8,987 | 8,987 |
| **負債總額** | **46,611** | **102,476** | **213,537** | **296,932** | **438,518** |
| **流動負債** | **36,494** | **76,364** | **179,654** | **268,653** | **408,371** |
| 應付帳款及票據 | 20,169 | 53,585 | 79,366 | 147,050 | 263,089 |
| 短期借款 | 2,884 | 6,125 | 72,197 | 77,801 | 75,933 |
| 什項負債 | 13,441 | 16,654 | 28,091 | 43,802 | 69,348 |
| **長期負債** | **10,117** | **26,112** | **33,883** | **28,279** | **30,147** |
| 長期借款 | 8,443 | 22,004 | 27,985 | 22,381 | 24,249 |
| 其他負債及準備 | 486 | 852 | 2,845 | 2,845 | 2,845 |
| **股東權益總額** | **42,234** | **88,203** | **124,653** | **159,555** | **215,358** |
| 普通股本 | 1,748 | 1,858 | 1,858 | 5,575 | 5,575 |
| 保留盈餘 | 25,823 | 40,029 | 75,099 | 110,001 | 165,805 |
| 少數股東權益 | - | - | - | - | - |
| 優先股股東資金 | - | - | - | - | - |

## 主要財務比率

| | Dec-23A | Dec-24A | Dec-25A | Dec-26F | Dec-27F |
|---|---|---|---|---|---|
| **年成長率** | | | | | |
| 營業收入 | (17.4%) | 49.0% | 163.7% | 54.4% | 77.0% |
| 營業收益增長 | (11.0%) | 77.1% | 127.5% | 58.1% | 58.7% |
| EBITDA | (9.3%) | 78.4% | 121.3% | 57.4% | 57.2% |
| 稅後純益 | (15.0%) | 89.1% | 124.4% | 51.7% | 59.9% |
| 每股盈餘成長率 | (15.0%) | 83.7% | 117.3% | (49.2%) | 59.8% |
| **獲利能力分析** | | | | | |
| 營業毛利率 | 9.4% | 10.4% | 8.3% | 8.6% | 7.6% |
| 營業利益率 | 6.6% | 7.8% | 6.7% | 6.9% | 6.2% |
| EBITDA Margin | 7.0% | 8.3% | 7.0% | 7.1% | 6.3% |
| 稅後純益率 | 5.0% | 6.3% | 5.4% | 5.3% | 4.8% |
| 平均資產報酬率 | 13.6% | 16.3% | 19.3% | 19.5% | 22.3% |
| 股東權益報酬率 | 29.7% | 34.9% | 48.0% | 54.6% | 66.2% |
| **穩定 \ 償債能力分析** | | | | | |
| 毛負債比率 (%) | 26.8% | 31.9% | 80.4% | 62.8% | 46.5% |
| 淨負債比率 | Net cash | Net cash | 8.2% | Net cash | 19.5% |
| 利息保障倍數 (x) | 17.2 | 24.2 | 21.5 | 16.7 | 31.2 |
| 利息及短期債保障倍數 (x) | 0.8 | 0.8 | 0.5 | 0.5 | 0.7 |
| Cash Flow Int. Coverage (x) | 24.2 | (16.1) | (0.2) | 10.2 | 2.0 |
| Cash Flow/Int. & ST Debt (x) | 6.0 | (2.7) | (0.0) | 0.8 | 0.1 |
| 流動比率 (x) | 2.2 | 2.3 | 1.7 | 1.5 | 1.5 |
| 速動比率 (x) | 1.3 | 1.1 | 1.0 | 0.8 | 0.6 |
| 淨負債 (NT$百萬) | (26,168) | (20,200) | 10,248 | (8,240) | 42,011 |
| **每股資料分析** | | | | | |
| 每股盈餘 (NT$) | 68.88 | 126.57 | 275.06 | 139.76 | 223.38 |
| 每股現金盈餘 (NT$) | 131.89 | (111.11) | (3.36) | 114.71 | 19.15 |
| 每股淨值 (NT$) | 80.52 | 158.21 | 223.58 | 286.19 | 386.28 |
| 調整後每股淨值 (NT$) | 241.56 | 490.15 | 670.75 | 287.52 | 387.93 |
| 每股營收 (NT$) | 1,383.55 | 2,003.57 | 5,115.47 | 2,644.17 | 4,677.98 |
| EBITDA/Share (NT$) | 96.50 | 167.29 | 358.41 | 188.86 | 296.71 |
| 每股現金股利 (NT$) | 14.00 | 24.67 | 145.00 | 76.51 | 122.34 |
| **資產運用狀況** | | | | | |
| 資產周轉率 (x) | 2.72 | 2.58 | 3.60 | 3.69 | 4.68 |
| 應收帳款周轉天數 | 15.6 | 38.2 | 29.5 | 24.0 | 24.0 |
| 存貨周轉天數 | 50.2 | 97.6 | 57.0 | 55.0 | 55.0 |
| 應付帳款周轉天數 | 33.6 | 60.7 | 33.2 | 40.0 | 40.0 |
| 現金轉換周轉天數 | 32.3 | 75.2 | 53.3 | 39.0 | 39.0 |

資料來源：公司資料，凱基

## 損益表

| NT$百萬 | Dec-23A | Dec-24A | Dec-25A | Dec-26F | Dec-27F |
|---|---|---|---|---|---|
| **營業收入** | **241,901** | **360,541** | **950,663** | **1,467,357** | **2,596,962** |
| 營業成本 | (219,244) | (323,141) | (872,209) | (1,341,830) | (2,400,687) |
| **營業毛利** | **22,657** | **37,400** | **78,454** | **125,527** | **196,275** |
| 營業費用 | (6,787) | (9,301) | (14,537) | (24,484) | (35,919) |
| **營業利益** | **15,871** | **28,099** | **63,918** | **101,043** | **160,357** |
| **總營業外收入** | **909** | **2,120** | **1,112** | **3,688** | **2,000** |
| 利息收入 | 456 | 1,219 | 1,112 | 1,488 | 1,000 |
| 投資利益淨額 | - | - | - | - | - |
| 其他營業外收入 | 454 | 901 | - | 2,200 | 1,000 |
| **總營業外費用** | **(1,336)** | **(1,389)** | **1,022** | **(6,554)** | **(5,383)** |
| 利息費用 | (953) | (1,242) | (3,225) | (6,244) | (5,203) |
| 投資損失 | (64) | (68) | (52) | (180) | (50) |
| 其他營業外費用 | (319) | (79) | 4,300 | (130) | (130) |
| **稅前純益** | **15,444** | **28,830** | **66,052** | **98,177** | **156,973** |
| 所得稅費用[利益] | (3,400) | (6,054) | (14,934) | (20,617) | (32,964) |
| 少數股東損益 | - | - | - | - | - |
| 非常項目 | - | (0) | (0) | - | - |
| **稅後淨利** | **12,044** | **22,776** | **51,118** | **77,560** | **124,008** |
| **EBITDA** | **16,873** | **30,103** | **66,608** | **104,808** | **164,718** |
| 每股盈餘 (NT$) | 68.88 | 126.57 | 275.06 | 139.76 | 223.38 |

## 現金流量

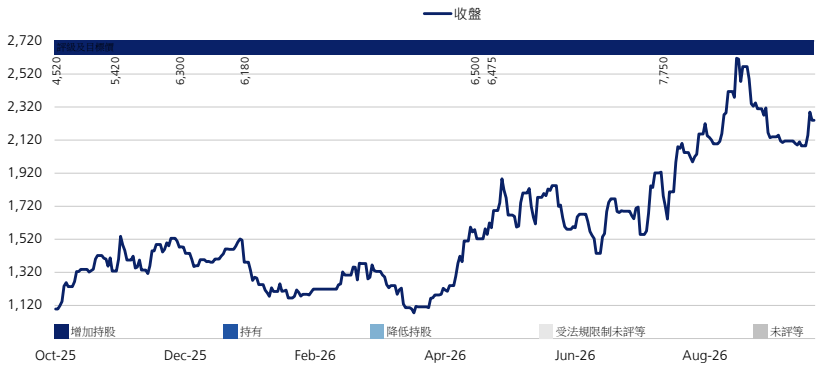
| NT$百萬 | Dec-23A | Dec-24A | Dec-25A | Dec-26F | Dec-27F |
|---|---|---|---|---|---|
| **營運活動之現金流量** | **23,060** | **(19,993)** | **(624)** | **63,657** | **10,629** |
| 本期純益 | 12,044 | 22,776 | 51,118 | 77,560 | 124,008 |
| 折舊及攤提 | 1,002 | 2,005 | 2,690 | 3,764 | 4,361 |
| 本期運用資金變動 | 8,928 | (47,806) | (64,430) | (17,848) | (117,790) |
| 其他營業資產及負債變動 | 1,087 | 3,032 | 9,997 | 180 | 50 |
| **投資活動之現金流量** | **(4,696)** | **(5,655)** | **(13,766)** | **(18,222)** | **(18,222)** |
| 投資用短期投資出售[新購] | - | (581) | (38) | - | - |
| 本期長期投資變動 | - | - | - | - | - |
| 資本支出淨額 | (4,886) | (4,891) | (13,674) | (18,000) | (18,000) |
| 其他資產變動 | 190 | (183) | (54) | (222) | (222) |
| **自由現金流** | **17,300** | **(28,670)** | **(26,196)** | **47,519** | **(4,970)** |
| **融資活動之現金流量** | **(7,115)** | **36,316** | **56,188** | **(26,947)** | **(42,658)** |
| 短期借款變動 | 393 | 940 | 66,473 | - | - |
| 長期借款變動 | 1,500 | 16,945 | 4,706 | - | - |
| 現金增資 | - | 27,068 | - | | |
| 已支付普通股股息 | (8,742) | (7,343) | (13,752) | (26,947) | (42,658) |
| 其他融資現金流 | (265) | (1,294) | (1,240) | - | - |
| **匯率影響數** | **13** | **166** | **(192)** | | |
| **本期產生現金流量** | **11,263** | **10,834** | **41,605** | **18,488** | **(50,251)** |

## 投資回報率

| | Dec-23A | Dec-24A | Dec-25A | Dec-26F | Dec-27F |
|---|---|---|---|---|---|
| 1 - 營業成本/營業收入 | | | | | |
| - 銷管費用/營業收入 | 2.8% | 2.6% | 1.5% | 1.7% | 1.4% |
| **= 營業利益率** | **6.6%** | **7.8%** | **6.7%** | **6.9%** | **6.2%** |
| | | | | | |
| 1 / (營業運用資金/營業收入 | 0.0 | 0.2 | 0.1 | 0.1 | 0.1 |
| + 淨固定資產/營業收入 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| + 什項資產/營業收入) | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| **= 資本周轉率** | **16.2** | **5.5** | **7.2** | **9.8** | **10.2** |
| | | | | | |
| 營業利益率 | 6.6% | 7.8% | 6.7% | 6.9% | 6.2% |
| x 資本周轉率 | 16.2 | 5.5 | 7.2 | 9.8 | 10.2 |
| x (1 - 有效現金稅率) | 78.0% | 79.0% | 77.4% | 79.0% | 79.0% |
| **= 稅後 ROIC** | **82.7%** | **33.8%** | **37.3%** | **53.5%** | **49.6%** |

資料來源：公司資料，凱基

## 緯穎 – 以往評級及目標價




| 日期 | 評級 | 目標價 | 收盤價 |
|---|---|---|---|
| 2026-07-28 | 增加持股 | 7,750 | 1,782 |
| 2026-05-07 | 增加持股 | 6,475 | 1,590 |
| 2026-04-29 | 增加持股 | 6,500 | 1,579 |
| 2026-02-27 | 增加持股 | 6,180 | 1,303 |
| 2026-01-09 | 增加持股 | 6,180 | 1,381 |
| 2025-12-09 | 增加持股 | 6,300 | 1,473 |
| 2025-11-08 | 增加持股 | 5,420 | 1,328 |
| 2025-09-09 | 增加持股 | 4,520 | 981 |
| 2025-08-09 | 增加持股 | 3,550 | 942 |
| 2025-07-10 | 增加持股 | 3,250 | 845 |

資料來源：TEJ，凱基


**凱基證券集團據點**

| | | |
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**股價說明**

| 等級 | 定義 |
|---|---|
| 增加持股 (OP) | 對個股持正面看法，預期個股未來十二個月的表現超越凱基證券集團所追蹤的相關市場的總報酬。 |
| 持有 (N) | 對個股持中性看法，預期個股未來十二個月的表現符合凱基證券集團所追蹤的相關市場的總報酬。 |
| 降低持股 (U) | 對個股持負面看法，預期個股未來十二個月的表現低於凱基證券集團所追蹤的相關市場的總報酬。 |
| 未評等 (NR) | 凱基證券未對該個股加以評等。 |
| 受法規限制未評等 (R) | 受凱基證券集團內部政策和/或相關法令限制使凱基證券集團無法進行某些形式的資訊交流，其中包括提供評等給投資人參考。 |
| | *總報酬 = (十二個月目標價-現價)/現價 |


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**Angela Hsiang**

# HTC Corp. (2498.TW): XR headset and AI glasses to support growth ahead; Near-term cost pressures remain; Sell

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In September, HTC accelerated its global wearable expansion with the commercial launch of the new round-frame edition of its VIVE Eagle AI smart glasses alongside substantial software enhancements across North America, Europe, and Australia (news). Features include hands-free image capture, first-person POV live streaming, real-time AI translation, AI Notes, dashcam utility, and assistive vision for the visually impaired. Meanwhile, the company continues to anchor its VR headset strategy around commercial enterprise solutions, underscored by its flagship deployment with Axon which shifts hazardous tactical training into virtual environments to reduce operational costs, complemented by use cases in complex surgical simulation, interior space visualization, and virtual meeting rooms.

While we maintain our constructive view on HTC's long-term growth trajectory backed by sustained product innovation, we are **Sell** rated given near-term earnings headwinds - specifically core monetization drivers across XR/ VR/ AI glasses and software will require extended lead time to ramp adoption, compounded by consumer electronics demand softness and margin compression from elevated memory component costs. We would turn more positive if we see stronger-than-expected XR headset/ AI glasses growth driven by market demand, application development or customer expansion.

**Earnings revisions:** We factor in 3Q26 revenues and revise down 2026-28E net income. We revise down 2026-28E revenues by 4%/ 0%/ 27% due to demand pressures of consumer electronics (impacted by soaring memory cost) and soft demand of XR products in the near-term. GM estimates are largely unchanged in 2026-2027E, and we revise down our OPM estimates by 2.1/ 0.3ppts on a smaller business scale. GM are revised up by 5.7ppts in 2028E to reflect mix upgrade to VR hardware and software with high margin.

**Exhibit 1: Earnings revisions**

| | 2026E | | | 2027E | | | 2028E | | |
|---|---|---|---|---|---|---|---|---|---|
| NT$m | Old | New | Diff % | Old | New | Diff % | Old | New | Diff % |
| Revenues | 6,972 | 6,693 | -4% | 14,741 | 14,780 | 0% | 20,908 | 15,352 | -27% |
| GP | 2,756 | 2,624 | -5% | 5,807 | 5,732 | -1% | 8,220 | 6,917 | -16% |
| OP | (736) | (846) | na | 996 | 952 | -4% | 1,654 | 1,447 | -13% |
| Net income | (371) | (346) | na | 1,007 | 992 | -1% | 1,795 | 1,708 | -5% |
| Margins | | | | | | | | | |
| GM | 39.5% | 39.2% | -0.3ppts | 39.4% | 38.8% | -0.6ppts | 39.3% | 45.1% | +5.7ppts |
| OPM | -10.6% | -12.6% | -2.1ppts | 6.8% | 6.4% | -0.3ppts | 7.9% | 9.4% | +1.5ppts |
| NM | -5.3% | -5.2% | +0.2ppts | 6.8% | 6.7% | -0.1ppts | 8.6% | 11.1% | +2.5ppts |

Source: Goldman Sachs Global Investment Research

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**Valuation:** With earnings revisions and an unchanged valuation methodology, our 12M target price is revised down to NT$32.8 (vs. previously at NT$34.4). We continue to derive our target price via 85% based on a fundamental valuation and 15% from a theoretical M&A valuation. (1) Our fundamental valuation is based on 2028E P/E of 19.3x (unchanged), discounted back to 2026E at an 11.5% COE. (2) Our M&A valuation is based on 23.6x 2028E P/E (unchanged) then discounted back to 2026E at an 11.5% COE.

Our target 2028E discounted P/E multiple of 19.3x is in line with XR peers' historical avg. P/E at 19.3x in 2022 (method unchanged, Exhibit 5). HTC's 2029 NI growth will be 15% YoY per our estimate, which is lower than XR peers' (Meta/ Goertek/ Microsoft/ Apple/ Sony) 2023-24 avg. NI growth at 23% YoY. Our M&A target multiple is 23.6x 2028E P/E, which is derived from the peers' historical avg. +1std P/E in 2022 (methodology unchanged). We use avg. +1std P/E of peers to reflect the M&A premium.

**Our 12M target price of NT$32.8** implies 4.1x 2026E P/S vs. 126% revenue YoY growth on average in 2026E-27E. The implied 2026E P/S of 4.1x is lower than the company's current price implied 2026E P/S at 4.9x, showing that valuation is stretched. Maintain **Sell**.

**Exhibit 2: HTC discounted P/E and M&A valuation TP at NT$32.80**

| NT$ m | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E | 2029E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Milestone** | | **Smartphone to VR** | | | **VR headset to software** | | | | **VR SW increases** | | | |
| VR headset | | | | 96% | 77% | 62% | 52% | 15% | 56% | 69% | 60% | 69% |
| VR software | | | | 1% | 13% | 32% | 34% | 79% | 41% | 29% | 37% | 31% |
| Revenue | 23,741 | 10,015 | 5,806 | 5,253 | 4,409 | 4,418 | 3,081 | 2,901 | 6,693 | 14,780 | 15,352 | 17,655 |
| *Revenue YoY* | *-62%* | *-58%* | *-42%* | *-10%* | *-16%* | *0%* | *-30%* | *-6%* | *131%* | *121%* | *4%* | *15%* |
| *GM* | *2.2%* | *20.3%* | *27.0%* | *31.1%* | *39.2%* | *41.3%* | *40.7%* | *35.9%* | *39.2%* | *38.8%* | *45.1%* | *39.8%* |
| GP | 515 | 2,028 | 1,565 | 1,636 | 1,730 | 1,824 | 1,254 | 1,041 | 2,624 | 5,732 | 6,917 | 7,018 |
| OP | (13,964) | (9,850) | (6,391) | (4,116) | (4,404) | (4,295) | (4,639) | (3,452) | (846) | 952 | 1,447 | 1,721 |
| *OPM* | *-58.8%* | *-98.4%* | *-110.1%* | *-78.4%* | *-99.9%* | *-97.2%* | *-150.6%* | *-119.0%* | *-12.6%* | *6.4%* | *9.4%* | *9.8%* |
| Net profit | 12,068 | (9,358) | (5,950) | (3,073) | (3,412) | (3,396) | (3,418) | 6,025 | (346) | 992 | 1,438 | 1,661 |
| *NP YoY* | | *n.a.* | *n.a.* | *n.a.* | *n.a.* | *n.a.* | *n.a.* | *n.a.* | *-106%* | *n.a.* | *45%* | *15%* |
| EPS | 14.50 | (11.43) | (7.27) | (3.75) | (4.13) | (4.09) | (4.11) | 7.15 | (0.41) | 1.19 | 2.04 | 1.99 |
| *EPS YoY* | | *n.a.* | *n.a.* | *n.a.* | *n.a.* | *n.a.* | *n.a.* | *n.a.* | *-106%* | *n.a.* | *45%* | *15%* |

| | |
|---|---|
| Target PE (sector PE) | 19.3 |
| Target PE x 2028 EPS | 39 |
| **Value per share (NT, 2026E)** | **32** |

| | |
|---|---|
| COE | 11.5% |
| Beta | 1.6 |
| Risk-free rate | 1.8% |
| Market risk premium | 6.3% |

| | |
|---|---|
| **TP (NT$)** | **32.8** |
| M&A P/E (avg.+1stv P/E, x) | 23.6 |
| 2028 EPS x P/E (NT$) | 48 |
| M&A valuation (15%) (NT$) | 39 |
| Fundamental valuation (85%) (NT$) | 32 |
| **TP implied 2026E PS (x)** | **4.1** |
| **Rev YoY avg. 2026-27E** | **126%** |

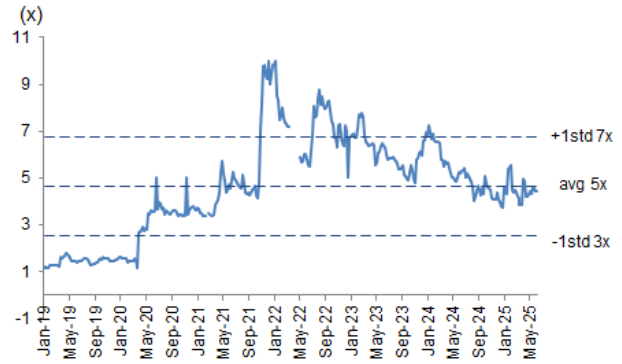
Source: Company data, Goldman Sachs Global Investment Research

### Exhibit 3: HTC P&L summary

| NT$ mn | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E | 1Q25 | 2Q25 | 3Q25 | 4Q25 | 1Q26 | 2Q26 | 3Q26E | 4Q26E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Income statement** | | | | | | | | | | | | | | |
| Revenue | 4,418 | 3,081 | 2,901 | 6,693 | 14,780 | 15,352 | 708 | 695 | 716 | 781 | 653 | 614 | 764 | 4,663 |
| Gross profit | 1,824 | 1,254 | 1,041 | 2,624 | 5,732 | 6,917 | 266 | 253 | 252 | 269 | 272 | 262 | 367 | 1,722 |
| OP income | (4,295) | (4,639) | (3,452) | (846) | 952 | 1,447 | (1,144) | (836) | (854) | (618) | (563) | (573) | (516) | 805 |
| Net income | (3,396) | (3,418) | 6,025 | (346) | 992 | 1,708 | 4,055 | (716) | 3,243 | (557) | (242) | (279) | (579) | 754 |
| EPS (NT$, diluted) | (4.09) | (4.11) | 7.15 | (0.41) | 1.19 | 2.04 | 4.82 | (0.85) | 3.85 | (0.67) | (0.29) | (0.33) | (0.69) | 0.90 |
| **Margins** | | | | | | | | | | | | | | |
| Gross margin | 41.3% | 40.7% | 35.9% | 39.2% | 38.8% | 45.1% | 37.6% | 36.5% | 35.2% | 34.4% | 41.7% | 42.6% | 48.1% | 36.9% |
| Operating margin | -97.2% | -150.6% | -119.0% | -12.6% | 6.4% | 9.4% | -161.5% | -120.3% | -119.2% | -79.2% | -86.2% | -93.2% | -67.6% | 17.3% |
| Pretax margin | -76.9% | -110.9% | 291.0% | -4.7% | 6.7% | 11.2% | 871.0% | -102.9% | 484.6% | -61.9% | -35.0% | -42.3% | -76.0% | 16.2% |
| Net margin | -76.9% | -110.9% | 207.7% | -5.2% | 6.7% | 11.1% | 572.4% | -103.0% | 452.7% | -71.3% | -37.0% | -45.5% | -75.8% | 16.2% |
| **Ratios** | | | | | | | | | | | | | | |
| Opex ratio | -138% | -191% | -155% | -52% | -32% | -36% | -199% | -157% | -154% | -114% | -128% | -136% | -116% | -20% |
| Tax rate | 0% | 0% | 29% | -11% | 0% | 0% | 0% | 0% | 0% | 0% | 0% | 0% | 0% | 0% |
| **YoY** | | | | | | | | | | | | | | |
| Revenue | 0% | -30% | -6% | 131% | 121% | 4% | 19% | -9% | -7% | -17% | -8% | -12% | 7% | 497% |
| Gross profit | 5% | -31% | -17% | 152% | 118% | 21% | 8% | -19% | -20% | -29% | 2% | 3% | 46% | 540% |
| OP income | na | na | na | na | na | 52% | na | na | na | na | na | na | na | na |
| Pretax income | na | na | na | na | na | 72% | na | na | na | na | na | na | na | na |
| Net income | na | na | na | na | na | 72% | na | na | na | na | na | na | na | na |
| **QoQ** | | | | | | | | | | | | | | |
| Revenue | | | | | | | -25% | -2% | 3% | 9% | -16% | -6% | 24% | 511% |
| Gross profit | | | | | | | -29% | -5% | 0% | 7% | 1% | -4% | 40% | 369% |
| OP income | | | | | | | na | na | na | na | na | na | na | na |
| Pretax income | | | | | | | na | na | na | na | na | na | na | na |
| Net income | | | | | | | na | na | na | na | na | na | na | na |

Source: Company data, Goldman Sachs Global Investment Research

### Exhibit 4: HTC 12M forward P/S




Source: Refinitiv Eikon

### Exhibit 5: HTC's 2029 NI growth is at 15% YoY, lower than XR peers 2023-24 avg. NI growth

| Company | Ticker | 2022 PE | 2023-24 NI growth |
|---|---|---|---|
| Meta | Meta.O | 15.5 | 64% |
| Goertek | 002241.SZ | 18.5 | 15% |
| Apple | AAPL.O | 20.8 | 9% |
| Microsoft | MSFT.O | 25.9 | 12% |
| Sony | 6758.T | 15.7 | 16% |
| **Average (excl. Meta)** | | **19.3** | **23%** |
| **HTC target discounted P/E (2028E)** | | | **19.3** |
| HTC NI growth (2029E) | | | 15% |

Source: Company data, Goldman Sachs Global Investment Research, Eikon Datastream

**Price Target Risks and Methodology - HTC Corp.**

**Valuation methodology:** We are Sell rated on HTC with a 12M target price of **NT$32.8**, which is derived 85% from a fundamental valuation and 15% from a theoretical M&A valuation. (1) Our fundamental valuation is based on 19.3x 2028E P/E, discounted back to 2026E at an 11.5% COE. The 19.3x target P/E multiple is derived from peers' avg. P/E in 2022; (2) Our M&A valuation is based on 23.6x 2028E P/E and discounted back to 2026E at an 11.5% COE.

**Key risks:** 1) Better-than-expected VR demand; 2) lower-than-expected competition in VR headsets; and 3) lower-than-expected price pressure from peers.

| 2498.TW | 12m Price Target: **NT$32.80** | Price: **NT$42.00** | Downside: **21.9%** |
|---|---|---|---|

**Sell**

Market cap: NT$35.1bn / $1.1bn
Enterprise value: NT$36.0bn / $1.1bn
3m ADTV: NT$216.8mn / $6.8mn
Taiwan
Greater China Technology
M&A Rank: 2
Leases incl. in net debt & EV?: Yes

## GS Forecast

| | 12/25 | 12/26E | 12/27E | 12/28E |
|---|---|---|---|---|
| **Revenue (NT$ mn) New** | **2,900.7** | **6,693.4** | **14,780.5** | **--** |
| Revenue (NT$ mn) Old | 2,900.7 | 6,972.0 | 14,741.2 | – |
| EBITDA (NT$ mn) | (3,227.2) | (625.6) | 1,166.4 | – |
| **EPS (NT$) New** | **7.21** | **(0.41)** | **1.19** | **2.04** |
| EPS (NT$) Old | 7.21 | (0.44) | 1.20 | 2.15 |
| P/E (X) | 6.6 | NM | 35.4 | 20.6 |
| P/B (X) | 30.5 | 27.4 | 26.4 | NM |
| Dividend yield (%) | 0.0 | 0.0 | 0.0 | NM |
| CROCI (%) | (14.5) | (0.3) | 4.1 | – |

| | 6/26 | 9/26E | 12/26E | 3/27E |
|---|---|---|---|---|
| EPS (NT$) | (0.33) | (0.69) | 0.90 | 0.04 |

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 8 Oct 2026 close.

# Disclosure Appendix

## Reg AC

We, Allen Chang and Verena Jeng, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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**Contributing Authors:** Allen Chang Goldman Sachs (Asia) L.L.C., Verena Jeng Goldman Sachs (Asia) L.L.C..

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**Growth** is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

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Goldman Sachs had an investment banking services client relationship during the past 12 months with: HTC Corp. (NT$42.00)

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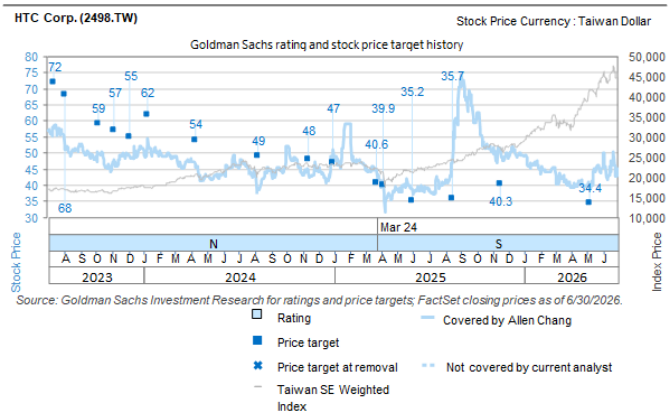
Goldman Sachs Investment Research global Equity coverage universe

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|---|---|---|---|---|---|---|
| | Buy | Hold | Sell | Buy | Hold | Sell |
| Global | 50% | 34% | 16% | 65% | 59% | 43% |

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## Target price history table(s)

### HTC Corp. (2498.TW)

| Date of report | Target price (NT$) | Closing price (NT$) |
|---|---|---|
| 07-May-26 | 34.40 | 40.45 |
| 16-Nov-25 | 40.30 | 50.80 |
| 16-Aug-25 | 35.70 | 46.95 |
| 02-Jun-25 | 35.20 | 37.20 |
| 06-Apr-25 | 39.90 | 41.35 |
| 24-Mar-25 | 40.60 | 44.55 |
| 30-Dec-24 | 47.00 | 51.20 |
| 13-Nov-24 | 48.00 | 43.90 |
| 09-Aug-24 | 49.00 | 38.75 |
| 09-Apr-24 | 54.00 | 46.65 |
| 08-Jan-24 | 62.00 | 52.90 |
| 06-Dec-23 | 55.00 | 48.90 |
| 06-Nov-23 | 57.00 | 48.10 |

Price targets shown in table(s) are unadjusted for corporate actions.

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BofA SECURITIES

Kinsus

# Solid revenue growth and margin improvement into 2027; Buy

**Reiterate Rating: BUY | PO: 1,450 TWD | Price: 1,075 TWD**

## Raise PO along with hike in estimates

We raise 2026/27/28E EPS by 4%/11%/14% after incorporating (see reports) 1) stronger-than-expected August numbers; and 2) strengthening growth outlook of server CPU (central processing unit) which is also shared by NYPCB. Our PO goes to NT$1,450 (was NT$1,250) same based on 2H27-1H28E P/E. Reiterate Buy on Kinsus given its growing exposure to AI (artificial intelligence) server market via high-end ABF substrate, which in turn bolstering its margin profile in longer-term.

## Gross margin improvement carries into 2027

We expect Kinsus' GM (gross margin) to reach 27.8% in 3Q26, then followed by further improvement toward 29.3% along with 10% revenue QoQ in 4Q26, which will be fueled by continuous price hike and mix improvement. For 2027, expect the company's GM to reach 32.5% driven by ongoing improvements in product mix and utilization.

## Sustained growth from AI CPU and optical module

For AI and adjacent applications, we expect at least 15-20% revenue from substrate for Vera CPU in 2027, and AI-related application will account for 50% of the firm's revenue in ABF (Ajinomoto build-up film) business in 2028. As for BT (bismaleimide triazine) substrate, growth in near/mid-term will be underpinned by the demand from DSP (digital signal processor) and transceiver (light engine) for pluggable optical module.

## Land acquisition for further capacity expansion

Kinsus announced that it spent NT$6bn for acquiring land in Pingzhen, which will be used for K7 site expansion with capacity coming on stream in 2030 at earliest, following the ongoing expansion in K6 for ABF (Ajinomoto build-up film) substrate (reaching 80mn unit capacity/month in 2029-30).

| Estimates (Dec) (NT$) | 2024A | 2025A | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|
| Net Income (Adjusted - mn) | 49 | 1,596 | 5,587 | 14,369 | 27,158 |
| EPS | 0.108 | 3.51 | 10.60 | 27.27 | 51.54 |
| EPS Change (YoY) | 2.5% | NM | 202.5% | 157.2% | 89.0% |
| Consensus EPS (Visible Alpha) | | | 11.88 | 28.81 | 51.88 |
| Dividend / Share | 1.00 | 1.50 | 4.77 | 12.27 | 23.19 |
| Free Cash Flow / Share | (5.69) | 4.58 | (17.35) | 11.32 | 26.92 |
| **Valuation (Dec)** | | | | | |
| P/E | 9,977x | 306.68x | 101.38x | 39.42x | 20.86x |
| Dividend Yield | 0.093% | 0.140% | 0.444% | 1.14% | 2.16% |
| EV / EBITDA* | 76.90x | 56.54x | 39.49x | 22.03x | 14.35x |
| Free Cash Flow Yield* | -0.456% | 0.368% | -1.61% | 1.05% | 2.50% |

* For full definitions of *iQmethod*℠ measures, see page 7.

**10 October 2026**

Equity

### Key Changes

| (NT$) | Previous | Current |
|---|---|---|
| Price Obj. | 1,250.00 | 1,450.00 |
| 2026E EPS | 10.21 | 10.60 |
| 2027E EPS | 25.94 | 27.27 |
| 2028E EPS | 47.82 | 51.54 |
| 2026E EBITDA (m) | 14,489.7 | 14,794.5 |
| 2027E EBITDA (m) | 25,525.6 | 26,526.3 |
| 2028E EBITDA (m) | 40,246.1 | 40,708.1 |

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### Stock Data

| | |
|---|---|
| Price | 1,075 TWD |
| Price Objective | 1,450 TWD |
| Date Established | 10-Oct-2026 |
| Investment Opinion | C-1-7 |
| 52-Week Range | 118.43 TWD-1,150 TWD |
| Mrkt Val / Shares Out (mn) | 17,739 USD / 526.9 |
| Market Value (mn) | 566,429 TWD |
| Average Daily Value (mn) | 697.44 USD |
| Free Float | 69.4% |
| BofA Ticker / Exchange | KNSUF / TAI |
| Bloomberg / Reuters | 3189 TT / 3189.TW |
| ROE (2026E) | 12.6% |
| Net Dbt to Eqty (Dec-2025A) | 4.8% |

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# *iQprofile*℠ Kinsus

| Key Income Statement Data (Dec) | 2024A | 2025A | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|
| **(NT$ Millions)** | | | | | |
| Sales | 30,535 | 39,351 | 54,119 | 81,332 | 114,156 |
| Gross Profit | 8,668 | 8,314 | 14,326 | 26,458 | 42,367 |
| Sell General & Admin Expense | (4,961) | (3,035) | (3,984) | (4,925) | (5,895) |
| Operating Profit | 1,095 | 2,670 | 7,545 | 18,050 | 32,534 |
| Net Interest & Other Income | 508 | 417 | 546 | 434 | 434 |
| Associates | NA | NA | NA | NA | NA |
| Pretax Income | 1,603 | 3,087 | 8,091 | 18,483 | 32,967 |
| Tax (expense) / Benefit | (272) | (370) | (1,148) | (2,796) | (4,390) |
| Net Income (Adjusted) | 49 | 1,596 | 5,587 | 14,369 | 27,158 |
| Average Fully Diluted Shares Outstanding | 454 | 455 | 527 | 527 | 527 |
| **Key Cash Flow Statement Data** | | | | | |
| Net Income | 49 | 1,596 | 5,587 | 14,369 | 27,158 |
| Depreciation & Amortization | 6,133 | 7,244 | 6,653 | 7,992 | 7,690 |
| Change in Working Capital | (956) | (1,966) | (2,815) | (2,440) | (4,448) |
| Deferred Taxation Charge | NA | NA | NA | NA | NA |
| Other Adjustments, Net | 2,480 | 1,219 | (4,568) | 2,044 | 1,786 |
| Cash Flow from Operations | 7,705 | 8,093 | 4,857 | 21,966 | 32,186 |
| Capital Expenditure | (10,289) | (6,007) | (14,000) | (16,000) | (18,000) |
| (Acquisition) / Disposal of Investments | 1,359 | (1,594) | 0 | 0 | 0 |
| Other Cash Inflow / (Outflow) | (178) | (268) | 0 | 0 | 0 |
| Cash Flow from Investing | (9,107) | (7,869) | (14,000) | (16,000) | (18,000) |
| Shares Issue / (Repurchase) | 137 | 13 | 7,200 | 0 | 0 |
| Cost of Dividends Paid | (454) | (457) | (2,514) | (6,466) | (12,221) |
| Cash Flow from Financing | 996 | (3,270) | 531 | (6,466) | (12,221) |
| Free Cash Flow | (2,584) | 2,086 | (9,143) | 5,966 | 14,186 |
| Net Debt | 865 | 1,969 | 10,582 | 11,082 | 9,117 |
| Change in Net Debt | 1,959 | 1,364 | 8,612 | 500 | (1,965) |
| **Key Balance Sheet Data** | | | | | |
| Property, Plant & Equipment | 36,409 | 41,937 | 49,283 | 57,291 | 67,601 |
| Other Non-Current Assets | 13,350 | 9,099 | 9,122 | 9,145 | 9,167 |
| Trade Receivables | 5,284 | 6,804 | 9,357 | 12,200 | 17,123 |
| Cash & Equivalents | 15,366 | 12,281 | 3,669 | 3,169 | 5,133 |
| Other Current Assets | 9,027 | 9,853 | 11,215 | 12,707 | 14,357 |
| Total Assets | 79,435 | 79,973 | 82,646 | 94,511 | 113,382 |
| Long-Term Debt | 13,779 | 11,197 | 11,197 | 11,197 | 11,197 |
| Other Non-Current Liabilities | 8,788 | 7,297 | 7,297 | 7,297 | 7,297 |
| Short-Term Debt | 2,452 | 3,053 | 3,053 | 3,053 | 3,053 |
| Other Current Liabilities | 14,539 | 17,053 | 13,608 | 17,569 | 21,504 |
| Total Liabilities | 39,557 | 38,600 | 35,155 | 39,116 | 43,051 |
| Total Equity | 39,878 | 41,373 | 47,492 | 55,395 | 70,331 |
| Total Equity & Liabilities | 79,435 | 79,973 | 82,646 | 94,511 | 113,382 |
| ***iQ*method℠ - Bus Performance*** | | | | | |
| Return On Capital Employed | 2.0% | 4.3% | 10.6% | 21.6% | 33.9% |
| Return On Equity | 0.1% | 3.9% | 12.6% | 27.9% | 43.2% |
| Operating Margin | 3.6% | 6.8% | 13.9% | 22.2% | 28.5% |
| EBITDA Margin | 24.9% | 26.3% | 27.3% | 32.6% | 35.7% |
| ***iQ*method℠ - Quality of Earnings*** | | | | | |
| Cash Realization Ratio | NM | 5.1x | 0.9x | 1.5x | 1.2x |
| Asset Replacement Ratio | 1.7x | 0.8x | 2.1x | 2.0x | 2.3x |
| Tax Rate (Reported) | 17.0% | 12.0% | 14.2% | 15.1% | 13.3% |
| Net Debt-to-Equity Ratio | 2.2% | 4.8% | 22.3% | 20.0% | 13.0% |
| Interest Cover | NA | NM | NM | NM | NM |

**Key Metrics**

* For full definitions of *iQmethod*℠ measures, see page 7.

## Company Sector

Semiconductors

## Company Description

Kinsus, founded in 2000, is headquartered in Taiwan and has production facilities in Taiwan (Taoyuan) and in China (Suzhou). The main business is IC substrate manufacturing, with a wide range of product offerings including SiP, FPGA, FCCSP, CSP, RF modules and FCBGA. Its clients include Qualcomm, AMD, NVIDIA, Broadcom, Xilinx, Altera, TI, and MTK etc. The main competitors include Unimicron (3037 TT), NYPCB (8046 TT), Ibiden (4062 JP), Shinko (6967 JP), SEMCO (009150 KS) and AT&S (ATS AV), etc.

## Investment Rationale

We have an Buy rating on Kinsus, in view of its growing traction to AI server market from 2026 mainly via offering the ABF substrate for server CPU. For other businesses, we also recognize the solid growth outlook in BT substrate thanks to the demand from memory chips, while the growth in contact lens business should remain stable.

## Stock Data

| | |
|---|---|
| Price to Book Value | 11.9x |

**Exhibit 1: Earnings estimate change**
We raise 2026-28E EPS by 4-8% after baking in the assumptions of stronger revenue growth and operating leverage

| (NT$mn) | BofA 26 (E) | | | BofA 27 (E) | | | BofA 28 (E) | | |
|---|---|---|---|---|---|---|---|---|---|
| | New | Old | Diff (%) | New | Old | Diff (%) | New | Old | Diff (%) |
| Total sales | 54,119 | 52,495 | 3.1 | 81,332 | 77,520 | 4.9 | 114,156 | 108,635 | 5.1 |
| Gross profit | 14,326 | 13,891 | 3.1 | 26,458 | 25,447 | 4.0 | 42,367 | 40,226 | 5.3 |
| Gross margin | *26.5%* | *26.5%* | 0.0 ppt | *32.5%* | *32.8%* | -0.3 ppt | *37.1%* | *37.0%* | 0.1 ppt |
| Operating profit | 7,545 | 7,240 | 4.2 | 18,050 | 17,149 | 5.3 | 32,534 | 30,672 | 6.1 |
| Operating margin | *13.9%* | *13.8%* | 0.1 ppt | *22.2%* | *22.1%* | 0.1 ppt | *28.5%* | *28.2%* | 0.3 ppt |
| Pretax income | 8,091 | 7,786 | 3.9 | 18,483 | 17,483 | 5.7 | 32,967 | 31,005 | 6.3 |
| Pretax margin | *14.9%* | *14.8%* | 0.1 ppt | *22.7%* | *22.6%* | 0.2 ppt | *28.9%* | *28.5%* | 0.3 ppt |
| Net income | 5,587 | 5,379 | 3.9 | 14,369 | 13,670 | 5.1 | 27,158 | 25,195 | 7.8 |
| Net margin | *10.3%* | *10.2%* | 0.1 ppt | *17.7%* | *17.6%* | 0.0 ppt | *23.8%* | *23.2%* | 0.6 ppt |
| EPS (NT$) | 10.60 | 10.21 | 3.9 | 27.27 | 25.94 | 5.1 | 51.54 | 47.82 | 7.8 |

**Source:** BofA Global Research estimates

BofA GLOBAL RESEARCH

**Exhibit 2: BofAe vs consensus**
We are 11%/14% higher vs consensus for 2027/28E EPS, due mainly to the assumption of stronger operating leverage

| (NT$mn) | 2026E | | | 2027E | | | 2028E | | |
|---|---|---|---|---|---|---|---|---|---|
| | BofAe | Consensus | Diff (%) | BofAe | Consensus | Diff (%) | BofAe | Consensus | Diff (%) |
| Total sales | 54,119 | 53,240 | 1.7 | 81,332 | 79,776 | 2.0 | 114,156 | 116,711 | -2.2 |
| Gross profit | 14,326 | 14,069 | 1.8 | 26,458 | 25,715 | 2.9 | 42,367 | 43,208 | -1.9 |
| Gross margin | *26.5%* | *26.4%* | 0.0 ppt | *32.5%* | *32.2%* | 0.3 ppt | *37.1%* | *37.0%* | 0.1 ppt |
| Operating profit | 7,545 | 7,379 | 2.3 | 18,050 | 16,415 | 10.0 | 32,534 | 29,239 | 11.3 |
| Operating margin | *13.9%* | *13.9%* | 0.1 ppt | *22.2%* | *20.6%* | 1.6 ppt | *28.5%* | *25.1%* | 3.4 ppt |
| Pretax income | 8,091 | 7,665 | 5.6 | 18,483 | 16,682 | 10.8 | 32,967 | 29,481 | 11.8 |
| Pretax margin | *14.9%* | *14.4%* | 0.6 ppt | *22.7%* | *20.9%* | 1.8 ppt | *28.9%* | *25.3%* | 3.6 ppt |
| Net income | 5,587 | 5,384 | 3.8 | 14,369 | 12,957 | 10.9 | 27,158 | 23,777 | 14.2 |
| Net margin | *10.3%* | *10.1%* | 0.2 ppt | *17.7%* | *16.2%* | 1.4 ppt | *23.8%* | *20.4%* | 3.4 ppt |
| EPS (NT$) | 10.60 | 10.22 | 3.8 | 27.27 | 24.59 | 10.9 | 51.54 | 45.13 | 14.2 |

**Source:** BofA Global Research estimates, Bloomberg

BofA GLOBAL RESEARCH

**Exhibit 3: Income statement**
We expect the firm to record ~45% revenue CAGR during 2026-28

| (NT$mn) | 1Q26 | 2Q26 | 3Q26E | 4Q26E | 1Q27E | 2Q27E | 3Q27E | 4Q27E | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Revenue** | **11,105** | **12,496** | **14,540** | **15,979** | **16,656** | **18,943** | **21,756** | **23,976** | **39,351** | **54,119** | **81,332** | **114,156** |
| COGS | -8,755 | -9,235 | -10,504 | -11,299 | -11,608 | -12,859 | -14,580 | -15,826 | -31,037 | -39,794 | -54,874 | -71,788 |
| **Gross Profit** | **2,349** | **3,261** | **4,036** | **4,679** | **5,048** | **6,084** | **7,176** | **8,150** | **8,314** | **14,326** | **26,458** | **42,367** |
| **Operating expenses** | **-1,459** | **-1,581** | **-1,763** | **-1,977** | **-1,922** | **-2,034** | **-2,150** | **-2,303** | **-5,645** | **-6,780** | **-8,409** | **-9,834** |
| SG&A | -886 | -933 | -1,028 | -1,137 | -1,148 | -1,190 | -1,249 | -1,338 | -3,035 | -3,984 | -4,925 | -5,895 |
| R&D | -573 | -649 | -735 | -839 | -774 | -843 | -901 | -965 | -2,610 | -2,797 | -3,483 | -3,938 |
| **Operating income** | **891** | **1,679** | **2,273** | **2,702** | **3,126** | **4,051** | **5,026** | **5,847** | **2,670** | **7,545** | **18,050** | **32,534** |
| **Non-operating income** | **74** | **105** | **183** | **183** | **103** | **103** | **113** | **113** | **417** | **546** | **434** | **434** |
| Interest income | -13 | -13 | -13 | -13 | -13 | -13 | -13 | -13 | -4 | -50 | -50 | -50 |
| Investment income | 6 | 6 | 6 | 6 | 6 | 6 | 6 | 6 | 18 | 23 | 23 | 23 |
| Others | 81 | 112 | 190 | 190 | 110 | 110 | 120 | 120 | 404 | 573 | 461 | 461 |
| **Pre-tax profit** | **964** | **1,784** | **2,456** | **2,886** | **3,230** | **4,154** | **5,139** | **5,960** | **3,087** | **8,091** | **18,483** | **32,967** |
| Tax | -89 | -204 | -393 | -462 | -355 | -665 | -822 | -954 | -370 | -1,148 | -2,796 | -4,390 |
| **Net income** | **1,171** | **2,701** | **2,390** | **2,693** | **3,245** | **3,879** | **5,673** | **5,325** | **1,596** | **5,587** | **14,369** | **27,158** |
| **EPS (NT$)** | **1.17** | **2.49** | **3.21** | **3.86** | **4.85** | **6.10** | **7.51** | **8.81** | **3.51** | **10.60** | **27.27** | **51.54** |
| | | | | | | | | | | | | |
| **Margin** | | | | | | | | | | | | |
| Gross margin | 21.2% | 26.1% | 27.8% | 29.3% | 30.3% | 32.1% | 33.0% | 34.0% | 21.1% | 26.5% | 32.5% | 37.1% |
| Operating margin | 8.0% | 13.4% | 15.6% | 16.9% | 18.8% | 21.4% | 23.1% | 24.4% | 6.8% | 13.9% | 22.2% | 28.5% |
| Pre-tax margin | 8.7% | 14.3% | 16.9% | 18.1% | 19.4% | 21.9% | 23.6% | 24.9% | 7.8% | 14.9% | 22.7% | 28.9% |
| Net margin | 10.5% | 21.6% | 16.4% | 16.9% | 19.5% | 20.5% | 26.1% | 22.2% | 4.1% | 10.3% | 17.7% | 23.8% |
| | | | | | | | | | | | | |
| **QoQ growth** | | | | | | | | | | | | |
| Revenue | 2.7% | 12.5% | 16.4% | 9.9% | 4.2% | 13.7% | 14.9% | 10.2% | | | | |
| Gross profit | -1.8% | 38.8% | 23.8% | 15.9% | 7.9% | 20.5% | 17.9% | 13.6% | | | | |
| Operating profit | -3.3% | 88.5% | 35.4% | 18.9% | 15.7% | 29.6% | 24.1% | 16.3% | | | | |
| Pre-tax profit | -8.6% | 85.0% | 37.7% | 17.5% | 11.9% | 28.6% | 23.7% | 16.0% | | | | |
| Net profit | -3.3% | 130.6% | -11.5% | 12.7% | 20.5% | 19.5% | 46.2% | -6.1% | | | | |
| | | | | | | | | | | | | |
| **YoY growth** | | | | | | | | | | | | |
| Revenue | 28.8% | 30.7% | 40.4% | 47.8% | 50.0% | 51.6% | 49.6% | 50.1% | 28.9% | 37.5% | 50.3% | 40.4% |
| Gross profit | 21.0% | 61.8% | 105.5% | 95.5% | 114.8% | 86.6% | 77.8% | 74.2% | -4.1% | 72.3% | 84.7% | 60.1% |
| Operating profit | 77.7% | 170.8% | 261.9% | 193.5% | 251.0% | 141.3% | 121.1% | 116.3% | 143.7% | 182.6% | 139.2% | 80.2% |
| Pre-tax profit | 37.8% | 188.0% | 244.6% | 173.4% | 234.9% | 132.9% | 109.2% | 106.5% | 92.6% | 162.1% | 128.5% | 78.4% |
| Net profit | -38.2% | 203.3% | 188.2% | 122.3% | 177.1% | 43.6% | 137.4% | 97.8% | 3164.4% | 250.1% | 157.2% | 89.0% |

**Source:** BofA Global Research estimates, company data

## Price objective basis & risk

**Kinsus (KNSUF)**
We set our PO at NT$1,450 based on 35x 2H27-1H28E P/E, which is at mid-to-high-end level in its historical trading range (8-40x) since 2013. In our view, the multiple is backed by ROE and operating margin recovery to 36% and 25% in 2027-28E (vs 8% and 10% in 2025-26E).

Upside risks to our PO are (1) tighter ABF supply, (2) increasing adoption of SiP and AiP, (3) lower competition pressure and (4) slow development of alternative technology.

Downside risks are (1) greater ABF expansion from peers, (2) muted SiP/AiP adoption, (3) more severe competition, and (4) unfavorable technology development.

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**APR - Technology Hardware Coverage Cluster**

| Investment rating | Company | BofA Ticker | Bloomberg symbol | Analyst |
|---|---|---|---|---|
| **BUY** | | | | |
| | AAC Technologies | AACAF | 2018 HK | Katherine Zhu |
| | Advantech | ADTEF | 2395 TT | Robert Cheng |
| | Asia Vital Components | AVMPF | 3017 TT | Doris Kao |
| | Asustek | AKCPF | 2357 TT | Robert Cheng |
| | BizLink | BIZLF | 3665 TT | Doris Kao |
| | Chenbro | CEOMF | 8210 TT | Doris Kao |
| | Cowell | CWLLF | 1415 HK | Katherine Zhu |
| | Crystal-Optech | XMKAF | 002273 CH | Katherine Zhu |
| | Delta Electronics (Thailand) | XLETF | DELTA TB | Suppapong Iemkongaek, CFA, CMT |

**APR - Technology Hardware Coverage Cluster**

| Investment rating | Company | BofA Ticker | Bloomberg symbol | Analyst |
|---|---|---|---|---|
| | Delta Electronics Inc. | DLTEF | 2308 TT | Robert Cheng |
| | Duksan Neolux | XDSXF | 213420 KS | Simon Woo, CFA |
| | Dynamic Holding | XLHCF | 3715 TT | Mike Yang |
| | Elite Material | ETMCF | 2383 TT | Mike Yang |
| | Foxconn Industrial Internet | XDAZF | 601138 CH | Robert Cheng |
| | Goertek | XGKCF | 002241 CH | Katherine Zhu |
| | Gold Circuit | GOCCF | 2368 TT | Doris Kao |
| | Hana Microelectronics | XHNNF | HANA TB | Suppapong Iemkongaek, CFA, CMT |
| | Hon Hai Precision Industry | HNHAF | 2317 TT | Robert Cheng |
| | Huaqin | XHUAF | 603296 CH | Katherine Zhu |
| | Huaqin | XPEZF | 3296 HK | Katherine Zhu |
| | ISU Petasys | IPTYF | 007660 KS | Matt Shin |
| | Jentech | XVFSF | 3653 TT | Doris Kao |
| | KCE Electronics | XKKRF | KCE TB | Suppapong Iemkongaek, CFA, CMT |
| | King Slide | KGSLF | 2059 TT | Doris Kao |
| | Kingboard Laminates | KGBLF | 1888 HK | Katherine Zhu |
| | Kinsus | KNSUF | 3189 TT | Mike Yang |
| | Largan Precision | LGANF | 3008 TT | Robert Cheng |
| | Lenovo Group | LNVGF | 992 HK | Robert Cheng |
| | Lenovo Group | LNVGY | LNVGY US | Robert Cheng |
| | Lens Tech | XLTVF | 6613 HK | Katherine Zhu |
| | LG CNS | XLGLF | 064400 KS | Simon Woo, CFA |
| | LG Electronics | LGEAF | 066570 KS | Simon Woo, CFA |
| | LG Innotek | XLGQF | 011070 KS | Simon Woo, CFA |
| | Lotes | ZYZTF | 3533 TT | Doris Kao |
| | Luxshare | XNJQF | 002475 CH | Katherine Zhu |
| | Netweb Technologies | XNTZF | NETWEB IN | Jatin Kalra, CFA |
| | NYPCB | NANYF | 8046 TT | Mike Yang |
| | Quanta Computer | QUCPF | 2382 TT | Robert Cheng |
| | Samsung Electro-Mechanics | SMSGF | 009150 KS | Simon Woo, CFA |
| | Samsung SDI | SSDIF | 006400 KS | Simon Woo, CFA |
| | Samsung SDS | XWPBF | 018260 KS | Simon Woo, CFA |
| | Shennan Circuits | XAMKF | 002916 CH | Katherine Zhu |
| | Taiwan Union Technology Corporation | TWUNF | 6274 TT | Mike Yang |
| | Unimicron | UMCRF | 3037 TT | Mike Yang |
| | Universal Display | OLED | OLED US | Simon Woo, CFA |
| | Victory Giant | XENEF | 300476 CH | Katherine Zhu |
| | Wistron | WICOF | 3231 TT | Doris Kao |
| | Wiwynn | XWIQF | 6669 TT | Robert Cheng |
| | Xiaomi Corporation | XIACF | 1810 HK | Robert Cheng |
| | Yageo | YGEQF | 2327 TT | Robert Cheng |
| | Zhen Ding Tech | XFAGF | 4958 TT | Doris Kao |
| | Zhongji Innolight | XZICF | 300308 CH | Katherine Zhu |
| **NEUTRAL** | | | | |
| | Auras Technology | AUTCF | 3324 TT | Doris Kao |
| | BYD Electronic | BYDIF | 285 HK | Katherine Zhu |
| | DS Precision | XBASF | 002384 CH | Katherine Zhu |
| | E Ink Holdings | PVWIF | 8069 TT | Doris Kao |
| | Lite-On Tech | LOTZF | 2301 TT | Doris Kao |
| | Sunny Optical | SNPTF | 2382 HK | Katherine Zhu |
| **UNDERPERFORM** | | | | |
| | Acer | ASIYF | 2353 TT | Robert Cheng |
| | Catcher Tech | CHERF | 2474 TT | Robert Cheng |
| | Compal Electron | XLCPF | 2324 TT | Doris Kao |
| | Everwin Precision | XSHZF | 300115 CH | Katherine Zhu |
| | Genius Electronic Optical | GNSEF | 3406 TT | Robert Cheng |
| | Lens Tech | XLTGF | 300433 CH | Katherine Zhu |
| | LG Display | LPHLF | 034220 KS | Simon Woo, CFA |
| | LG Display-ADR | LPL | LPL US | Simon Woo, CFA |
| | Pegatron | PGTRF | 4938 TT | Robert Cheng |
| | Sanan Opto | XEQYF | 600703 CH | Katherine Zhu |
| | Seoul Semiconductor | SLSOF | 046890 KS | Simon Woo, CFA |
| | Shengyi | DGUNF | 600183 CH | Mike Yang |
| | Sunway Communications | XWSVF | 300136 CH | Katherine Zhu |

**APR - Technology Hardware Coverage Cluster**

| Investment rating | Company | BofA Ticker | Bloomberg symbol | Analyst |
|---|---|---|---|---|
| | Transsion | XCINF | 688036 CH | Robert Cheng |
| | ZTE Corporation | SHZZF | 000063 CH | Katherine Zhu |
| | ZTE Corporation | ZTCOF | 763 HK | Katherine Zhu |

## iQmethod℠ Measures Definitions

| Business Performance | Numerator | Denominator |
|---|---|---|
| Return On Capital Employed | NOPAT = (EBIT + Interest Income) × (1 − Tax Rate) + Goodwill Amortization | Total Assets − Current Liabilities + ST Debt + Accumulated Goodwill Amortization |
| Return On Equity | Net Income | Shareholders' Equity |
| Operating Margin | Operating Profit | Sales |
| Earnings Growth | Expected 5 Year CAGR From Latest Actual | N/A |
| Free Cash Flow | Cash Flow From Operations − Total Capex | N/A |

| Quality of Earnings | Numerator | Denominator |
|---|---|---|
| Cash Realization Ratio | Cash Flow From Operations | Net Income |
| Asset Replacement Ratio | Capex | Depreciation |
| Tax Rate | Tax Charge | Pre-Tax Income |
| Net Debt-To-Equity Ratio | Net Debt = Total Debt − Cash & Equivalents | Total Equity |
| Interest Cover | EBIT | Interest Expense |

| Valuation Toolkit | Numerator | Denominator |
|---|---|---|
| Price / Earnings Ratio | Current Share Price | Diluted Earnings Per Share (Basis As Specified) |
| Price / Book Value | Current Share Price | Shareholders' Equity / Current Basic Shares |
| Dividend Yield | Annualised Declared Cash Dividend | Current Share Price |
| Free Cash Flow Yield | Cash Flow From Operations − Total Capex | Market Cap = Current Share Price × Current Basic Shares |
| Enterprise Value / Sales | EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities | Sales |
| EV / EBITDA | Enterprise Value | Basic EBIT + Depreciation + Amortization |

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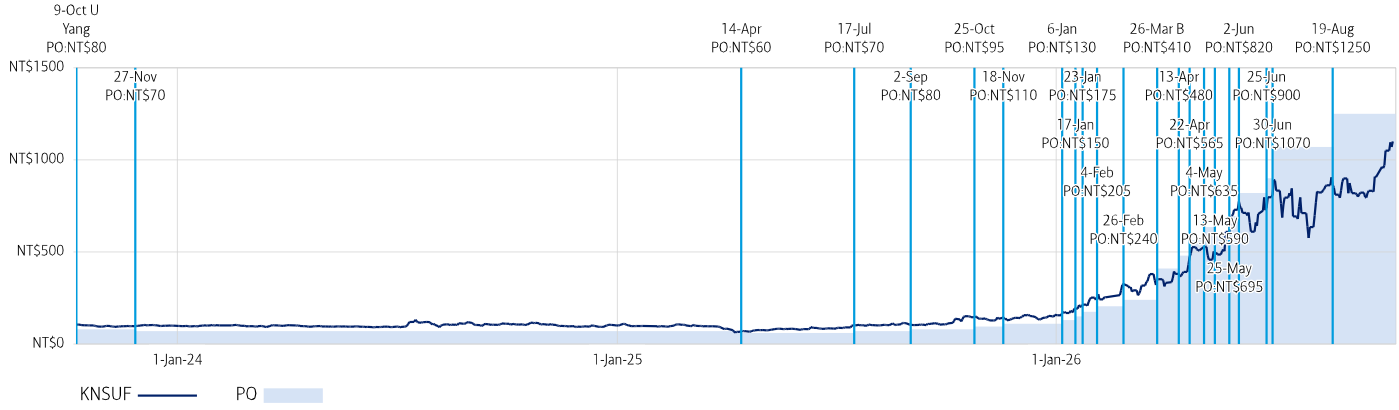
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**Kinsus (KNSUF) Price Chart**




B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

**Equity Investment Rating Distribution: Technology Group (as of 30 Sep 2026)**

| Coverage Universe | Count | Percent | Inv. Banking Relationships [R1] | Count | Percent |
|---|---|---|---|---|---|
| Buy | 255 | 62.04% | Buy | 157 | 61.57% |
| Hold | 82 | 19.95% | Hold | 46 | 56.10% |
| Sell | 74 | 18.00% | Sell | 31 | 41.89% |

**Equity Investment Rating Distribution: Global Group (as of 30 Sep 2026)**

| Coverage Universe | Count | Percent | Inv. Banking Relationships [R1] | Count | Percent |
|---|---|---|---|---|---|
| Buy | 2057 | 57.03% | Buy | 1386 | 67.38% |
| Hold | 806 | 22.35% | Hold | 563 | 69.85% |
| Sell | 744 | 20.63% | Sell | 446 | 59.95% |

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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| Investment rating | Total return expectation (within 12-month period of date of initial rating) | Ratings dispersion guidelines for coverage cluster[R2] |
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| Neutral | ≥ 0% | ≤ 30% |
| Underperform | N/A | ≥ 20% |

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BofA SECURITIES

# Unimicron

# Extending capacity plan for ABF substrate and better margins in PCB/HDI; Buy

**Reiterate Rating: BUY | PO: 1,650 TWD | Price: 1,270 TWD**

## Raise PO along with the hike in estimates

We raise 2026/27/28E EPS by 5%/12%/10% after baking in a strengthened margin profile, partly thanks to further improved GM (gross margin) in PCB (printed circuit board) and HDI (high density interconnect) business. Our PO goes to NT$1,650 (was NT$1,400) same based on 35x 2H27-1H28E P/E. Reiterate Buy on Unimicron in view of its structurally growing exposure to AI-related (artificial intelligence) products, which in turn bolsters its GM profile in longer-term.

## Land acquisition to back long-term capacity growth

Unimicron announced that it bought a land/building located in Hukuo (Hsinchu) from Bridgestone Taiwan, with the amount of NT$10.1bn. Our check with the company suggests that such property will be used for further capacity expansion beyond its YM (Yangmei) site, but the timing for output will only take place in 2030 at earliest. Of note, the company will expand 30+% of its ABF (Ajinomoto build-up film) capacity in 2027 via the KF2 (KuangFu 2) plant, and there will be YM3 capacity coming on stream in 2029 after the expansion YM2 in 2028 backed by 5-year LTA (long-term agreement). For 2027/28 capex, currently we expect to reach NT$40+bn each year.

## Rosier margin outlook in PCB/HDI business

Unimicron is one of the major (if not biggest) PCB suppliers to high-end (see report) optical module, where demand growth is expected to remain robust coupled with spec upgrades in the upcoming years. Management cites such business carries 30+% GM currently, while the number by AI HDI in China production lines is moving closer to peers' level. Yet, the PCB/HDI lines in Taiwan still carry lower GM. Currently, we assume its GM in HDI business to reach 20+% from mid-2027, along with the continuous yield/output improvements.

| Estimates (Dec) (NT$) | 2024A | 2025A | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|
| Net Income (Adjusted - mn) | 5,082 | 6,673 | 33,655 | 59,007 | 102,959 |
| EPS | 3.34 | 4.38 | 21.18 | 37.14 | 64.80 |
| EPS Change (YoY) | -57.6% | 31.1% | 383.5% | 75.3% | 74.5% |
| Consensus EPS (Visible Alpha) | | | 21.07 | 40.12 | 66.29 |
| Dividend / Share | 1.50 | 2.00 | 10.60 | 18.60 | 32.40 |
| Free Cash Flow / Share | (10.15) | (6.13) | 0.408 | 18.97 | 47.72 |
| **Valuation (Dec)** | | | | | |
| P/E | 380.16x | 289.90x | 59.96x | 34.20x | 19.60x |
| Dividend Yield | 0.118% | 0.157% | 0.835% | 1.46% | 2.55% |
| EV / EBITDA* | 92.49x | 183.55x | 37.60x | 19.45x | 12.12x |
| Free Cash Flow Yield* | -0.741% | -0.448% | 0.031% | 1.45% | 3.64% |

* For full definitions of *IQmethod*℠ measures, see page 7.

**10 October 2026**

Equity

### Key Changes

| (NT$) | Previous | Current |
|---|---|---|
| Price Obj. | 1,400.00 | 1,650.00 |
| 2026E EPS | 19.82 | 21.18 |
| 2027E EPS | 32.47 | 37.14 |
| 2028E EPS | 58.31 | 64.80 |
| 2026E EBITDA (m) | 51,917.0 | 54,970.7 |
| 2027E EBITDA (m) | 95,335.5 | 106,251.2 |
| 2028E EBITDA (m) | 154,524.1 | 170,496.9 |

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### Stock Data

| | |
|---|---|
| Price | 1,270 TWD |
| Price Objective | 1,650 TWD |
| Date Established | 10-Oct-2026 |
| Investment Opinion | C-1-7 |
| 52-Week Range | 144.87 TWD-1,420 TWD |
| Mrkt Val / Shares Out (mn) | 65,281 USD / 1,641.3 |
| Market Value (mn) | 2,084,440 TWD |
| Average Daily Value (mn) | 828.37 USD |
| Free Float | 83.6% |
| BofA Ticker / Exchange | UMCRF / TAI |
| Bloomberg / Reuters | 3037 TT / 3037.TW |
| ROE (2026E) | 27.5% |
| Net Dbt to Eqty (Dec-2025A) | -18.7% |

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# *iQprofile*℠ Unimicron

| Key Income Statement Data (Dec) | 2024A | 2025A | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|
| **(NT$ Millions)** | | | | | |
| Sales | 115,373 | 131,241 | 192,526 | 277,718 | 395,444 |
| Gross Profit | 16,315 | 18,292 | 51,010 | 99,431 | 164,126 |
| Sell General & Admin Expense | (6,156) | (6,619) | (9,078) | (9,895) | (11,292) |
| Operating Profit | 5,117 | 6,674 | 34,920 | 81,615 | 143,133 |
| Net Interest & Other Income | 2,204 | 2,153 | 8,794 | 1,453 | 1,553 |
| Associates | NA | NA | NA | NA | NA |
| Pretax Income | 7,321 | 8,827 | 43,714 | 83,067 | 144,685 |
| Tax (expense) / Benefit | (1,765) | (1,277) | (7,520) | (16,861) | (29,199) |
| Net Income (Adjusted) | 5,082 | 6,673 | 33,655 | 59,007 | 102,959 |
| Average Fully Diluted Shares Outstanding | 1,521 | 1,523 | 1,589 | 1,589 | 1,589 |
| **Key Cash Flow Statement Data** | | | | | |
| Net Income | 5,082 | 6,673 | 33,655 | 59,007 | 102,959 |
| Depreciation & Amortization | 17,231 | 4,587 | 20,051 | 24,636 | 27,364 |
| Change in Working Capital | (5,229) | (4,449) | (12,952) | (17,996) | (24,875) |
| Deferred Taxation Charge | NA | NA | NA | NA | NA |
| Other Adjustments, Net | (6,791) | 8,156 | 13,595 | 7,003 | 12,883 |
| Cash Flow from Operations | 10,294 | 14,967 | 54,349 | 72,650 | 118,331 |
| Capital Expenditure | (25,735) | (24,307) | (53,700) | (42,500) | (42,500) |
| (Acquisition) / Disposal of Investments | (3,050) | 1,730 | 0 | 0 | 0 |
| Other Cash Inflow / (Outflow) | (445) | (440) | 0 | 0 | 0 |
| Cash Flow from Investing | (29,230) | (23,018) | (53,700) | (42,500) | (42,500) |
| Shares Issue / (Repurchase) | 0 | 2,150 | 0 | 0 | 0 |
| Cost of Dividends Paid | (4,575) | (2,295) | (3,178) | (16,843) | (29,555) |
| Cash Flow from Financing | 8,336 | 19,073 | (3,178) | (16,843) | (29,555) |
| Free Cash Flow | (15,441) | (9,340) | 649 | 30,150 | 75,831 |
| Net Debt | (14,657) | (20,008) | (17,479) | (30,786) | (77,063) |
| Change in Net Debt | 22,021 | 3,162 | 2,529 | (13,307) | (46,277) |
| **Key Balance Sheet Data** | | | | | |
| Property, Plant & Equipment | 120,536 | 125,866 | 159,515 | 177,379 | 192,515 |
| Other Non-Current Assets | 23,442 | 24,628 | 29,169 | 29,169 | 29,169 |
| Trade Receivables | 23,617 | 27,570 | 40,444 | 58,340 | 83,071 |
| Cash & Equivalents | 43,753 | 54,872 | 52,343 | 65,650 | 111,926 |
| Other Current Assets | 19,499 | 22,856 | 27,358 | 33,154 | 41,512 |
| Total Assets | 230,847 | 255,792 | 308,829 | 363,691 | 458,193 |
| Long-Term Debt | 21,909 | 24,019 | 24,019 | 24,019 | 24,019 |
| Other Non-Current Liabilities | NA | NA | NA | NA | NA |
| Short-Term Debt | 7,188 | 10,845 | 10,845 | 10,845 | 10,845 |
| Other Current Liabilities | 102,163 | 113,921 | 136,481 | 149,179 | 170,277 |
| Total Liabilities | 131,260 | 148,785 | 171,345 | 184,043 | 205,140 |
| Total Equity | 99,587 | 107,007 | 137,484 | 179,648 | 253,052 |
| Total Equity & Liabilities | 230,847 | 255,792 | 308,829 | 363,691 | 458,193 |
| ***iQ***method℠ **- Bus Performance*** | | | | | |
| Return On Capital Employed | 3.2% | 4.2% | 18.4% | 33.6% | 45.5% |
| Return On Equity | 5.2% | 6.5% | 27.5% | 37.2% | 47.6% |
| Operating Margin | 4.4% | 5.1% | 18.1% | 29.4% | 36.2% |
| EBITDA Margin | 19.4% | 8.6% | 28.6% | 38.3% | 43.1% |
| ***iQ***method℠ **- Quality of Earnings*** | | | | | |
| Cash Realization Ratio | 2.0x | 2.2x | 1.6x | 1.2x | 1.1x |
| Asset Replacement Ratio | 1.5x | 5.3x | 2.7x | 1.7x | 1.6x |
| Tax Rate (Reported) | 24.1% | 14.5% | 17.2% | 20.3% | 20.2% |
| Net Debt-to-Equity Ratio | -14.7% | -18.7% | -12.7% | -17.1% | -30.5% |
| Interest Cover | 4.0x | 5.2x | 27.4x | NM | NM |

**Key Metrics**

* For full definitions of *iQmethod*℠ measures, see page 7.

## Company Sector

Electronics

## Company Description

Unimicron (3037 TT) was founded in 1990 and listed on the Taiwan Stock Exchange in 1998. The firm manufactures a wide range of PCB and IC substrates for consumer electronics, industrial, and automotive. It is also the leading ABF supplier globally. The company merged with Phoenix Precision Technology (PPT, delisted) in 2009 and expanded its exposure in the IC substrate business. UMC is the biggest shareholder in Unimicron with a 13.3% stake.

## Investment Rationale

We have a Buy rating on Unimicron in view of strong demand from AI accelerators (especially ASICs), which we expect to boost the utilization rate of the ABF substrate business from 2H26, in turn bolstering the company's margin profile and profitability going into 2027.

## Stock Data

| | |
|---|---|
| Price to Book Value | 15.2x |

**Exhibit 1: Earnings estimate change**
We raise 2026-28E EPS by 7-14% after baking in the assumptions of stronger revenue growth and operating leverage

| (NT$mn) | BofA 26 (E) | | | BofA 27 (E) | | | BofA 28 (E) | | |
|---|---|---|---|---|---|---|---|---|---|
| | New | Old | Diff (%) | New | Old | Diff (%) | New | Old | Diff (%) |
| Total sales | 192,526 | 188,122 | 2.3 | 277,718 | 266,337 | 4.3 | 395,444 | 376,002 | 5.2 |
| Gross profit | 51,010 | 47,910 | 6.5 | 99,431 | 88,961 | 11.8 | 164,126 | 149,767 | 9.6 |
| Gross margin | *26.5%* | *25.5%* | 1.0 ppt | *35.8%* | *33.4%* | 2.4 ppt | *41.5%* | *39.8%* | 1.7 ppt |
| Operating profit | 34,920 | 31,866 | 9.6 | 81,615 | 71,116 | 14.8 | 143,133 | 128,688 | 11.2 |
| Operating margin | *18.1%* | *16.9%* | 1.2 ppt | *29.4%* | *26.7%* | 2.7 ppt | *36.2%* | *34.2%* | 2.0 ppt |
| Pretax income | 43,714 | 40,660 | 7.5 | 83,067 | 72,569 | 14.5 | 144,685 | 130,241 | 11.1 |
| Pretax margin | *22.7%* | *21.6%* | 1.1 ppt | *29.9%* | *27.2%* | 2.7 ppt | *36.6%* | *34.6%* | 1.9 ppt |
| Net income | 33,655 | 31,487 | 6.9 | 59,007 | 51,600 | 14.4 | 102,959 | 92,653 | 11.1 |
| Net margin | *17.5%* | *16.7%* | 0.7 ppt | *21.2%* | *19.4%* | 1.9 ppt | *26.0%* | *24.6%* | 1.4 ppt |
| EPS (NT$) | 21.18 | 19.82 | 6.9 | 37.14 | 32.47 | 14.4 | 64.80 | 58.31 | 11.1 |

**Source:** BofA Global Research estimates

BofA GLOBAL RESEARCH

**Exhibit 2: BofAe vs consensus**
We are 8-10% lower vs consensus for 2027-28E EPS, given the assumption of higher tax rate

| (NT$mn) | 2026E | | | 2027E | | | 2028E | | |
|---|---|---|---|---|---|---|---|---|---|
| | BofAe | Consensus | Diff (%) | BofAe | Consensus | Diff (%) | BofAe | Consensus | Diff (%) |
| Total sales | 192,526 | 184,975 | 4.1 | 277,718 | 277,398 | 0.1 | 395,444 | 383,627 | 3.1 |
| Gross profit | 51,010 | 47,946 | 6.4 | 99,431 | 100,207 | -0.8 | 164,126 | 160,448 | 2.3 |
| Gross margin | *26.5%* | *25.9%* | 0.6 ppt | *35.8%* | *36.1%* | -0.3 ppt | *41.5%* | *41.8%* | -0.3 ppt |
| Operating profit | 34,920 | 31,138 | 12.1 | 81,615 | 78,728 | 3.7 | 143,133 | 137,324 | 4.2 |
| Operating margin | *18.1%* | *16.8%* | 1.3 ppt | *29.4%* | *28.4%* | 1.0 ppt | *36.2%* | *35.8%* | 0.4 ppt |
| Pretax income | 43,714 | 42,401 | 3.1 | 83,067 | 80,896 | 2.7 | 144,685 | 135,972 | 6.4 |
| Pretax margin | *22.7%* | *22.9%* | -0.2 ppt | *29.9%* | *29.2%* | 0.7 ppt | *36.6%* | *35.4%* | 1.1 ppt |
| Net income | 33,655 | 34,238 | -1.7 | 59,007 | 65,190 | -9.5 | 102,959 | 112,125 | -8.2 |
| Net margin | *17.5%* | *18.5%* | -1.0 ppt | *21.2%* | *23.5%* | -2.3 ppt | *26.0%* | *29.2%* | -3.2 ppt |
| EPS (NT$) | 21.18 | 21.55 | -1.7 | 37.14 | 41.03 | -9.5 | 64.80 | 70.57 | -8.2 |

**Source:** BofA Global Research estimates, Bloomberg

BofA GLOBAL RESEARCH

**Exhibit 3: Income statement**
We expect the firm to record 40+% revenue CAGR during 2026-28

| (NT$mn) | 1Q26 | 2Q26 | 3Q26E | 4Q26E | 1Q27E | 2Q27E | 3Q27E | 4Q27E | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Revenue** | **37,446** | **42,890** | **52,652** | **59,538** | **61,359** | **65,132** | **72,195** | **79,032** | **131,241** | **192,526** | **277,718** | **395,444** |
| COGS | -30,720 | -32,252 | -37,761 | -40,783 | -42,083 | -42,908 | -45,565 | -47,731 | -112,949 | -141,516 | -178,286 | -231,318 |
| **Gross Profit** | **6,726** | **10,638** | **14,891** | **18,755** | **19,277** | **22,224** | **26,630** | **31,301** | **18,292** | **51,010** | **99,431** | **164,126** |
| **Operating expenses** | **-3,969** | **-3,987** | **-4,051** | **-4,083** | **-4,124** | **-4,368** | **-4,539** | **-4,786** | **-11,618** | **-16,090** | **-17,817** | **-20,993** |
| SG&A | -2,382 | -2,130 | -2,252 | -2,314 | -2,299 | -2,418 | -2,515 | -2,663 | -6,619 | -9,078 | -9,895 | -11,292 |
| R&D | -1,587 | -1,857 | -1,799 | -1,769 | -1,825 | -1,950 | -2,024 | -2,123 | -4,999 | -7,012 | -7,922 | -9,702 |
| **Operating income** | **2,757** | **6,651** | **10,840** | **14,672** | **15,153** | **17,856** | **22,091** | **26,515** | **6,674** | **34,920** | **81,615** | **143,133** |
| **Non-operating income** | **3,542** | **8,925** | **-4,137** | **463** | **1,413** | **1,413** | **-687** | **-687** | **2,153** | **8,794** | **1,453** | **1,553** |
| Interest income | -319 | -319 | -319 | -319 | -319 | -319 | -319 | -319 | -1,287 | -1,274 | -1,274 | -1,274 |
| Investment income | -10 | 9,150 | -4,600 | 0 | 0 | 0 | 0 | 0 | -50 | 4,540 | 0 | 0 |
| Others | 3,870 | 94 | 782 | 782 | 1,732 | 1,732 | -368 | -368 | 3,489 | 5,527 | 2,727 | 2,827 |
| **Pre-tax profit** | **6,299** | **15,576** | **6,703** | **15,135** | **16,566** | **19,269** | **21,404** | **25,828** | **8,827** | **43,714** | **83,067** | **144,685** |
| Tax | -918 | -2,234 | -1,341 | -3,027 | -2,485 | -3,468 | -4,709 | -6,199 | -1,277 | -7,520 | -16,861 | -29,199 |
| **Net income** | **5,043** | **13,115** | **4,779** | **10,718** | **12,711** | **14,207** | **14,832** | **17,257** | **6,673** | **33,655** | **59,007** | **102,959** |
| **EPS (NT$)** | **3.28** | **8.53** | **3.01** | **6.75** | **8.00** | **8.94** | **9.33** | **10.86** | **4.38** | **21.18** | **37.14** | **64.80** |
| **Margin** | | | | | | | | | | | | |
| Gross margin | 18.0% | 24.8% | 28.3% | 31.5% | 31.4% | 34.1% | 36.9% | 39.6% | 13.9% | 26.5% | 35.8% | 41.5% |
| Operating margin | 7.4% | 15.5% | 20.6% | 24.6% | 24.7% | 27.4% | 30.6% | 33.6% | 5.1% | 18.1% | 29.4% | 36.2% |
| Pre-tax margin | 16.8% | 36.3% | 12.7% | 25.4% | 27.0% | 29.6% | 29.6% | 32.7% | 6.7% | 22.7% | 29.9% | 36.6% |
| Net margin | 13.5% | 30.6% | 9.1% | 18.0% | 20.7% | 21.8% | 20.5% | 21.8% | 5.1% | 17.5% | 21.2% | 26.0% |
| **QoQ growth** | | | | | | | | | | | | |
| Revenue | 7.9% | 14.5% | 22.8% | 13.1% | 3.1% | 6.1% | 10.8% | 9.5% | | | | |
| Gross profit | 22.9% | 58.2% | 40.0% | 25.9% | 2.8% | 15.3% | 19.8% | 17.5% | | | | |
| Operating profit | 16.5% | 141.3% | 63.0% | 35.3% | 3.3% | 17.8% | 23.7% | 20.0% | | | | |
| Pre-tax profit | 51.8% | 147.3% | -57.0% | 125.8% | 9.5% | 16.3% | 11.1% | 20.7% | | | | |
| Net profit | 42.7% | 160.1% | -63.6% | 124.2% | 18.6% | 11.8% | 4.4% | 16.3% | | | | |
| **YoY growth** | | | | | | | | | | | | |
| Revenue | 24.5% | 32.1% | 54.9% | 71.6% | 63.9% | 51.9% | 37.1% | 32.7% | 13.8% | 46.7% | 44.2% | 42.4% |
| Gross profit | 67.1% | 150.6% | 227.4% | 242.7% | 186.6% | 108.9% | 78.8% | 66.9% | 12.1% | 178.9% | 94.9% | 65.1% |
| Operating profit | 117.6% | 340.6% | 607.3% | 520.2% | 449.7% | 168.5% | 103.8% | 80.7% | 30.4% | 423.2% | 133.7% | 75.4% |
| Pre-tax profit | 358.6% | 4266.1% | 127.5% | 264.7% | 163.0% | 23.7% | 219.3% | 70.6% | 20.6% | 395.2% | 90.0% | 74.2% |
| Net profit | 451.4% | 44196.8% | 117.8% | 203.2% | 152.1% | 8.3% | 210.3% | 61.0% | 31.3% | 404.3% | 75.3% | 74.5% |

**Source:** BofA Global Research estimates, company data

## Price objective basis & risk

**Unimicron (UMCRF)**
Our PO of NT$1,650 is based on 35x 2H27-1H28E, which is roughly 1 standard deviation above the historical average of 20x since 2017. In our view, the multiple is appropriate, as we expect Unimicron's earnings to be supported by its high-end technology offerings, where end market demand seems more resilient.

Upside risks are (1) tighter ABF supply, (2) greater PC and regular server demand, and (3) lower competition pressure.

Downside risks are (1) greater ABF expansion from peers, (2) lower ASP content increase at AI server, and (3) bigger drop in the demand of consumer electronic products.

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**APR - Technology Hardware Coverage Cluster**

| Investment rating | Company | BofA Ticker | Bloomberg symbol | Analyst |
|---|---|---|---|---|
| **BUY** | | | | |
| | AAC Technologies | AACAF | 2018 HK | Katherine Zhu |
| | Advantech | ADTEF | 2395 TT | Robert Cheng |
| | Asia Vital Components | AVMPF | 3017 TT | Doris Kao |
| | Asustek | AKCPF | 2357 TT | Robert Cheng |
| | BizLink | BIZLF | 3665 TT | Doris Kao |
| | Chenbro | CEOMF | 8210 TT | Doris Kao |
| | Cowell | CWLLF | 1415 HK | Katherine Zhu |
| | Crystal-Optech | XMKAF | 002273 CH | Katherine Zhu |
| | Delta Electronics (Thailand) | XLETF | DELTA TB | Suppapong Iemkongaek, CFA, CMT |

**APR - Technology Hardware Coverage Cluster**

| Investment rating | Company | BofA Ticker | Bloomberg symbol | Analyst |
|---|---|---|---|---|
| | Delta Electronics Inc. | DLTEF | 2308 TT | Robert Cheng |
| | Duksan Neolux | XDSXF | 213420 KS | Simon Woo, CFA |
| | Dynamic Holding | XLHCF | 3715 TT | Mike Yang |
| | Elite Material | ETMCF | 2383 TT | Mike Yang |
| | Foxconn Industrial Internet | XDAZF | 601138 CH | Robert Cheng |
| | Goertek | XGKCF | 002241 CH | Katherine Zhu |
| | Gold Circuit | GOCCF | 2368 TT | Doris Kao |
| | Hana Microelectronics | XHNNF | HANA TB | Suppapong Iemkongaek, CFA, CMT |
| | Hon Hai Precision Industry | HNHAF | 2317 TT | Robert Cheng |
| | Huaqin | XHUAF | 603296 CH | Katherine Zhu |
| | Huaqin | XPEZF | 3296 HK | Katherine Zhu |
| | ISU Petasys | IPTYF | 007660 KS | Matt Shin |
| | Jentech | XVFSF | 3653 TT | Doris Kao |
| | KCE Electronics | XKKRF | KCE TB | Suppapong Iemkongaek, CFA, CMT |
| | King Slide | KGSLF | 2059 TT | Doris Kao |
| | Kingboard Laminates | KGBLF | 1888 HK | Katherine Zhu |
| | Kinsus | KNSUF | 3189 TT | Mike Yang |
| | Largan Precision | LGANF | 3008 TT | Robert Cheng |
| | Lenovo Group | LNVGF | 992 HK | Robert Cheng |
| | Lenovo Group | LNVGY | LNVGY US | Robert Cheng |
| | Lens Tech | XLTVF | 6613 HK | Katherine Zhu |
| | LG CNS | XLGLF | 064400 KS | Simon Woo, CFA |
| | LG Electronics | LGEAF | 066570 KS | Simon Woo, CFA |
| | LG Innotek | XLGQF | 011070 KS | Simon Woo, CFA |
| | Lotes | ZYZTF | 3533 TT | Doris Kao |
| | Luxshare | XNJQF | 002475 CH | Katherine Zhu |
| | Netweb Technologies | XNTZF | NETWEB IN | Jatin Kalra, CFA |
| | NYPCB | NANYF | 8046 TT | Mike Yang |
| | Quanta Computer | QUCPF | 2382 TT | Robert Cheng |
| | Samsung Electro-Mechanics | SMSGF | 009150 KS | Simon Woo, CFA |
| | Samsung SDI | SSDIF | 006400 KS | Simon Woo, CFA |
| | Samsung SDS | XWPBF | 018260 KS | Simon Woo, CFA |
| | Shennan Circuits | XAMKF | 002916 CH | Katherine Zhu |
| | Taiwan Union Technology Corporation | TWUNF | 6274 TT | Mike Yang |
| | Unimicron | UMCRF | 3037 TT | Mike Yang |
| | Universal Display | OLED | OLED US | Simon Woo, CFA |
| | Victory Giant | XENEF | 300476 CH | Katherine Zhu |
| | Wistron | WICOF | 3231 TT | Doris Kao |
| | Wiwynn | XWIQF | 6669 TT | Robert Cheng |
| | Xiaomi Corporation | XIACF | 1810 HK | Robert Cheng |
| | Yageo | YGEQF | 2327 TT | Robert Cheng |
| | Zhen Ding Tech | XFAGF | 4958 TT | Doris Kao |
| | Zhongji Innolight | XZICF | 300308 CH | Katherine Zhu |
| **NEUTRAL** | | | | |
| | Auras Technology | AUTCF | 3324 TT | Doris Kao |
| | BYD Electronic | BYDIF | 285 HK | Katherine Zhu |
| | DS Precision | XBASF | 002384 CH | Katherine Zhu |
| | E Ink Holdings | PVWIF | 8069 TT | Doris Kao |
| | Lite-On Tech | LOTZF | 2301 TT | Doris Kao |
| | Sunny Optical | SNPTF | 2382 HK | Katherine Zhu |
| **UNDERPERFORM** | | | | |
| | Acer | ASIYF | 2353 TT | Robert Cheng |
| | Catcher Tech | CHERF | 2474 TT | Robert Cheng |
| | Compal Electron | XLCPF | 2324 TT | Doris Kao |
| | Everwin Precision | XSHZF | 300115 CH | Katherine Zhu |
| | Genius Electronic Optical | GNSEF | 3406 TT | Robert Cheng |
| | Lens Tech | XLTGF | 300433 CH | Katherine Zhu |
| | LG Display | LPHLF | 034220 KS | Simon Woo, CFA |
| | LG Display-ADR | LPL | LPL US | Simon Woo, CFA |
| | Pegatron | PGTRF | 4938 TT | Robert Cheng |
| | Sanan Opto | XEQYF | 600703 CH | Katherine Zhu |
| | Seoul Semiconductor | SLSOF | 046890 KS | Simon Woo, CFA |
| | Shengyi | DGUNF | 600183 CH | Mike Yang |
| | Sunway Communications | XWSVF | 300136 CH | Katherine Zhu |

**APR - Technology Hardware Coverage Cluster**

| Investment rating | Company | BofA Ticker | Bloomberg symbol | Analyst |
|---|---|---|---|---|
| | Transsion | XCINF | 688036 CH | Robert Cheng |
| | ZTE Corporation | SHZZF | 000063 CH | Katherine Zhu |
| | ZTE Corporation | ZTCOF | 763 HK | Katherine Zhu |

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| Business Performance | Numerator | Denominator |
|---|---|---|
| Return On Capital Employed | NOPAT = (EBIT + Interest Income) × (1 − Tax Rate) + Goodwill Amortization | Total Assets − Current Liabilities + ST Debt + Accumulated Goodwill Amortization |
| Return On Equity | Net Income | Shareholders' Equity |
| Operating Margin | Operating Profit | Sales |
| Earnings Growth | Expected 5 Year CAGR From Latest Actual | N/A |
| Free Cash Flow | Cash Flow From Operations − Total Capex | N/A |

| Quality of Earnings | Numerator | Denominator |
|---|---|---|
| Cash Realization Ratio | Cash Flow From Operations | Net Income |
| Asset Replacement Ratio | Capex | Depreciation |
| Tax Rate | Tax Charge | Pre-Tax Income |
| Net Debt-To-Equity Ratio | Net Debt = Total Debt − Cash & Equivalents | Total Equity |
| Interest Cover | EBIT | Interest Expense |

| Valuation Toolkit | Numerator | Denominator |
|---|---|---|
| Price / Earnings Ratio | Current Share Price | Diluted Earnings Per Share (Basis As Specified) |
| Price / Book Value | Current Share Price | Shareholders' Equity / Current Basic Shares |
| Dividend Yield | Annualised Declared Cash Dividend | Current Share Price |
| Free Cash Flow Yield | Cash Flow From Operations − Total Capex | Market Cap = Current Share Price × Current Basic Shares |
| Enterprise Value / Sales | EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities | Sales |
| EV / EBITDA | Enterprise Value | Basic EBIT + Depreciation + Amortization |

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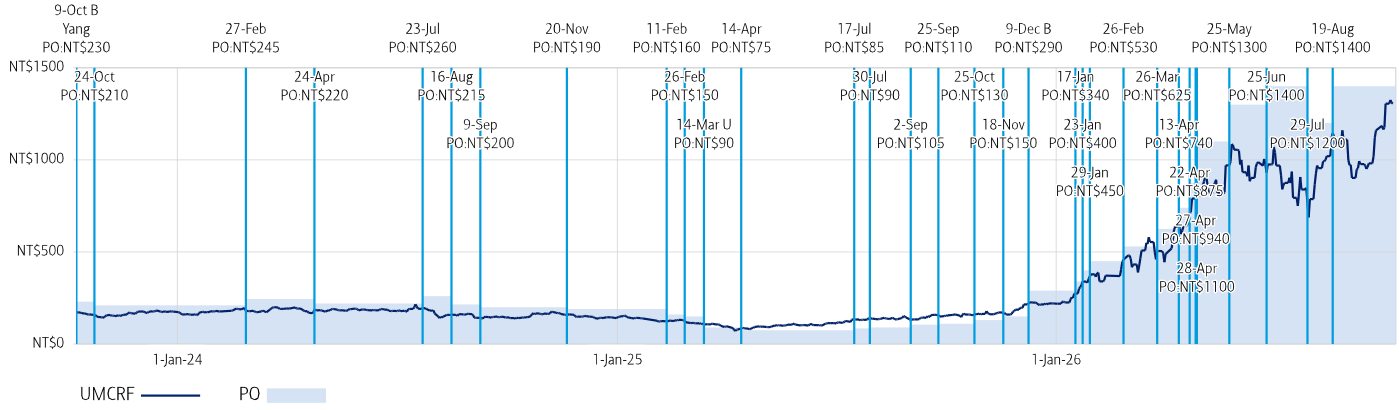
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B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

**Equity Investment Rating Distribution: Electronics Group (as of 30 Sep 2026)**

| Coverage Universe | Count | Percent | Inv. Banking Relationships [R1] | Count | Percent |
|---|---|---|---|---|---|
| Buy | 41 | 65.08% | Buy | 20 | 48.78% |
| Hold | 9 | 14.29% | Hold | 1 | 11.11% |
| Sell | 13 | 20.63% | Sell | 7 | 53.85% |

**Equity Investment Rating Distribution: Global Group (as of 30 Sep 2026)**

| Coverage Universe | Count | Percent | Inv. Banking Relationships [R1] | Count | Percent |
|---|---|---|---|---|---|
| Buy | 2057 | 57.03% | Buy | 1386 | 67.38% |
| Hold | 806 | 22.35% | Hold | 563 | 69.85% |
| Sell | 744 | 20.63% | Sell | 446 | 59.95% |

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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| Investment rating | Total return expectation (within 12-month period of date of initial rating) | Ratings dispersion guidelines for coverage cluster[R2] |
|---|---|---|
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| Neutral | ≥ 0% | ≤ 30% |
| Underperform | N/A | ≥ 20% |

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Daiwa Capital Markets Hong Kong Limited

# Asia Foundry

## A paradigm shift in specialty nodes

- A ripple effect in demand from advanced to specialty foundries spurred by AI scaling from compute to power/connectivity
- Likely paradigm shift in the foundry industry driven by TSMC's fab optimisation augmenting demand for specialty nodes
- Reaffirming our Positive stance on the sector and initiating coverage of VIS, which we expect to benefit from this paradigm shift

Negative | Neutral | **Positive**

**Positive** (unchanged)

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**What's new:** TSMC at its series of *results calls* delivered not only escalated business guidance but its effort of fab optimisation to address supply constraints driven by accelerated AI HPC demand. This, together with a ripple effect from advanced to specialty foundry demand spurred by AI scaling from compute to power and connectivity, will likely shift the paradigm in the industry, unlocking demand for specialty nodes which we expect to structurally benefit peers from 2H26. Among TSMC's peers we cover offering specialty foundry works, we initiate coverage of Vanguard International Semiconductor (VIS) with an Outperform (2) rating and 12M TP of TWD210, as we believe VIS is benefiting from this paradigm shift.

**What's the impact:** **AI scaling spurring specialty foundry demand.** Flagged in our series of *AI thematic reports* since 2023, we envision the AI buildout a multi-year cycle scaling from generative to agentic to physical, and from cloud to edge to ubiquitous. The scaling is not only spurring demand for core chips benefiting advanced foundries but companion chips benefiting specialty foundries, in order to facilitate the entire ecosystem of compute, connectivity, and power. Since many AI companion chips do not require advanced nodes, second-tier foundries have followed TSMC as the second-wave beneficiary on the AI ramp, seeing improved capacity utilisation with improved pricing power, per our market research, thanks to a ripple effect in the specialty foundry demand which should help push utilisation higher into 2027 to reach full levels.

**Augmented by TSMC's fab optimisation.** We expect such a ripple effect to be further augmented by TSMC's fab optimisation, in order to address a supply shortfall in the advanced foundries caused by the strong AI HPC demand. This looks set to shift the paradigm in the foundry industry, structurally benefiting peers' operating specialty nodes. We expect the fab optimisation to unlock business worth of c.USD3bn pa, or c.40% of UMC's 2025 revenue, with spillover taking effect from this year and ramping into 2027-28E, considering different timings of TSMC's fab closures and associated lead times for customer qualifications of alternative fabs.

**What we recommend:** Among the specialty foundries under our coverage in Asia, we initiate on VIS with an Outperform (2) rating and expect it to benefit from this paradigm shift, in addition to UMC (Hold [3]). HHGrace (Buy [1]) and SMIC (Sell [5]) should also benefit, yet to a lesser extent for the latter due to geopolitical issues.

**How we differ:** We believe we are one of few brokers quantifying business potential from TSMC's fab optimisation to the second-tier foundries.

**Key stock calls**

| | New | Prev. |
|---|---|---|
| **Taiwan Semiconductor Manufacturing** (2330 TT) | | |
| Rating | **Buy** | Buy |
| Target | **3,000.00** | 3,000.00 |
| Upside ▲ | **16.1%** | |
| **United Microelectronics** (2303 TT) | | |
| Rating | **Hold** | Hold |
| Target | **145.00** | 108.00 |
| Downside ▼ | **2.4%** | |
| **Semiconductor Manufacturing Int'l Corp** (981 HK) | | |
| Rating | **Sell** | Sell |
| Target | **40.00** | 40.00 |
| Downside ▼ | **34.3%** | |
| **Hua Hong Grace Semiconductor** (1347 HK) | | |
| Rating | **Buy** | Buy |
| Target | **139.00** | 139.00 |
| Upside ▲ | **32%** | |
| **Vanguard International Semiconductor** (5347 TT) | | |
| Rating | **Outperform** | |
| Target | **210.00** | |
| Upside ▲ | **10.5%** | |

*Source: Daiwa forecasts*

# Sector stocks: key indicators

| | | | | | | | | EPS (local curr.) | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | | Share | Rating | | Target price (local curr.) | | | FY1 | | | FY2 | | |
| Company Name | Stock code | Price | New | Prev. | New | Prev. | % chg | New | Prev. | % chg | New | Prev. | % chg |
| Hua Hong Grace Semiconductor | 1347 HK | 105.30 | Buy | Buy | 139.00 | 139.00 | 0.0% | 0.106 | 0.106 | 0.0% | 0.154 | 0.154 | 0.0% |
| Semiconductor Manufacturing Int'l Corp | 981 HK | 60.90 | Sell | Sell | 40.00 | 40.00 | 0.0% | 0.175 | 0.175 | 0.0% | 0.204 | 0.204 | 0.0% |
| Taiwan Semiconductor Manufacturing | 2330 TT | 2,585.00 | Buy | Buy | 3,000.00 | 3,000.00 | 0.0% | 109.608 | 109.612 | (0.0%) | 134.693 | 134.687 | 0.0% |
| United Microelectronics | 2303 TT | 148.50 | Hold | Hold | 145.00 | 108.00 | 34.3% | 7.222 | 7.112 | 1.5% | 7.099 | 5.826 | 21.9% |
| Vanguard International Semiconductor | 5347 TT | 190.00 | Outperform | | 210.00 | | | 5.896 | | | 7.919 | | |

*Source: Bloomberg, Daiwa forecasts; note: share prices in local currency as of close on 7 October 2026*

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# A paradigm shift in specialty nodes

**AI scaling augmented by fab optimisation for a paradigm shift in the foundry industry benefiting specialty nodes**

TSMC at its series of quarterly results calls this year (*Too good to be true? (II)*, 16 April; *Yes, it's good and it's true*, 16 July) delivered not only escalated business guidance but its strategy of fab optimisation, in order to address supply constraints driven by rapidly growing demand for AI high-performance compute (HPC) chips that require advanced technology nodes. We view its fab optimisation as likely shifting the paradigm in the foundry industry, unlocking demand for specialty process nodes structurally benefiting peers from this year. TSMC's fab optimisation should help augment a ripple effect in demand being spurred by AI scaling from compute to power and connectivity, ever since this multi-year AI buildout cycle began from 2023 after OpenAI's ChatGPT dropped from the air.

**Initiating coverage of VIS with an Outperform (2) call in this report**

Among TSMC's peers we cover offering specialty foundry works, we see Vanguard International Semiconductor (VIS) as benefiting from this paradigm shift, thus initiating our coverage of the stock with an Outperform (2) rating and 12M TP of TWD210. Elsewhere, we believe UMC will benefit from this shift, thus raising our forecasts in this report, though we are comfortable with our Hold (3) rating on valuation grounds. While Huahong Grace Semiconductor (HHGrace; rated Buy [1]) stands to benefit from China's AI developments, we see SMIC (rated Sell [5]) also benefiting, but to a lesser extent, due to geopolitical issues such as the US's export controls prolonging its advanced technology developments.

## AI scaling spurring specialty foundry demand

As flagged in our series of AI thematic reports since 2023 (*Let's talk about AI or … bubble?* 11 July 2023, *Let's talk about AI, not bubble*, 25 October 2024, and *Let's talk more about AI, ASIC AI this time*, 1 July 2025), we have envisioned the AI buildout a multi-year cycle scaling vertically by language from generative (data training) to agentic (data inference) to ultimately physical AI, and scaling horizontally by application from cloud to edge to ultimately ubiquitous AI (ie, AI everywhere).

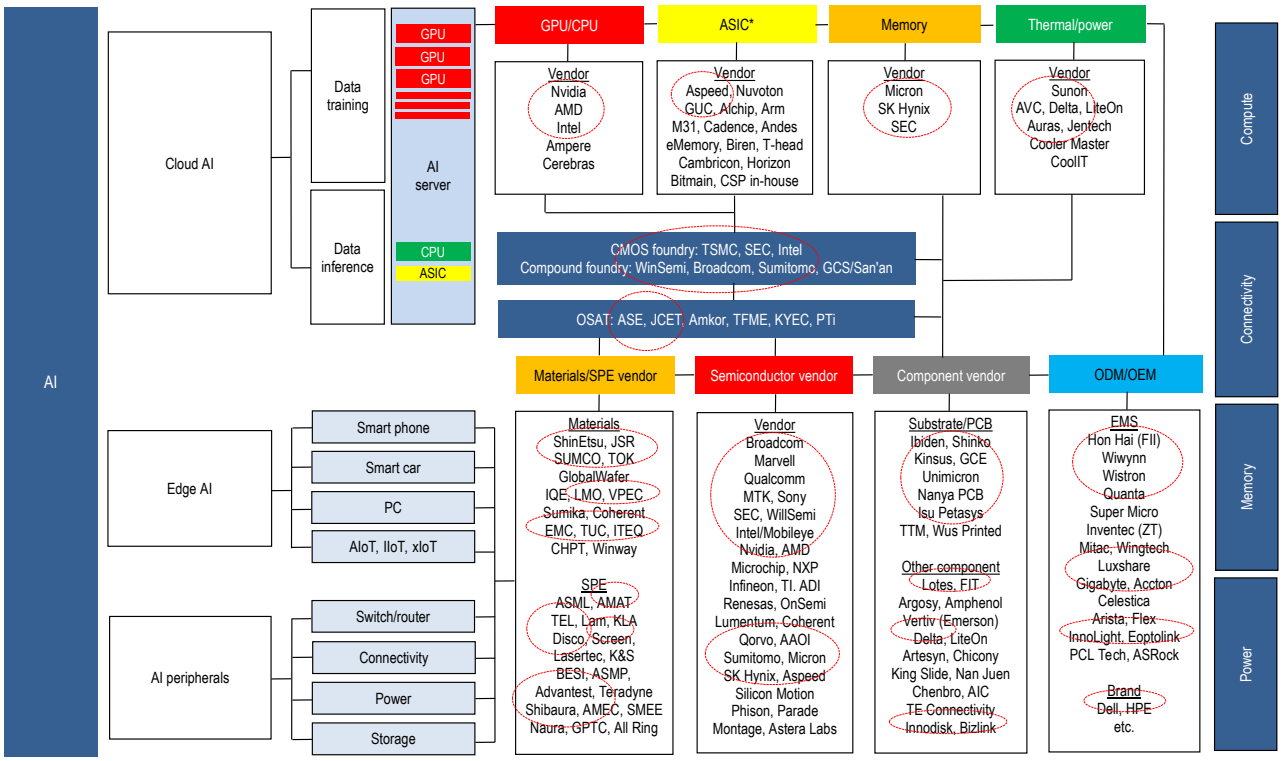
Ever since late-2022 when OpenAI's ChatGPT dropped from the air, followed by Nvidia kicking off the AI build from 2023, this multi-year AI scaling has not only spurred demand for core chips such as GPU and application specific IC (ASIC) as accelerators benefiting advanced foundries, but for companion chips such as optical engines, drivers, super transimpedance amplifier (TIA), digital signal processor (DSP), and power semiconductors benefiting specialty foundries, in order to facilitate the entire AI ecosystem of compute, connectivity, and power, as well as memory, illustrated in a chart next page.

**CUR at second-tier foundries are improving as many AI companion chips don't require advanced nodes**

Many AI companion chips do not require advanced process nodes but specialty technologies such as silicon-germanium (SiGe), silicon-on-insulator (SoI), and bipolar-CMOS-DMOS (BCD) with a variety of heavily doped wafer materials such as gallium-nitride (GaN), GaN-on-silicon and GaN-on-silicon-carbide (SiC) handling a variety of different voltage currents ranging from a few volts to over 1,000v. Therefore, we have seen improved capacity utilisation rates (CUR) across the second-tier foundries since the start of the year which offer these specialty technologies, following TSMC as the second-wave beneficiary on the AI ramps, thanks to a ripple effect in the specialty foundry demand which should help push the second-tier CUR higher through 2027 to reach full levels, according to our market research.

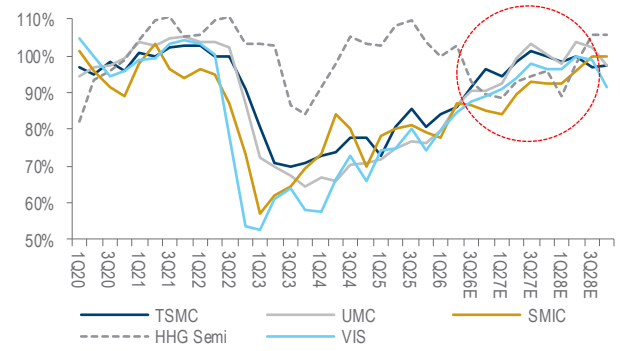
As illustrated in a chart next page, we expect the CUR among the second-tier foundries of UMC, HHGrace, and VIS, following the trough in 1Q23 on the post-COVID inventory correction, to follow TSMC's trajectory, accelerating in 2H26E to 90% or above and reaching the 100% level through most time of 2027-28E, resulting in improved pricing power for the like-to-like price hikes varied in different timings.

### A broad-based AI ecosystem and key supply-chain players



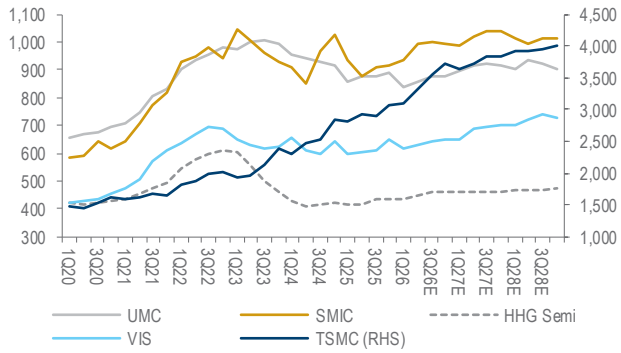

*Source: Daiwa*
*Note: * ASIC includes a variety of customized chips such as xPU, BMC and HSI controller (PCIe, SATA); CSP = cloud service provider*

### Asia Foundry: capacity utilisation trends among foundry majors*




*Source: Companies, Daiwa estimates and forecasts*
*Note: * wafer shipment divided by installed capacity, not wafer output*

### Asia Foundry: blended ASP trends among foundry majors*




*Source: Companies, Daiwa estimates and forecasts*
*Note: * in USD terms on 8" equivalent basis for the like-to-like comparison*

## Augmented by TSMC's fab optimisation

**TSMC's fab optimisation looks set to further augment the AI demand ripple effect**

We expect such a ripple effect in the specialty foundry demand to be further augmented by TSMC's fab optimisation, in which the foundry leader aims to address a supply shortfall in the advanced foundry works caused by the strong AI HPC demand, including AI CPU, all types of xPU as accelerators and base dies for high bandwidth memory (HBM), by TSMC's definition. We expect its optimisation strategy to likely shift the paradigm in the foundry industry structurally to benefit peers operating specialty process nodes.

**TSMC: expected schedule of mature fab closures**

| Wafer fab | Location | Wafer size | Process node | Capacity (wpm*) | Note |
|---|---|---|---|---|---|
| Fab 2 | Hsinchu Science Park | 6" | 0.5-0.8u | 85,000 | |
| Fab 5 | Hsinchu Science Park | 8" | 0.15-0.35u | 50,000 | |
| Subtotal (8" equivalent) | | | | 97,813 | 40%+ of VIS revenue |
| Fab 15/P3 | Taichung Science Park | 12" | 28/22/20nm | 50,000 | c.30% of UMC revenue |
| Total (12" equivalent) | | | | 93,472 | |

*Source: Company, Daiwa estimates*
*Note: * wpm = wafers per month*

According to our market research, in order to accommodate more advanced packaging capacity such as chip-on-wafer-on-substrate (CoWoS), TSMC is shutting down one 6" fab (Fab 2) and one 8" fab (Fab 5) this year with a combined capacity of c.98k wafers per month (wpm) in 8" equivalent size (ie, 200mm in wafer diameter). Covering process nodes ranging from 0.8u to 0.15u, closures of the 2 mature fabs will likely unlock business ranging from USD700m to USD800m pa, depending on the average selling prices (ASP) for different nodes ranging from USD250 for 0.8u to more than USD700 for 0.15u, on our estimates, or more than 40% of VIS's 2025 revenue. We see VIS as the key beneficiary from this fab optimisation, given its strategic ties with TSMC.

**TSMC's fab optimisation may unlock c.USD3bn in business pa**

We further expect TSMC to close one 12" mega-fab in Taichung Science Park named Fab 15/P3 and convert it to accommodate more advanced capacity of N3, in order to meet the strong AI HPC demand. This mega-fab consists 2 phases thus operating a combined capacity of c.50k wpm in 300mm size, on our estimates, with process nodes mainly focused on 28/22/20nm for ASP ranging from USD3,800 to USD4,000. Therefore, the closure will likely unlock business of USD2.3bn pa on average, or c.30% of UMC's 2025 revenue. UMC and GlobalFoundries (GF) look well positioned to benefit here as both operate the 28/22nm process nodes. All together, we reckon the foundry leader's fab optimisation will likely unlock extra business worth of USD3bn pa, or nearly 40% of UMC's 2025 revenue, with likely an order spillover taking effect from this year and ramping into 2027-28, considering TSMC's different timings of fab closures and associated lead times for customers to qualify alternative fabs which should typically take 9-12 months.

## Stock recommendations

**Among the specialty foundries under our coverage, our preference goes to VIS and HHGrace**

Among the specialty foundries under our coverage, we expect VIS to benefit from this likely paradigm shift thanks to its historical ties with TSMC which has strategically helped transform VIS's business from memory to mixed-signal processes and further advance it to value-add power semiconductors capitalising on the multi-year AI scaling. UMC stands to benefit from this scaling with its specialty foundry offerings and active 28/22nm ramps, though we view investors largely pricing in this potential. We expect HHGrace and SMIC to benefit from this AI scaling, but less than their Taiwan counterparts especially for SMIC, due to the geopolitical issues such as export controls and AI regulations from the US diluting the scaling benefit as the world appears to be divided into "China for China" and "non-China for non-China", in terms of the semiconductor supply chain.

Key downside risks to our Positive stance on the sector are "silicon inflation" in the supply chain and geopolitical overhangs (war, tariff, interest rate) leading to global inflation and AI capex cuts. Please refer to the company section for more company-specific details.

**We initiate coverage of Vanguard International Semiconductor (VIS) with an Outperform (2) rating** and 12M TP of TWD210 by applying our ROE-adjusted PBR target of 5.2x one-year forward BVPS forecast. Key downside risks: 1) current chip upcycle ends earlier than expected; and 2) the 12" fab ramp/execution turns out below expectation.

**We reaffirm our Buy (1) rating for TSMC** and 12M TP of TWD3,000, based on an unchanged ROE-adjusted PBR target of 7.7x on our one-year forward BVPS. Key downside risks are silicon inflation and geopolitical overhangs leading to global inflation and AI capex cuts.

**We reaffirm our Buy (1) rating for HHGrace** and SOTP-based 12M TP of HKD139. Key downside risk: changes in asset-injection plans.

**We maintain our Hold (3) call for UMC** but raise our 12M TP to TWD145 (previous: TWD108), based on our higher ROE-adjusted PBR target of 4.2x (previous: 3.3x). Upside/ downside risks: price hikes above our expectations/geopolitical overhangs (war, FX, interest rate) weighing on end-demand.

**We maintain our Sell (5) rating for SMIC** and 12M TP of HKD40, based on our ROE-adjusted PBR target of 1.1x applied to our one-year forward BVPS forecast. Key upside risk to our call would be any positive breakthrough on geopolitics and export controls.

**Asian foundry: valuation panel**

| | | Price | Daiwa | PER (x) | | | PBR (x) | | | ROE (%) | | | Earnings growth (%) | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Stock | Ticker | (LC)* | rating | 2025 | 2026E | 2027E | 2025 | 2026E | 2027E | 2025 | 2026E | 2027E | 2025 | 2026E | 2027E |
| TSMC | 2330 TT | 2,585.0 | Buy (1) | 39.0 | 23.6 | 19.2 | 12.4 | 8.5 | 6.3 | 35.4 | 42.8 | 37.6 | 46.4 | 65.5 | 22.9 |
| HHGrace | 1347 HK | 105.3 | Buy (1) | n.m. | 126.5 | 87.2 | 3.5 | 3.4 | 3.3 | 0.9 | 2.7 | 3.9 | -5.6 | 235.5 | 45.2 |
| VIS | 5347 TT | 190.0 | Outperform (2) | 44.9 | 32.2 | 24.0 | 5.6 | 5.3 | 4.7 | 12.4 | 16.8 | 20.8 | 12.2 | 40.1 | 34.3 |
| UMC | 2303 TT | 148.5 | Hold (3) | 44.8 | 20.6 | 20.9 | 4.9 | 4.8 | 4.4 | 11.0 | 23.6 | 21.8 | -11.6 | 117.7 | -1.7 |
| SMIC | 981 HK | 60.90 | Sell (5) | 75.5 | 44.4 | 38.1 | 1.8 | 1.7 | 1.6 | 4.0 | 6.6 | 7.1 | 115.3 | 71.9 | 16.6 |
| GlobalFoundries | GFS US | 48.07 | Not rated | 21.9 | 24.6 | 18.6 | 1.6 | 2.2 | 2.0 | 7.8 | 8.3 | 10.9 | 10.3 | 13.5 | 32.8 |
| Average | | | | **45.2** | **45.3** | **34.7** | **5.0** | **4.3** | **3.8** | **11.9** | **16.8** | **16.9** | **26.2** | **89.7** | **20.4** |

*Source: Companies, Bloomberg, Daiwa forecasts*
*Note: * Local currency based on closing prices as of 7 October 2026*

*When a report covers six or more subject companies please access important disclosures for Daiwa Capital Markets Hong Kong Limited at http://www.hk.daiwacm.com/research_disclaimer.html or contact your investment representative or Daiwa Capital Markets Hong Kong Limited at Level 26, One Pacific Place, 88 Queensway, Hong Kong*

# Taiwan Semiconductor Manufacturing (2330 TT)

Daiwa Capital Markets Hong Kong Limited

Target price: **TWD3,000.00** (from TWD3,000.00)

Share price (7 Oct): **TWD2,585.00** | Up/downside: **+16.1%**

5 4 3 2 **1**

**Buy** (unchanged)

## The man who cares about the supply chain

- AI scaling is benefiting peers on AI spillover demand
- Fab optimisation looks set to augment the benefit
- Maintain our Buy (1) call and 12M TP of TWD3,000

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**What's new:** We concur what the chairman said on the *2Q26 results call* that TSMC doesn't sell milk (ie, a commodity), which one can buy at another convenience store. Yet when AI demand is deriving from its leading advanced services vs. the 'milk' one can buy from other convenience stores, peers stand to benefit from a ripple effect in demand on the AI scaling (ie, AI spillover), from core compute to memory to connectivity to power, augmented by TSMC's fab optimisation addressed in the main section of this sector report. That said, as TSMC still under-ships demand in the advanced foundry and backend services, we see a good chance for it to exercise pricing power in 2027, striking a balance between profitability and supply-chain interests. We haven't embedded price hikes in our model, thus keep our forecasts and TP, reaffirming our Buy (1) call.

**What's the impact: 3Q26 preview and 4Q26 outlook.** We estimate TSMC to have earned 3Q26 EPS of c.TWD28.5, varying not much from the consensus estimate. Monthly revenue came in at TWD982bn (+49% YoY) QTD, reaching 67% of our 3Q26E revenue which we consider as tracking inline. We expect TSMC's 4Q26 revenue to advance 10% QoQ (+54% YoY) to USD50.4bn for an EPS of TWD31.8, also varying not much from the consensus. While we keep our 2027-28 forecasts unchanged, we see upside from a possibility that TSMC would raise wafer prices to mitigate cost pressure from its Arizona operation and materials cost hike across the supply chain. TSMC is scheduled to report on 15 October; we will offer our updates in due course.

**Optimisation benefiting supply chain.** As addressed in the main sector section of this report, TSMC is closing some of its legacy fabs over 2026-27 to address the supply constraint caused by the strong AI demand for advanced frontend wafer manufacturing and backend packaging & testing technologies. We expect its fab optimisation to unlock businesses worth c.USD3bn pa and benefit peers who offer specialty foundry services. We expect the optimisation to augment a ripple effect in the AI demand on scaling from compute to connectivity to power (AI spillover). We believe TSMC is happy to let go such spillover businesses given its limited bandwidth to handle the advanced foundry and backend demand.

**What we recommend:** We stick with our 12M TP of TWD3,000 for TSMC, based on an unchanged ROE-adjusted PBR target of 7.7x on our one-year forward BVPS. We maintain Buy (1) with downside risks of silicon inflation and geopolitical overhangs leading to global inflation and AI capex cuts.

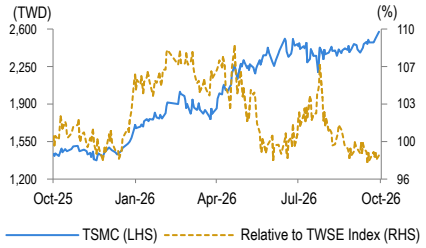
**How we differ:** Our 2028E EPS looks 15% below Bloomberg consensus likely due to our view calling for a soft-landing in the chip cycle.

### Forecast revisions (%)

| Year to 31 Dec | 26E | 27E | 28E |
|---|---|---|---|
| Revenue change | - | - | - |
| Net profit change | - | - | - |
| Core EPS (FD) change | - | - | - |

*Source: Daiwa forecasts*

### Share price performance




| | |
|---|---|
| 12-month range | 1,375.00-2,585.00 |
| Market cap (USDbn) | 2,107.13 |
| 3m avg daily turnover (USDm) | 1,977.91 |
| Shares outstanding (m) | 25,932 |
| Major shareholder | National Development Fund (6.4%) |

### Financial summary (TWD)

| Year to 31 Dec | 26E | 27E | 28E |
|---|---|---|---|
| Revenue (m) | 5,482,671 | 6,896,580 | 7,707,441 |
| Operating profit (m) | 3,235,950 | 4,030,657 | 4,425,491 |
| Net profit (m) | 2,842,354 | 3,492,859 | 3,883,975 |
| Core EPS (fully-diluted) | 109.608 | 134.693 | 149.775 |
| EPS change (%) | 65.5 | 22.9 | 11.2 |
| Daiwa vs Cons. EPS (%) | 2.9 | (4.5) | (15.0) |
| PER (x) | 23.6 | 19.2 | 17.3 |
| Dividend yield (%) | 1.0 | 1.1 | 1.2 |
| DPS | 26.0 | 28.0 | 30.0 |
| PBR (x) | 8.5 | 6.3 | 4.8 |
| EV/EBITDA (x) | 15.9 | 12.2 | 10.3 |
| ROE (%) | 42.8 | 37.6 | 31.7 |

*Source: FactSet, Daiwa forecasts*

See important disclosures, including any required research certifications, beginning on page 43

Company

## Financial summary

### Key assumptions

| Year to 31 Dec | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|
| Capacity utilization (%) | 102 | 98 | 73 | 76 | 80 | 90 | 99 | 98 |
| Blended ASP (USD) | 1,642 | 1,933 | 2,101 | 2,546 | 2,930 | 3,439 | 3,764 | 3,950 |
| Wafer shipment (8" equ., '000) | 31,902 | 34,320 | 27,005 | 29,051 | 33,802 | 40,868 | 47,076 | 50,155 |

### Profit and loss (TWDm)

| Year to 31 Dec | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|
| Wafer Foundry Revenue | 1,463,157 | 1,979,286 | 1,770,430 | 2,378,253 | 3,079,347 | 4,473,682 | 5,670,880 | 6,337,629 |
| Sub & Other Revenue | 124,258 | 284,605 | 391,305 | 516,054 | 729,707 | 1,008,988 | 1,225,702 | 1,369,813 |
| Other Revenue | 0 | 0 | 0 | 0 | 0 | 1 | (1) | (0) |
| **Total Revenue** | **1,587,415** | **2,263,891** | **2,161,736** | **2,894,308** | **3,809,054** | **5,482,671** | **6,896,580** | **7,707,441** |
| Other income | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| COGS | (767,878) | (915,536) | (986,625) | (1,269,954) | (1,527,760) | (1,799,646) | (2,297,170) | (2,649,940) |
| SG&A | (44,822) | (63,813) | (71,275) | (98,119) | (98,775) | (117,396) | (154,960) | (169,564) |
| Other op.expenses | (124,735) | (163,262) | (182,370) | (204,182) | (246,427) | (329,678) | (413,795) | (462,446) |
| **Operating profit** | **649,981** | **1,121,279** | **921,466** | **1,322,053** | **1,936,092** | **3,235,950** | **4,030,657** | **4,425,491** |
| Net-interest inc./(exp.) | 488 | 10,672 | 48,295 | 76,718 | 93,369 | 121,900 | 162,500 | 237,920 |
| Assoc/forex/extraord./others | 12,657 | 12,239 | 9,411 | 7,068 | 12,202 | 73,622 | 10,043 | 10,446 |
| **Pre-tax profit** | **663,126** | **1,144,190** | **979,171** | **1,405,839** | **2,041,663** | **3,431,472** | **4,203,200** | **4,673,856** |
| Tax | (66,053) | (127,290) | (141,404) | (233,407) | (326,266) | (590,459) | (714,544) | (794,556) |
| Min. int./pref. div./others | (533) | (370) | 730 | 836 | 2,486 | 1,341 | 4,203 | 4,674 |
| **Net profit (reported)** | **596,540** | **1,016,530** | **838,498** | **1,173,268** | **1,717,883** | **2,842,354** | **3,492,859** | **3,883,975** |
| **Net profit (adjusted)** | **596,540** | **1,016,530** | **838,498** | **1,173,268** | **1,717,883** | **2,842,354** | **3,492,859** | **3,883,975** |
| **EPS (reported)(TWD)** | **23.005** | **39.204** | **32.334** | **45.252** | **66.255** | **109.608** | **134.693** | **149.775** |
| **EPS (adjusted)(TWD)** | **23.005** | **39.204** | **32.334** | **45.252** | **66.255** | **109.608** | **134.693** | **149.775** |
| **EPS (adjusted fully-diluted)(TWD)** | **23.006** | **39.203** | **32.334** | **45.242** | **66.243** | **109.608** | **134.693** | **149.775** |
| **DPS (TWD)** | **10.250** | **11.001** | **11.249** | **14.003** | **18.003** | **26.000** | **28.000** | **30.000** |
| **EBIT** | **649,981** | **1,121,279** | **921,466** | **1,322,053** | **1,936,092** | **3,235,950** | **4,030,657** | **4,425,491** |
| **EBITDA** | **1,072,375** | **1,558,533** | **1,453,657** | **1,984,848** | **2,624,188** | **4,050,803** | **5,133,818** | **5,827,702** |

### Cash flow (TWDm)

| Year to 31 Dec | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|
| Profit before tax | 663,126 | 1,144,190 | 979,171 | 1,405,839 | 2,041,663 | 3,431,472 | 4,203,200 | 4,673,856 |
| Depreciation and amortisation | 422,395 | 437,254 | 532,191 | 662,795 | 688,096 | 814,853 | 1,103,162 | 1,402,211 |
| Tax paid | (66,053) | (127,290) | (141,404) | (233,407) | (326,266) | (590,459) | (714,544) | (794,556) |
| Change in working capital | (100,384) | (53,286) | 324 | (90,088) | 160 | (270,000) | (35,000) | (175,000) |
| Other operational CF items | 193,077 | 209,731 | (128,316) | 81,038 | (128,677) | (5,171) | (2,634) | (2,505) |
| **Cash flow from operations** | **1,112,161** | **1,610,599** | **1,241,967** | **1,826,177** | **2,274,976** | **3,380,696** | **4,554,184** | **5,104,007** |
| Capex | (839,196) | (1,082,672) | (949,817) | (956,008) | (1,272,411) | (1,964,013) | (1,960,003) | (2,161,145) |
| Net (acquisitions)/disposals | 4,676 | (128,712) | (55,781) | (57,882) | (37,079) | 738 | 0 | 0 |
| Other investing CF items | (1,847) | 20,456 | 99,477 | 149,047 | 165,097 | 0 | 0 | 0 |
| **Cash flow from investing** | **(836,366)** | **(1,190,928)** | **(906,121)** | **(864,843)** | **(1,144,393)** | **(1,963,274)** | **(1,960,003)** | **(2,161,145)** |
| Change in debt | (1,090) | (1,730) | (17,407) | 21,601 | (46,362) | (136,926) | (128,434) | (109,169) |
| Net share issues/(repurchases) | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| Dividends paid | (265,786) | (285,234) | (291,722) | (363,055) | (466,779) | (674,232) | (726,096) | (777,960) |
| Other financing CF items | (3,622) | 59,198 | 10,284 | 8,054 | (64,022) | 0 | 0 | 0 |
| **Cash flow from financing** | **(270,499)** | **(227,766)** | **(298,844)** | **(333,399)** | **(577,163)** | **(811,158)** | **(854,530)** | **(887,129)** |
| Forex effect/others | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| **Change in cash** | **5,296** | **191,905** | **37,002** | **627,935** | **553,420** | **606,264** | **1,739,651** | **2,055,732** |
| Free cash flow | 272,965 | 527,927 | 292,151 | 870,169 | 1,002,565 | 1,416,683 | 2,594,181 | 2,942,861 |

*Source: FactSet, Daiwa forecasts*

## Financial summary continued …

### Balance sheet (TWDm)

| Year to 31 Dec | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|
| Cash & short-term investment | 1,188,442 | 1,561,483 | 1,687,644 | 2,422,009 | 3,068,595 | 3,674,120 | 5,413,771 | 7,469,504 |
| Inventory | 193,102 | 221,149 | 250,997 | 287,869 | 288,109 | 398,109 | 458,109 | 508,109 |
| Accounts receivable | 207,637 | 231,409 | 201,938 | 272,088 | 281,791 | 461,791 | 466,791 | 596,791 |
| Other current assets | 17,892 | 38,856 | 53,453 | 106,387 | 178,635 | 180,000 | 30,000 | 30,000 |
| **Total current assets** | **1,607,073** | **2,052,897** | **2,194,033** | **3,088,352** | **3,817,131** | **4,714,021** | **6,368,672** | **8,604,404** |
| Fixed assets | 1,975,119 | 2,693,837 | 3,064,475 | 3,234,980 | 3,691,841 | 5,187,203 | 6,400,151 | 7,379,748 |
| Goodwill & intangibles | 113,927 | 149,117 | 144,421 | 219,565 | 251,682 | 179,500 | 189,200 | 194,000 |
| Other non-current assets | 29,385 | 68,928 | 129,442 | 149,040 | 172,370 | 172,370 | 172,370 | 172,370 |
| **Total assets** | **3,725,503** | **4,964,779** | **5,532,371** | **6,691,938** | **7,933,024** | **10,253,094** | **13,130,393** | **16,350,523** |
| Short-term debt | 127,171 | 19,314 | 9,293 | 59,858 | 136,926 | 128,434 | 109,169 | 92,794 |
| Accounts payable | 48,911 | 56,522 | 57,293 | 74,227 | 84,330 | 104,330 | 134,330 | 139,330 |
| Other current liabilities | 563,421 | 868,391 | 846,997 | 1,130,441 | 1,236,763 | 1,220,430 | 1,363,338 | 1,522,250 |
| **Total current liabilities** | **739,503** | **944,227** | **913,583** | **1,264,525** | **1,458,019** | **1,453,194** | **1,606,838** | **1,754,374** |
| Long-term debt | 610,071 | 834,336 | 913,900 | 926,605 | 856,228 | 727,793 | 618,624 | 525,831 |
| Other non-current liabilities | 205,196 | 225,727 | 221,625 | 177,233 | 157,982 | 160,000 | 165,000 | 170,000 |
| **Total liabilities** | **1,554,770** | **2,004,290** | **2,049,108** | **2,368,362** | **2,472,229** | **2,340,987** | **2,390,460** | **2,450,204** |
| Share capital | 259,304 | 259,304 | 259,321 | 259,327 | 259,325 | 259,325 | 259,325 | 259,325 |
| Reserves/R.E./others | 1,908,983 | 2,686,349 | 3,199,593 | 4,029,218 | 5,160,271 | 7,610,241 | 10,433,862 | 13,589,576 |
| **Shareholders' equity** | **2,168,287** | **2,945,653** | **3,458,914** | **4,288,545** | **5,419,596** | **7,869,567** | **10,693,187** | **13,848,902** |
| Minority interests | 2,447 | 14,836 | 24,349 | 35,031 | 41,199 | 42,540 | 46,743 | 51,417 |
| **Total equity & liabilities** | **3,725,503** | **4,964,779** | **5,532,371** | **6,691,938** | **7,933,024** | **10,253,094** | **13,130,393** | **16,350,523** |
| EV | 66,585,466 | 66,341,223 | 66,294,118 | 65,633,704 | 64,999,978 | 64,258,867 | 62,394,985 | 60,234,758 |
| **Net debt/(cash)** | **(451,200)** | **(707,833)** | **(764,451)** | **(1,435,546)** | **(2,075,442)** | **(2,817,893)** | **(4,685,978)** | **(6,850,879)** |
| **BVPS (TWD)** | **83.621** | **113.600** | **133.384** | **165.370** | **208.985** | **303.469** | **412.355** | **534.047** |

### Key ratios (%)

| Year to 31 Dec | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|
| Sales (YoY) | 18.5 | 42.6 | (4.5) | 33.9 | 31.6 | 43.9 | 25.8 | 11.8 |
| EBITDA (YoY) | 19.4 | 45.3 | (6.7) | 36.5 | 32.2 | 54.4 | 26.7 | 13.5 |
| Operating profit (YoY) | 14.7 | 72.5 | (17.8) | 43.5 | 46.4 | 67.1 | 24.6 | 9.8 |
| Net profit (YoY) | 15.2 | 70.4 | (17.5) | 39.9 | 46.4 | 65.5 | 22.9 | 11.2 |
| Core EPS (fully-diluted) (YoY) | 15.2 | 70.4 | (17.5) | 39.9 | 46.4 | 65.5 | 22.9 | 11.2 |
| Gross-profit margin | 51.6 | 59.6 | 54.4 | 56.1 | 59.9 | 67.2 | 66.7 | 65.6 |
| EBITDA margin | 67.6 | 68.8 | 67.2 | 68.6 | 68.9 | 73.9 | 74.4 | 75.6 |
| Operating-profit margin | 40.9 | 49.5 | 42.6 | 45.7 | 50.8 | 59.0 | 58.4 | 57.4 |
| Net profit margin | 37.6 | 44.9 | 38.8 | 40.5 | 45.1 | 51.8 | 50.6 | 50.4 |
| ROAE | 29.7 | 39.8 | 26.2 | 30.3 | 35.4 | 42.8 | 37.6 | 31.7 |
| ROAA | 18.4 | 23.4 | 16.0 | 19.2 | 23.5 | 31.3 | 29.9 | 26.3 |
| ROCE | 25.5 | 33.4 | 22.4 | 27.2 | 32.9 | 42.5 | 39.8 | 34.1 |
| ROIC | 37.5 | 50.2 | 31.7 | 39.3 | 51.9 | 63.2 | 60.0 | 56.1 |
| Net debt to equity | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. |
| Effective tax rate | 10.0 | 11.1 | 14.4 | 16.6 | 16.0 | 17.2 | 17.0 | 17.0 |
| Accounts receivable (days) | 41.7 | 35.4 | 36.6 | 29.9 | 26.5 | 24.8 | 24.6 | 25.2 |
| Current ratio (x) | 2.2 | 2.2 | 2.4 | 2.4 | 2.6 | 3.2 | 4.0 | 4.9 |
| Net interest cover (x) | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. |
| Net dividend payout | 55.1 | 47.8 | 34.8 | 30.9 | 27.2 | 23.7 | 20.8 | 20.0 |
| Free cash flow yield | 0.4 | 0.8 | 0.4 | 1.3 | 1.5 | 2.1 | 3.9 | 4.4 |

*Source: FactSet, Daiwa forecasts*

## Company profile

Incorporated in Taiwan in 1987, Taiwan Semiconductor Manufacturing Co. (TSMC) is the world's largest complementary metal oxide semiconductor (CMOS) foundry in revenue terms. TSMC offers foundry services such as wafer masking, fabrication, probing, packaging and testing, to a high variety of customers including fabless chipmakers and IDMs. Its manufacturing fabs are located in Taiwan, China, the US and Singapore.

## TSMC: key operating assumptions, quarterly P&L estimates and forecasts

| TWDbn | 1Q26 | 2Q26 | 3Q26E | 4Q26E | 1Q27E | 2Q27E | 3Q27E | 4Q27E | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Wafer shipment (12" equ) ('000 units) | 4,174 | 4,336 | 4,691 | 4,963 | 4,856 | 5,147 | 5,459 | 5,460 | 15,023 | 18,164 | 20,923 | 22,291 |
| Capacity utilisation* | 84% | 86% | 92% | 97% | 95% | 98% | 101% | 100% | 80% | 90% | 99% | 98% |
| Blended ASP (USD) | 6,937 | 7,500 | 8,014 | 8,358 | 8,211 | 8,399 | 8,608 | 8,630 | 6,592 | 7,738 | 8,470 | 8,887 |
| Foundry revenue | 915 | 1,028 | 1,203 | 1,328 | 1,277 | 1,383 | 1,503 | 1,508 | 3,079 | 4,474 | 5,671 | 6,338 |
| Sub & other revenue | 219 | 243 | 260 | 287 | 276 | 299 | 325 | 326 | 730 | 1,009 | 1,226 | 1,370 |
| Total revenue | 1,134 | 1,270 | 1,463 | 1,615 | 1,553 | 1,682 | 1,828 | 1,833 | 3,809 | 5,483 | 6,897 | 7,707 |
| **Total revenue (USDbn)** | **35.9** | **40.2** | **45.7** | **50.4** | **48.5** | **52.6** | **57.1** | **57.3** | **122.5** | **172.2** | **215.5** | **240.9** |
| COGS | -383 | -410 | -477 | -529 | -528 | -553 | -605 | -612 | -1,528 | -1,800 | -2,297 | -2,650 |
| Gross profit | 751 | 860 | 985 | 1,086 | 1,025 | 1,129 | 1,224 | 1,222 | 2,281 | 3,683 | 4,599 | 5,058 |
| Opex | -92 | -94 | -130 | -131 | -129 | -140 | -150 | -150 | -345 | -447 | -569 | -632 |
| Operating profit | 659 | 767 | 855 | 955 | 896 | 989 | 1,074 | 1,071 | 1,936 | 3,236 | 4,031 | 4,425 |
| EBITDA | 824 | 965 | 1,065 | 1,196 | 1,151 | 1,249 | 1,363 | 1,370 | 2,624 | 4,051 | 5,134 | 5,828 |
| Pre-tax profit | 688 | 862 | 888 | 993 | 936 | 1,034 | 1,117 | 1,117 | 2,042 | 3,431 | 4,203 | 4,674 |
| Income taxes | -115 | -156 | -151 | -169 | -159 | -176 | -190 | -190 | -326 | -590 | -715 | -795 |
| Net profit | 572 | 707 | 738 | 825 | 778 | 859 | 928 | 928 | 1,718 | 2,842 | 3,493 | 3,884 |
| FD O/S (bn) | 26 | 26 | 26 | 26 | 26 | 26 | 26 | 26 | 26 | 26 | 26 | 26 |
| **FD EPS (TWD)** | **22.08** | **27.25** | **28.47** | **31.81** | **30.01** | **33.12** | **35.78** | **35.78** | **66.24** | **109.61** | **134.69** | **149.78** |
| **Margins** | | | | | | | | | | | | |
| Gross | 66% | 68% | 67% | 67% | 66% | 67% | 67% | 67% | 60% | 67% | 67% | 66% |
| Operating | 58% | 60% | 58% | 59% | 58% | 59% | 59% | 58% | 51% | 59% | 58% | 57% |
| EBITDA | 73% | 76% | 73% | 74% | 74% | 74% | 75% | 75% | 69% | 74% | 74% | 76% |
| Net | 50% | 56% | 50% | 51% | 50% | 51% | 51% | 51% | 45% | 52% | 51% | 50% |
| **Growth (QoQ)** | | | | | | | | | | | | |
| Total revenue | 8% | 12% | 15% | 10% | -4% | 8% | 9% | 0% | | | | |
| Gross profit | 15% | 15% | 15% | 10% | -6% | 10% | 8% | 0% | | | | |
| Operating profit | 17% | 16% | 12% | 12% | -6% | 10% | 9% | 0% | | | | |
| EBITDA | 13% | 17% | 10% | 12% | -4% | 9% | 9% | 1% | | | | |
| Net profit | 13% | 23% | 4% | 12% | -6% | 10% | 8% | 0% | | | | |
| FD EPS | 13% | 23% | 4% | 12% | -6% | 10% | 8% | 0% | | | | |
| **Growth (YoY)** | | | | | | | | | | | | |
| Total revenue | 35% | 36% | 48% | 54% | 37% | 32% | 25% | 14% | 32% | 44% | 26% | 12% |
| Gross profit | 52% | 57% | 67% | 67% | 36% | 31% | 24% | 12% | 40% | 61% | 25% | 10% |
| Operating profit | 62% | 65% | 71% | 69% | 36% | 29% | 26% | 12% | 46% | 67% | 25% | 10% |
| EBITDA | 42% | 48% | 61% | 65% | 40% | 29% | 28% | 15% | 32% | 54% | 27% | 14% |
| Net profit | 58% | 77% | 63% | 63% | 36% | 22% | 26% | 12% | 46% | 65% | 23% | 11% |
| FD EPS | 58% | 77% | 63% | 63% | 36% | 22% | 26% | 12% | 46% | 65% | 23% | 11% |

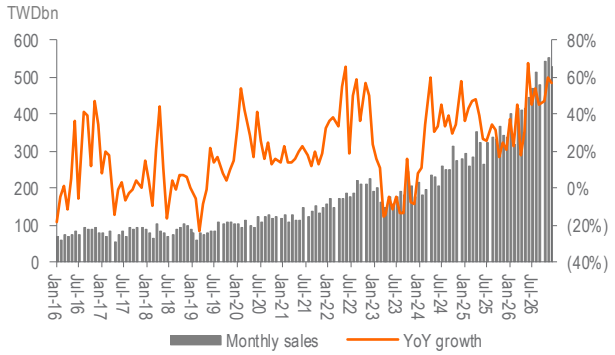
*Source: Company, Daiwa estimates and forecasts*
*Note: * Calculated as wafer shipment divided by capacity estimated by Daiwa*

## TSMC: 3Q26 results preview and 4Q26 business outlook

| | 3Q26E | | | 4Q26E | | |
|---|---|---|---|---|---|---|
| TWDm | Daiwa | Consensus | Variance | Daiwa | Consensus | Variance |
| Revenue | 1,462,926 | 1,454,000 | 1% | 1,615,260 | 1,594,000 | 1% |
| Gross profit | 985,471 | | | 1,085,946 | | |
| Operating profit | 855,271 | | | 955,110 | | |
| Pretax profit | 888,480 | | | 992,762 | | |
| Net profit | 738,327 | 726,000 | 2% | 824,985 | 793,000 | 4% |
| Adjusted EPS (TWD) | 28.47 | 28.00 | 2% | 31.81 | 30.58 | 4% |
| **Margins** | | | | | | |
| Gross | 67.4% | | | 67.2% | | |
| Operating | 58.5% | | | 59.1% | | |
| Net | 50.5% | | | 51.1% | | |
| **Operation** | | | | | | |
| Shipment (12" equ.wafers) ('000 units) | 4,691 | | | 4,963 | | |
| Utilisation* | 92% | | | 97% | | |
| <=3nm sales contribution | 38% | | | 42% | | |

*Source: Bloomberg, Daiwa estimates and forecasts*
*Note: * Calculated as wafer shipment divided by capacity*

### TSMC: monthly revenue run-rate*




*Source: Company, Daiwa estimates and forecasts*
*Note: * Figures over September-December 2026 are estimated by Daiwa*

### TSMC: PBR trend




*Source: Company, TEJ, Daiwa forecasts*

# ESG analysis

## ESG risks

| Risks | | Management | Analyst comments |
|---|---|---|---|
| G | Executive/board quality | 1 | TSMC's board of directors (BoD) has 10 members, including 6 independent directors representing 60% of total directors. The background of TSMC's BoD is diversified, with members from industries, academia, and law. Also, its board members include representatives from not only Taiwan but also Europe and the US, bringing their experience in operating international businesses to the board.<br>We believe the high percentage of independent directors and a diverse mix of expertise from the board members strengthen the functionality of its BoD, as evidenced by TSMC's leading position in the foundry market. |
| | Capital management | 1 | TSMC pays its dividend on a quarterly basis. In the past 5 years, it has managed its dividend payout well, as evidenced by its dividend in dollar terms, where it has never lowered its dividend. As the leader in advanced technology nodes, TSMC has kept expanding its capacity for advanced nodes; as such, we expect its capital intensity to increase to the level near or above 40% over 2025-26 (vs. its long-term target of mid-30%). However, we believe TSMC will at least sustain its cash dividend payout in dollar terms over 2025-26E. We see its balance between investment and dividend as appropriate. |
| | Related party & transaction | 1 | TSMC's sales to related parties remained insignificant, accounting for less than 1% of total revenue in recent years. Purchases from related parties also represented less than 1% of total cost of goods sold. Given the limited contribution of related-party transactions to TSMC's revenue and procurement base, we continue to view related-party exposure and concentration risk as minimal |
| S | Supply chain management | 1 | TSMC continues to strengthen its supply chain management through sustainability risk management and supply chain resilience initiatives. In 2024, 100% of tier-1 suppliers completed sustainability self-assessments, while 100% of targeted critical suppliers completed third-party RBA audits. The Company also maintained its responsible mineral sourcing program and enhanced human rights oversight across its supply chain. We believe these efforts help reduce supply chain and ESG-related risks |
| E | Water & wastewater management | 2 | TSMC continues to invest in water reclamation and conservation technologies to enhance water security. The Company has integrated reclaimed water into its manufacturing process and is expanding alternative water sourcing through partnerships with local governments. Together with ongoing investments in water recycling and efficiency improvement, we believe TSMC is well positioned to mitigate water supply risks and strengthen the sustainability of its operations |
| E | Waste & hazardous materials management | 1 | TSMC has maintained a waste recycling rate above 95% and kept landfill disposal at below 1% for many years. The Company continues to reduce waste intensity through process improvements and resource recovery initiatives. In 2024, TSMC established the semiconductor industry's first Zero Waste Manufacturing Center to further enhance circular economy practices and maximize resource utilization. We view TSMC's waste management performance as best-in-class and see limited environmental risk from waste disposal. |
| E | GHG emissions | 1 | TSMC continues to advance its net-zero strategy through renewable energy procurement and carbon reduction initiatives. All overseas fabs and offices achieved net zero emissions in 2024, while the Company expanded its contracted renewable energy capacity to 4 GW. TSMC maintains its commitment to achieve net zero emissions by 2050, with intermediate targets of 60% renewable electricity usage by 2030 and 100% by 2040. We view TSMC's climate strategy as best-in-class among global semiconductor manufacturers |

*Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.*

*Update Date: 8 Oct 2026*

*Source: Daiwa, Company*

# United Microelectronics (2303 TT)

Target price: **TWD145.00** (from TWD108.00)

Share price (7 Oct): **TWD148.50** | Up/downside: **-2.4%**

5 4 **3** 2 1

**Hold**
(unchanged)

## A beneficiary of the AI ripple effect, but …

- UMC looks set to benefit from AI demand spillover
- Yet we believe the AI ripple effect is being priced in
- Maintain our Hold (3) call, with a higher 12M TP of TWD145

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**What's new:** Given its longstanding position in the global foundry industry, ever challenging TSMC's leadership during the late 1990s, we believe UMC stands well to benefit from a ripple effect in demand spurred by AI scaling, as detailed in the main section of this report. We expect UMC's wafer loadings to reach 100% from 1Q27, with price hikes to go through (see *Price hike to go through? Still likely*, 31 July). That said, we believe the equity market has priced in this AI strength on extra volume and pricing power for UMC. Hence, we stick with our Hold (3) rating on the counter.

**What's the impact:** **3Q26 preview and 4Q26 outlook.** We expect UMC to report 3Q26 net profit of TWD16.4bn (+9% YoY), varying not much from the Bloomberg consensus. Its monthly revenue finished at c.TWD49bn QTD, reaching 65% of our/consensus 3Q26 estimates, which we consider tracking inline. For 4Q26, we expect UMC to earn net profit of TWD16bn, 13% below consensus, as the street seems to be assuming higher non-operating gains. UMC is scheduled to report results on 28 October; we will be offering updates in due course.

**<=28nm ramp on AI scaling and fab optimisation.** UMC's 28/22nm-and-below revenue contribution has hovered around the high-30% range over the past 2 years, after meaningful ramp during the COVID period on broadened demand applications from display drivers and TV SoCs to power management. With AI scaling creating a ripple effect in companion chip demand for connectivity (ie, silicon photonics) and power (ie, server PMICs), we believe UMC is well positioned to benefit from any spillover demand, with the strength augmented by TSMC's fab optimisation, which could strengthen UMC's pricing power. Given that UMC's wafer loadings are likely to reach 100% from 1Q27, we expect its price hikes to go through and model increases of 2-5%, effective from 1Q27, across nodes related to AI applications. This should resume its <=28nm ramp to exceed a half of revenue in 2028. All in, we raise our 2027-28E EPS by 22%.

**What we recommend:** Despite our forecast revisions, we remain comfortable with our Hold (3) rating for UMC, as we believe its AI strength is already priced in. We raise our 12M TP to TWD145 (previous: TWD108), based on our higher ROE-adjusted PBR target of 4.2x (previous: 3.3x) applied to 1-year-forward BVPS on a higher ROE trajectory. Upside/ downside risks would be any price hikes above our expectations/ geopolitical overhangs (war, FX, interest rate) weighing on end-demand.

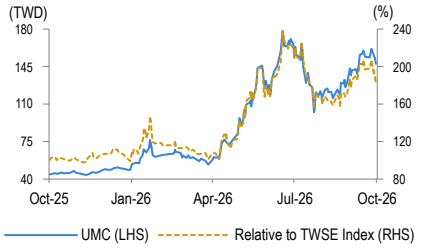
**How we differ:** Our 2026-28E EPS do not vary much from consensus, indicating that UMC's AI strength is already reflected in its valuation.

### Forecast revisions (%)

| Year to 31 Dec | 26E | 27E | 28E |
|---|---|---|---|
| Revenue change | 0.9 | 7.5 | 7.9 |
| Net profit change | 1.5 | 21.9 | 21.6 |
| Core EPS (FD) change | 1.5 | 21.9 | 21.6 |

*Source: Daiwa forecasts*

### Share price performance




| | |
|---|---|
| 12-month range | 43.85-178.50 |
| Market cap (USDbn) | 58.71 |
| 3m avg daily turnover (USDm) | 726.45 |
| Shares outstanding (m) | 12,577 |
| Major shareholder | United Microelectronics Corp (5.8%) |

### Financial summary (TWD)

| Year to 31 Dec | 26E | 27E | 28E |
|---|---|---|---|
| Revenue (m) | 281,729 | 358,798 | 393,029 |
| Operating profit (m) | 63,045 | 99,484 | 115,376 |
| Net profit (m) | 90,829 | 89,289 | 103,534 |
| Core EPS (fully-diluted) | 7.222 | 7.099 | 8.232 |
| EPS change (%) | 117.9 | (1.7) | 16.0 |
| Daiwa vs Cons. EPS (%) | 2.4 | (1.6) | (3.5) |
| PER (x) | 20.6 | 20.9 | 18.0 |
| Dividend yield (%) | 1.8 | 2.7 | 2.7 |
| DPS | 2.6 | 4.0 | 4.0 |
| PBR (x) | 4.8 | 4.4 | 3.9 |
| EV/EBITDA (x) | 13.8 | 10.1 | 9.1 |
| ROE (%) | 23.6 | 21.8 | 22.8 |

*Source: FactSet, Daiwa forecasts*

## Financial summary

### Key assumptions

| Year to 31 Dec | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|
| Capacity utilisation (%) | 104 | 99 | 68 | 69 | 75 | 87 | 99 | 100 |
| Blended ASP (USD) | 774 | 941 | 994 | 933 | 876 | 862 | 914 | 916 |
| Wafer shipment (8" equ., '000) | 9,860 | 9,946 | 7,190 | 7,754 | 8,712 | 10,270 | 12,266 | 13,406 |

### Profit and loss (TWDm)

| Year to 31 Dec | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|
| Wafer Foundry Revenue | 213,011 | 278,705 | 222,533 | 232,303 | 237,553 | 281,729 | 358,798 | 393,029 |
| New Business Revenue | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| Other Revenue | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| **Total Revenue** | **213,011** | **278,705** | **222,533** | **232,303** | **237,553** | **281,729** | **358,798** | **393,029** |
| Other income | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| COGS | (140,961) | (152,941) | (144,789) | (156,649) | (168,647) | (188,965) | (224,020) | (239,340) |
| SG&A | (7,429) | (8,518) | (6,569) | (8,425) | (7,233) | (10,215) | (13,024) | (14,368) |
| Other op.expenses | (12,935) | (12,954) | (13,284) | (15,616) | (17,725) | (19,504) | (22,271) | (23,945) |
| **Operating profit** | **51,686** | **104,293** | **57,891** | **51,613** | **43,949** | **63,045** | **99,484** | **115,376** |
| Net-interest inc./(exp.) | (1,387) | 156 | 3,283 | 1,914 | 676 | 1,110 | 2,095 | 3,270 |
| Assoc/forex/extraord./others | 11,504 | 1,649 | 9,739 | 2,693 | 5,023 | 36,244 | 4,403 | 4,608 |
| **Pre-tax profit** | **61,803** | **106,097** | **70,912** | **56,220** | **49,648** | **100,399** | **105,981** | **123,255** |
| Tax | (6,691) | (18,079) | (9,472) | (9,113) | (8,113) | (9,660) | (16,692) | (19,721) |
| Min. int./pref. div./others | 668 | (820) | (450) | 105 | 182 | 91 | 0 | 0 |
| **Net profit (reported)** | **55,780** | **87,198** | **60,990** | **47,211** | **41,716** | **90,829** | **89,289** | **103,534** |
| **Net profit (adjusted)** | **55,780** | **87,198** | **60,990** | **47,211** | **41,716** | **90,829** | **89,289** | **103,534** |
| **EPS (reported)(TWD)** | **4.552** | **7.086** | **4.930** | **3.796** | **3.341** | **7.222** | **7.099** | **8.232** |
| **EPS (adjusted)(TWD)** | **4.552** | **7.086** | **4.930** | **3.796** | **3.341** | **7.222** | **7.099** | **8.232** |
| **EPS (adjusted fully-diluted)(TWD)** | **4.468** | **6.973** | **4.868** | **3.759** | **3.314** | **7.222** | **7.099** | **8.232** |
| **DPS (TWD)** | **1.622** | **3.043** | **3.639** | **3.022** | **2.866** | **2.602** | **4.004** | **4.004** |
| **EBIT** | **51,686** | **104,293** | **57,891** | **51,613** | **43,949** | **63,045** | **99,484** | **115,376** |
| **EBITDA** | **98,762** | **148,462** | **98,374** | **99,780** | **103,206** | **129,845** | **173,179** | **185,068** |

### Cash flow (TWDm)

| Year to 31 Dec | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|
| Profit before tax | 61,803 | 106,097 | 70,912 | 56,220 | 49,648 | 100,399 | 105,981 | 123,255 |
| Depreciation and amortisation | 47,075 | 44,169 | 40,484 | 48,168 | 59,257 | 66,800 | 73,695 | 69,692 |
| Tax paid | (6,691) | (18,079) | (9,472) | (9,113) | (8,113) | (9,660) | (16,692) | (19,721) |
| Change in working capital | (10,151) | (8,262) | 916 | (2,889) | 1,617 | (10,600) | (10,000) | (400) |
| Other operational CF items | (1,685) | 21,935 | (16,840) | 1,488 | (2,545) | (27,454) | (3,803) | (4,008) |
| **Cash flow from operations** | **90,352** | **145,861** | **86,000** | **93,872** | **99,864** | **119,484** | **149,182** | **168,817** |
| Capex | (48,035) | (80,128) | (91,474) | (88,545) | (47,744) | (63,647) | (51,200) | (52,801) |
| Net (acquisitions)/disposals | (14,290) | 28,229 | (4,678) | 2,625 | (7,670) | 8,411 | 0 | 0 |
| Other investing CF items | 162 | (2,528) | (1,635) | (21) | 2,259 | 0 | 0 | 0 |
| **Cash flow from investing** | **(62,163)** | **(54,427)** | **(97,787)** | **(85,941)** | **(53,154)** | **(55,237)** | **(51,200)** | **(52,801)** |
| Change in debt | 18,818 | (34,087) | 27,377 | (337) | (1,812) | (4,188) | (18,843) | (19,757) |
| Net share issues/(repurchases) | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| Dividends paid | (19,871) | (37,445) | (45,015) | (37,586) | (35,784) | (32,729) | (50,353) | (50,353) |
| Other financing CF items | 11,439 | 21,296 | (11,840) | 2,438 | (3,454) | 0 | 0 | 0 |
| **Cash flow from financing** | **10,386** | **(50,237)** | **(29,478)** | **(35,484)** | **(41,050)** | **(36,917)** | **(69,196)** | **(70,110)** |
| Forex effect/others | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| **Change in cash** | **38,574** | **41,197** | **(41,265)** | **(27,553)** | **5,660** | **27,330** | **28,786** | **45,907** |
| Free cash flow | 42,317 | 65,732 | (5,474) | 5,327 | 52,120 | 55,837 | 97,982 | 116,016 |

*Source: FactSet, Daiwa forecasts*

## Financial summary continued …

### Balance sheet (TWDm)

| Year to 31 Dec | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|
| Cash & short-term investment | 171,224 | 178,973 | 145,621 | 115,865 | 129,071 | 147,990 | 176,776 | 222,683 |
| Inventory | 23,011 | 31,070 | 35,713 | 35,782 | 37,228 | 38,228 | 41,728 | 41,228 |
| Accounts receivable | 35,190 | 36,975 | 29,586 | 33,343 | 31,274 | 40,774 | 50,774 | 50,674 |
| Other current assets | 3,848 | 5,353 | 5,878 | 4,688 | 7,211 | 5,000 | 5,500 | 5,500 |
| **Total current assets** | **233,273** | **252,371** | **216,797** | **189,678** | **204,783** | **231,992** | **274,778** | **320,085** |
| Fixed assets | 129,942 | 170,982 | 237,377 | 277,344 | 271,395 | 247,287 | 231,137 | 220,390 |
| Goodwill & intangibles | 28,665 | 44,852 | 30,758 | 30,691 | 27,445 | 24,500 | 27,400 | 27,300 |
| Other non-current assets | 72,547 | 64,847 | 74,255 | 72,487 | 75,373 | 102,917 | 106,720 | 110,728 |
| **Total assets** | **464,427** | **533,052** | **559,187** | **570,201** | **578,996** | **606,697** | **640,036** | **678,503** |
| Short-term debt | 39,256 | 7,587 | 29,537 | 19,510 | 27,597 | 19,751 | 20,666 | 15,726 |
| Accounts payable | 8,364 | 8,982 | 7,526 | 7,633 | 9,170 | 9,070 | 12,570 | 11,570 |
| Other current liabilities | 57,833 | 91,996 | 61,952 | 48,117 | 50,832 | 73,412 | 81,958 | 92,119 |
| **Total current liabilities** | **105,454** | **108,565** | **99,015** | **75,260** | **87,598** | **102,234** | **115,194** | **119,415** |
| Long-term debt | 39,830 | 39,877 | 45,236 | 55,533 | 45,372 | 49,029 | 29,272 | 14,454 |
| Other non-current liabilities | 37,941 | 49,159 | 55,358 | 61,222 | 66,170 | 66,000 | 66,000 | 66,000 |
| **Total liabilities** | **183,224** | **197,601** | **199,608** | **192,016** | **199,141** | **217,263** | **210,466** | **199,869** |
| Share capital | 124,832 | 125,047 | 125,298 | 125,607 | 125,882 | 125,882 | 125,882 | 125,882 |
| Reserves/R.E./others | 156,147 | 210,060 | 233,939 | 252,321 | 253,887 | 263,366 | 303,401 | 352,366 |
| **Shareholders' equity** | **280,980** | **335,107** | **359,238** | **377,928** | **379,768** | **389,247** | **429,283** | **478,247** |
| Minority interests | 223 | 344 | 341 | 257 | 87 | 187 | 287 | 387 |
| **Total equity & liabilities** | **464,427** | **533,052** | **559,187** | **570,201** | **578,996** | **606,697** | **640,036** | **678,503** |
| EV | 1,775,767 | 1,736,517 | 1,797,175 | 1,827,118 | 1,811,667 | 1,788,660 | 1,741,130 | 1,675,567 |
| **Net debt/(cash)** | **(92,138)** | **(131,509)** | **(70,849)** | **(40,821)** | **(56,102)** | **(79,210)** | **(126,839)** | **(192,503)** |
| **BVPS (TWD)** | **22.508** | **26.798** | **28.671** | **30.090** | **30.169** | **30.949** | **34.132** | **38.026** |

### Key ratios (%)

| Year to 31 Dec | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|
| Sales (YoY) | 20.5 | 30.8 | (20.2) | 4.4 | 2.3 | 18.6 | 27.4 | 9.5 |
| EBITDA (YoY) | 39.3 | 50.3 | (33.7) | 1.4 | 3.4 | 25.8 | 33.4 | 6.9 |
| Operating profit (YoY) | 134.9 | 101.8 | (44.5) | (10.8) | (14.8) | 43.5 | 57.8 | 16.0 |
| Net profit (YoY) | 91.1 | 56.3 | (30.1) | (22.6) | (11.6) | 117.7 | (1.7) | 16.0 |
| Core EPS (fully-diluted) (YoY) | 93.7 | 56.0 | (30.2) | (22.8) | (11.8) | 117.9 | (1.7) | 16.0 |
| Gross-profit margin | 33.8 | 45.1 | 34.9 | 32.6 | 29.0 | 32.9 | 37.6 | 39.1 |
| EBITDA margin | 46.4 | 53.3 | 44.2 | 43.0 | 43.4 | 46.1 | 48.3 | 47.1 |
| Operating-profit margin | 24.3 | 37.4 | 26.0 | 22.2 | 18.5 | 22.4 | 27.7 | 29.4 |
| Net profit margin | 26.2 | 31.3 | 27.4 | 20.3 | 17.6 | 32.2 | 24.9 | 26.3 |
| ROAE | 21.6 | 28.3 | 17.6 | 12.8 | 11.0 | 23.6 | 21.8 | 22.8 |
| ROAA | 13.3 | 17.5 | 11.2 | 8.4 | 7.3 | 15.3 | 14.3 | 15.7 |
| ROCE | 15.7 | 28.1 | 14.2 | 11.6 | 9.7 | 13.8 | 21.2 | 23.3 |
| ROIC | 23.5 | 44.0 | 20.4 | 13.8 | 11.1 | 18.0 | 27.3 | 32.9 |
| Net debt to equity | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. |
| Effective tax rate | 10.8 | 17.0 | 13.4 | 16.2 | 16.3 | 9.6 | 15.7 | 16.0 |
| Accounts receivable (days) | 53.5 | 47.3 | 54.6 | 49.4 | 49.6 | 46.7 | 46.6 | 47.1 |
| Current ratio (x) | 2.2 | 2.3 | 2.2 | 2.5 | 2.3 | 2.3 | 2.4 | 2.7 |
| Net interest cover (x) | 37.3 | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. |
| Net dividend payout | 68.1 | 67.1 | 51.6 | 61.6 | 75.8 | 78.5 | 55.4 | 56.3 |
| Free cash flow yield | 2.3 | 3.5 | n.a. | 0.3 | 2.8 | 3.0 | 5.2 | 6.2 |

*Source: FactSet, Daiwa forecasts*

## Company profile

Incorporated in Taiwan, United Microelectronics Corp (UMC) is one of the leading semiconductor foundries in the world and second largest in Taiwan. UMC offers a series of foundry services from photo-mask, wafer fabrication to wafer probe & test. Its wafer fabs are spread over Taiwan, China and Singapore, with technology offerings ranging from 0.25u and above, 0.18/0.15u, 0.13u, 90nm, 65nm, 45/40nm, 28/22nm to 14nm FF.

## UMC: key operating assumptions, quarterly P&L estimates and forecasts

| TWDm | 1Q26 | 2Q26 | 3Q26E | 4Q26E | 1Q27E | 2Q27E | 3Q27E | 4Q27E | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Wafer shipment (12" equ) ('000 units) | 1,021 | 1,129 | 1,201 | 1,213 | 1,213 | 1,359 | 1,454 | 1,425 | 3,872 | 4,564 | 5,451 | 5,958 |
| Capacity utilisation | 80% | 86% | 91% | 91% | 92% | 100% | 103% | 100% | 75% | 87% | 99% | 100% |
| Blended ASP (USD) | 1,890 | 1,926 | 1,967 | 1,966 | 2,017 | 2,056 | 2,081 | 2,067 | 1,970 | 1,940 | 2,057 | 2,061 |
| Total revenue | 61,038 | 68,733 | 75,612 | 76,347 | 78,296 | 89,428 | 96,841 | 94,232 | 237,553 | 281,729 | 358,798 | 393,029 |
| **Total revenue (USDm)** | **1,930** | **2,174** | **2,363** | **2,386** | **2,447** | **2,795** | **3,026** | **2,945** | **7,629** | **8,853** | **11,212** | **12,282** |
| COGS | -43,219 | -46,410 | -49,163 | -50,173 | -51,247 | -55,577 | -59,216 | -57,980 | -168,647 | -188,965 | -224,020 | -239,340 |
| Gross profit | 17,818 | 22,323 | 26,449 | 26,174 | 27,049 | 33,852 | 37,625 | 36,252 | 68,906 | 92,764 | 134,778 | 153,690 |
| Opex | -6,542 | -7,373 | -7,864 | -7,940 | -8,143 | -8,764 | -9,200 | -9,188 | -24,958 | -29,719 | -35,294 | -38,313 |
| Operating profit | 11,276 | 14,950 | 18,585 | 18,234 | 18,907 | 25,088 | 28,425 | 27,065 | 43,949 | 63,045 | 99,484 | 115,376 |
| EBITDA | 27,263 | 31,188 | 35,485 | 35,909 | 36,607 | 43,288 | 47,125 | 46,160 | 103,206 | 129,845 | 173,179 | 185,068 |
| Non-op gain/loss | 5,367 | 30,236 | 900 | 850 | 900 | 1,420 | 2,135 | 2,043 | 5,699 | 37,354 | 6,498 | 7,878 |
| Pre-tax profit | 16,644 | 45,186 | 19,485 | 19,084 | 19,807 | 26,508 | 30,560 | 29,107 | 49,648 | 100,399 | 105,981 | 123,255 |
| Income taxes | -527 | -2,962 | -3,118 | -3,053 | -3,169 | -3,976 | -4,890 | -4,657 | -8,113 | -9,660 | -16,692 | -19,721 |
| Net profit | 16,171 | 42,260 | 16,367 | 16,031 | 16,637 | 22,532 | 25,670 | 24,450 | 41,716 | 90,829 | 89,289 | 103,534 |
| FD O/S (m) | 12,579 | 12,577 | 12,577 | 12,577 | 12,577 | 12,577 | 12,577 | 12,577 | 12,588 | 12,577 | 12,577 | 12,577 |
| **FD EPS (TWD)** | **1.29** | **3.36** | **1.30** | **1.27** | **1.32** | **1.79** | **2.04** | **1.94** | **3.31** | **7.22** | **7.10** | **8.23** |
| **Margin** | | | | | | | | | | | | |
| Gross | 29% | 32% | 35% | 34% | 35% | 38% | 39% | 38% | 29% | 33% | 38% | 39% |
| Operating | 18% | 22% | 25% | 24% | 24% | 28% | 29% | 29% | 19% | 22% | 28% | 29% |
| EBITDA | 45% | 45% | 47% | 47% | 47% | 48% | 49% | 49% | 43% | 46% | 48% | 47% |
| Net | 26% | 61% | 22% | 21% | 21% | 25% | 27% | 26% | 18% | 32% | 25% | 26% |
| **Growth (QoQ)** | | | | | | | | | | | | |
| Total revenue | -1% | 13% | 10% | 1% | 3% | 14% | 8% | -3% | | | | |
| Gross profit | -6% | 25% | 18% | -1% | 3% | 25% | 11% | -4% | | | | |
| Operating profit | -8% | 33% | 24% | -2% | 4% | 33% | 13% | -5% | | | | |
| EBITDA | -2% | 14% | 14% | 1% | 2% | 18% | 9% | -2% | | | | |
| Net profit | 61% | 161% | -61% | -2% | 4% | 35% | 14% | -5% | | | | |
| FD EPS | 61% | 161% | -61% | -2% | 4% | 35% | 14% | -5% | | | | |
| **Growth (YoY)** | | | | | | | | | | | | |
| Total revenue | 5% | 17% | 28% | 24% | 28% | 30% | 28% | 23% | 2% | 19% | 27% | 10% |
| Gross profit | 15% | 32% | 50% | 38% | 52% | 52% | 42% | 39% | -9% | 35% | 45% | 14% |
| Operating profit | 15% | 38% | 67% | 49% | 68% | 68% | 53% | 48% | -15% | 43% | 58% | 16% |
| EBITDA | 14% | 23% | 36% | 29% | 34% | 39% | 33% | 29% | 3% | 26% | 33% | 7% |
| Net profit | 108% | 375% | 9% | 59% | 3% | -47% | 57% | 53% | -12% | 118% | -2% | 16% |
| FD EPS | 108% | 374% | 9% | 60% | 3% | -47% | 57% | 53% | -12% | 118% | -2% | 16% |

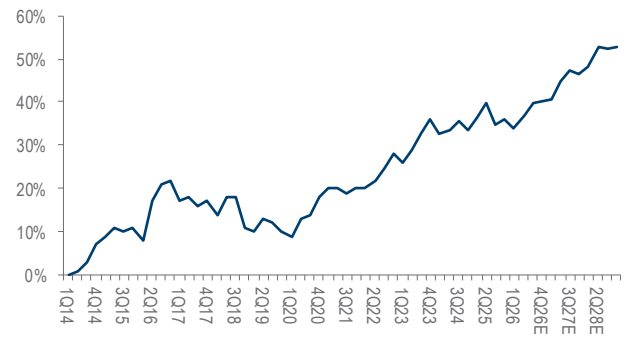
*Source: Company, Daiwa estimates and forecasts*

## UMC: 3Q26 results preview and 4Q26 business outlook

| | 3Q26E | | | 4Q26E | | |
|---|---|---|---|---|---|---|
| TWDm | Daiwa | Consensus | Variance | Daiwa | Consensus | Variance |
| Revenue | 75,612 | 75,517 | 0% | 76,347 | 78,272 | -2% |
| Gross profit | 26,449 | 26,392 | 0% | 26,174 | 27,621 | -5% |
| Operating profit | 18,585 | | | 18,234 | | |
| Pretax profit | 19,485 | | | 19,084 | | |
| Net profit | 16,367 | 17,018 | -4% | 16,031 | 18,371 | -13% |
| Adjusted EPS (TWD) | 1.30 | 1.35 | -4% | 1.27 | 1.46 | -13% |
| **Margin** | | | | | | |
| Gross | 35.0% | 34.9% | | 34.3% | 35.3% | |
| Operating | 24.6% | | | 23.9% | | |
| Net | 21.6% | | | 21.0% | | |
| **Operation** | | | | | | |
| Shipments (12" equ. wafers) ('000 units) | 1,201 | | | 1,213 | | |
| Utilization* | 91% | | | 91% | | |
| <=28nm sales contribution | 40% | | | 40% | | |

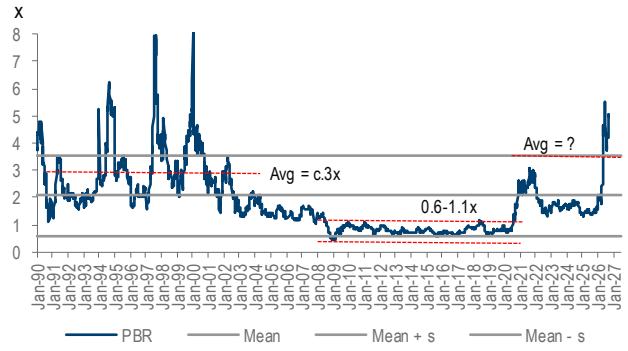
*Source: Bloomberg, Daiwa estimates and forecasts*
*Note: * Calculated as wafer shipment divided installed capacity*

### UMC: 28/22nm-and-below revenue contribution*




*Source: Company, Daiwa estimates and forecasts*
*Note: * Including 14nm FF*

### UMC: PBR trend




*Source: Company, TEJ, Daiwa forecasts*

# ESG analysis

## ESG risks

| Risks | | Management | Analyst comments |
|---|---|---|---|
| G | Executive/board quality | 1 | UMC's Board of Directors consists of nine members whose expertise covers industry, academia, finance, accounting, and management. Among these directors, six are independent directors, representing 67% of total directors in 2024. The percentage of independent directors is high relative to the regulatory requirement of at least 20% or at least 2 independent directors. Although some of UMC's executive management are also directors, UMC's Chairman and President are not the same person. Considering this and its relative-high percentage of independent directors, we believe the board can perform its functionalities well |
| | Capital management | 2 | It kept its dividend payout ratios above 50% in 2017-25, which is at a healthy, sustainable level. Overall, we see the balance between investment and dividend as appropriate. |
| | Related party & transaction | 1 | Sales to related parties were around 1-2% of its total revenue each year. The percentage is insignificant and thus we see limited risk for UMC. |
| S | Supply chain management | 2 | UMC has constructed an evaluation framework for reviewing the sustainable development of its supply chains based on UMC's GG-026-004-C sustainable supply-chain management review guidelines to ensure its suppliers fulfil environmental protection, social responsibility, labour and human rights, safety & health and sustainable development guidelines. We believe these efforts could reduce its supply-chain risk. |
| E | Water & wastewater management | 2 | UMC developed its "Water Management Policy and Commitment" in 2015 to promote more effective utilisation of water resources. In line with this policy, UMC continues to enhance recycling through increased use of reclaimed and desalinated water, ongoing wastewater treatment R&D, and optimised discharge management. In 2024, the company achieved a 30.3% reduction in water withdrawal per unit product, surpassing its 14% goal and meeting its 2030 target ahead of schedule, which demonstrates UMC's strong commitment to water conservation. |
| E | Waste & hazardous materials management | 2 | To achieve the goal of zero pollution, UMC has established a comprehensive new material evaluation process to effectively screen and control new materials introduced into the development of new processes. Through this effort, it can avoid or reduce the use of raw materials and the associated environmental impact. UMC was the first semiconductor manufacturer company in the world to obtain QC-080000 IECQ Hazardous Substance Process Management (HSPM) certification for all its fabs by leading global semiconductor manufacturers in completing the third-party verification and audit of its HSPM system in 2006. |
| E | GHG emissions | 2 | UMC was the first semiconductor company in Taiwan to pass integrated environmental protection, safety and health management system certifications in 2001. UMC has established the UMC Low Carbon Commitment as a guide for future carbon reduction projects. Its GHG emission reduction goals include: 1) to reduce fluorinated greenhouse gas emissions intensity by 65% over 2013-25 vs. 2010, and 2) to reduce electricity consumption intensity by 15% in 10 years over 2016-25 vs. 2015. |

*Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.*

*Update Date: 8 Oct 2026*

*Source: Daiwa, Company*

Daiwa Capital Markets Hong Kong Limited

# Semiconductor Manufacturing Int'l Corp (981 HK)

Target price: **HKD40.00** (from HKD40.00)

Share price (7 Oct): **HKD60.90** | Up/downside: **-34.3%**

5 4 3 2 1

**Sell**
(unchanged)

## Yes, AI, yet constrained by geopolitics

- A foundry leader in China set to benefit from AI innovations
- Yet likely seeing suboptimal operations due to "national mission"
- Reaffirming our Sell (5) rating and 12-month TP of HKD40

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**What's new:** As China's foundry leader, SMIC should benefit, among local peers, from China's AI innovations to cope with geopolitical pressures, such as multiple lithography patterning, time scaling in advanced packaging technology and logic folding. Yet, to serve what we view as China's "national mission" to catch up with the West in AI, SMIC has to suboptimise its operations for suboptimal profitability, as evidenced by its abnormal capex cycle and resulting depreciation burden. As such, we remain comfortable with our Sell (5) rating on the stock, though we view such a rating in capital markets may not be fair and truly reflecting its authentic fundamentals.

**What's the impact:** **3Q26 preview and 4Q26 outlook.** We expect SMIC to report 3Q26 net profit of USD399m, 7% below consensus, as the street appears to be assuming higher non-operating gains. For 4Q26, we forecast net profit of USD364m, down 9% QoQ but up 40% YoY, on flat top-line of USD3.1bn (+25% YoY), due to seasonality, as customers tend to manage inventory towards year-end.

**Geopolitical concerns lingering despite AI.** As China's foundry leader, SMIC should benefit, among local peers, from China's innovative AI developments, such as multiple lithography patterning, time scaling in advanced packaging technology and logic folding. Yet, to serve what we view as China's "national mission" to catch up with the West in AI, SMIC has to suboptimise its operations for suboptimal profitability, as evidenced by its abnormal capex cycle over 2020-26 and the resulting depreciation burden. This, combined with lingering geopolitical uncertainty, prevents us from turning positive on the stock. President Xi and President Trump met in the US last month; we hope that any constructive breakthroughs in the future will help reset SMIC's competitiveness for normalised profitability.

**What we recommend:** We rate SMIC Sell (5), with a 12M TP of HKD40 (unchanged), based on our ROE-adjusted PBR target of 1.1x applied to our one-year-forward BVPS forecast. Though our rating may not truly reflect SMIC's fundamentals due to geopolitical issues, we await any breakthrough between the 2 power nations on trade conflicts to normalise SMIC's operations. Key upside risk to our call would be any positive breakthrough on geopolitics and export controls.

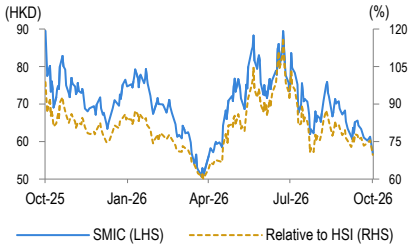
**How we differ:** Our 2028E EPS is 4% below Bloomberg consensus, likely due to our view calling for a soft-landing in the chip cycle.

### Forecast revisions (%)

| Year to 31 Dec | 26E | 27E | 28E |
|---|---|---|---|
| Revenue change | - | - | - |
| Net profit change | - | - | - |
| Core EPS (FD) change | - | - | - |

*Source: Daiwa forecasts*

### Share price performance




| | |
|---|---|
| 12-month range | 50.70-89.40 |
| Market cap (USDbn) | 60.19 |
| 3m avg daily turnover (USDm) | 706.70 |
| Shares outstanding (m) | 8,316 |
| Major shareholder | Datang Investment Holdings (19.9%) |

### Financial summary (USD)

| Year to 31 Dec | 26E | 27E | 28E |
|---|---|---|---|
| Revenue (m) | 11,748 | 14,045 | 15,540 |
| Operating profit (m) | 1,927 | 2,416 | 2,633 |
| Net profit (m) | 1,453 | 1,694 | 1,951 |
| Core EPS (fully-diluted)(USD cents) | 17.477 | 20.375 | 23.464 |
| EPS change (%) | 71.9 | 16.6 | 15.2 |
| Daiwa vs Cons. EPS (%) | 1.8 | (10.0) | (18.4) |
| PER (x) | 44.4 | 38.1 | 33.1 |
| Dividend yield (%) | 0.0 | 0.0 | 0.0 |
| DPS | 0.000 | 0.000 | 0.000 |
| PBR (x) | 1.7 | 1.6 | 1.5 |
| EV/EBITDA (x) | 12.1 | 9.8 | 8.5 |
| ROE (%) | 6.6 | 7.1 | 7.6 |

*Source: FactSet, Daiwa forecasts*

## Financial summary

### Key assumptions

| Year to 31 Dec | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|
| Capacity utilisation (%) | 98 | 88 | 63 | 77 | 80 | 84 | 90 | 97 |
| Blended ASP (USD) | 738 | 949 | 981 | 937 | 907 | 982 | 1,021 | 1,007 |
| Wafer shipment ('000, 8" equ.) | 6,747 | 7,099 | 5,867 | 8,021 | 9,696 | 11,316 | 13,115 | 14,692 |

### Profit and loss (USDm)

| Year to 31 Dec | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|
| Foundry Revenue | 4,982 | 6,736 | 5,757 | 7,516 | 8,796 | 11,113 | 13,395 | 14,790 |
| Other Revenue | 461 | 538 | 565 | 514 | 531 | 635 | 650 | 750 |
| Other Revenue | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| **Total Revenue** | **5,443** | **7,273** | **6,322** | **8,030** | **9,327** | **11,748** | **14,045** | **15,540** |
| Other income | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| COGS | (3,767) | (4,512) | (5,104) | (6,582) | (7,370) | (8,806) | (10,324) | (11,336) |
| SG&A | (303) | (528) | (517) | (620) | (569) | (552) | (663) | (777) |
| Other op.expenses | 20 | (398) | (343) | (353) | (277) | (463) | (642) | (794) |
| **Operating profit** | **1,392** | **1,836** | **358** | **475** | **1,110** | **1,927** | **2,416** | **2,633** |
| Net-interest inc./(exp.) | 113 | 224 | 527 | 249 | 25 | (70) | (45) | 115 |
| Assoc/forex/extraord./others | 383 | 101 | 187 | 36 | 99 | 344 | 0 | 0 |
| **Pre-tax profit** | **1,888** | **2,160** | **1,072** | **760** | **1,234** | **2,201** | **2,371** | **2,748** |
| Tax | (65) | (16) | (63) | (130) | (84) | (180) | (203) | (247) |
| Min. int./pref. div./others | (73) | (380) | (222) | (237) | (304) | (568) | (474) | (550) |
| **Net profit (reported)** | **1,750** | **1,764** | **787** | **393** | **845** | **1,453** | **1,694** | **1,951** |
| **Net profit (adjusted)** | **1,750** | **1,764** | **787** | **393** | **845** | **1,453** | **1,694** | **1,951** |
| **EPS (reported)(USD cents)** | **22.139** | **22.287** | **9.835** | **4.789** | **10.167** | **17.477** | **20.375** | **23.464** |
| **EPS (adjusted)(USD cents)** | **22.139** | **22.287** | **9.835** | **4.789** | **10.167** | **17.477** | **20.375** | **23.464** |
| **EPS (adjusted fully-diluted)(USD cents)** | **21.042** | **21.212** | **9.462** | **4.722** | **10.167** | **17.477** | **20.375** | **23.464** |
| **DPS (USD)** | **0.000** | **0.000** | **0.000** | **0.000** | **0.000** | **0.000** | **0.000** | **0.000** |
| **EBIT** | **1,392** | **1,836** | **358** | **475** | **1,110** | **1,927** | **2,416** | **2,633** |
| **EBITDA** | **3,262** | **4,107** | **3,025** | **3,698** | **4,920** | **6,729** | **8,065** | **8,769** |

### Cash flow (USDm)

| Year to 31 Dec | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|
| Profit before tax | 1,888 | 2,160 | 1,072 | 760 | 1,234 | 2,201 | 2,371 | 2,748 |
| Depreciation and amortisation | 1,869 | 2,271 | 2,667 | 3,223 | 3,810 | 4,802 | 5,649 | 6,136 |
| Tax paid | (65) | (16) | (63) | (130) | (84) | (180) | (203) | (247) |
| Change in working capital | (537) | (1) | (579) | (62) | (1,518) | 300 | (470) | 300 |
| Other operational CF items | (135) | 940 | (42) | (665) | (247) | (568) | (474) | (550) |
| **Cash flow from operations** | **3,020** | **5,354** | **3,056** | **3,126** | **3,194** | **6,555** | **6,873** | **8,387** |
| Capex | (4,120) | (6,172) | (7,630) | (7,664) | (8,400) | (8,100) | (5,300) | (4,500) |
| Net (acquisitions)/disposals | (2,669) | (4,314) | 1,240 | 3,033 | 1,853 | 0 | 0 | 0 |
| Other investing CF items | 134 | 94 | 183 | 112 | 52 | 0 | 0 | 0 |
| **Cash flow from investing** | **(6,655)** | **(10,392)** | **(6,208)** | **(4,518)** | **(6,495)** | **(8,100)** | **(5,300)** | **(4,500)** |
| Change in debt | 385 | 2,691 | 1,738 | 1,539 | 754 | 0 | (999) | (999) |
| Net share issues/(repurchases) | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| Dividends paid | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| Other financing CF items | 1,973 | 924 | 728 | 70 | 1,922 | 1,000 | 1,000 | 1,000 |
| **Cash flow from financing** | **2,357** | **3,614** | **2,466** | **1,608** | **2,676** | **1,000** | **1** | **1** |
| Forex effect/others | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| **Change in cash** | **(1,279)** | **(1,423)** | **(686)** | **216** | **(625)** | **(545)** | **1,574** | **3,888** |
| Free cash flow | (1,100) | (818) | (4,574) | (4,538) | (5,206) | (1,545) | 1,573 | 3,887 |

*Source: FactSet, Daiwa forecasts*

## Financial summary continued …

### Balance sheet (USDm)

| Year to 31 Dec | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|
| Cash & short-term investment | 12,529 | 12,578 | 9,422 | 10,909 | 10,491 | 9,946 | 11,520 | 15,408 |
| Inventory | 1,194 | 1,911 | 2,736 | 2,958 | 3,630 | 3,830 | 4,030 | 4,230 |
| Accounts receivable | 1,215 | 1,303 | 1,170 | 840 | 1,433 | 1,383 | 1,983 | 1,733 |
| Other current assets | 279 | 802 | 286 | 76 | 71 | 75 | 75 | 75 |
| **Total current assets** | **15,218** | **16,594** | **13,613** | **14,784** | **15,625** | **15,234** | **17,607** | **21,445** |
| Fixed assets | 14,815 | 19,385 | 24,419 | 28,524 | 32,933 | 36,471 | 36,348 | 36,348 |
| Goodwill & intangibles | 68 | 45 | 34 | 24 | 20 | 20 | 20 | 20 |
| Other non-current assets | 6,011 | 7,783 | 9,722 | 5,829 | 3,693 | 4,310 | 4,310 | 2,810 |
| **Total assets** | **36,111** | **43,808** | **47,787** | **49,161** | **52,271** | **56,034** | **58,285** | **60,623** |
| Short-term debt | 789 | 1,268 | 1,216 | 2,926 | 2,593 | 2,593 | 2,593 | 2,593 |
| Accounts payable | 2,066 | 3,217 | 3,728 | 3,280 | 2,966 | 3,416 | 3,746 | 3,996 |
| Other current liabilities | 1,598 | 2,540 | 2,657 | 2,553 | 1,258 | 2,549 | 3,199 | 3,400 |
| **Total current liabilities** | **4,454** | **7,025** | **7,602** | **8,760** | **6,817** | **8,559** | **9,539** | **9,989** |
| Long-term debt | 5,535 | 7,317 | 8,934 | 8,038 | 9,995 | 9,995 | 8,995 | 7,996 |
| Other non-current liabilities | 684 | 505 | 406 | 494 | 439 | 449 | 551 | 937 |
| **Total liabilities** | **10,673** | **14,846** | **16,942** | **17,292** | **17,251** | **19,002** | **19,085** | **18,921** |
| Share capital | 32 | 32 | 32 | 32 | 32 | 32 | 32 | 32 |
| Reserves/R.E./others | 17,118 | 19,118 | 20,084 | 20,582 | 21,408 | 22,851 | 24,546 | 26,497 |
| **Shareholders' equity** | **17,150** | **19,150** | **20,116** | **20,614** | **21,440** | **22,883** | **24,578** | **26,529** |
| Minority interests | 8,288 | 9,811 | 10,730 | 11,256 | 13,581 | 14,149 | 14,623 | 15,173 |
| **Total equity & liabilities** | **36,111** | **43,808** | **47,787** | **49,161** | **52,271** | **56,034** | **58,285** | **60,623** |
| EV | 66,613 | 70,348 | 75,988 | 75,840 | 80,207 | 81,320 | 79,221 | 74,884 |
| **Net debt/(cash)** | **(6,205)** | **(3,993)** | **729** | **55** | **2,097** | **2,642** | **68** | **(4,819)** |
| **BVPS (USD cents)** | **321.854** | **365.907** | **385.570** | **388.654** | **421.122** | **445.311** | **471.389** | **501.462** |

### Key ratios (%)

| Year to 31 Dec | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|
| Sales (YoY) | 39.3 | 33.6 | (13.1) | 27.0 | 16.2 | 26.0 | 19.5 | 10.6 |
| EBITDA (YoY) | 100.8 | 25.9 | (26.3) | 22.2 | 33.0 | 36.8 | 19.9 | 8.7 |
| Operating profit (YoY) | 346.4 | 31.8 | (80.5) | 32.7 | 133.7 | 73.6 | 25.4 | 9.0 |
| Net profit (YoY) | 130.2 | 0.8 | (55.4) | (50.1) | 115.3 | 71.9 | 16.6 | 15.2 |
| Core EPS (fully-diluted) (YoY) | 130.2 | 0.8 | (55.4) | (50.1) | 115.3 | 71.9 | 16.6 | 15.2 |
| Gross-profit margin | 30.8 | 38.0 | 19.3 | 18.0 | 21.0 | 25.0 | 26.5 | 27.1 |
| EBITDA margin | 59.9 | 56.5 | 47.9 | 46.1 | 52.8 | 57.3 | 57.4 | 56.4 |
| Operating-profit margin | 25.6 | 25.2 | 5.7 | 5.9 | 11.9 | 16.4 | 17.2 | 16.9 |
| Net profit margin | 32.1 | 24.3 | 12.4 | 4.9 | 9.1 | 12.4 | 12.1 | 12.6 |
| ROAE | 10.8 | 9.7 | 4.0 | 1.9 | 4.0 | 6.6 | 7.1 | 7.6 |
| ROAA | 5.2 | 4.4 | 1.7 | 0.8 | 1.7 | 2.7 | 3.0 | 3.3 |
| ROCE | 4.7 | 5.3 | 0.9 | 1.1 | 2.5 | 4.0 | 4.8 | 5.1 |
| ROIC | 7.8 | 8.2 | 1.2 | 1.2 | 3.0 | 4.6 | 5.6 | 6.3 |
| Net debt to equity | n.a. | n.a. | 3.6 | 0.3 | 9.8 | 11.5 | 0.3 | n.a. |
| Effective tax rate | 3.5 | 0.7 | 5.8 | 17.1 | 6.8 | 8.2 | 8.5 | 9.0 |
| Accounts receivable (days) | 73.5 | 63.2 | 71.4 | 45.7 | 44.5 | 43.7 | 43.7 | 43.6 |
| Current ratio (x) | 3.4 | 2.4 | 1.8 | 1.7 | 2.3 | 1.8 | 1.8 | 2.1 |
| Net interest cover (x) | n.a. | n.a. | n.a. | n.a. | n.a. | 27.5 | 53.7 | n.a. |
| Net dividend payout | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Free cash flow yield | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | 2.4 | 6.0 |

*Source: FactSet, Daiwa forecasts*

## Company profile

Incorporated in China in 2000, Semiconductor Manufacturing International Corp (SMIC) is the largest dedicated semiconductor foundry in China. It offers product services, such as wafer fabrication, masking, packaging and testing. Its fab operations spread over major cities of China, including Shanghai (8", 12"), Beijing (12"), Tianjin (8") and Shenzhen (8", 12"). It has also set up JV fabs with the governments and teamed up with Jiangsu Changjiang Electronics Technology (JCET, 江蘇長電).

## SMIC: key operating assumptions, quarterly P&L estimates and forecasts

| USDm | 1Q26 | 2Q26 | 3Q26E | 4Q26E | 1Q27E | 2Q27E | 3Q27E | 4Q27E | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Wafer shipments (12" equ) ('000 units) | 1,115 | 1,275 | 1,313 | 1,326 | 1,299 | 1,442 | 1,543 | 1,543 | 4,309 | 5,029 | 5,829 | 6,530 |
| Capacity utilisation | 78% | 87% | 87% | 85% | 84% | 90% | 93% | 93% | 80% | 84% | 90% | 97% |
| Blended ASP (USD) | 2,110 | 2,230 | 2,252 | 2,233 | 2,219 | 2,287 | 2,337 | 2,336 | 2,041 | 2,210 | 2,298 | 2,265 |
| Total revenue | 2,505 | 3,006 | 3,116 | 3,121 | 3,034 | 3,459 | 3,777 | 3,775 | 9,327 | 11,748 | 14,045 | 15,540 |
| COGS | -2,002 | -2,245 | -2,258 | -2,301 | -2,304 | -2,497 | -2,731 | -2,792 | -7,370 | -8,806 | -10,324 | -11,336 |
| Gross profit | 504 | 761 | 858 | 820 | 730 | 962 | 1,046 | 983 | 1,957 | 2,942 | 3,721 | 4,204 |
| Opex | -256 | -226 | -258 | -275 | -286 | -308 | -344 | -367 | -847 | -1,015 | -1,305 | -1,571 |
| Operating profit | 248 | 534 | 600 | 545 | 444 | 654 | 702 | 616 | 1,110 | 1,927 | 2,416 | 2,633 |
| EBITDA | 1,336 | 1,746 | 1,840 | 1,807 | 1,724 | 2,004 | 2,172 | 2,165 | 4,920 | 6,729 | 8,065 | 8,769 |
| Non-op gain/loss | -11 | 309 | -13 | -10 | -10 | -6 | 0 | -29 | 124 | 274 | -45 | 115 |
| Pretax profit | 236 | 843 | 587 | 535 | 434 | 648 | 702 | 587 | 1,234 | 2,201 | 2,371 | 2,748 |
| Income taxes & MI | -58 | -331 | -188 | -171 | -122 | -181 | -204 | -170 | -388.1 | -747.8 | -676.8 | -797.0 |
| Net profit | 178 | 512 | 399 | 364 | 312 | 467 | 498 | 417 | 845 | 1,453 | 1,694 | 1,951 |
| FD O/S (bn) | 8.32 | 8.32 | 8.32 | 8.32 | 8.32 | 8.32 | 8.32 | 8.32 | 8.32 | 8.32 | 8.32 | 8.32 |
| **FD EPS (US¢)** | **2.15** | **6.16** | **4.80** | **4.38** | **3.76** | **5.61** | **5.99** | **5.01** | **10.17** | **17.48** | **20.38** | **23.46** |
| FD EPS/ADS (USD) | 1.07 | 3.08 | 2.40 | 2.19 | 1.88 | 2.81 | 3.00 | 2.51 | 5.08 | 8.74 | 10.19 | 11.73 |
| **Margin** | | | | | | | | | | | | |
| Gross | 20% | 25% | 28% | 26% | 24% | 28% | 28% | 26% | 21% | 25% | 26% | 27% |
| Operating | 10% | 18% | 19% | 17% | 15% | 19% | 19% | 16% | 12% | 16% | 17% | 17% |
| EBITDA | 53% | 58% | 59% | 58% | 57% | 58% | 58% | 57% | 53% | 57% | 57% | 56% |
| Net | 7% | 17% | 13% | 12% | 10% | 13% | 13% | 11% | 9% | 12% | 12% | 13% |
| **Growth (QoQ)** | | | | | | | | | | | | |
| Total revenue | 1% | 20% | 4% | 0% | -3% | 14% | 9% | 0% | | | | |
| Gross profit | 5% | 51% | 13% | -4% | -11% | 32% | 9% | -6% | | | | |
| Operating profit | -17% | 116% | 12% | -9% | -19% | 47% | 7% | -12% | | | | |
| EBITDA | -2% | 31% | 5% | -2% | -5% | 16% | 8% | 0% | | | | |
| Net profit | -31% | 187% | -22% | -9% | -14% | 49% | 7% | -16% | | | | |
| FD EPS | -31% | 187% | -22% | -9% | -14% | 49% | 7% | -16% | | | | |
| **Growth (YoY)** | | | | | | | | | | | | |
| Total revenue | 11% | 36% | 31% | 25% | 21% | 15% | 21% | 21% | 16% | 26% | 20% | 11% |
| Gross profit | 0% | 69% | 64% | 71% | 45% | 26% | 22% | 20% | 35% | 50% | 26% | 13% |
| Operating profit | -20% | 255% | 71% | 83% | 79% | 22% | 17% | 13% | 134% | 74% | 25% | 9% |
| EBITDA | 14% | 70% | 37% | 32% | 29% | 15% | 18% | 20% | 33% | 37% | 20% | 9% |
| Net profit | -13% | 148% | 131% | 40% | 75% | -9% | 25% | 14% | 116% | 72% | 17% | 15% |
| FD EPS | -13% | 148% | 131% | 40% | 75% | -9% | 25% | 14% | 116% | 72% | 17% | 15% |

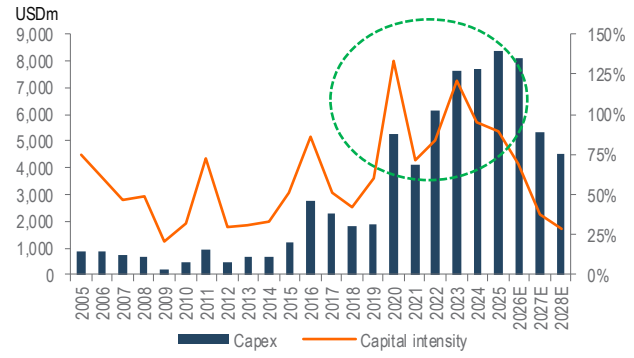
*Source: Company, Daiwa estimates and forecasts*

## SMIC: 3Q26 results preview and 4Q26 business outlook

| | 3Q26E | | | 4Q26E | | |
|---|---|---|---|---|---|---|
| (in USDm) | Daiwa | Consensus | Variance | Daiwa | Consensus | Variance |
| Revenue | 3,116.41 | 3,109.00 | 0% | 3,120.97 | 3,232.00 | -3% |
| Gross profit | 858.03 | 805.20 | 7% | 819.90 | 811.75 | 1% |
| Operating profit | 599.64 | 541.77 | 11% | 545.38 | 495.92 | 10% |
| EBITDA | 1,839.64 | | | 1,807.39 | | |
| Pretax profit | 586.64 | | | 535.38 | | |
| Net profit | 398.91 | 427.00 | -7% | 364.06 | 421.00 | -14% |
| FD EPS (US¢) | 4.80 | 5.13 | -7% | 4.38 | 5.06 | -14% |
| **Margins** | | | | | | |
| Gross | 27.5% | 25.9% | | 26.3% | 25.1% | |
| Operating | 19.2% | 17.4% | | 17.5% | 15.3% | |
| Net | 12.8% | 13.7% | | 11.7% | 13.0% | |
| **Operation** | | | | | | |
| Shipment (8" equ.wafers) ('000 units) | 2,954 | | | 2,984 | | |
| Utilisation* | 87% | | | 85% | | |
| <=28nm sales contribution | 49% | | | 49% | | |

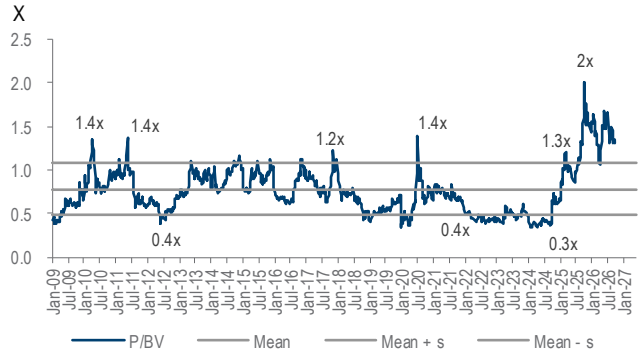
*Source: Bloomberg, Daiwa estimates and forecasts*
*Note: * Calculated as wafer shipment divided by capacity*

## SMIC: capex and capital intensity*




*Source: Company, Daiwa forecasts*
*Note: * Capital intensity = capex / revenue*

## SMIC: PBR trend*




*Source: Company, Bloomberg, Daiwa forecasts*
*Note: * PBR calculations do not include the A-share-listed market cap, thus deflating multiples*

# ESG analysis

## ESG risks

| Risks | | Management | Analyst comments |
|---|---|---|---|
| G | Executive/board quality | 2 | SMIC's Board of Directors (BoD) has 9 members in 2025, including 1 executive director, 4 non-executive directors and 4 independent directors. Its BoD members have a diverse background, and SMIC's chairman and CEO are not the same person. |
| | Capital management | 3 | SMIC's capex in 2025 was approximately USD8.4bn. Management expects capex in 2026 to maintain roughly flat to slightly down compared to 2025, which exceeded 10% of the Company's latest audited net assets, with large capital needs. |
| | Related party & transaction | 1 | SMIC has established a comprehensive supplier management framework covering supplier onboarding, periodic evaluation, quality audits and ESG compliance, which helps mitigate potential related-party transaction and procurement risks. Suppliers are assessed through a cross-functional process covering quality, cost, delivery, service, environmental and compliance factors, while higher-risk suppliers are subject to enhanced monitoring and corrective actions. SMIC also emphasizes supplier diversification to reduce geographic and concentration risks, with raw material suppliers distributed across China (71.3%), Eurasia (22.9%) and the Americas (5.8%) in 2025. Overall, the Company's structured supplier evaluation and geographic diversification mechanisms provide a reasonable level of control over supply-chain and related-party transaction risks. |
| S | Supply chain management | 2 | SMIC continuously improves the specification of layered management for suppliers. The specification covers the whole life cycle of the supply chain and refines specific requirements for access, evaluation and management. Incorporating multiple aspects including strategic supply chain management, and raw materials and spare parts procurement, SMIC has established global supplychain management and planning, to ensure product quality and service capabilities of supply chain. The company supports the development of the local supply chain and aims to increase the proportion of its raw material suppliers based in mainland China annually. By increasing local supply, it can reduce its procurement cost and thus increase its operational efficiency and also partially mitigate the geopolitical risks, in our view. |
| E | Water & wastewater management | 2 | The company has implemented water-saving projects to improve water usage and reduce external water source consumption. These projects include reducing water consumption in the facility system, increasing wastewater reclamation, improving its water production rate and lowering water draining losses. |
| E | Waste & hazardous materials management | 2 | It has implemented cleaner production projects to optimise its raw materials usage, reduce resource consumption, and minimise waste generation at the source of production. |
| E | GHG emissions | 1 | SMIC is continuously implementing energy conservation and emission reduction projects. Every year, SMIC promotes energy-saving and emission reduction projects in an orderly manner so as to improve energy efficiency, reduce GHG emissions, and address climate change. |

*Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.*

*Update Date: 7 Oct 2026*

*Source: Daiwa, Company*

Daiwa Capital Markets Hong Kong Limited

# Hua Hong Grace Semiconductor (1347 HK)

Target price: **HKD139.00** (from HKD139.00)

Share price (7 Oct): **HKD105.30** | Up/downside: **+32.0%**

5 4 3 2 **1**

**Buy** (unchanged)

## 3Q26 preview: steady ASP growth outlook

- Positive earnings growth momentum in 3Q26E and 4Q26E
- Favourable supply-demand environment, thanks to AI investment
- Reaffirming our Buy (1) rating and 12-month TP of HKD139.0

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**What's new:** We expect HHGrace to continue to post positive earnings growth momentum in 3Q26E and 4Q26E, on the back of both volume and ASP strength. We believe HHGrace will continue to inject Huali's (HLMC) assets into the listed company, thereby expanding HHGrace's business portfolio and manufacturing footprint.

**What's the impact: 3Q26 preview and 4Q26 outlook.** We forecast HHgrace to report revenue of USD775m in 3Q26E, up 22% YoY and 8% QoQ, driven by 15% YoY volume growth and a 6% YoY hike in ASPs. On a QoQ basis, we estimate a 3% improvement in ASPs. As a result, we expect net profit of USD58m in 3Q26E, up 124% YoY and 49% QoQ. We forecast the growth momentum to sustain into 4Q26, with 22% YoY expansion in revenue to USD804m, and 282% YoY growth in net profit to USD67m.

**Mainstream business to benefit from AI ripple effects and TSMC's fab optimisation.** HHGrace focuses on the production of Nor Flash, MCUs, power discretes, analog and RF products, covering 55nm and above process-node technology platforms. HHGrace began raising ASPs in 4Q25, thanks to demand tailwinds from AI investment. Also, we expect TSMC's capacity optimisation to cause short-term supply disruptions, resulting in sustained strength in pricing power for legacy-node foundry players.

**Steady manufacturing footprint expansion.** Despite wafer supply tightness, HHgrace maintains its Fab 9 expansion timeline, with wafer loading at Fab 9A (83,000wpm capacity) in 3Q26, reaching full utilisation in 2H27. Furthermore, Fab 9B (55,000wpm) is set to kick-start small-volume production in 2027, per HHgrace. We believe the expansion focus will be on the 55/40/28nm process nodes. HHGrace plans to complete HLMC's Fab 5 asset acquisition in 2H26. We expect more asset injections in 2027.

**What we recommend:** We maintain our SOTP-based 12-month TP of HKD139. We believe HHGrace will inject HLMC's assets into the listed company by 2030. We factor in the future asset value of HLMC through to 2030 by applying 2.5-4.0x PBRs to the fabs in Kangqiao, Zhangjiang and Chengdu, as well as HHSemi's assets, and then discounting back by 3.5 years at a 10% rate. We then apply a 70% discount due to the potential dilution from share issuance related to the acquisition of HLMC's assets. We reaffirm our Buy (1) rating. Key downside risk: changes in asset-injection plans.

**How we differ:** Our 2026-28E EPS are 9-30% below the Bloomberg consensus, likely as we are more cautious about its ASP and gross margin outlook.

### Forecast revisions (%)

| Year to 31 Dec | 26E | 27E | 28E |
|---|---|---|---|
| Revenue change | - | - | - |
| Net profit change | - | - | - |
| Core EPS (FD) change | - | - | - |

*Source: Daiwa forecasts*

### Share price performance




| | |
|---|---|
| 12-month range | 66.30-215.20 |
| Market cap (USDbn) | 17.84 |
| 3m avg daily turnover (USDm) | 564.46 |
| Shares outstanding (m) | 1,330 |
| Major shareholder | Hua Hong International (26.2%) |

### Financial summary (USD)

| Year to 31 Dec | 26E | 27E | 28E |
|---|---|---|---|
| Revenue (m) | 2,957 | 3,386 | 3,860 |
| Operating profit (m) | 48 | 120 | 145 |
| Net profit (m) | 184 | 267 | 290 |
| Core EPS (fully-diluted) | 0.106 | 0.154 | 0.167 |
| EPS change (%) | 235.5 | 45.2 | 8.3 |
| Daiwa vs Cons. EPS (%) | (9.4) | (15.9) | (30.2) |
| PER (x) | 126.5 | 87.2 | 80.5 |
| Dividend yield (%) | 0.0 | 0.0 | 0.0 |
| DPS | 0.000 | 0.000 | 0.000 |
| PBR (x) | 3.4 | 3.3 | 3.2 |
| EV/EBITDA (x) | 21.0 | 18.3 | 16.8 |
| ROE (%) | 2.7 | 3.9 | 4.0 |

*Source: FactSet, Daiwa forecasts*

See important disclosures, including any required research certifications, beginning on page 43

## Financial summary

### Key assumptions

| Year to 31 Dec | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|
| 55nm & 65nm shipment (k units) | 255 | 593 | 527 | 904 | 1,268 | 1,800 | 2,130 | 2,750 |
| 90nm & 95nm shipment (k units) | 747 | 1,100 | 960 | 1,181 | 1,610 | 1,840 | 2,180 | 2,400 |
| ≤0.13μm shipment (k units) | 370 | 521 | 540 | 407 | 338 | 365 | 410 | 450 |
| 0.15μm & 0.18μm shipment (k units) | 263 | 298 | 236 | 228 | 232 | 265 | 260 | 285 |
| 0.25μm shipment (k units) | 43 | 26 | 50 | 39 | 28 | 40 | 37 | 38 |
| ≥0.35μm shipment (k units) | 1,650 | 1,549 | 1,790 | 1,785 | 1,908 | 1,971 | 2,070 | 2,070 |

### Profit and loss (USDm)

| Year to 31 Dec | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|
| Wafer revenue | 1,562 | 2,377 | 2,182 | 1,901 | 2,302 | 2,849 | 3,275 | 3,746 |
| Non-wafer revenue | 69 | 99 | 105 | 103 | 100 | 109 | 111 | 114 |
| Other Revenue | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| **Total Revenue** | **1,631** | **2,475** | **2,286** | **2,004** | **2,402** | **2,957** | **3,386** | **3,860** |
| Other income | 318 | 457 | 500 | 556 | 735 | 858 | 959 | 1,079 |
| COGS | (1,196) | (1,632) | (1,799) | (1,799) | (2,119) | (2,464) | (2,788) | (3,143) |
| SG&A | (256) | (279) | (333) | (361) | (426) | (445) | (478) | (572) |
| Other op.expenses | (318) | (457) | (500) | (556) | (735) | (858) | (959) | (1,079) |
| **Operating profit** | **179** | **565** | **154** | **(156)** | **(142)** | **48** | **120** | **145** |
| Net-interest inc./(exp.) | 0 | (13) | (39) | 5 | (24) | (71) | (72) | (72) |
| Assoc/forex/extraord./others | 118 | (55) | 59 | 17 | 77 | 77 | 103 | 103 |
| **Pre-tax profit** | **296** | **496** | **174** | **(134)** | **(89)** | **54** | **151** | **176** |
| Tax | (65) | (89) | (47) | (7) | (22) | (12) | (24) | (27) |
| Min. int./pref. div./others | 31 | 43 | 154 | 198 | 166 | 143 | 140 | 140 |
| **Net profit (reported)** | **261** | **450** | **280** | **58** | **55** | **184** | **267** | **290** |
| **Net profit (adjusted)** | **261** | **450** | **280** | **58** | **55** | **184** | **267** | **290** |
| **EPS (reported)(USD)** | **0.201** | **0.345** | **0.189** | **0.034** | **0.032** | **0.106** | **0.154** | **0.167** |
| **EPS (adjusted)(USD)** | **0.201** | **0.345** | **0.189** | **0.034** | **0.032** | **0.106** | **0.154** | **0.167** |
| **EPS (adjusted fully-diluted)(USD)** | **0.198** | **0.342** | **0.188** | **0.034** | **0.032** | **0.106** | **0.154** | **0.167** |
| **DPS (USD)** | **0.000** | **0.000** | **0.000** | **0.000** | **0.000** | **0.000** | **0.000** | **0.000** |
| **EBIT** | **179** | **565** | **154** | **(156)** | **(142)** | **48** | **120** | **145** |
| **EBITDA** | **497** | **1,021** | **654** | **400** | **593** | **906** | **1,079** | **1,224** |

### Cash flow (USDm)

| Year to 31 Dec | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|
| Profit before tax | 296 | 496 | 174 | (134) | (89) | 54 | 151 | 176 |
| Depreciation and amortisation | 318 | 457 | 500 | 556 | 735 | 858 | 959 | 1,079 |
| Tax paid | (13) | (27) | (61) | 0 | 0 | 0 | 0 | 0 |
| Change in working capital | (73) | (174) | (109) | 103 | 8 | (169) | 48 | (210) |
| Other operational CF items | (10) | (1) | 138 | (66) | (4) | 202 | 188 | 185 |
| **Cash flow from operations** | **518** | **751** | **642** | **460** | **650** | **944** | **1,347** | **1,231** |
| Capex | (939) | (996) | (907) | (2,780) | (1,814) | (1,300) | (2,000) | (2,000) |
| Net (acquisitions)/disposals | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| Other investing CF items | 76 | 66 | 73 | 108 | 95 | 0 | 0 | 0 |
| **Cash flow from investing** | **(863)** | **(930)** | **(833)** | **(2,672)** | **(1,719)** | **(1,300)** | **(2,000)** | **(2,000)** |
| Change in debt | 1,071 | 515 | 615 | 289 | 2,018 | 0 | 0 | 0 |
| Net share issues/(repurchases) | (4) | (42) | 2,833 | (138) | 34 | 0 | 0 | 0 |
| Dividends paid | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| Other financing CF items | (52) | 199 | 333 | 999 | (553) | (71) | (72) | (72) |
| **Cash flow from financing** | **1,015** | **672** | **3,782** | **1,150** | **1,499** | **(71)** | **(72)** | **(72)** |
| Forex effect/others | 17 | (94) | (14) | (64) | 71 | 0 | 0 | 0 |
| **Change in cash** | **687** | **399** | **3,576** | **(1,126)** | **502** | **(427)** | **(725)** | **(841)** |
| Free cash flow | (420) | (245) | (265) | (2,320) | (1,164) | (356) | (653) | (769) |

*Source: FactSet, Daiwa forecasts*

## Financial summary continued …

### Balance sheet (USDm)

| Year to 31 Dec | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|
| Cash & short-term investment | 1,610 | 2,009 | 5,585 | 4,459 | 4,961 | 4,534 | 3,809 | 2,968 |
| Inventory | 433 | 578 | 450 | 467 | 544 | 698 | 677 | 873 |
| Accounts receivable | 181 | 292 | 279 | 270 | 282 | 447 | 388 | 564 |
| Other current assets | 167 | 197 | 256 | 636 | 819 | 819 | 819 | 819 |
| **Total current assets** | **2,391** | **3,076** | **6,570** | **5,833** | **6,607** | **6,499** | **5,693** | **5,223** |
| Fixed assets | 3,117 | 3,368 | 3,519 | 5,859 | 6,676 | 7,118 | 8,159 | 9,080 |
| Goodwill & intangibles | 35 | 33 | 50 | 31 | 36 | 36 | 36 | 36 |
| Other non-current assets | 659 | 579 | 805 | 692 | 1,135 | 1,135 | 1,135 | 1,135 |
| **Total assets** | **6,202** | **7,055** | **10,943** | **12,415** | **14,454** | **14,787** | **15,023** | **15,474** |
| Short-term debt | 195 | 427 | 193 | 281 | 404 | 404 | 404 | 404 |
| Accounts payable | 194 | 237 | 235 | 298 | 330 | 480 | 448 | 610 |
| Other current liabilities | 691 | 719 | 544 | 983 | 1,122 | 1,122 | 1,122 | 1,122 |
| **Total current liabilities** | **1,080** | **1,382** | **972** | **1,562** | **1,856** | **2,006** | **1,974** | **2,135** |
| Long-term debt | 1,395 | 1,482 | 1,907 | 1,917 | 2,787 | 2,787 | 2,787 | 2,787 |
| Other non-current liabilities | 42 | 56 | 50 | 29 | 646 | 646 | 646 | 646 |
| **Total liabilities** | **2,518** | **2,920** | **2,929** | **3,508** | **5,290** | **5,439** | **5,407** | **5,569** |
| Share capital | 1,986 | 1,994 | 4,934 | 4,938 | 4,987 | 4,987 | 4,987 | 4,987 |
| Reserves/R.E./others | 884 | 1,036 | 1,367 | 1,309 | 1,625 | 1,809 | 2,077 | 2,366 |
| **Shareholders' equity** | **2,870** | **3,030** | **6,301** | **6,247** | **6,613** | **6,797** | **7,064** | **7,354** |
| Minority interests | 814 | 1,105 | 1,714 | 2,660 | 2,552 | 2,552 | 2,552 | 2,552 |
| **Total equity & liabilities** | **6,202** | **7,055** | **10,943** | **12,415** | **14,454** | **14,787** | **15,023** | **15,474** |
| EV | 18,639 | 18,849 | 16,072 | 18,243 | 18,626 | 19,053 | 19,778 | 20,619 |
| **Net debt/(cash)** | **(20)** | **(100)** | **(3,486)** | **(2,261)** | **(1,770)** | **(1,343)** | **(618)** | **223** |
| **BVPS (USD)** | **2.208** | **2.325** | **4.263** | **3.638** | **3.809** | **3.915** | **4.069** | **4.236** |

### Key ratios (%)

| Year to 31 Dec | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|
| Sales (YoY) | 69.6 | 51.8 | (7.7) | (12.3) | 19.9 | 23.1 | 14.5 | 14.0 |
| EBITDA (YoY) | 189.1 | 105.6 | (35.9) | (38.8) | 48.1 | 52.9 | 19.1 | 13.4 |
| Operating profit (YoY) | n.a. | 215.8 | (72.7) | n.a. | n.a. | n.a. | 150.2 | 21.0 |
| Net profit (YoY) | 162.9 | 72.1 | (37.8) | (79.2) | (5.6) | 235.5 | 45.2 | 8.3 |
| Core EPS (fully-diluted) (YoY) | 161.0 | 72.9 | (45.0) | (82.1) | (6.4) | 235.5 | 45.2 | 8.3 |
| Gross-profit margin | 26.7 | 34.1 | 21.3 | 10.2 | 11.8 | 16.7 | 17.7 | 18.6 |
| EBITDA margin | 30.5 | 41.3 | 28.6 | 20.0 | 24.7 | 30.6 | 31.9 | 31.7 |
| Operating-profit margin | 11.0 | 22.8 | 6.7 | n.a. | n.a. | 1.6 | 3.5 | 3.8 |
| Net profit margin | 16.0 | 18.2 | 12.2 | 2.9 | 2.3 | 6.2 | 7.9 | 7.5 |
| ROAE | 9.7 | 15.2 | 6.0 | 0.9 | 0.9 | 2.7 | 3.9 | 4.0 |
| ROAA | 4.9 | 6.8 | 3.1 | 0.5 | 0.4 | 1.3 | 1.8 | 1.9 |
| ROCE | 3.9 | 10.0 | 1.9 | n.a. | n.a. | 0.4 | 0.9 | 1.1 |
| ROIC | 4.2 | 12.0 | 2.6 | n.a. | n.a. | 0.7 | 1.5 | 1.6 |
| Net debt to equity | net cash | net cash | net cash | net cash | net cash | net cash | net cash | 3.0 |
| Effective tax rate | 22.1 | 18.0 | 27.2 | (5.2) | (5.2) | (5.2) | (5.2) | (5.2) |
| Accounts receivable (days) | 33.8 | 34.9 | 45.5 | 50.0 | 42.0 | 45.0 | 45.0 | 45.0 |
| Current ratio (x) | 2.2 | 2.2 | 6.8 | 3.7 | 3.6 | 3.2 | 2.9 | 2.4 |
| Net interest cover (x) | n.a. | 42.2 | 3.9 | n.a. | n.a. | 0.7 | 1.7 | 2.0 |
| Net dividend payout | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Free cash flow yield | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. |

*Source: FactSet, Daiwa forecasts*

## Company profile

Hua Hong Grace Semiconductor Limited manufactures semiconductors wafer foundry services. The Company produces embedded non-volatile memory, power discrete, analog, power management, and logic RF products. Hua Hong Semiconductor provides products for consumer electronics, communications, computing, industrial, and automotive fields.

## HHGrace: financial forecasts

| (in USDm) | 1Q26 | 2Q26 | 3Q26E | 4Q26E | 1Q27E | 2Q27E | 3Q27E | 4Q27E | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Revenue | 661 | 718 | 775 | 804 | 789 | 830 | 870 | 898 | 2,402 | 2,957 | 3,386 | 3,860 |
| COGS | (575) | (599) | (637) | (654) | (662) | (684) | (709) | (733) | (2,119) | (2,464) | (2,788) | (3,143) |
| Gross profit | 86 | 118 | 138 | 150 | 128 | 145 | 160 | 165 | 283 | 493 | 598 | 717 |
| Opex | (106) | (107) | (107) | (125) | (114) | (114) | (114) | (136) | (426) | (445) | (478) | (572) |
| Operating profit | (20) | 11 | 31 | 25 | 14 | 31 | 46 | 29 | (142) | 48 | 120 | 145 |
| Pretax profit | (22) | 12 | 27 | 37 | 17 | 34 | 49 | 51 | (89) | 54 | 151 | 176 |
| Income taxes | 5 | (8) | (4) | (6) | (4) | (5) | (7) | (8) | (22) | (12) | (24) | (27) |
| Net profit | 21 | 39 | 58 | 67 | 48 | 64 | 77 | 78 | 55 | 184 | 267 | 290 |
| **Margin** | | | | | | | | | | | | |
| Gross | 13.0% | 16.5% | 17.8% | 18.7% | 16% | 18% | 18% | 18% | 11.8% | 16.7% | 17.7% | 18.6% |
| Opex | -16% | -15% | -14% | -16% | -14% | -14% | -13% | -15% | -17.7% | -15.0% | -14.1% | -14.8% |
| Operating | -3% | 2% | 4% | 3% | 2% | 4% | 5% | 3% | -5.9% | 1.6% | 3.5% | 3.8% |
| Net | 3% | 5% | 7% | 8% | 6% | 8% | 9% | 9% | 2.3% | 6.2% | 7.9% | 7.5% |
| **Growth (QoQ)** | | | | | | | | | | | | |
| Revenue | 0% | 9% | 8% | 4% | -2% | 5% | 5% | 3% | | | | |
| Gross profit | 0% | 38% | 17% | 9% | -15% | 14% | 10% | 3% | | | | |
| Operating profit | nm | nm | 181% | nm | -45% | 128% | 47% | -37% | | | | |
| Net profit | 20% | 85% | 49% | 15% | -28% | 33% | 19% | 2% | | | | |
| **Growth (YoY)** | | | | | | | | | | | | |
| Revenue | 22% | 27% | 22% | 22% | 19% | 16% | 12% | 12% | 20% | 23% | 15% | 14% |
| Gross profit | 72% | 92% | 61% | 75% | 48% | 23% | 16% | 10% | 38% | 74% | 21% | 20% |
| Operating profit | nm | nm | nm | nm | nm | 184% | 48% | 15% | nm | nm | 150% | 21% |
| **Net profit** | **458%** | **386%** | **124%** | **282%** | **130%** | **66%** | **33%** | **18%** | **-6%** | **235%** | **45%** | **8%** |

*Source: Company, Daiwa forecasts*

## HHGrace: SOTP valuation

| SOTP-based valuation (HHGrace) | | | | |
|---|---|---|---|---|
| **Fab** | **Asset (USDm)** | **NAV (USDm)** | **PBR (x)** | **Equity (USDm)** |
| Fab 5 | 1,163 | 427 | 4.0x | 1,710 |
| Fab 6 | 4,000 | 2,600 | 2.5x | 6,500 |
| Fab X | 5,600 | 3,640 | 3.0x | 10,920 |
| Fab Y | 6,400 | 4,160 | 3.0x | 12,480 |
| Fab 10 | 3,200 | 2,080 | 2.5x | 5,200 |
| **HLMC** | **20,363** | **12,907** | **2.9** | **36,810** |
| HHSEMI | 15,474 | 9,905 | 2.5 | 24,763 |
| **HH Group** | **35,837** | **22,813** | **2.7** | **61,573** |
| | HKD/USD | | | 7.80 |
| | Discount factor (from end-2030E to mid-2027E @ 10%) | | | 0.72 |
| | Share issue dilutive effect (30% share dilution to purchase assets) | | | 70% |
| | Shares outstanding (m) | | | 1,736 |
| | **12M TP (HKD)** | | | **139.0** |

*Source: Daiwa estimates and forecasts*

# ESG analysis

## ESG risks

| Risks | | Management | Analyst comments |
|---|---|---|---|
| G | Executive/board quality | 2 | Hua Hong Grace Semiconductor (HH Grace) has established various regulations and systems related to corporate governance, in accordance with local laws and regulations. In 2025, the Board of the Company consists of 9 members, including 1 female director. |
| G | Capital management | 1 | The Group manages its capital structure and makes adjustments to it in light of changes in economic conditions. To maintain or adjust the capital structure, the Group may adjust the dividend payment to shareholders, return capital to shareholders or issue new shares. |
| G | Related party & transaction | 1 | In 2025, HHGrace's connected transaction was minimal. |
| G | Supply chain management | 2 | HH Grace strategically forms medium- and long-term agreements with suppliers. The company also regularly reviews its inventory to maintain it at a rational level. |
| G | Water & wastewater management | 2 | In 2025, the company was 100% compliant in terms of its wasterwater discharge. |
| G | Waste & hazardous materials management | 2 | Under the philosophy of lean manufacturing management, the company continuously reduces its generation of hazardous waste. |

*Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.*

*Update Date: 19 Aug 2026*

*Source: Daiwa, Company*

# Vanguard International Semiconductor (5347 TT)

Daiwa Capital Markets Hong Kong Limited

Target price: **TWD210.00**

Share price (7 Oct): **TWD190.00** | Up/downside: **+10.5%**

5 4 3 **2** 1

★ **Outperform** (initiation)

## Initiation: fast ramp to capture the AI ripple effect

- Fully loaded through 2027 on AI scaling and fab optimisation
- Fast expansion to capture a paradigm shift in the foundry sector
- Initiating with an Outperform (2) rating and 12M TP of TWD210

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**Investment case:** We initiate coverage of Vanguard International Semiconductor (VIS), a leading specialty foundry, with an Outperform (2) rating and 12-month TP of TWD210. We expect VIS to enjoy fully loaded operations (in terms of wafer-in) through 2027 with pricing power, thanks to a ripple effect as AI demand scales from compute to power, further augmented by TSMC's fab optimisation. Given VIS's historical ties with TSMC, which have strategically helped it advance its business transformation towards value-added specialty foundry offerings, it looks well positioned to benefit from this multi-year AI scaling, cemented by the fast expansion of its first 12" fab in Singapore to capitalise on what we observe as a paradigm shift in the foundry industry.

**Fully loaded operations on AI ripple effect.** We expect VIS's wafer loadings to approach full levels in terms of wafer-in through 2027, thanks to the AI scaling out and across creating a ripple effect for demand spillover and benefitting specialty foundries. Given its strategic partnership with TSMC, VIS stands to benefit from this multi-year AI build. Despite its pull-in of the 12" ramp, we do not expect such fast expansion to dwarf utilisations since all the planned capacity is sold out, thanks to long-term agreements (LTA) signed with customers amid the supply constraint, which should help VIS manage surging depreciation and minimise margin dilution.

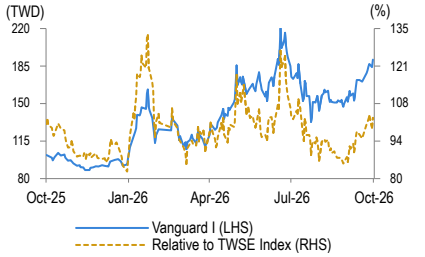
**Fast expansion to capture the paradigm shift.** To capitalise on the likely paradigm shift in the specialty foundry segment, as detailed in the sector section, driven by TSMC's fab optimisation, VIS is pulling its 12" fab construction in Singapore nearly half a year ahead of schedule. VIS aims to start mass production from 1Q27 after hosting an opening ceremony on 28 September. We expect this fab to reach its first-phase designed capacity of 44,000 wafers per month (wpm) by end-2028, with c.30% of it dedicated to TSMC's wafer interposers and the rest for customers' power semiconductor and embedded flash chips, mainly for AI applications. We forecast VIS to enjoy counter-seasonal quarters through 2027, delivering revenue CAGR of c.30% over 2026-28 for an EPS CAGR of 26%.

**Catalysts:** 1) Record-breaking monthly revenue run rates through 2027; 2) upbeat guidance for the coming quarters; and 3) margin resilience to ease investors' concerns about depreciation amid the 12" ramp.

**Valuation:** We derive our 12M TP of TWD210 for VIS by applying our ROE-adjusted PBR target of 5.2x to our one-year-forward BVPS forecast.

**Risks:** 1) Current chip upcycle ends earlier than expected; and 2) the 12" fab ramp/execution turns out below expectation.

### Share price performance




| | |
|---|---|
| 12-month range | 88.00-220.00 |
| Market cap (USDbn) | 11.22 |
| 3m avg daily turnover (USDm) | 104.83 |
| Shares outstanding (m) | 1,878 |
| Major shareholder | TSMC (18.9%) |

### Financial summary (TWD)

| Year to 31 Dec | 26E | 27E | 28E |
|---|---|---|---|
| Revenue (m) | 57,494 | 76,662 | 95,017 |
| Operating profit (m) | 11,742 | 16,893 | 22,282 |
| Net profit (m) | 11,076 | 14,875 | 17,637 |
| Core EPS (fully-diluted) | 5.896 | 7.919 | 9.389 |
| EPS change (%) | 39.2 | 34.3 | 18.6 |
| Daiwa vs Cons. EPS (%) | (1.9) | 5.1 | (2.4) |
| PER (x) | 32.2 | 24.0 | 20.2 |
| Dividend yield (%) | 2.4 | 2.6 | 2.9 |
| DPS | 4.5 | 5.0 | 5.5 |
| PBR (x) | 5.3 | 4.7 | 4.4 |
| EV/EBITDA (x) | 19.0 | 13.1 | 9.7 |
| ROE (%) | 16.8 | 20.8 | 22.6 |

*Source: FactSet, Daiwa forecasts*

See important disclosures, including any required research certifications, beginning on page 43

5 4 3 **2** 1

**Outperform**
(initiation)

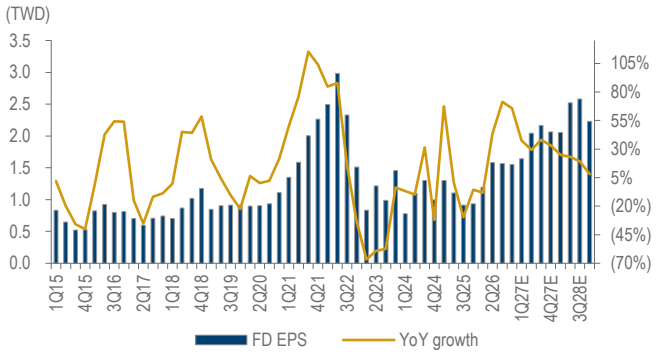
# How do we justify our view?

| Growth outlook | Valuation | Earnings revisions |
|---|---|---|
| ✔ ✔ ✔ ✔ ✔ | ✔ ✔ ✔ ✔ ✔ | ✔ ✔ ✔ ✔ ✔ |

## Growth outlook

VIS's earnings have been volatile due to the cyclical nature of the semiconductor industry in which it operates. That said, barring its hefty growth during 2021-22 as an outlier due to the COVID-inflated chip demand, VIS will enjoy 30-70% YoY EPS growth over 2Q26E-4Q27E, according to our forecasts, with strength similar to that in 2016 and 2018. On an annual EPS basis, we forecast a 30% CAGR over 2025-28.

**VIS: quarterly EPS growth trend**

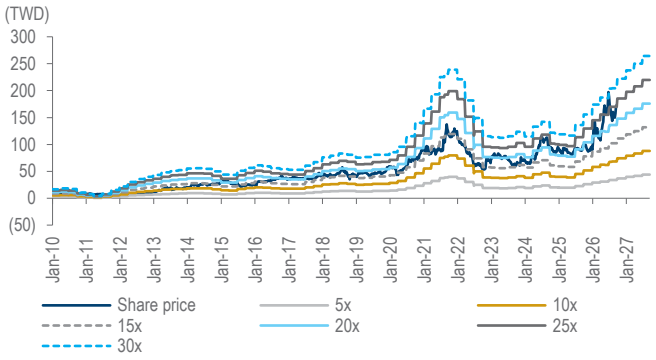



*Source: Company, Daiwa estimates and forecasts*

## Valuation

Trading at 24x on our 4-quarter-forward EPS, the VIS stock is priced at the high end of its post-2009 GFC range of 5-30x, suggesting a not-so-compelling valuation vs. history. Yet, considering our forecast of a robust 30% EPS CAGR over 2025-28, 24x does not look demanding from a PEG point of view. Valued by our ROE-adjusted PBR target of 5.2x, our 12M TP of TWD210 for VIS translates into a 26x 4-quarter forward PER, which looks reasonable in combination of both PBR and PER methodologies.

**VIS: 4-quarter-forward PER bands**

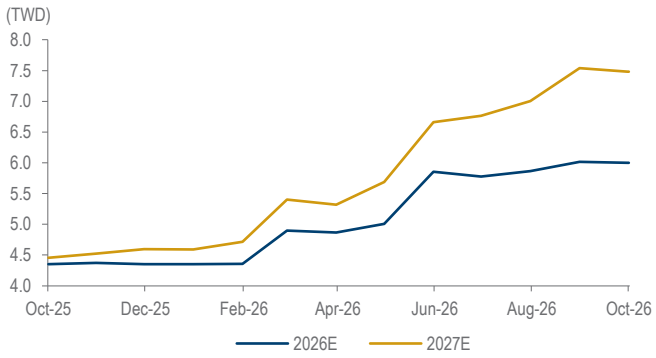



*Source: Company, TEJ, Daiwa estimates and forecasts*

## Earnings revision

Bloomberg consensus 2026-27 EPS forecasts for VIS have been trending up since February 2026, indicating positive investor sentiment. Our 2027E EPS is 5% above consensus, implying room for further upward revisions from the market to act as an upside catalyst for the stock, in our opinion.

**VIS: consensus EPS forecast revisions**




*Source: Bloomberg*

## Financial summary

### Key assumptions

| Year to 31 Dec | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|
| Capacity utilization (%) | 101 | 83 | 59 | 66 | 76 | 85 | 95 | 97 |
| Blended ASP (USD) | 543 | 670 | 629 | 624 | 616 | 637 | 686 | 723 |
| Wafer shipment (8" equ., '000) | 2,901 | 2,605 | 1,952 | 2,194 | 2,533 | 2,838 | 3,492 | 4,109 |

### Profit and loss (TWDm)

| Year to 31 Dec | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|
| Wafer Foundry Revenue | 43,952 | 51,694 | 38,273 | 44,056 | 48,591 | 57,495 | 76,662 | 95,017 |
| Sub & Other Revenue | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| Other Revenue | (1) | 1 | (0) | (1) | 0 | (0) | 0 | 0 |
| **Total Revenue** | **43,951** | **51,694** | **38,273** | **44,055** | **48,591** | **57,494** | **76,662** | **95,017** |
| Other income | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| COGS | (24,799) | (27,771) | (27,827) | (32,122) | (34,937) | (38,893) | (51,107) | (62,341) |
| SG&A | (2,899) | (3,375) | (2,521) | (2,740) | (3,691) | (4,164) | (5,197) | (6,170) |
| Other op.expenses | (2,151) | (2,742) | (2,151) | (2,081) | (2,190) | (2,696) | (3,466) | (4,224) |
| **Operating profit** | **14,102** | **17,807** | **5,774** | **7,111** | **7,773** | **11,742** | **16,893** | **22,282** |
| Net-interest inc./(exp.) | 159 | 588 | 1,536 | 1,754 | 1,554 | 900 | 295 | 445 |
| Assoc/forex/extraord./others | 28 | 457 | 1,524 | (113) | (76) | 206 | 28 | 31 |
| **Pre-tax profit** | **14,290** | **18,851** | **8,834** | **8,752** | **9,251** | **12,848** | **17,216** | **22,758** |
| Tax | (2,470) | (3,571) | (1,464) | (1,705) | (1,480) | (2,112) | (2,909) | (3,669) |
| Min. int./pref. div./others | 0 | 0 | 0 | 0 | 137 | 341 | 568 | (1,452) |
| **Net profit (reported)** | **11,820** | **15,280** | **7,370** | **7,047** | **7,908** | **11,076** | **14,875** | **17,637** |
| **Net profit (adjusted)** | **11,820** | **15,280** | **7,370** | **7,047** | **7,908** | **11,076** | **14,875** | **17,637** |
| **EPS (reported)(TWD)** | **7.212** | **9.323** | **4.497** | **4.209** | **4.300** | **5.897** | **7.919** | **9.390** |
| **EPS (adjusted)(TWD)** | **7.212** | **9.323** | **4.497** | **4.209** | **4.300** | **5.897** | **7.919** | **9.390** |
| **EPS (adjusted fully-diluted)(TWD)** | **7.212** | **9.323** | **4.497** | **3.795** | **4.235** | **5.896** | **7.919** | **9.389** |
| **DPS (TWD)** | **3.500** | **4.500** | **4.500** | **4.405** | **4.568** | **4.500** | **5.000** | **5.510** |
| **EBIT** | **14,102** | **17,807** | **5,774** | **7,111** | **7,773** | **11,742** | **16,893** | **22,282** |
| **EBITDA** | **18,086** | **23,349** | **13,626** | **15,733** | **16,325** | **21,006** | **31,121** | **41,235** |

### Cash flow (TWDm)

| Year to 31 Dec | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|
| Profit before tax | 14,290 | 18,851 | 8,834 | 8,752 | 9,251 | 12,848 | 17,216 | 22,758 |
| Depreciation and amortisation | 3,984 | 5,542 | 7,852 | 8,622 | 8,552 | 9,264 | 14,228 | 18,953 |
| Tax paid | (2,470) | (3,571) | (1,464) | (1,705) | (1,480) | (2,112) | (2,909) | (3,669) |
| Change in working capital | (4,449) | 2,285 | (1,385) | (1,958) | (2,465) | (2,250) | (5,500) | (1,300) |
| Other operational CF items | 9,883 | 10,819 | (5,205) | 11,020 | 11,581 | 9,341 | 5,568 | 3,548 |
| **Cash flow from operations** | **21,237** | **33,927** | **8,632** | **24,731** | **25,439** | **27,091** | **28,603** | **40,290** |
| Capex | (13,280) | (18,723) | (6,779) | (15,922) | (63,265) | (65,177) | (33,920) | (17,920) |
| Net (acquisitions)/disposals | (113) | (4,709) | (1,626) | 4,357 | 1,183 | 82 | 0 | 0 |
| Other investing CF items | (28) | (771) | 46 | (133) | 2,372 | 0 | 0 | 0 |
| **Cash flow from investing** | **(13,420)** | **(24,204)** | **(8,360)** | **(11,699)** | **(59,711)** | **(65,095)** | **(33,920)** | **(17,920)** |
| Change in debt | 2,718 | 6,991 | 5,993 | 2,996 | 7,519 | 5,961 | 2,982 | (5,155) |
| Net share issues/(repurchases) | 0 | 0 | 0 | 17,593 | 0 | 0 | 0 | 0 |
| Dividends paid | (5,736) | (7,375) | (7,375) | (7,375) | (8,400) | (8,453) | (9,393) | (10,351) |
| Other financing CF items | 2,232 | 4,557 | 24 | 4,316 | 14,341 | 17,598 | 10,176 | 0 |
| **Cash flow from financing** | **(786)** | **4,173** | **(1,359)** | **17,530** | **13,460** | **15,106** | **3,766** | **(15,506)** |
| Forex effect/others | (63) | 575 | 72 | 291 | (249) | 0 | 0 | 0 |
| **Change in cash** | **6,968** | **14,471** | **(1,015)** | **30,853** | **(21,060)** | **(22,899)** | **(1,551)** | **6,864** |
| Free cash flow | 7,958 | 15,203 | 1,852 | 8,809 | (37,826) | (38,086) | (5,317) | 22,370 |

*Source: FactSet, Daiwa forecasts*

## Financial summary continued …

### Balance sheet (TWDm)

| Year to 31 Dec | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|
| Cash & short-term investment | 20,173 | 34,843 | 38,050 | 66,749 | 41,716 | 18,736 | 17,185 | 24,049 |
| Inventory | 4,030 | 5,880 | 5,672 | 6,221 | 6,937 | 6,937 | 10,437 | 9,937 |
| Accounts receivable | 9,452 | 4,962 | 5,523 | 6,235 | 6,748 | 8,948 | 11,948 | 13,948 |
| Other current assets | 533 | 570 | 834 | 7,007 | 11,496 | 10,000 | 10,000 | 11,000 |
| **Total current assets** | **34,188** | **46,255** | **50,079** | **86,211** | **66,897** | **44,621** | **49,570** | **58,934** |
| Fixed assets | 23,541 | 38,504 | 36,604 | 44,141 | 113,869 | 156,754 | 166,580 | 157,390 |
| Goodwill & intangibles | 3,361 | 6,382 | 6,771 | 10,905 | 10,282 | 7,000 | 7,500 | 8,000 |
| Other non-current assets | 4,458 | 9,798 | 8,997 | 7,448 | 9,420 | 9,420 | 9,420 | 9,420 |
| **Total assets** | **65,548** | **100,940** | **102,450** | **148,706** | **200,469** | **217,795** | **233,070** | **233,744** |
| Short-term debt | 0 | 0 | 0 | 0 | 10,520 | 9,039 | 17,176 | 16,042 |
| Accounts payable | 1,437 | 1,376 | 972 | 1,416 | 1,724 | 1,674 | 2,674 | 2,874 |
| Other current liabilities | 13,539 | 19,717 | 19,135 | 19,959 | 39,361 | 37,828 | 36,619 | 31,986 |
| **Total current liabilities** | **14,976** | **21,093** | **20,107** | **21,375** | **51,604** | **48,541** | **56,469** | **50,902** |
| Long-term debt | 4,993 | 11,987 | 17,983 | 20,984 | 15,990 | 23,432 | 18,277 | 14,256 |
| Other non-current liabilities | 10,413 | 22,509 | 18,646 | 37,679 | 49,285 | 49,285 | 49,285 | 49,285 |
| **Total liabilities** | **30,382** | **55,589** | **56,737** | **80,039** | **116,879** | **121,258** | **124,031** | **114,443** |
| Share capital | 16,390 | 16,390 | 16,390 | 18,666 | 18,671 | 18,783 | 18,783 | 18,783 |
| Reserves/R.E./others | 18,776 | 28,961 | 29,323 | 45,438 | 45,206 | 49,042 | 56,544 | 61,806 |
| **Shareholders' equity** | **35,165** | **45,351** | **45,713** | **64,104** | **63,877** | **67,825** | **75,327** | **80,589** |
| Minority interests | 0 | 0 | 0 | 4,563 | 19,713 | 28,713 | 33,713 | 38,713 |
| **Total equity & liabilities** | **65,548** | **100,940** | **102,450** | **148,706** | **200,469** | **217,795** | **233,070** | **233,744** |
| EV | 341,705 | 334,029 | 336,818 | 315,682 | 361,390 | 399,332 | 408,866 | 401,846 |
| **Net debt/(cash)** | **(15,180)** | **(22,855)** | **(20,066)** | **(45,765)** | **(15,207)** | **13,735** | **18,268** | **6,249** |
| **BVPS (TWD)** | **21.456** | **27.670** | **27.891** | **34.342** | **34.212** | **36.109** | **40.103** | **42.904** |

### Key ratios (%)

| Year to 31 Dec | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|
| Sales (YoY) | 32.7 | 17.6 | (26.0) | 15.1 | 10.3 | 18.3 | 33.3 | 23.9 |
| EBITDA (YoY) | 65.7 | 29.1 | (41.6) | 15.5 | 3.8 | 28.7 | 48.2 | 32.5 |
| Operating profit (YoY) | 90.1 | 26.3 | (67.6) | 23.2 | 9.3 | 51.1 | 43.9 | 31.9 |
| Net profit (YoY) | 87.4 | 29.3 | (51.8) | (4.4) | 12.2 | 40.1 | 34.3 | 18.6 |
| Core EPS (fully-diluted) (YoY) | 87.4 | 29.3 | (51.8) | (15.6) | 11.6 | 39.2 | 34.3 | 18.6 |
| Gross-profit margin | 43.6 | 46.3 | 27.3 | 27.1 | 28.1 | 32.4 | 33.3 | 34.4 |
| EBITDA margin | 41.2 | 45.2 | 35.6 | 35.7 | 33.6 | 36.5 | 40.6 | 43.4 |
| Operating-profit margin | 32.1 | 34.4 | 15.1 | 16.1 | 16.0 | 20.4 | 22.0 | 23.5 |
| Net profit margin | 26.9 | 29.6 | 19.3 | 16.0 | 16.3 | 19.3 | 19.4 | 18.6 |
| ROAE | 36.5 | 38.0 | 16.2 | 12.8 | 12.4 | 16.8 | 20.8 | 22.6 |
| ROAA | 21.6 | 18.4 | 7.2 | 5.6 | 4.5 | 5.3 | 6.6 | 7.6 |
| ROCE | 39.2 | 36.5 | 9.5 | 9.3 | 7.8 | 9.8 | 12.4 | 15.2 |
| ROIC | 60.1 | 68.0 | 20.0 | 23.6 | 14.3 | 11.0 | 11.8 | 14.8 |
| Net debt to equity | n.a. | n.a. | n.a. | n.a. | n.a. | 20.3 | 24.3 | 7.8 |
| Effective tax rate | 17.3 | 18.9 | 16.6 | 19.5 | 16.0 | 16.4 | 16.9 | 16.1 |
| Accounts receivable (days) | 63.1 | 50.9 | 50.0 | 48.7 | 48.8 | 49.8 | 49.7 | 49.7 |
| Current ratio (x) | 2.3 | 2.2 | 2.5 | 4.0 | 1.3 | 0.9 | 0.9 | 1.2 |
| Net interest cover (x) | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. |
| Net dividend payout | 91.0 | 62.4 | 48.3 | 100.1 | 119.2 | 106.9 | 84.8 | 69.6 |
| Free cash flow yield | 2.2 | 4.3 | 0.5 | 2.5 | n.a. | n.a. | n.a. | 6.3 |

*Source: FactSet, Daiwa forecasts*

## Company profile

Founded in December 1994 and listed in March 1998, Vanguard International Semiconductor Corp. (VIS) successfully transformed its business model from memory to a complementary metal-oxide-semiconductor (CMOS) logic foundry focused on specialty technologies such as mixed-signal, power analog and embedded memory, becoming one of the world's leading specialty foundries. Leveraging its strategic relationship with major shareholder TSMC, VIS operates wafer fabs in Taiwan and Singapore, serving a wide variety of customers, including fabless chipmakers and IDMs globally.

# Fast ramp to capture AI ripple effect

**Initiating on VIS with an Outperform (2) rating and 12M TP of TWD210**

We initiate coverage of VIS with an Outperform (2) rating and 12M TP of TWD210. Founded in December 1994, headquartered in Hsinchu Science Park and listed in March 1998 (see Appendix 1 for more details on the company), VIS looks set to enjoy fully loaded operations (in terms of wafer-in) through 2027, with sustained pricing power, thanks to the ripple effect of AI demand scaling from compute to connectivity and power, further augmented by TSMC's fab optimisation.

Given its longstanding ties with TSMC, which currently holds a c.19% stake in VIS and has strategically helped it advance its business transformation by moving up value verticals of specialty-foundry offerings to differentiate itself in the competitive specialty foundry market, VIS looks set to benefit from this multi-year AI scaling, among peers. The fast expansion of its first 12" fab in Singapore should help cement the AI business and capitalise on what we observe as a paradigm shift in the foundry industry, as mentioned in the main section of this report.

## Fully loaded operations on AI ripple effect

**Despite suffering from the post-COVID inventory correction …**

Like many other semiconductor foundries, VIS enjoyed unusual pricing power during the COVID period as the virus, together with geopolitical tensions between China and the US, inflated chip demand across virtually all product applications to an unprecedented level. Consequently, the industry suffered from an unprecedented 2-year downturn on a prolonged inventory correction, if excluding the AI build that has helped rescue the advanced foundry segment, save the village (ie, the chip industry) and bring the global chip cycle back on its historical track of an average of a one-year downturn. This downturn caused choppy operations for many second-tier foundries which focused initially on the non-AI space over 2022-25, including VIS (see our series of Technology Outlook reports: 2023: *V-shape, U-shape or double dip?*, 2024: *The dragon is ready to soar,* 2025: *likely longer and stronger*).

**… VIS has benefitted from AI scaling and is further …**

Starting from 2H25, after the AI builds scaled out and across from compute into memory to connectivity and power, creating a ripple effect in demand that benefits not only advanced but also specialty foundries, we expect VIS's wafer loadings to approach full levels through 2027 (in terms of wafer-in), despite its fast 12" expansion. With its parent company TSMC's strategic partnership, VIS stands at a strong position to benefit from this multi-year AI scaling, in our view. To maximise the AI business potential, VIS is accelerating its first 12" fab in Singapore via a JV named VisionPower Semiconductor Manufacturing Corp (VSMC), with phase-one investment of USD6.8bn where, in terms of registered capital of USD4bn, VIS assumes USD2.4bn for a 60% stake, while NXP assumes USD1.6bn for a 40% stake.

In terms of the total investment on a cash basis, VIS will chip in only USD1.0bn, with USD2.8bn coming from NXP and USD1.1bn from TSMC with some equipment consignment, while the rest will come from other customer prepayments, loans and a subsidy from the Singapore government. Upon VSMC's completion, this will bring VIS a total of 6 fabs, with combined capacity reaching up to c.380,000 8"-equivalent wafers per month (wpm) by end-2028, based on our forecasts (see table on next page for details of our key business assumptions).

**VIS: key business assumptions and cost analysis**

| ('000 wpm*) | 1Q26 | 2Q26 | 3Q26E | 4Q26E | 1Q27E | 2Q27E | 3Q27E | 4Q27E | 1Q28E | 2Q28E | 3Q28E | 4Q28E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Capacity** | | | | | | | | | | | | |
| Fab 1 (8") | 77 | 80 | 80 | 80 | 78 | 80 | 80 | 80 | 78 | 80 | 80 | 80 |
| Fab 2 (8") | 67 | 70 | 70 | 70 | 68 | 70 | 70 | 70 | 68 | 70 | 70 | 70 |
| Fab 3 (8") | 48 | 50 | 50 | 50 | 48 | 50 | 50 | 50 | 48 | 50 | 50 | 50 |
| Fab VS1 (8") | 38 | 40 | 40 | 40 | 39 | 40 | 40 | 40 | 39 | 40 | 40 | 40 |
| Fab 5 (8") | 38 | 40 | 40 | 40 | 39 | 40 | 40 | 40 | 39 | 40 | 40 | 40 |
| Fab VSMC (12") | 0 | 0 | 0 | 0 | 2 | 10 | 18 | 20 | 22 | 30 | 40 | 44 |
| Total capacity (8" equ) | 268 | 280 | 280 | 280 | 278 | 303 | 320 | 325 | 322 | 348 | 369 | 379 |
| **Shipment** | | | | | | | | | | | | |
| Quarterly shipment (8" equ) | 642 | 713 | 734 | 749 | 757 | 855 | 940 | 940 | 931 | 1,043 | 1,095 | 1,040 |
| Capacity utilisation** | 80% | 85% | 87% | 89% | 91% | 94% | 98% | 96% | 96% | 100% | 99% | 91% |
| Blended ASP (USD) | 618 | 632 | 645 | 649 | 650 | 685 | 697 | 704 | 704 | 719 | 739 | 726 |
| **Revenue** | | | | | | | | | | | | |
| Revenue (USDm) | 397 | 451 | 474 | 486 | 492 | 586 | 656 | 662 | 655 | 750 | 809 | 755 |
| Revenue (TWDm) | 12,532 | 14,245 | 15,160 | 15,558 | 15,737 | 18,753 | 20,983 | 21,189 | 20,975 | 24,003 | 25,876 | 24,164 |
| Mix by node | | | | | | | | | | | | |
| 0.5u+ | 12% | 12% | 12% | 12% | 12% | 11% | 11% | 11% | 11% | 11% | 10% | 10% |
| 0.35u | 13% | 12% | 12% | 12% | 12% | 11% | 11% | 10% | 11% | 10% | 9% | 9% |
| 0.25u | 15% | 16% | 16% | 16% | 16% | 14% | 12% | 12% | 12% | 11% | 10% | 10% |
| 0.18/0.15u | 15% | 15% | 15% | 15% | 15% | 14% | 13% | 12% | 12% | 11% | 10% | 10% |
| 0.13/0.11u | 45% | 46% | 45% | 44% | 45% | 41% | 38% | 37% | 36% | 33% | 30% | 30% |
| <=90nm | 0% | 0% | 0% | 0% | 0% | 9% | 15% | 18% | 18% | 25% | 32% | 32% |
| **Cost structure** | | | | | | | | | | | | |
| Direct materials | 1,724 | 1,916 | 1,998 | 2,037 | 2,058 | 2,325 | 2,558 | 2,558 | 2,532 | 2,836 | 2,978 | 2,829 |
| Direct labour | 1,136 | 1,240 | 1,293 | 1,318 | 1,332 | 1,505 | 1,655 | 1,655 | 1,639 | 1,835 | 1,927 | 1,831 |
| Depreciation & amortisation | 2,192 | 2,227 | 2,340 | 2,505 | 2,600 | 3,300 | 4,000 | 4,328 | 4,400 | 4,600 | 5,000 | 4,953 |
| Other overheads | 3,810 | 4,258 | 4,418 | 4,482 | 4,600 | 5,198 | 5,718 | 5,718 | 5,661 | 6,340 | 6,657 | 6,324 |
| Total COGS (TWDm) | 8,861 | 9,640 | 10,048 | 10,344 | 10,589 | 12,328 | 13,931 | 14,259 | 14,231 | 15,611 | 16,562 | 15,937 |
| Mix by element | | | | | | | | | | | | |
| Direct materials | 19% | 20% | 20% | 20% | 19% | 19% | 18% | 18% | 18% | 18% | 18% | 18% |
| Direct labour | 13% | 13% | 13% | 13% | 13% | 12% | 12% | 12% | 12% | 12% | 12% | 11% |
| Depreciation & amortisation | 25% | 23% | 23% | 24% | 25% | 27% | 29% | 30% | 31% | 29% | 30% | 31% |
| Other overheads | 43% | 44% | 44% | 43% | 43% | 42% | 41% | 40% | 40% | 41% | 40% | 40% |
| Gross profit (TWDm) | 3,671 | 4,604 | 5,112 | 5,214 | 5,148 | 6,425 | 7,052 | 6,930 | 6,743 | 8,391 | 9,314 | 8,227 |
| Gross margin | 29% | 32% | 34% | 34% | 33% | 34% | 34% | 33% | 32% | 35% | 36% | 34% |

*Source: Company, Daiwa estimates and forecasts*
*Note: * wpm = wafers per month on average; ** based on shipment divided by installed capacity, not wafer-in*

## Fast expansion to capture the paradigm shift

**… speeding up its 12" expansion to maximise the AI potential**

On top of the AI scaling creating a ripple effect for demand spillover, such strength looks to be further augmented by TSMC's fab optimisation, as assessed in the main section of this report. To capitalise on the likely paradigm shift in the specialty foundry segment by TSMC's fab optimisation, VIS is pulling in its first 12" fab construction around half a year ahead of schedule, aiming to start mass production from 1Q27 after it hosted an opening ceremony on 28 September.

Registered under VSMC, we expect this fab to reach its first-phase designed capacity of 44,000 wpm by end-2028, subject to market dynamics. c.30% of the fab's capacity will be dedicated to TSMC's wafer production of silicon interposers handling chip-on-wafer-on-substrate (CoWoS) advanced packaging, which has seen meaningful supply constraint due to strong AI high-performance compute (HPC) demand. The rest of the capacity is for other customers' power semiconductors (such as mixed-signal, analog and PMIC) and embedded flash, focusing on AI scaling and automotive and industrial (A&I) applications.

**VIS could speed up phase-two 12" expansion under TSMC's continued effort of fab optimisation**

Despite the 12" expansion pull-in, we do not expect the ramp to dwarf capacity utilisations since all the planned capacity is already sold out, thanks to the long-term agreements (LTA) signed with customers amid the supply constraints, which should help VIS manage surging depreciation and minimise margin dilution for financial resilience. Although this 12" fab has little to do with TSMC's 28/22/20nm fab optimisation addressed in the main section, since it covers only process nodes ranging from 0.13u to 40nm and thus enjoys only the 65/55nm wafer interposer spillover from TSMC, on our market research, we see possibilities for TSMC to shut down more legacy 12" fabs in the future. We believe this may incentivise VIS to speed up its second 12" fab construction in Singapore, namely the phase-two, or VSMC Fab 2, for 40,000-50,000 wpm capacity beyond 2028 and is scalable to 28nm-and-below and even the finFET (FF) process nodes.

## Financial forecasts

In the near term, we expect VIS to enjoy counter-seasonal quarters through 2027, thanks to the ripple effect of AI scaling on wafer loadings and pricing power. We estimate that VIS earned 3Q26 EPS of TWD1.57, in line with the Bloomberg consensus estimate. For 4Q26, we are behind consensus since 1) we expect a diminished effect of price hikes after our estimated 2-3% QoQ EPS increases in 3Q26; and 2) we do not expect the 12" contribution to ramp that soon. In the long term, we forecast VIS to deliver a revenue CAGR of nearly 30% over 2026-28 for an EPS CAGR of 26%.

### Revenue and customers

**77% of revenue was from PMIC in 2Q26, with customers across Taiwan, China, Japan, Europe, and the US**

As of 2Q26, power management IC (PMIC) accounted for the majority of revenue (77%; see chart on next page), on a rising trend from 40% a decade ago thanks to the co-efforts between VIS and TSMC strategically transforming the former's business up the value verticals from logic commodity display drivers (D/D) for consumer electronics devices to power discrete, analog, and PMIC for not only consumer but A&I applications. Riding on the escalating trend of demand for advanced high-V PMIC accommodating AI servers and power infrastructure under the AI cycle, we expect the PMIC revenue contribution to rise further over our forecast period, while the D/D contribution will drop to c.10%-plus for base-line customer demand support.

As of 2Q26, VIS found 16%, 16%, and 46% of revenue from major process nodes of 0.25u, 0.18u, and 0.13u-and-below, respectively, on our estimates. Since the VSMC fab will focus on 0.13u all the way to 40nm, and TSMC's wafer interposers will take c.30% of the capacity ramp on our estimates focusing on 65/55nm, we expect the 0.13u-and-below to increase to more than 60% of revenue over our forecast period. Both the PMIC and node advances should be blended ASP and margin accretive, helping mitigate the depreciation burden associated with the VSMC fab ramp. Illustrated in a chart on the next page, we expect VIS's blended ASP to trend upward from c.USD630 in 2Q26, rising by 1-5% QoQ through our forecast period to exceed USD700 by 2028.

**High variety of customer base across D/D and PMIC**

VIS services a high variety of customers around the world, including most fabless chipmakers in Taiwan and mainland China focusing on the D/D, power MOSFET and PMIC, and most integrated device manufacturers (IDM) across Japan, Europe and the US focusing on power semiconductor foundry works.

**VIS: 3Q26 results preview and 4Q26 business outlook**

| | | | 3Q26E | | | 4Q26E |
|---|---|---|---|---|---|---|
| (in TWDm) | Daiwa | Consensus | Variance | Daiwa | Consensus | Variance |
| Revenue | 15,160 | 15,369 | -1% | 15,558 | 16,302 | -5% |
| Gross profit | 5,112 | | | 5,214 | | |
| Operating profit | 3,369 | | | 3,386 | | |
| Pretax profit | 3,569 | | | 3,529 | | |
| Net profit | 2,944 | 2,983 | -1% | 2,911 | 3,255 | -11% |
| Adjusted EPS (TWD) | 1.57 | 1.59 | -1% | 1.55 | 1.73 | -11% |
| **Margins** | | | | | | |
| Gross | 33.7% | | | 33.5% | | |
| Operating | 22.2% | | | 21.8% | | |
| Net | 19.4% | | | 18.7% | | |
| **Operation** | | | | | | |
| Shipment (12" equ. wafers) ('000 units) | 734 | | | 749 | | |
| Utilisation* | 87% | | | 89% | | |
| <=0.13u sales contribution | 45% | | | 44% | | |

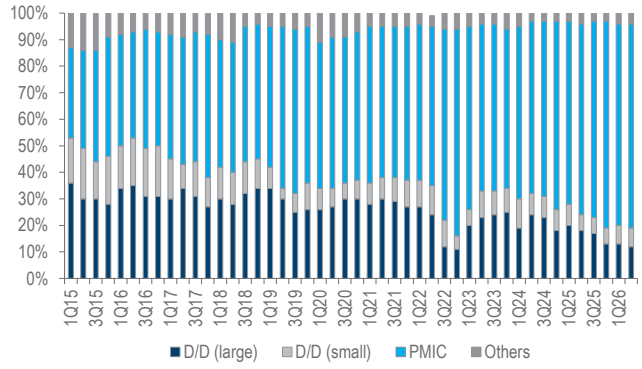
*Source: Bloomberg, Daiwa estimates and forecasts*
*Note: * Calculated as wafer shipment divided by capacity*

## VIS: key operating assumptions, quarterly P&L estimates and forecasts

| TWDm | 1Q26 | 2Q26 | 3Q26E | 4Q26E | 1Q27E | 2Q27E | 3Q27E | 4Q27E | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Wafer shipment (8" equ) ('000 units) | 642 | 713 | 734 | 749 | 757 | 855 | 940 | 940 | 2,533 | 2,838 | 3,492 | 4,109 |
| Capacity utilisation | 80% | 85% | 87% | 89% | 91% | 94% | 98% | 96% | 76% | 85% | 95% | 97% |
| Blended ASP (USD) | 618 | 632 | 645 | 649 | 650 | 685 | 697 | 704 | 616 | 637 | 686 | 723 |
| Foundry revenue (USDm) | 397 | 451 | 474 | 486 | 492 | 586 | 656 | 662 | 1,560 | 1,807 | 2,396 | 2,969 |
| **Total revenue** | **12,532** | **14,245** | **15,160** | **15,558** | **15,737** | **18,753** | **20,983** | **21,189** | **48,591** | **57,494** | **76,662** | **95,017** |
| COGS | -8,861 | -9,640 | -10,048 | -10,344 | -10,589 | -12,328 | -13,931 | -14,259 | -34,937 | -38,893 | -51,107 | -62,341 |
| Gross profit | 3,671 | 4,604 | 5,112 | 5,214 | 5,148 | 6,425 | 7,052 | 6,930 | 13,654 | 18,602 | 25,555 | 32,676 |
| Opex | -1,584 | -1,704 | -1,743 | -1,828 | -1,857 | -2,082 | -2,329 | -2,394 | -5,880 | -6,859 | -8,662 | -10,394 |
| Operating profit | 2,087 | 2,901 | 3,369 | 3,386 | 3,291 | 4,343 | 4,723 | 4,536 | 7,773 | 11,742 | 16,893 | 22,282 |
| EBITDA | 4,278 | 5,128 | 5,709 | 5,891 | 5,891 | 7,643 | 8,723 | 8,864 | 16,325 | 21,006 | 31,121 | 41,235 |
| Non-op gain/loss | 350 | 412 | 200 | 143 | 120 | 118 | 30 | 35 | 1,477 | 1,106 | 303 | 521 |
| Pretax profit | 2,437 | 3,313 | 3,569 | 3,529 | 3,411 | 4,461 | 4,753 | 4,571 | 9,251 | 12,848 | 17,196 | 22,803 |
| Income taxes & MI | -190 | -339 | -625 | -618 | -324 | -618 | -686 | -692 | -1,343 | -1,771 | -2,320 | -5,167 |
| Net profit | 2,246 | 2,975 | 2,944 | 2,911 | 3,087 | 3,843 | 4,067 | 3,879 | 7,908 | 11,076 | 14,876 | 17,636 |
| FD O/S (m) | 1,880 | 1,879 | 1,879 | 1,879 | 1,879 | 1,879 | 1,879 | 1,879 | 1,867 | 1,879 | 1,879 | 1,879 |
| **FD EPS (TWD)** | **1.19** | **1.58** | **1.57** | **1.55** | **1.64** | **2.05** | **2.16** | **2.06** | **4.24** | **5.90** | **7.92** | **9.39** |
| **Margins** | | | | | | | | | | | | |
| Gross | 29% | 32% | 34% | 34% | 33% | 34% | 34% | 33% | 28% | 32% | 33% | 34% |
| Operating | 17% | 20% | 22% | 22% | 21% | 23% | 23% | 21% | 16% | 20% | 22% | 23% |
| EBITDA | 34% | 36% | 38% | 38% | 37% | 41% | 42% | 42% | 34% | 37% | 41% | 43% |
| Net | 18% | 21% | 19% | 19% | 20% | 20% | 19% | 18% | 16% | 19% | 19% | 19% |
| **Growth (QoQ)** | | | | | | | | | | | | |
| Total revenue | 0% | 14% | 6% | 3% | 1% | 19% | 12% | 1% | | | | |
| Gross profit | 6% | 25% | 11% | 2% | -1% | 25% | 10% | -2% | | | | |
| Operating profit | 15% | 39% | 16% | 1% | -3% | 32% | 9% | -4% | | | | |
| EBITDA | 6% | 20% | 11% | 3% | 0% | 30% | 14% | 2% | | | | |
| Net profit | 29% | 32% | -1% | -1% | 6% | 24% | 6% | -5% | | | | |
| FD EPS | 28% | 33% | -1% | -1% | 6% | 24% | 6% | -5% | | | | |
| **Growth (YoY)** | | | | | | | | | | | | |
| Total revenue | 5% | 22% | 23% | 24% | 26% | 32% | 38% | 36% | 10% | 18% | 33% | 24% |
| Gross profit | 2% | 40% | 54% | 50% | 40% | 40% | 38% | 33% | 14% | 36% | 37% | 28% |
| Operating profit | -7% | 53% | 84% | 87% | 58% | 50% | 40% | 34% | 9% | 51% | 44% | 32% |
| EBITDA | 0% | 29% | 41% | 46% | 38% | 49% | 53% | 50% | 4% | 29% | 48% | 32% |
| Net profit | -7% | 46% | 73% | 67% | 37% | 29% | 38% | 33% | 12% | 40% | 34% | 19% |
| FD EPS | -8% | 44% | 71% | 66% | 38% | 29% | 38% | 33% | 12% | 39% | 34% | 19% |

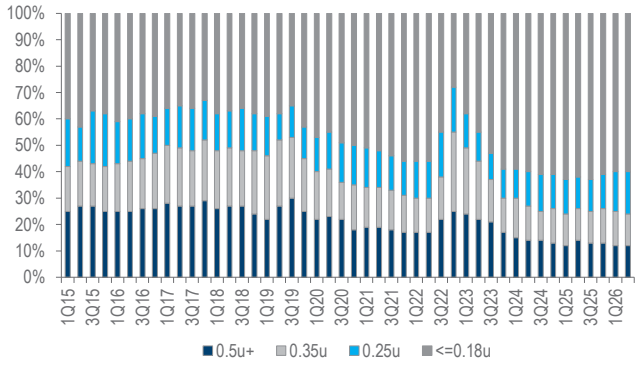
*Source: Company, Daiwa estimates and forecasts*

## VIS: revenue mix by product*



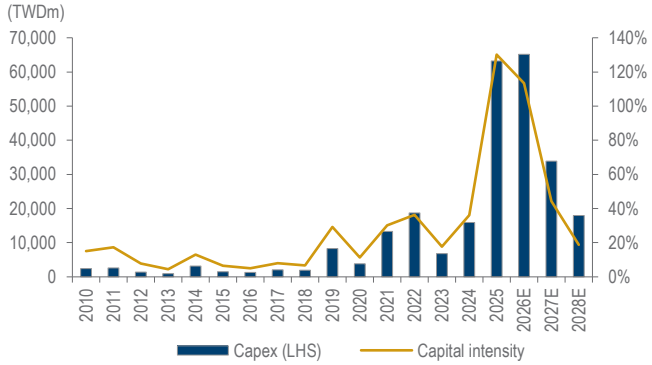

*Source: Company*
*Note: * D/D = display driver, PMIC = power management IC, others include LED driver, embedded memory, CMOS image sensor, etc.*

## VIS: revenue mix by process node*



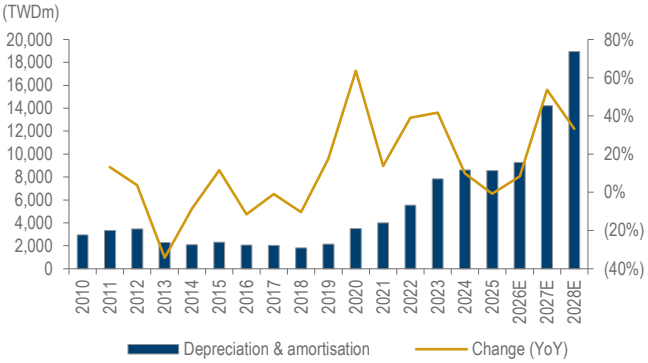

*Source: Company*
*Note: * <=0.18u including 0.18u, 0.15u, 0.13u and 0.11u*

## VIS: capex and capital intensity trend*




*Source: Company, Daiwa forecasts*
*Note: * Capital intensity = capex divided by revenue*

## VIS: depreciation and amortisation trend




*Source: Company, Daiwa forecasts*

## Cost analysis

**We forecast GM to stall at 32-34% over 2Q26-1Q28 and then pick up afterwards**

Over the past decades, VIS's cost structure has fluctuated in fixed overheads (mainly D&A) from time to time, depending on its fab acquisitions, varying from 10% to 30% of COGS (refer back to the key assumption table). Given VSMC is about to ramp in production with a total capex of USD6.8bn for phase one, or roughly 2x VIS's 2025-26E aggregate revenue, we expect the D&A portion to return to the 30% level over our forecast period, acting as a margin dilutor. Yet with VIS's capex budget of TWD60-70bn (c.USD2bn) this year, we expect the capex to largely subside from 2027 for the depreciation cycle to peak in 2029. As a result, we forecast its D&A in absolute terms to rise by 54% YoY in 2027 to TWD14bn and 33% YoY in 2028 to nearly TWD19bn, with gross margin (GM) stalling at 32-34% over 2Q26-1Q28, then picking up to 35% or higher in 2H28 and likely rising further after the depreciation comes off the cycle into 2029.

## Minority interest

**We forecast MI expense to begin to dilute parent income from 2Q28**

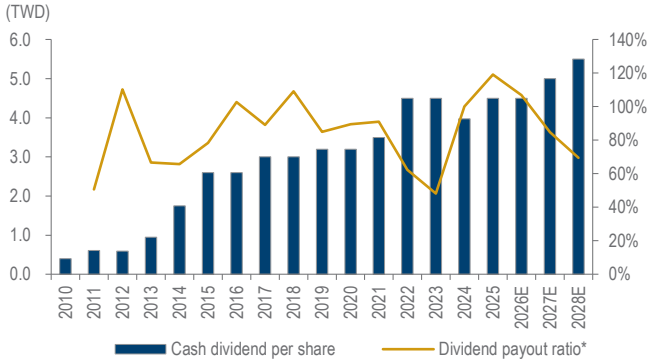
Minority interest (MI), or non-controlling interest as stated by VIS, kicked in from 1Q25 and rose to 2.4% of pretax income in 2Q26 due to preparation for the VSMC investment. We forecast the MI to rise to TWD341m this year (TWD137m in 2025), TWD568m in 2027 and TWD1.45bn in 2028, mainly from the 40% MI owned by NXP as VIS ramps the 12" fab investment in Singapore. As illustrated in a table below, we forecast VSMC to record revenue of nearly TWD9bn in 2027 and TWD26bn in 2028 for operating loss of TWD1.4bn and operating profit of TWD3.6bn, respectively, on the basis of a standalone operating entity.

## Dividend policy

**We expect c.80% payout ratio subject to capex requirement**

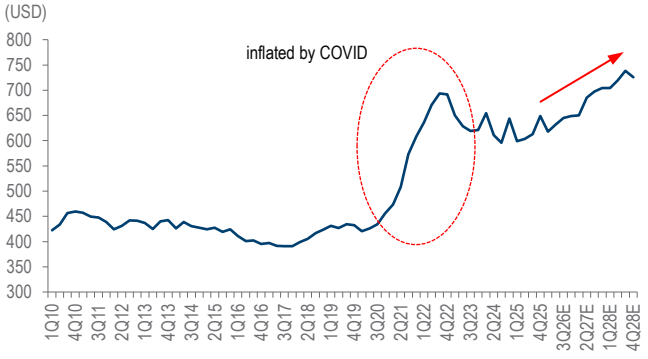
Over the past decade, VIS has stepped up its dividend payout ratios from 50% in 2011 to more than 100% this year. We expect the company to keep the ratios at c.80% over our forecast period, subject to the AI development which should determine the capex requirement for the VSMC investment, affecting its FCF generating power. VIS paid a TWD4.5/share cash dividend this year (against last year's earnings), and we forecast it to pay TWD5.0/share for 2027 with a payout ratio of 85% against this year's earnings for a 2.7% yield based on the closing price as of 5 October.

**VIS: dividend trend and payout ratio***




*Source: Company, Daiwa estimates and forecasts*
*Note: * against previous year's P&L*

**VIS: quarterly ASP trend***



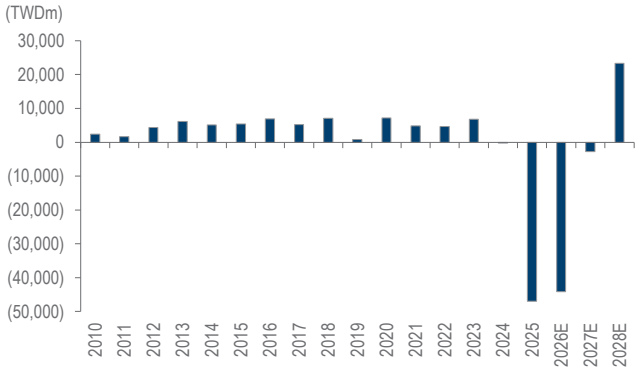

*Source: Daiwa estimates and forecasts*
*Note: * Blended basis in 8" equivalent*

**VSMC: standalone P&L at core operation**

| | 1Q27E | 2Q27E | 3Q27E | 4Q27E | 1Q28E | 2Q28E | 3Q28E | 4Q28E |
|---|---|---|---|---|---|---|---|---|
| Wafer shipments (8" equ) ('000 units) | 2 | 55 | 100 | 120 | 121 | 188 | 255 | 245 |
| Blended ASP (USD; 8" equ) | 1,000 | 1,000 | 1,000 | 1,000 | 1,000 | 1,000 | 1,000 | 980 |
| Revenue (USDm) | 2 | 55 | 100 | 120 | 121 | 188 | 255 | 240 |
| Revenue (TWDm) | 50 | 1,758 | 3,213 | 3,853 | 3,872 | 6,007 | 8,156 | 7,687 |
| COGS (TWDm) | (497) | (1,540) | (2,820) | (3,373) | (3,518) | (4,702) | (5,699) | (5,725) |
| Opex (TWDm) | (450) | (457) | (578) | (578) | (581) | (601) | (652) | (615) |
| Operating profit (TWDm) | (896) | (239) | (185) | (98) | (226) | 704 | 1,804 | 1,347 |
| MI against parent P&L (TWDm) | (359) | (96) | (74) | (39) | (91) | 282 | 722 | 539 |
| MI as % of VIS's pre-tax profit | 11% | 2% | 2% | 1% | 2% | -5% | -11% | -10% |

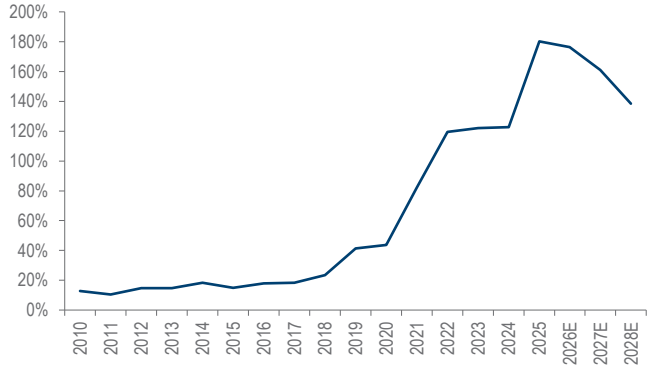
*Source: Daiwa estimates and forecasts*

VIS: free cashflow trend




Source: Company, Daiwa forecasts

VIS: debt-to-equity ratio




Source: Company, Daiwa forecasts

## Cashflow and gearing

Given its hefty capex over 2025-27E, we expect VIS's free cashflow (FCF) to turn negative during the same period. Foreseeing the cash gap, VIS issued new shares of 228m in 2024 for a 12% per-share dilution and collected TWD17.6bn. It further issued ECBs in February this year to collect nearly TWD11bn; therefore, we forecast its debt-to-equity (D/E) ratio to approach 170% in 2026. Yet with the VSMC ramp in profitability for operating cash inflow, we forecast the FCF to turn positive in 2028, helping lower the gearing to c.140%.

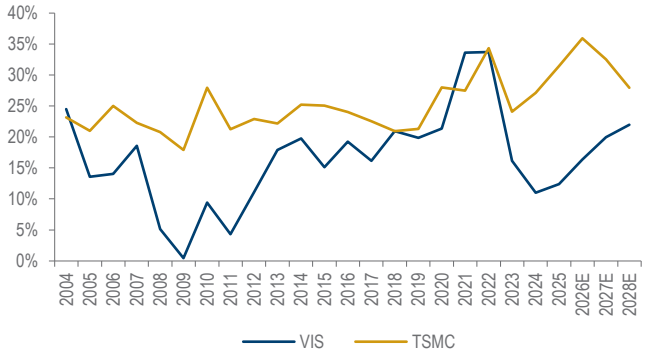
## Valuation and risk

**We set our 12M TP for VIS at TWD210, based on an ROE-adjusted PBR target of 5.2x**

We employ an ROE-adjusted PBR methodology to value the foundry stocks under our coverage, where we compare a foundry's projected ROE with its historical ROE average, work out a premium or discount, and apply it to the foundry's historical average PBR for our ROE-adjusted PBR target. Given TSMC is VIS's strategic partner, we tweak our methodology a bit by anchoring VIS's ROE-adjusted PBR to TSMC's, where we compare their long-term ROE projections (2004-28E), work out a discount of 33% and then apply the discount to our 7.7x target PBR for TSMC, resulting in our target PBR of 5.2x and 12M TP of TWD210 for VIS on our one-year forward BVPS forecast.

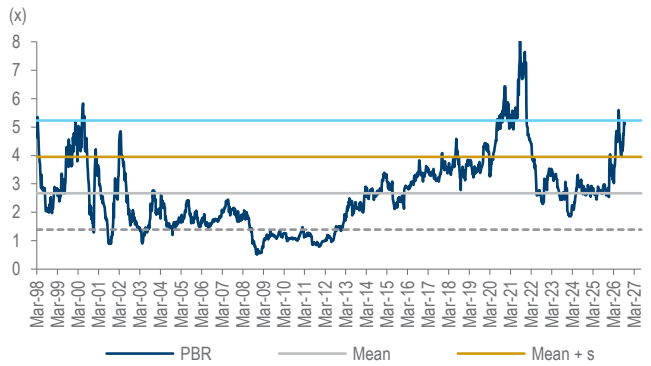
Key downside risks to our call would be: 1) the current chip upcycle ends earlier than expected; and 2) VSMC's 12" fab ramp/execution comes in below expectation.

ROE comparison: VIS vs. TSMC




Source: Company, Daiwa forecasts

VIS: PBR trend




Source: Company, TEJ, Daiwa forecasts

Asian foundry: valuation panel

| Stock | Ticker | Price (LC)* | Daiwa rating | PER (x) | | | PBR (x) | | | ROE (%) | | | Earnings growth (%) | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | | | | 2025 | 2026E | 2027E | 2025 | 2026E | 2027E | 2025 | 2026E | 2027E | 2025 | 2026E | 2027E |
| TSMC | 2330 TT | 2,585.0 | Buy (1) | 39.0 | 23.6 | 19.2 | 12.4 | 8.5 | 6.3 | 35.4 | 42.8 | 37.6 | 46.4 | 65.5 | 22.9 |
| HHGrace | 1347 HK | 105.3 | Buy (1) | n.m. | 126.5 | 87.2 | 3.5 | 3.4 | 3.3 | 0.9 | 2.7 | 3.9 | -5.6 | 235.5 | 45.2 |
| **VIS** | **5347 TT** | 190.0 | Outperform (2) | 44.9 | 32.2 | 24.0 | 5.6 | 5.3 | 4.7 | 12.4 | 16.8 | 20.8 | 12.2 | 40.1 | 34.3 |
| UMC | 2303 TT | 148.5 | Hold (3) | 44.8 | 20.6 | 20.9 | 4.9 | 4.8 | 4.4 | 11.0 | 23.6 | 21.8 | -11.6 | 117.7 | -1.7 |
| SMIC | 981 HK | 60.90 | Sell (5) | 75.5 | 44.4 | 38.1 | 1.8 | 1.7 | 1.6 | 4.0 | 6.6 | 7.1 | 115.3 | 71.9 | 16.6 |
| GlobalFoundries | GFS US | 48.07 | Not rated | 21.9 | 24.6 | 18.6 | 1.6 | 2.2 | 2.0 | 7.8 | 8.3 | 10.9 | 10.3 | 13.5 | 32.8 |
| Average | | | | 45.2 | 45.3 | 34.7 | 5.0 | 4.3 | 3.8 | 11.9 | 16.8 | 16.9 | 26.2 | 89.7 | 20.4 |

Source: Companies, Bloomberg, Daiwa forecasts
Note: * Local currency based on closing prices as of 7 October 2026

# Appendix: company profile

**Commanding 1.1% market share, VIS is a leading specialty foundry in the world**

Founded in December 1994 with headquarters located in Hsinchu Science Park and shares listed in March 1998, Vanguard International Semiconductor (VIS) is a leading specialty foundry in the world focusing on mix signal, power semiconductor and embedded memory chip manufacturing for value-added differentiation against competition in the mature foundry market. With strategic help from its parent company TSMC on business transformation and technology transfer, VIS commanded a 1.1% share in the global foundry market by 2025 revenue on our estimates (total size c.USD140bn), or nearly 4% in the global mature foundry market (ex-TSMC as a proxy), behind SMIC, UMC, GlobalFoundries (GF) and Huahong Grace Semiconductor (HHGrace; see chart on the next page). Note: our foundry market calculation is for dedicated foundry works only, different from TSMC's revised definition of the Foundry 2.0 that includes not only the dedicated foundry but packaging, testing and other non-memory semiconductor manufacturing services.

## The foundry market

**We expect VIS to outgrow the global foundry market (ex-TSMC) over 2026-28**

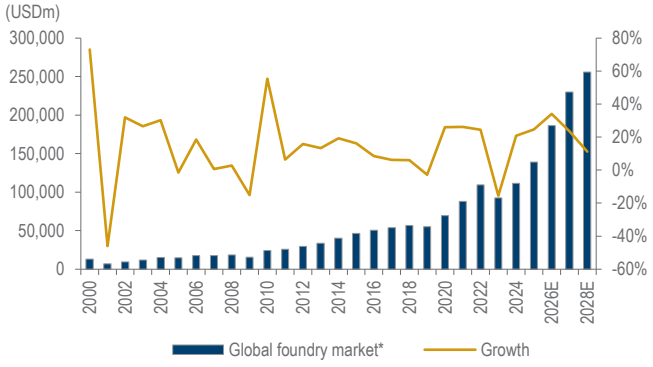
Ever since TSMC's founder innovated the semiconductor foundry service model, the foundry market has been in operation for more than 3 decades. Thanks to a rise in the global AI buildout, the global foundry revenue, after a dip in 2023 on the post-COVID inventory correction, recovered by more than 20% YoY pa over 2024-25. We forecast the growth to accelerate to more than 30% YoY this year, with revenue reaching USD186bn and exceeding USD255bn in 2028 for a robust 23% CAGR over 2025-28. If excluding TSMC, we forecast the market to grow by 14% YoY this year and approach USD60bn in 2028 for a CAGR of 13%, where we expect VIS to outgrow the market growth over our forecast period as illustrated in a chart below, thanks to its fast capacity expansion to capitalise on the AI scaling and paradigm shift in the specialty foundry segment.

## Operation and customer

**VIS has 5 fabs in operations, with its first 12" fab slated for mass-production from 1Q27**

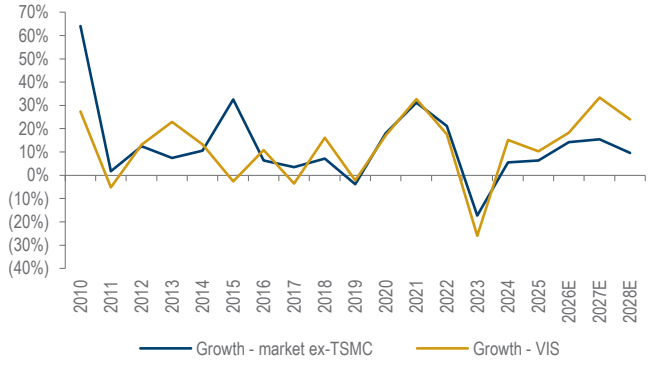
VIS currently operates 5 wafer fabs with 4 in Taiwan, including Fab 1 which commenced operations in 1994 as a memory setup and then converted to mixed signal, power metal oxide semiconductor field effect transistor (MOSFET) and logic foundry fab; Fab 2 which was acquired in 2007 from Winbond; Fab 3 which was acquired from Nanya Tech in 2014; and Fab 5 which was acquired from AUO in 2021, plus 1 in Singapore, Fab VS1, acquired from GF in 2019 and previously named 3E. The 5 fabs currently operate a total of 280,000 wpm capacity all in 8" wafer size, in which the Fab VS1 and 5 are scalable for an extra 10,000 wpm capacity each, though VIS doesn't seem to be keen in exercising the scalability since VSMC apparently is the focus for expansion. Following its opening ceremony on 28 September this year, VIS's first 12" fab via VSMC is slated for mass-production from 1Q27, aimed to bring up total capacity to c.380,000 wpm in 8" equivalent wafer by end-2028.

**Global foundry market forecasts**



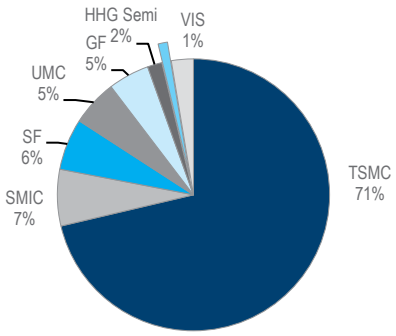

*Source: Company, Daiwa estimates and forecasts*
*Note: * Dedicated foundries only, not TSMC's definition of the Foundry 2.0*

**Revenue growth: VIS vs. foundry market ex-TSMC***



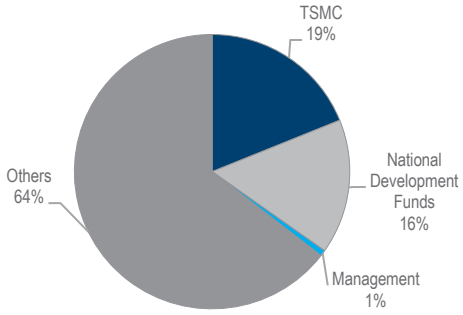

*Source: Company, Daiwa estimates and forecasts*
*Note: * As a proxy of the mature foundry market*

**2025 global foundry market share***




*Source: Company, Daiwa estimates*
*Note: * GF = GlobalFoundries, SF = Samsung Foundry*

**VIS: major shareholder structure**




*Source: Bloomberg*

**VIS covers a variety of fabless and IDM customers across Taiwan, China, Japan, Europe and the US**

VIS doesn't disclose its key customers due to confidentiality issues, but we believe its key customers cover most of the fabless chipmakers in Taiwan and mainland China focusing on display driver (D/D), power MOSFET and power management IC (PMIC), as well as integrated device manufacturers (IDM) across Japan, Europe and the US. According to our industry survey, key D/D vendors in the greater China region are Novatek (3034 TT, TWD529, Hold [3]), Himax (HIMX US, not rated), Raydium (3592 TT, not rated), Ilitek (6962 TT, not rated), Sitronix Technology (8016 TT, not rated), FocalTech (3545 TT, not rated), Chipone Technology (not listed), OmniVision (603501 CH, CNY82.21, Hold [3]) and GalaxyCore (688728 CH, not rated), while key power semiconductor vendors in the world include Qualcomm (QCOM US, USD177.12, Outperform [2]; covered by Louis Miscioscia), Renesas (6723 JP, JPY3,924, Outperform [2]; covered by Junji Okawa), Monolithic Power Systems (MPS; MPWR US, not rated), NXP (NXPI US, not rated), STMicro (STM US, not rated), Infineon (IFX GR, not rated), Microchip (MCHP US, not rated), TI (TXN US, not rated), MediaTek (2454 TT, TWD4,835, Buy [1], via Richtek), Global Mixed-mode Technology (GMT; 8081 TT, not rated) and Niko Semiconductor (3317 TT, not rated).

## Shareholder structure

**Major shareholders are TSMC and Taiwan government**

VIS's major shareholders were TSMC and the Taiwan government's Development Funds, with c.19% and c.16% of holdings, respectively, as of August 2026 under total share outstanding of 1.88bn. With management in aggregate holding an insignificant stake and the rest being held by institutional investors (QFII holding was 32.7% as of 5 October), we estimate a healthy free float of more than 60% for the stock, with decent cap of c.USD11bn and 3-month daily turnover of more than USD100m.

TSMC reduced its holding in VIS this year by 8pp, raising investor concerns on whether the move would jeopardise the former's strategic support to the latter. We see no direct link between the stake reduction and strategic support, and believe TSMC will continue the support, evidenced by its licence of gallium-nitride (GaN) and interposer technologies and equipment consignment to VSMC.

# ESG analysis

## ESG risks

| Risks | | Management | Analyst comments |
|---|---|---|---|
| G | Executive/board quality | 1 | VIS's board of directors (BoD) consists of 9 members, including 5 independent directors, representing 56% of the total board seats. The board comprises members with diverse backgrounds in business management, finance, industry, and academia, providing a broad range of expertise and perspectives.<br><br>We believe the majority-independent board structure and the directors' collective experience in leadership, corporate governance, industry expertise, financial management, risk management, and sustainability strengthen the effectiveness of the BoD and support VIS's long-term growth and corporate governance practices. |
| | Capital management | 1 | VIS pays its dividend on a quarterly basis. In the past 5 years, it has managed its dividend payout well, as evidenced by its dividend in dollar terms, where it has never lowered its dividend. |
| | Related party & transaction | 1 | Sales to related parties were around 1-2% of its total revenue each year. The percentage is insignificant and thus we see limited risk for VIS. |
| S | Supply chain management | 1 | VIS has established a comprehensive sustainable supply chain management framework to ensure suppliers comply with its sustainability requirements covering environmental protection, labor and human rights, occupational health and safety, business ethics, and responsible sourcing. The company requires suppliers to adhere to its "VIS Supplier Code of Conduct" and "Corporate Sustainability Policy", and conducts supplier sustainability assessments and audits as part of its supplier management process. We believe these efforts strengthen VIS's supply chain resilience and help mitigate supply chain risks. |
| E | Water & wastewater management | 2 | VIS is committed to improving water efficiency and sustainable water management. In 2022, the company implemented the ISO 46001 Water Efficiency Management System to analyze water consumption patterns, identify significant water-use equipment, evaluate water-saving opportunities, and establish improvement measures. VIS also provides annual water management training at its Taiwan facilities to promote continuous improvement in water-use efficiency. We believe these efforts demonstrate the company's commitment to responsible water stewardship and help reduce operational risks associated with water resources. |
| E | Waste & hazardous materials management | 1 | VIS adopts a comprehensive resource management approach to waste management and has established waste management procedures in accordance with ISO 14001 standards. Through dedicated waste management personnel and regular employee training, the company promotes effective waste reduction, classification, collection, storage, and treatment practices across its operations. |
| E | GHG emissions | 1 | VIS adopts a source-segregation and multi-stage treatment approach, supported by high-efficiency air pollution control systems, to effectively manage VOC and acidic/alkaline gas emissions from semiconductor manufacturing processes.<br>The company's emission levels remain well below regulatory limits, reflecting its commitment to environmental compliance and sustainable operations. |

*Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.*

*Update Date: 8 Oct 2026*

*Source: Daiwa, Company*

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| Rating | Percentage of total |
|---|---|
| Buy* | 73.96% |
| Hold** | 19.58% |
| Sell*** | 6.46% |

*Source: Daiwa*

*Notes: data is for single-branded Daiwa research in Asia (ex Japan) and correct as of 30 September 2026.*
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# United Microelectronics (2303 TT)

Target price: **TWD145.00** (from TWD108.00)

Share price (7 Oct): **TWD148.50** | Up/downside: **-2.4%**

5 4 **3** 2 1

**Hold**
(unchanged)

## A beneficiary of the AI ripple effect, but …

- UMC looks set to benefit from AI demand spillover
- Yet we believe the AI ripple effect is being priced in
- Maintain our Hold (3) call, with a higher 12M TP of TWD145

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**What's new:** Given its longstanding position in the global foundry industry, ever challenging TSMC's leadership during the late 1990s, we believe UMC stands well to benefit from a ripple effect in demand spurred by AI scaling, as detailed in the main section of this report. We expect UMC's wafer loadings to reach 100% from 1Q27, with price hikes to go through (see *Price hike to go through? Still likely*, 31 July). That said, we believe the equity market has priced in this AI strength on extra volume and pricing power for UMC. Hence, we stick with our Hold (3) rating on the counter.

**What's the impact:** **3Q26 preview and 4Q26 outlook.** We expect UMC to report 3Q26 net profit of TWD16.4bn (+9% YoY), varying not much from the Bloomberg consensus. Its monthly revenue finished at c.TWD49bn QTD, reaching 65% of our/consensus 3Q26 estimates, which we consider tracking inline. For 4Q26, we expect UMC to earn net profit of TWD16bn, 13% below consensus, as the street seems to be assuming higher non-operating gains. UMC is scheduled to report results on 28 October; we will be offering updates in due course.

**<=28nm ramp on AI scaling and fab optimisation.** UMC's 28/22nm-and-below revenue contribution has hovered around the high-30% range over the past 2 years, after meaningful ramp during the COVID period on broadened demand applications from display drivers and TV SoCs to power management. With AI scaling creating a ripple effect in companion chip demand for connectivity (ie, silicon photonics) and power (ie, server PMICs), we believe UMC is well positioned to benefit from any spillover demand, with the strength augmented by TSMC's fab optimisation, which could strengthen UMC's pricing power. Given that UMC's wafer loadings are likely to reach 100% from 1Q27, we expect its price hikes to go through and model increases of 2-5%, effective from 1Q27, across nodes related to AI applications. This should resume its <=28nm ramp to exceed a half of revenue in 2028. All in, we raise our 2027-28E EPS by 22%.

**What we recommend:** Despite our forecast revisions, we remain comfortable with our Hold (3) rating for UMC, as we believe its AI strength is already priced in. We raise our 12M TP to TWD145 (previous: TWD108), based on our higher ROE-adjusted PBR target of 4.2x (previous: 3.3x) applied to 1-year-forward BVPS on a higher ROE trajectory. Upside/ downside risks would be any price hikes above our expectations/ geopolitical overhangs (war, FX, interest rate) weighing on end-demand.

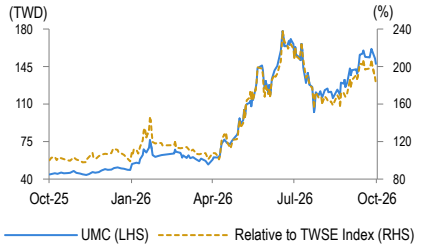
**How we differ:** Our 2026-28E EPS do not vary much from consensus, indicating that UMC's AI strength is already reflected in its valuation.

### Forecast revisions (%)

| Year to 31 Dec | 26E | 27E | 28E |
|---|---|---|---|
| Revenue change | 0.9 | 7.5 | 7.9 |
| Net profit change | 1.5 | 21.9 | 21.6 |
| Core EPS (FD) change | 1.5 | 21.9 | 21.6 |

*Source: Daiwa forecasts*

### Share price performance




| | |
|---|---|
| 12-month range | 43.85-178.50 |
| Market cap (USDbn) | 58.71 |
| 3m avg daily turnover (USDm) | 726.45 |
| Shares outstanding (m) | 12,577 |
| Major shareholder | United Microelectronics Corp (5.8%) |

### Financial summary (TWD)

| Year to 31 Dec | 26E | 27E | 28E |
|---|---|---|---|
| Revenue (m) | 281,729 | 358,798 | 393,029 |
| Operating profit (m) | 63,045 | 99,484 | 115,376 |
| Net profit (m) | 90,829 | 89,289 | 103,534 |
| Core EPS (fully-diluted) | 7.222 | 7.099 | 8.232 |
| EPS change (%) | 117.9 | (1.7) | 16.0 |
| Daiwa vs Cons. EPS (%) | 2.4 | (1.6) | (3.5) |
| PER (x) | 20.6 | 20.9 | 18.0 |
| Dividend yield (%) | 1.8 | 2.7 | 2.7 |
| DPS | 2.6 | 4.0 | 4.0 |
| PBR (x) | 4.8 | 4.4 | 3.9 |
| EV/EBITDA (x) | 13.8 | 10.1 | 9.1 |
| ROE (%) | 23.6 | 21.8 | 22.8 |

*Source: FactSet, Daiwa forecasts*

## Financial summary

### Key assumptions

| Year to 31 Dec | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|
| Capacity utilisation (%) | 104 | 99 | 68 | 69 | 75 | 87 | 99 | 100 |
| Blended ASP (USD) | 774 | 941 | 994 | 933 | 876 | 862 | 914 | 916 |
| Wafer shipment (8" equ., '000) | 9,860 | 9,946 | 7,190 | 7,754 | 8,712 | 10,270 | 12,266 | 13,406 |

### Profit and loss (TWDm)

| Year to 31 Dec | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|
| Wafer Foundry Revenue | 213,011 | 278,705 | 222,533 | 232,303 | 237,553 | 281,729 | 358,798 | 393,029 |
| New Business Revenue | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| Other Revenue | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| **Total Revenue** | **213,011** | **278,705** | **222,533** | **232,303** | **237,553** | **281,729** | **358,798** | **393,029** |
| Other income | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| COGS | (140,961) | (152,941) | (144,789) | (156,649) | (168,647) | (188,965) | (224,020) | (239,340) |
| SG&A | (7,429) | (8,518) | (6,569) | (8,425) | (7,233) | (10,215) | (13,024) | (14,368) |
| Other op.expenses | (12,935) | (12,954) | (13,284) | (15,616) | (17,725) | (19,504) | (22,271) | (23,945) |
| **Operating profit** | **51,686** | **104,293** | **57,891** | **51,613** | **43,949** | **63,045** | **99,484** | **115,376** |
| Net-interest inc./(exp.) | (1,387) | 156 | 3,283 | 1,914 | 676 | 1,110 | 2,095 | 3,270 |
| Assoc/forex/extraord./others | 11,504 | 1,649 | 9,739 | 2,693 | 5,023 | 36,244 | 4,403 | 4,608 |
| **Pre-tax profit** | **61,803** | **106,097** | **70,912** | **56,220** | **49,648** | **100,399** | **105,981** | **123,255** |
| Tax | (6,691) | (18,079) | (9,472) | (9,113) | (8,113) | (9,660) | (16,692) | (19,721) |
| Min. int./pref. div./others | 668 | (820) | (450) | 105 | 182 | 91 | 0 | 0 |
| **Net profit (reported)** | **55,780** | **87,198** | **60,990** | **47,211** | **41,716** | **90,829** | **89,289** | **103,534** |
| **Net profit (adjusted)** | **55,780** | **87,198** | **60,990** | **47,211** | **41,716** | **90,829** | **89,289** | **103,534** |
| **EPS (reported)(TWD)** | **4.552** | **7.086** | **4.930** | **3.796** | **3.341** | **7.222** | **7.099** | **8.232** |
| **EPS (adjusted)(TWD)** | **4.552** | **7.086** | **4.930** | **3.796** | **3.341** | **7.222** | **7.099** | **8.232** |
| **EPS (adjusted fully-diluted)(TWD)** | **4.468** | **6.973** | **4.868** | **3.759** | **3.314** | **7.222** | **7.099** | **8.232** |
| **DPS (TWD)** | **1.622** | **3.043** | **3.639** | **3.022** | **2.866** | **2.602** | **4.004** | **4.004** |
| **EBIT** | **51,686** | **104,293** | **57,891** | **51,613** | **43,949** | **63,045** | **99,484** | **115,376** |
| **EBITDA** | **98,762** | **148,462** | **98,374** | **99,780** | **103,206** | **129,845** | **173,179** | **185,068** |

### Cash flow (TWDm)

| Year to 31 Dec | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|
| Profit before tax | 61,803 | 106,097 | 70,912 | 56,220 | 49,648 | 100,399 | 105,981 | 123,255 |
| Depreciation and amortisation | 47,075 | 44,169 | 40,484 | 48,168 | 59,257 | 66,800 | 73,695 | 69,692 |
| Tax paid | (6,691) | (18,079) | (9,472) | (9,113) | (8,113) | (9,660) | (16,692) | (19,721) |
| Change in working capital | (10,151) | (8,262) | 916 | (2,889) | 1,617 | (10,600) | (10,000) | (400) |
| Other operational CF items | (1,685) | 21,935 | (16,840) | 1,488 | (2,545) | (27,454) | (3,803) | (4,008) |
| **Cash flow from operations** | **90,352** | **145,861** | **86,000** | **93,872** | **99,864** | **119,484** | **149,182** | **168,817** |
| Capex | (48,035) | (80,128) | (91,474) | (88,545) | (47,744) | (63,647) | (51,200) | (52,801) |
| Net (acquisitions)/disposals | (14,290) | 28,229 | (4,678) | 2,625 | (7,670) | 8,411 | 0 | 0 |
| Other investing CF items | 162 | (2,528) | (1,635) | (21) | 2,259 | 0 | 0 | 0 |
| **Cash flow from investing** | **(62,163)** | **(54,427)** | **(97,787)** | **(85,941)** | **(53,154)** | **(55,237)** | **(51,200)** | **(52,801)** |
| Change in debt | 18,818 | (34,087) | 27,377 | (337) | (1,812) | (4,188) | (18,843) | (19,757) |
| Net share issues/(repurchases) | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| Dividends paid | (19,871) | (37,445) | (45,015) | (37,586) | (35,784) | (32,729) | (50,353) | (50,353) |
| Other financing CF items | 11,439 | 21,296 | (11,840) | 2,438 | (3,454) | 0 | 0 | 0 |
| **Cash flow from financing** | **10,386** | **(50,237)** | **(29,478)** | **(35,484)** | **(41,050)** | **(36,917)** | **(69,196)** | **(70,110)** |
| Forex effect/others | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| **Change in cash** | **38,574** | **41,197** | **(41,265)** | **(27,553)** | **5,660** | **27,330** | **28,786** | **45,907** |
| Free cash flow | 42,317 | 65,732 | (5,474) | 5,327 | 52,120 | 55,837 | 97,982 | 116,016 |

*Source: FactSet, Daiwa forecasts*

## Financial summary continued …

### Balance sheet (TWDm)

| Year to 31 Dec | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|
| Cash & short-term investment | 171,224 | 178,973 | 145,621 | 115,865 | 129,071 | 147,990 | 176,776 | 222,683 |
| Inventory | 23,011 | 31,070 | 35,713 | 35,782 | 37,228 | 38,228 | 41,728 | 41,228 |
| Accounts receivable | 35,190 | 36,975 | 29,586 | 33,343 | 31,274 | 40,774 | 50,774 | 50,674 |
| Other current assets | 3,848 | 5,353 | 5,878 | 4,688 | 7,211 | 5,000 | 5,500 | 5,500 |
| **Total current assets** | **233,273** | **252,371** | **216,797** | **189,678** | **204,783** | **231,992** | **274,778** | **320,085** |
| Fixed assets | 129,942 | 170,982 | 237,377 | 277,344 | 271,395 | 247,287 | 231,137 | 220,390 |
| Goodwill & intangibles | 28,665 | 44,852 | 30,758 | 30,691 | 27,445 | 24,500 | 27,400 | 27,300 |
| Other non-current assets | 72,547 | 64,847 | 74,255 | 72,487 | 75,373 | 102,917 | 106,720 | 110,728 |
| **Total assets** | **464,427** | **533,052** | **559,187** | **570,201** | **578,996** | **606,697** | **640,036** | **678,503** |
| Short-term debt | 39,256 | 7,587 | 29,537 | 19,510 | 27,597 | 19,751 | 20,666 | 15,726 |
| Accounts payable | 8,364 | 8,982 | 7,526 | 7,633 | 9,170 | 9,070 | 12,570 | 11,570 |
| Other current liabilities | 57,833 | 91,996 | 61,952 | 48,117 | 50,832 | 73,412 | 81,958 | 92,119 |
| **Total current liabilities** | **105,454** | **108,565** | **99,015** | **75,260** | **87,598** | **102,234** | **115,194** | **119,415** |
| Long-term debt | 39,830 | 39,877 | 45,236 | 55,533 | 45,372 | 49,029 | 29,272 | 14,454 |
| Other non-current liabilities | 37,941 | 49,159 | 55,358 | 61,222 | 66,170 | 66,000 | 66,000 | 66,000 |
| **Total liabilities** | **183,224** | **197,601** | **199,608** | **192,016** | **199,141** | **217,263** | **210,466** | **199,869** |
| Share capital | 124,832 | 125,047 | 125,298 | 125,607 | 125,882 | 125,882 | 125,882 | 125,882 |
| Reserves/R.E./others | 156,147 | 210,060 | 233,939 | 252,321 | 253,887 | 263,366 | 303,401 | 352,366 |
| **Shareholders' equity** | **280,980** | **335,107** | **359,238** | **377,928** | **379,768** | **389,247** | **429,283** | **478,247** |
| Minority interests | 223 | 344 | 341 | 257 | 87 | 187 | 287 | 387 |
| **Total equity & liabilities** | **464,427** | **533,052** | **559,187** | **570,201** | **578,996** | **606,697** | **640,036** | **678,503** |
| EV | 1,775,767 | 1,736,517 | 1,797,175 | 1,827,118 | 1,811,667 | 1,788,660 | 1,741,130 | 1,675,567 |
| **Net debt/(cash)** | **(92,138)** | **(131,509)** | **(70,849)** | **(40,821)** | **(56,102)** | **(79,210)** | **(126,839)** | **(192,503)** |
| **BVPS (TWD)** | **22.508** | **26.798** | **28.671** | **30.090** | **30.169** | **30.949** | **34.132** | **38.026** |

### Key ratios (%)

| Year to 31 Dec | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|
| Sales (YoY) | 20.5 | 30.8 | (20.2) | 4.4 | 2.3 | 18.6 | 27.4 | 9.5 |
| EBITDA (YoY) | 39.3 | 50.3 | (33.7) | 1.4 | 3.4 | 25.8 | 33.4 | 6.9 |
| Operating profit (YoY) | 134.9 | 101.8 | (44.5) | (10.8) | (14.8) | 43.5 | 57.8 | 16.0 |
| Net profit (YoY) | 91.1 | 56.3 | (30.1) | (22.6) | (11.6) | 117.7 | (1.7) | 16.0 |
| Core EPS (fully-diluted) (YoY) | 93.7 | 56.0 | (30.2) | (22.8) | (11.8) | 117.9 | (1.7) | 16.0 |
| Gross-profit margin | 33.8 | 45.1 | 34.9 | 32.6 | 29.0 | 32.9 | 37.6 | 39.1 |
| EBITDA margin | 46.4 | 53.3 | 44.2 | 43.0 | 43.4 | 46.1 | 48.3 | 47.1 |
| Operating-profit margin | 24.3 | 37.4 | 26.0 | 22.2 | 18.5 | 22.4 | 27.7 | 29.4 |
| Net profit margin | 26.2 | 31.3 | 27.4 | 20.3 | 17.6 | 32.2 | 24.9 | 26.3 |
| ROAE | 21.6 | 28.3 | 17.6 | 12.8 | 11.0 | 23.6 | 21.8 | 22.8 |
| ROAA | 13.3 | 17.5 | 11.2 | 8.4 | 7.3 | 15.3 | 14.3 | 15.7 |
| ROCE | 15.7 | 28.1 | 14.2 | 11.6 | 9.7 | 13.8 | 21.2 | 23.3 |
| ROIC | 23.5 | 44.0 | 20.4 | 13.8 | 11.1 | 18.0 | 27.3 | 32.9 |
| Net debt to equity | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. |
| Effective tax rate | 10.8 | 17.0 | 13.4 | 16.2 | 16.3 | 9.6 | 15.7 | 16.0 |
| Accounts receivable (days) | 53.5 | 47.3 | 54.6 | 49.4 | 49.6 | 46.7 | 46.6 | 47.1 |
| Current ratio (x) | 2.2 | 2.3 | 2.2 | 2.5 | 2.3 | 2.3 | 2.4 | 2.7 |
| Net interest cover (x) | 37.3 | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. |
| Net dividend payout | 68.1 | 67.1 | 51.6 | 61.6 | 75.8 | 78.5 | 55.4 | 56.3 |
| Free cash flow yield | 2.3 | 3.5 | n.a. | 0.3 | 2.8 | 3.0 | 5.2 | 6.2 |

*Source: FactSet, Daiwa forecasts*

## Company profile

Incorporated in Taiwan, United Microelectronics Corp (UMC) is one of the leading semiconductor foundries in the world and second largest in Taiwan. UMC offers a series of foundry services from photo-mask, wafer fabrication to wafer probe & test. Its wafer fabs are spread over Taiwan, China and Singapore, with technology offerings ranging from 0.25u and above, 0.18/0.15u, 0.13u, 90nm, 65nm, 45/40nm, 28/22nm to 14nm FF.

## UMC: key operating assumptions, quarterly P&L estimates and forecasts

| TWDm | 1Q26 | 2Q26 | 3Q26E | 4Q26E | 1Q27E | 2Q27E | 3Q27E | 4Q27E | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Wafer shipment (12" equ) ('000 units) | 1,021 | 1,129 | 1,201 | 1,213 | 1,213 | 1,359 | 1,454 | 1,425 | 3,872 | 4,564 | 5,451 | 5,958 |
| Capacity utilisation | 80% | 86% | 91% | 91% | 92% | 100% | 103% | 100% | 75% | 87% | 99% | 100% |
| Blended ASP (USD) | 1,890 | 1,926 | 1,967 | 1,966 | 2,017 | 2,056 | 2,081 | 2,067 | 1,970 | 1,940 | 2,057 | 2,061 |
| Total revenue | 61,038 | 68,733 | 75,612 | 76,347 | 78,296 | 89,428 | 96,841 | 94,232 | 237,553 | 281,729 | 358,798 | 393,029 |
| **Total revenue (USDm)** | **1,930** | **2,174** | **2,363** | **2,386** | **2,447** | **2,795** | **3,026** | **2,945** | **7,629** | **8,853** | **11,212** | **12,282** |
| COGS | -43,219 | -46,410 | -49,163 | -50,173 | -51,247 | -55,577 | -59,216 | -57,980 | -168,647 | -188,965 | -224,020 | -239,340 |
| Gross profit | 17,818 | 22,323 | 26,449 | 26,174 | 27,049 | 33,852 | 37,625 | 36,252 | 68,906 | 92,764 | 134,778 | 153,690 |
| Opex | -6,542 | -7,373 | -7,864 | -7,940 | -8,143 | -8,764 | -9,200 | -9,188 | -24,958 | -29,719 | -35,294 | -38,313 |
| Operating profit | 11,276 | 14,950 | 18,585 | 18,234 | 18,907 | 25,088 | 28,425 | 27,065 | 43,949 | 63,045 | 99,484 | 115,376 |
| EBITDA | 27,263 | 31,188 | 35,485 | 35,909 | 36,607 | 43,288 | 47,125 | 46,160 | 103,206 | 129,845 | 173,179 | 185,068 |
| Non-op gain/loss | 5,367 | 30,236 | 900 | 850 | 900 | 1,420 | 2,135 | 2,043 | 5,699 | 37,354 | 6,498 | 7,878 |
| Pre-tax profit | 16,644 | 45,186 | 19,485 | 19,084 | 19,807 | 26,508 | 30,560 | 29,107 | 49,648 | 100,399 | 105,981 | 123,255 |
| Income taxes | -527 | -2,962 | -3,118 | -3,053 | -3,169 | -3,976 | -4,890 | -4,657 | -8,113 | -9,660 | -16,692 | -19,721 |
| Net profit | 16,171 | 42,260 | 16,367 | 16,031 | 16,637 | 22,532 | 25,670 | 24,450 | 41,716 | 90,829 | 89,289 | 103,534 |
| FD O/S (m) | 12,579 | 12,577 | 12,577 | 12,577 | 12,577 | 12,577 | 12,577 | 12,577 | 12,588 | 12,577 | 12,577 | 12,577 |
| **FD EPS (TWD)** | **1.29** | **3.36** | **1.30** | **1.27** | **1.32** | **1.79** | **2.04** | **1.94** | **3.31** | **7.22** | **7.10** | **8.23** |
| **Margin** | | | | | | | | | | | | |
| Gross | 29% | 32% | 35% | 34% | 35% | 38% | 39% | 38% | 29% | 33% | 38% | 39% |
| Operating | 18% | 22% | 25% | 24% | 24% | 28% | 29% | 29% | 19% | 22% | 28% | 29% |
| EBITDA | 45% | 45% | 47% | 47% | 47% | 48% | 49% | 49% | 43% | 46% | 48% | 47% |
| Net | 26% | 61% | 22% | 21% | 21% | 25% | 27% | 26% | 18% | 32% | 25% | 26% |
| **Growth (QoQ)** | | | | | | | | | | | | |
| Total revenue | -1% | 13% | 10% | 1% | 3% | 14% | 8% | -3% | | | | |
| Gross profit | -6% | 25% | 18% | -1% | 3% | 25% | 11% | -4% | | | | |
| Operating profit | -8% | 33% | 24% | -2% | 4% | 33% | 13% | -5% | | | | |
| EBITDA | -2% | 14% | 14% | 1% | 2% | 18% | 9% | -2% | | | | |
| Net profit | 61% | 161% | -61% | -2% | 4% | 35% | 14% | -5% | | | | |
| FD EPS | 61% | 161% | -61% | -2% | 4% | 35% | 14% | -5% | | | | |
| **Growth (YoY)** | | | | | | | | | | | | |
| Total revenue | 5% | 17% | 28% | 24% | 28% | 30% | 28% | 23% | 2% | 19% | 27% | 10% |
| Gross profit | 15% | 32% | 50% | 38% | 52% | 52% | 42% | 39% | -9% | 35% | 45% | 14% |
| Operating profit | 15% | 38% | 67% | 49% | 68% | 68% | 53% | 48% | -15% | 43% | 58% | 16% |
| EBITDA | 14% | 23% | 36% | 29% | 34% | 39% | 33% | 29% | 3% | 26% | 33% | 7% |
| Net profit | 108% | 375% | 9% | 59% | 3% | -47% | 57% | 53% | -12% | 118% | -2% | 16% |
| FD EPS | 108% | 374% | 9% | 60% | 3% | -47% | 57% | 53% | -12% | 118% | -2% | 16% |

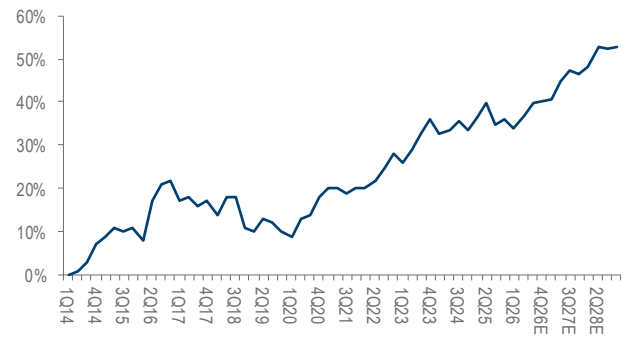
*Source: Company, Daiwa estimates and forecasts*

## UMC: 3Q26 results preview and 4Q26 business outlook

| | 3Q26E | | | 4Q26E | | |
|---|---|---|---|---|---|---|
| TWDm | Daiwa | Consensus | Variance | Daiwa | Consensus | Variance |
| Revenue | 75,612 | 75,517 | 0% | 76,347 | 78,272 | -2% |
| Gross profit | 26,449 | 26,392 | 0% | 26,174 | 27,621 | -5% |
| Operating profit | 18,585 | | | 18,234 | | |
| Pretax profit | 19,485 | | | 19,084 | | |
| Net profit | 16,367 | 17,018 | -4% | 16,031 | 18,371 | -13% |
| Adjusted EPS (TWD) | 1.30 | 1.35 | -4% | 1.27 | 1.46 | -13% |
| **Margin** | | | | | | |
| Gross | 35.0% | 34.9% | | 34.3% | 35.3% | |
| Operating | 24.6% | | | 23.9% | | |
| Net | 21.6% | | | 21.0% | | |
| **Operation** | | | | | | |
| Shipments (12" equ. wafers) ('000 units) | 1,201 | | | 1,213 | | |
| Utilization* | 91% | | | 91% | | |
| <=28nm sales contribution | 40% | | | 40% | | |

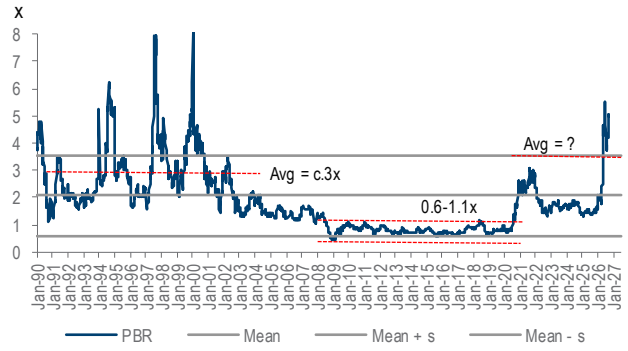
*Source: Bloomberg, Daiwa estimates and forecasts*
*Note: * Calculated as wafer shipment divided installed capacity*

### UMC: 28/22nm-and-below revenue contribution*




*Source: Company, Daiwa estimates and forecasts*
*Note: * Including 14nm FF*

### UMC: PBR trend




*Source: Company, TEJ, Daiwa forecasts*

# ESG analysis

## ESG risks

| Risks | | Management | Analyst comments |
|---|---|---|---|
| G | Executive/board quality | 1 | UMC's Board of Directors consists of nine members whose expertise covers industry, academia, finance, accounting, and management. Among these directors, six are independent directors, representing 67% of total directors in 2024. The percentage of independent directors is high relative to the regulatory requirement of at least 20% or at least 2 independent directors. Although some of UMC's executive management are also directors, UMC's Chairman and President are not the same person. Considering this and its relative-high percentage of independent directors, we believe the board can perform its functionalities well |
| | Capital management | 2 | It kept its dividend payout ratios above 50% in 2017-25, which is at a healthy, sustainable level. Overall, we see the balance between investment and dividend as appropriate. |
| | Related party & transaction | 1 | Sales to related parties were around 1-2% of its total revenue each year. The percentage is insignificant and thus we see limited risk for UMC. |
| S | Supply chain management | 2 | UMC has constructed an evaluation framework for reviewing the sustainable development of its supply chains based on UMC's GG-026-004-C sustainable supply-chain management review guidelines to ensure its suppliers fulfil environmental protection, social responsibility, labour and human rights, safety & health and sustainable development guidelines. We believe these efforts could reduce its supply-chain risk. |
| E | Water & wastewater management | 2 | UMC developed its "Water Management Policy and Commitment" in 2015 to promote more effective utilisation of water resources. In line with this policy, UMC continues to enhance recycling through increased use of reclaimed and desalinated water, ongoing wastewater treatment R&D, and optimised discharge management. In 2024, the company achieved a 30.3% reduction in water withdrawal per unit product, surpassing its 14% goal and meeting its 2030 target ahead of schedule, which demonstrates UMC's strong commitment to water conservation. |
| E | Waste & hazardous materials management | 2 | To achieve the goal of zero pollution, UMC has established a comprehensive new material evaluation process to effectively screen and control new materials introduced into the development of new processes. Through this effort, it can avoid or reduce the use of raw materials and the associated environmental impact. UMC was the first semiconductor manufacturer company in the world to obtain QC-080000 IECQ Hazardous Substance Process Management (HSPM) certification for all its fabs by leading global semiconductor manufacturers in completing the third-party verification and audit of its HSPM system in 2006. |
| E | GHG emissions | 2 | UMC was the first semiconductor company in Taiwan to pass integrated environmental protection, safety and health management system certifications in 2001. UMC has established the UMC Low Carbon Commitment as a guide for future carbon reduction projects. Its GHG emission reduction goals include: 1) to reduce fluorinated greenhouse gas emissions intensity by 65% over 2013-25 vs. 2010, and 2) to reduce electricity consumption intensity by 15% in 10 years over 2016-25 vs. 2015. |

*Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.*

*Update Date: 8 Oct 2026*

*Source: Daiwa, Company*

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|---|---|
| Buy* | 73.96% |
| Hold** | 19.58% |
| Sell*** | 6.46% |

*Source: Daiwa*

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# Vanguard International Semiconductor (5347 TT)

Daiwa Capital Markets Hong Kong Limited

Target price: **TWD210.00**

Share price (7 Oct): **TWD190.00** | Up/downside: **+10.5%**

5 4 3 **2** 1

★ **Outperform** (initiation)

## Initiation: fast ramp to capture the AI ripple effect

- Fully loaded through 2027 on AI scaling and fab optimisation
- Fast expansion to capture a paradigm shift in the foundry sector
- Initiating with an Outperform (2) rating and 12M TP of TWD210

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**Investment case:** We initiate coverage of Vanguard International Semiconductor (VIS), a leading specialty foundry, with an Outperform (2) rating and 12-month TP of TWD210. We expect VIS to enjoy fully loaded operations (in terms of wafer-in) through 2027 with pricing power, thanks to a ripple effect as AI demand scales from compute to power, further augmented by TSMC's fab optimisation. Given VIS's historical ties with TSMC, which have strategically helped it advance its business transformation towards value-added specialty foundry offerings, it looks well positioned to benefit from this multi-year AI scaling, cemented by the fast expansion of its first 12" fab in Singapore to capitalise on what we observe as a paradigm shift in the foundry industry.

**Fully loaded operations on AI ripple effect.** We expect VIS's wafer loadings to approach full levels in terms of wafer-in through 2027, thanks to the AI scaling out and across creating a ripple effect for demand spillover and benefitting specialty foundries. Given its strategic partnership with TSMC, VIS stands to benefit from this multi-year AI build. Despite its pull-in of the 12" ramp, we do not expect such fast expansion to dwarf utilisations since all the planned capacity is sold out, thanks to long-term agreements (LTA) signed with customers amid the supply constraint, which should help VIS manage surging depreciation and minimise margin dilution.

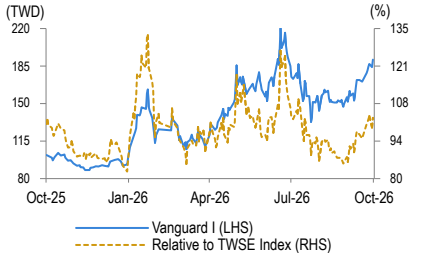
**Fast expansion to capture the paradigm shift.** To capitalise on the likely paradigm shift in the specialty foundry segment, as detailed in the sector section, driven by TSMC's fab optimisation, VIS is pulling its 12" fab construction in Singapore nearly half a year ahead of schedule. VIS aims to start mass production from 1Q27 after hosting an opening ceremony on 28 September. We expect this fab to reach its first-phase designed capacity of 44,000 wafers per month (wpm) by end-2028, with c.30% of it dedicated to TSMC's wafer interposers and the rest for customers' power semiconductor and embedded flash chips, mainly for AI applications. We forecast VIS to enjoy counter-seasonal quarters through 2027, delivering revenue CAGR of c.30% over 2026-28 for an EPS CAGR of 26%.

**Catalysts:** 1) Record-breaking monthly revenue run rates through 2027; 2) upbeat guidance for the coming quarters; and 3) margin resilience to ease investors' concerns about depreciation amid the 12" ramp.

**Valuation:** We derive our 12M TP of TWD210 for VIS by applying our ROE-adjusted PBR target of 5.2x to our one-year-forward BVPS forecast.

**Risks:** 1) Current chip upcycle ends earlier than expected; and 2) the 12" fab ramp/execution turns out below expectation.

### Share price performance




| | |
|---|---|
| 12-month range | 88.00-220.00 |
| Market cap (USDbn) | 11.22 |
| 3m avg daily turnover (USDm) | 104.83 |
| Shares outstanding (m) | 1,878 |
| Major shareholder | TSMC (18.9%) |

### Financial summary (TWD)

| Year to 31 Dec | 26E | 27E | 28E |
|---|---|---|---|
| Revenue (m) | 57,494 | 76,662 | 95,017 |
| Operating profit (m) | 11,742 | 16,893 | 22,282 |
| Net profit (m) | 11,076 | 14,875 | 17,637 |
| Core EPS (fully-diluted) | 5.896 | 7.919 | 9.389 |
| EPS change (%) | 39.2 | 34.3 | 18.6 |
| Daiwa vs Cons. EPS (%) | (1.9) | 5.1 | (2.4) |
| PER (x) | 32.2 | 24.0 | 20.2 |
| Dividend yield (%) | 2.4 | 2.6 | 2.9 |
| DPS | 4.5 | 5.0 | 5.5 |
| PBR (x) | 5.3 | 4.7 | 4.4 |
| EV/EBITDA (x) | 19.0 | 13.1 | 9.7 |
| ROE (%) | 16.8 | 20.8 | 22.6 |

*Source: FactSet, Daiwa forecasts*

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5 4 3 **2** 1

**Outperform**
(initiation)

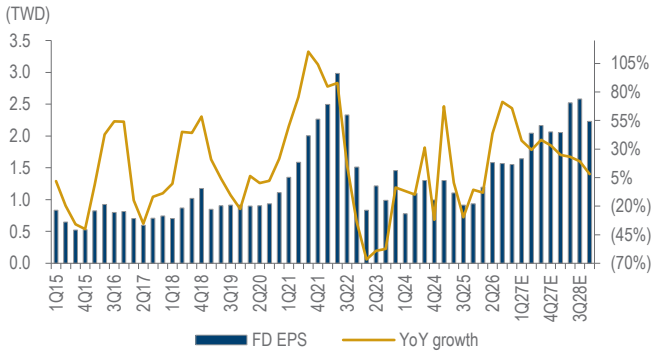
# How do we justify our view?

| Growth outlook | Valuation | Earnings revisions |
|---|---|---|
| ✔ ✔ ✔ ✔ ✔ | ✔ ✔ ✔ ✔ ✔ | ✔ ✔ ✔ ✔ ✔ |

## Growth outlook

VIS's earnings have been volatile due to the cyclical nature of the semiconductor industry in which it operates. That said, barring its hefty growth during 2021-22 as an outlier due to the COVID-inflated chip demand, VIS will enjoy 30-70% YoY EPS growth over 2Q26E-4Q27E, according to our forecasts, with strength similar to that in 2016 and 2018. On an annual EPS basis, we forecast a 30% CAGR over 2025-28.

**VIS: quarterly EPS growth trend**

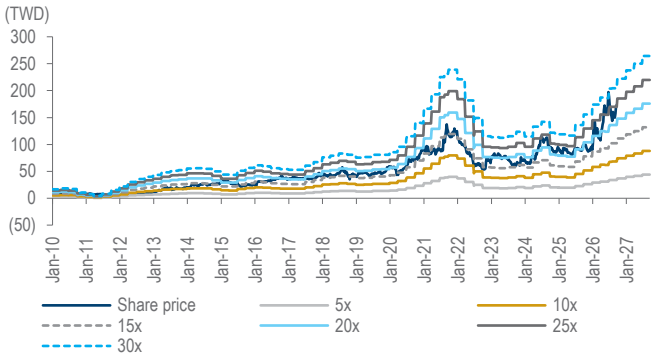



*Source: Company, Daiwa estimates and forecasts*

## Valuation

Trading at 24x on our 4-quarter-forward EPS, the VIS stock is priced at the high end of its post-2009 GFC range of 5-30x, suggesting a not-so-compelling valuation vs. history. Yet, considering our forecast of a robust 30% EPS CAGR over 2025-28, 24x does not look demanding from a PEG point of view. Valued by our ROE-adjusted PBR target of 5.2x, our 12M TP of TWD210 for VIS translates into a 26x 4-quarter forward PER, which looks reasonable in combination of both PBR and PER methodologies.

**VIS: 4-quarter-forward PER bands**

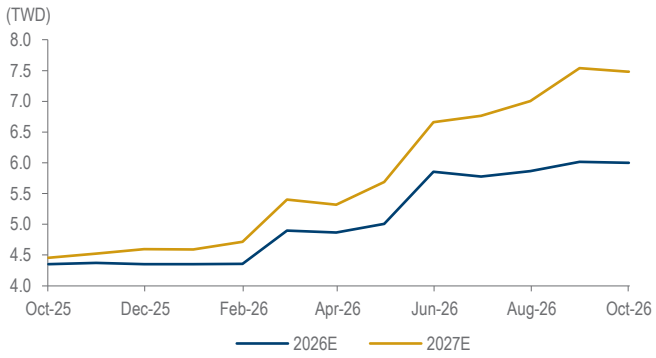



*Source: Company, TEJ, Daiwa estimates and forecasts*

## Earnings revision

Bloomberg consensus 2026-27 EPS forecasts for VIS have been trending up since February 2026, indicating positive investor sentiment. Our 2027E EPS is 5% above consensus, implying room for further upward revisions from the market to act as an upside catalyst for the stock, in our opinion.

**VIS: consensus EPS forecast revisions**




*Source: Bloomberg*

## Financial summary

### Key assumptions

| Year to 31 Dec | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|
| Capacity utilization (%) | 101 | 83 | 59 | 66 | 76 | 85 | 95 | 97 |
| Blended ASP (USD) | 543 | 670 | 629 | 624 | 616 | 637 | 686 | 723 |
| Wafer shipment (8" equ., '000) | 2,901 | 2,605 | 1,952 | 2,194 | 2,533 | 2,838 | 3,492 | 4,109 |

### Profit and loss (TWDm)

| Year to 31 Dec | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|
| Wafer Foundry Revenue | 43,952 | 51,694 | 38,273 | 44,056 | 48,591 | 57,495 | 76,662 | 95,017 |
| Sub & Other Revenue | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| Other Revenue | (1) | 1 | (0) | (1) | 0 | (0) | 0 | 0 |
| **Total Revenue** | **43,951** | **51,694** | **38,273** | **44,055** | **48,591** | **57,494** | **76,662** | **95,017** |
| Other income | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| COGS | (24,799) | (27,771) | (27,827) | (32,122) | (34,937) | (38,893) | (51,107) | (62,341) |
| SG&A | (2,899) | (3,375) | (2,521) | (2,740) | (3,691) | (4,164) | (5,197) | (6,170) |
| Other op.expenses | (2,151) | (2,742) | (2,151) | (2,081) | (2,190) | (2,696) | (3,466) | (4,224) |
| **Operating profit** | **14,102** | **17,807** | **5,774** | **7,111** | **7,773** | **11,742** | **16,893** | **22,282** |
| Net-interest inc./(exp.) | 159 | 588 | 1,536 | 1,754 | 1,554 | 900 | 295 | 445 |
| Assoc/forex/extraord./others | 28 | 457 | 1,524 | (113) | (76) | 206 | 28 | 31 |
| **Pre-tax profit** | **14,290** | **18,851** | **8,834** | **8,752** | **9,251** | **12,848** | **17,216** | **22,758** |
| Tax | (2,470) | (3,571) | (1,464) | (1,705) | (1,480) | (2,112) | (2,909) | (3,669) |
| Min. int./pref. div./others | 0 | 0 | 0 | 0 | 137 | 341 | 568 | (1,452) |
| **Net profit (reported)** | **11,820** | **15,280** | **7,370** | **7,047** | **7,908** | **11,076** | **14,875** | **17,637** |
| **Net profit (adjusted)** | **11,820** | **15,280** | **7,370** | **7,047** | **7,908** | **11,076** | **14,875** | **17,637** |
| **EPS (reported)(TWD)** | **7.212** | **9.323** | **4.497** | **4.209** | **4.300** | **5.897** | **7.919** | **9.390** |
| **EPS (adjusted)(TWD)** | **7.212** | **9.323** | **4.497** | **4.209** | **4.300** | **5.897** | **7.919** | **9.390** |
| **EPS (adjusted fully-diluted)(TWD)** | **7.212** | **9.323** | **4.497** | **3.795** | **4.235** | **5.896** | **7.919** | **9.389** |
| **DPS (TWD)** | **3.500** | **4.500** | **4.500** | **4.405** | **4.568** | **4.500** | **5.000** | **5.510** |
| **EBIT** | **14,102** | **17,807** | **5,774** | **7,111** | **7,773** | **11,742** | **16,893** | **22,282** |
| **EBITDA** | **18,086** | **23,349** | **13,626** | **15,733** | **16,325** | **21,006** | **31,121** | **41,235** |

### Cash flow (TWDm)

| Year to 31 Dec | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|
| Profit before tax | 14,290 | 18,851 | 8,834 | 8,752 | 9,251 | 12,848 | 17,216 | 22,758 |
| Depreciation and amortisation | 3,984 | 5,542 | 7,852 | 8,622 | 8,552 | 9,264 | 14,228 | 18,953 |
| Tax paid | (2,470) | (3,571) | (1,464) | (1,705) | (1,480) | (2,112) | (2,909) | (3,669) |
| Change in working capital | (4,449) | 2,285 | (1,385) | (1,958) | (2,465) | (2,250) | (5,500) | (1,300) |
| Other operational CF items | 9,883 | 10,819 | (5,205) | 11,020 | 11,581 | 9,341 | 5,568 | 3,548 |
| **Cash flow from operations** | **21,237** | **33,927** | **8,632** | **24,731** | **25,439** | **27,091** | **28,603** | **40,290** |
| Capex | (13,280) | (18,723) | (6,779) | (15,922) | (63,265) | (65,177) | (33,920) | (17,920) |
| Net (acquisitions)/disposals | (113) | (4,709) | (1,626) | 4,357 | 1,183 | 82 | 0 | 0 |
| Other investing CF items | (28) | (771) | 46 | (133) | 2,372 | 0 | 0 | 0 |
| **Cash flow from investing** | **(13,420)** | **(24,204)** | **(8,360)** | **(11,699)** | **(59,711)** | **(65,095)** | **(33,920)** | **(17,920)** |
| Change in debt | 2,718 | 6,991 | 5,993 | 2,996 | 7,519 | 5,961 | 2,982 | (5,155) |
| Net share issues/(repurchases) | 0 | 0 | 0 | 17,593 | 0 | 0 | 0 | 0 |
| Dividends paid | (5,736) | (7,375) | (7,375) | (7,375) | (8,400) | (8,453) | (9,393) | (10,351) |
| Other financing CF items | 2,232 | 4,557 | 24 | 4,316 | 14,341 | 17,598 | 10,176 | 0 |
| **Cash flow from financing** | **(786)** | **4,173** | **(1,359)** | **17,530** | **13,460** | **15,106** | **3,766** | **(15,506)** |
| Forex effect/others | (63) | 575 | 72 | 291 | (249) | 0 | 0 | 0 |
| **Change in cash** | **6,968** | **14,471** | **(1,015)** | **30,853** | **(21,060)** | **(22,899)** | **(1,551)** | **6,864** |
| Free cash flow | 7,958 | 15,203 | 1,852 | 8,809 | (37,826) | (38,086) | (5,317) | 22,370 |

*Source: FactSet, Daiwa forecasts*

## Financial summary continued …

### Balance sheet (TWDm)

| Year to 31 Dec | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|
| Cash & short-term investment | 20,173 | 34,843 | 38,050 | 66,749 | 41,716 | 18,736 | 17,185 | 24,049 |
| Inventory | 4,030 | 5,880 | 5,672 | 6,221 | 6,937 | 6,937 | 10,437 | 9,937 |
| Accounts receivable | 9,452 | 4,962 | 5,523 | 6,235 | 6,748 | 8,948 | 11,948 | 13,948 |
| Other current assets | 533 | 570 | 834 | 7,007 | 11,496 | 10,000 | 10,000 | 11,000 |
| **Total current assets** | **34,188** | **46,255** | **50,079** | **86,211** | **66,897** | **44,621** | **49,570** | **58,934** |
| Fixed assets | 23,541 | 38,504 | 36,604 | 44,141 | 113,869 | 156,754 | 166,580 | 157,390 |
| Goodwill & intangibles | 3,361 | 6,382 | 6,771 | 10,905 | 10,282 | 7,000 | 7,500 | 8,000 |
| Other non-current assets | 4,458 | 9,798 | 8,997 | 7,448 | 9,420 | 9,420 | 9,420 | 9,420 |
| **Total assets** | **65,548** | **100,940** | **102,450** | **148,706** | **200,469** | **217,795** | **233,070** | **233,744** |
| Short-term debt | 0 | 0 | 0 | 0 | 10,520 | 9,039 | 17,176 | 16,042 |
| Accounts payable | 1,437 | 1,376 | 972 | 1,416 | 1,724 | 1,674 | 2,674 | 2,874 |
| Other current liabilities | 13,539 | 19,717 | 19,135 | 19,959 | 39,361 | 37,828 | 36,619 | 31,986 |
| **Total current liabilities** | **14,976** | **21,093** | **20,107** | **21,375** | **51,604** | **48,541** | **56,469** | **50,902** |
| Long-term debt | 4,993 | 11,987 | 17,983 | 20,984 | 15,990 | 23,432 | 18,277 | 14,256 |
| Other non-current liabilities | 10,413 | 22,509 | 18,646 | 37,679 | 49,285 | 49,285 | 49,285 | 49,285 |
| **Total liabilities** | **30,382** | **55,589** | **56,737** | **80,039** | **116,879** | **121,258** | **124,031** | **114,443** |
| Share capital | 16,390 | 16,390 | 16,390 | 18,666 | 18,671 | 18,783 | 18,783 | 18,783 |
| Reserves/R.E./others | 18,776 | 28,961 | 29,323 | 45,438 | 45,206 | 49,042 | 56,544 | 61,806 |
| **Shareholders' equity** | **35,165** | **45,351** | **45,713** | **64,104** | **63,877** | **67,825** | **75,327** | **80,589** |
| Minority interests | 0 | 0 | 0 | 4,563 | 19,713 | 28,713 | 33,713 | 38,713 |
| **Total equity & liabilities** | **65,548** | **100,940** | **102,450** | **148,706** | **200,469** | **217,795** | **233,070** | **233,744** |
| EV | 341,705 | 334,029 | 336,818 | 315,682 | 361,390 | 399,332 | 408,866 | 401,846 |
| **Net debt/(cash)** | **(15,180)** | **(22,855)** | **(20,066)** | **(45,765)** | **(15,207)** | **13,735** | **18,268** | **6,249** |
| **BVPS (TWD)** | **21.456** | **27.670** | **27.891** | **34.342** | **34.212** | **36.109** | **40.103** | **42.904** |

### Key ratios (%)

| Year to 31 Dec | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|
| Sales (YoY) | 32.7 | 17.6 | (26.0) | 15.1 | 10.3 | 18.3 | 33.3 | 23.9 |
| EBITDA (YoY) | 65.7 | 29.1 | (41.6) | 15.5 | 3.8 | 28.7 | 48.2 | 32.5 |
| Operating profit (YoY) | 90.1 | 26.3 | (67.6) | 23.2 | 9.3 | 51.1 | 43.9 | 31.9 |
| Net profit (YoY) | 87.4 | 29.3 | (51.8) | (4.4) | 12.2 | 40.1 | 34.3 | 18.6 |
| Core EPS (fully-diluted) (YoY) | 87.4 | 29.3 | (51.8) | (15.6) | 11.6 | 39.2 | 34.3 | 18.6 |
| Gross-profit margin | 43.6 | 46.3 | 27.3 | 27.1 | 28.1 | 32.4 | 33.3 | 34.4 |
| EBITDA margin | 41.2 | 45.2 | 35.6 | 35.7 | 33.6 | 36.5 | 40.6 | 43.4 |
| Operating-profit margin | 32.1 | 34.4 | 15.1 | 16.1 | 16.0 | 20.4 | 22.0 | 23.5 |
| Net profit margin | 26.9 | 29.6 | 19.3 | 16.0 | 16.3 | 19.3 | 19.4 | 18.6 |
| ROAE | 36.5 | 38.0 | 16.2 | 12.8 | 12.4 | 16.8 | 20.8 | 22.6 |
| ROAA | 21.6 | 18.4 | 7.2 | 5.6 | 4.5 | 5.3 | 6.6 | 7.6 |
| ROCE | 39.2 | 36.5 | 9.5 | 9.3 | 7.8 | 9.8 | 12.4 | 15.2 |
| ROIC | 60.1 | 68.0 | 20.0 | 23.6 | 14.3 | 11.0 | 11.8 | 14.8 |
| Net debt to equity | n.a. | n.a. | n.a. | n.a. | n.a. | 20.3 | 24.3 | 7.8 |
| Effective tax rate | 17.3 | 18.9 | 16.6 | 19.5 | 16.0 | 16.4 | 16.9 | 16.1 |
| Accounts receivable (days) | 63.1 | 50.9 | 50.0 | 48.7 | 48.8 | 49.8 | 49.7 | 49.7 |
| Current ratio (x) | 2.3 | 2.2 | 2.5 | 4.0 | 1.3 | 0.9 | 0.9 | 1.2 |
| Net interest cover (x) | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. |
| Net dividend payout | 91.0 | 62.4 | 48.3 | 100.1 | 119.2 | 106.9 | 84.8 | 69.6 |
| Free cash flow yield | 2.2 | 4.3 | 0.5 | 2.5 | n.a. | n.a. | n.a. | 6.3 |

*Source: FactSet, Daiwa forecasts*

## Company profile

Founded in December 1994 and listed in March 1998, Vanguard International Semiconductor Corp. (VIS) successfully transformed its business model from memory to a complementary metal-oxide-semiconductor (CMOS) logic foundry focused on specialty technologies such as mixed-signal, power analog and embedded memory, becoming one of the world's leading specialty foundries. Leveraging its strategic relationship with major shareholder TSMC, VIS operates wafer fabs in Taiwan and Singapore, serving a wide variety of customers, including fabless chipmakers and IDMs globally.

# Fast ramp to capture AI ripple effect

**Initiating on VIS with an Outperform (2) rating and 12M TP of TWD210**

We initiate coverage of VIS with an Outperform (2) rating and 12M TP of TWD210. Founded in December 1994, headquartered in Hsinchu Science Park and listed in March 1998 (see Appendix 1 for more details on the company), VIS looks set to enjoy fully loaded operations (in terms of wafer-in) through 2027, with sustained pricing power, thanks to the ripple effect of AI demand scaling from compute to connectivity and power, further augmented by TSMC's fab optimisation.

Given its longstanding ties with TSMC, which currently holds a c.19% stake in VIS and has strategically helped it advance its business transformation by moving up value verticals of specialty-foundry offerings to differentiate itself in the competitive specialty foundry market, VIS looks set to benefit from this multi-year AI scaling, among peers. The fast expansion of its first 12" fab in Singapore should help cement the AI business and capitalise on what we observe as a paradigm shift in the foundry industry, as mentioned in the main section of this report.

## Fully loaded operations on AI ripple effect

**Despite suffering from the post-COVID inventory correction …**

Like many other semiconductor foundries, VIS enjoyed unusual pricing power during the COVID period as the virus, together with geopolitical tensions between China and the US, inflated chip demand across virtually all product applications to an unprecedented level. Consequently, the industry suffered from an unprecedented 2-year downturn on a prolonged inventory correction, if excluding the AI build that has helped rescue the advanced foundry segment, save the village (ie, the chip industry) and bring the global chip cycle back on its historical track of an average of a one-year downturn. This downturn caused choppy operations for many second-tier foundries which focused initially on the non-AI space over 2022-25, including VIS (see our series of Technology Outlook reports: 2023: *V-shape, U-shape or double dip?*, 2024: *The dragon is ready to soar,* 2025: *likely longer and stronger*).

**… VIS has benefitted from AI scaling and is further …**

Starting from 2H25, after the AI builds scaled out and across from compute into memory to connectivity and power, creating a ripple effect in demand that benefits not only advanced but also specialty foundries, we expect VIS's wafer loadings to approach full levels through 2027 (in terms of wafer-in), despite its fast 12" expansion. With its parent company TSMC's strategic partnership, VIS stands at a strong position to benefit from this multi-year AI scaling, in our view. To maximise the AI business potential, VIS is accelerating its first 12" fab in Singapore via a JV named VisionPower Semiconductor Manufacturing Corp (VSMC), with phase-one investment of USD6.8bn where, in terms of registered capital of USD4bn, VIS assumes USD2.4bn for a 60% stake, while NXP assumes USD1.6bn for a 40% stake.

In terms of the total investment on a cash basis, VIS will chip in only USD1.0bn, with USD2.8bn coming from NXP and USD1.1bn from TSMC with some equipment consignment, while the rest will come from other customer prepayments, loans and a subsidy from the Singapore government. Upon VSMC's completion, this will bring VIS a total of 6 fabs, with combined capacity reaching up to c.380,000 8"-equivalent wafers per month (wpm) by end-2028, based on our forecasts (see table on next page for details of our key business assumptions).

**VIS: key business assumptions and cost analysis**

| ('000 wpm*) | 1Q26 | 2Q26 | 3Q26E | 4Q26E | 1Q27E | 2Q27E | 3Q27E | 4Q27E | 1Q28E | 2Q28E | 3Q28E | 4Q28E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Capacity** | | | | | | | | | | | | |
| Fab 1 (8") | 77 | 80 | 80 | 80 | 78 | 80 | 80 | 80 | 78 | 80 | 80 | 80 |
| Fab 2 (8") | 67 | 70 | 70 | 70 | 68 | 70 | 70 | 70 | 68 | 70 | 70 | 70 |
| Fab 3 (8") | 48 | 50 | 50 | 50 | 48 | 50 | 50 | 50 | 48 | 50 | 50 | 50 |
| Fab VS1 (8") | 38 | 40 | 40 | 40 | 39 | 40 | 40 | 40 | 39 | 40 | 40 | 40 |
| Fab 5 (8") | 38 | 40 | 40 | 40 | 39 | 40 | 40 | 40 | 39 | 40 | 40 | 40 |
| Fab VSMC (12") | 0 | 0 | 0 | 0 | 2 | 10 | 18 | 20 | 22 | 30 | 40 | 44 |
| Total capacity (8" equ) | 268 | 280 | 280 | 280 | 278 | 303 | 320 | 325 | 322 | 348 | 369 | 379 |
| **Shipment** | | | | | | | | | | | | |
| Quarterly shipment (8" equ) | 642 | 713 | 734 | 749 | 757 | 855 | 940 | 940 | 931 | 1,043 | 1,095 | 1,040 |
| Capacity utilisation** | 80% | 85% | 87% | 89% | 91% | 94% | 98% | 96% | 96% | 100% | 99% | 91% |
| Blended ASP (USD) | 618 | 632 | 645 | 649 | 650 | 685 | 697 | 704 | 704 | 719 | 739 | 726 |
| **Revenue** | | | | | | | | | | | | |
| Revenue (USDm) | 397 | 451 | 474 | 486 | 492 | 586 | 656 | 662 | 655 | 750 | 809 | 755 |
| Revenue (TWDm) | 12,532 | 14,245 | 15,160 | 15,558 | 15,737 | 18,753 | 20,983 | 21,189 | 20,975 | 24,003 | 25,876 | 24,164 |
| Mix by node | | | | | | | | | | | | |
| 0.5u+ | 12% | 12% | 12% | 12% | 12% | 11% | 11% | 11% | 11% | 11% | 10% | 10% |
| 0.35u | 13% | 12% | 12% | 12% | 12% | 11% | 11% | 10% | 11% | 10% | 9% | 9% |
| 0.25u | 15% | 16% | 16% | 16% | 16% | 14% | 12% | 12% | 12% | 11% | 10% | 10% |
| 0.18/0.15u | 15% | 15% | 15% | 15% | 15% | 14% | 13% | 12% | 12% | 11% | 10% | 10% |
| 0.13/0.11u | 45% | 46% | 45% | 44% | 45% | 41% | 38% | 37% | 36% | 33% | 30% | 30% |
| <=90nm | 0% | 0% | 0% | 0% | 0% | 9% | 15% | 18% | 18% | 25% | 32% | 32% |
| **Cost structure** | | | | | | | | | | | | |
| Direct materials | 1,724 | 1,916 | 1,998 | 2,037 | 2,058 | 2,325 | 2,558 | 2,558 | 2,532 | 2,836 | 2,978 | 2,829 |
| Direct labour | 1,136 | 1,240 | 1,293 | 1,318 | 1,332 | 1,505 | 1,655 | 1,655 | 1,639 | 1,835 | 1,927 | 1,831 |
| Depreciation & amortisation | 2,192 | 2,227 | 2,340 | 2,505 | 2,600 | 3,300 | 4,000 | 4,328 | 4,400 | 4,600 | 5,000 | 4,953 |
| Other overheads | 3,810 | 4,258 | 4,418 | 4,482 | 4,600 | 5,198 | 5,718 | 5,718 | 5,661 | 6,340 | 6,657 | 6,324 |
| Total COGS (TWDm) | 8,861 | 9,640 | 10,048 | 10,344 | 10,589 | 12,328 | 13,931 | 14,259 | 14,231 | 15,611 | 16,562 | 15,937 |
| Mix by element | | | | | | | | | | | | |
| Direct materials | 19% | 20% | 20% | 20% | 19% | 19% | 18% | 18% | 18% | 18% | 18% | 18% |
| Direct labour | 13% | 13% | 13% | 13% | 13% | 12% | 12% | 12% | 12% | 12% | 12% | 11% |
| Depreciation & amortisation | 25% | 23% | 23% | 24% | 25% | 27% | 29% | 30% | 31% | 29% | 30% | 31% |
| Other overheads | 43% | 44% | 44% | 43% | 43% | 42% | 41% | 40% | 40% | 41% | 40% | 40% |
| Gross profit (TWDm) | 3,671 | 4,604 | 5,112 | 5,214 | 5,148 | 6,425 | 7,052 | 6,930 | 6,743 | 8,391 | 9,314 | 8,227 |
| Gross margin | 29% | 32% | 34% | 34% | 33% | 34% | 34% | 33% | 32% | 35% | 36% | 34% |

*Source: Company, Daiwa estimates and forecasts*
*Note: * wpm = wafers per month on average; ** based on shipment divided by installed capacity, not wafer-in*

## Fast expansion to capture the paradigm shift

**… speeding up its 12" expansion to maximise the AI potential**

On top of the AI scaling creating a ripple effect for demand spillover, such strength looks to be further augmented by TSMC's fab optimisation, as assessed in the main section of this report. To capitalise on the likely paradigm shift in the specialty foundry segment by TSMC's fab optimisation, VIS is pulling in its first 12" fab construction around half a year ahead of schedule, aiming to start mass production from 1Q27 after it hosted an opening ceremony on 28 September.

Registered under VSMC, we expect this fab to reach its first-phase designed capacity of 44,000 wpm by end-2028, subject to market dynamics. c.30% of the fab's capacity will be dedicated to TSMC's wafer production of silicon interposers handling chip-on-wafer-on-substrate (CoWoS) advanced packaging, which has seen meaningful supply constraint due to strong AI high-performance compute (HPC) demand. The rest of the capacity is for other customers' power semiconductors (such as mixed-signal, analog and PMIC) and embedded flash, focusing on AI scaling and automotive and industrial (A&I) applications.

**VIS could speed up phase-two 12" expansion under TSMC's continued effort of fab optimisation**

Despite the 12" expansion pull-in, we do not expect the ramp to dwarf capacity utilisations since all the planned capacity is already sold out, thanks to the long-term agreements (LTA) signed with customers amid the supply constraints, which should help VIS manage surging depreciation and minimise margin dilution for financial resilience. Although this 12" fab has little to do with TSMC's 28/22/20nm fab optimisation addressed in the main section, since it covers only process nodes ranging from 0.13u to 40nm and thus enjoys only the 65/55nm wafer interposer spillover from TSMC, on our market research, we see possibilities for TSMC to shut down more legacy 12" fabs in the future. We believe this may incentivise VIS to speed up its second 12" fab construction in Singapore, namely the phase-two, or VSMC Fab 2, for 40,000-50,000 wpm capacity beyond 2028 and is scalable to 28nm-and-below and even the finFET (FF) process nodes.

## Financial forecasts

In the near term, we expect VIS to enjoy counter-seasonal quarters through 2027, thanks to the ripple effect of AI scaling on wafer loadings and pricing power. We estimate that VIS earned 3Q26 EPS of TWD1.57, in line with the Bloomberg consensus estimate. For 4Q26, we are behind consensus since 1) we expect a diminished effect of price hikes after our estimated 2-3% QoQ EPS increases in 3Q26; and 2) we do not expect the 12" contribution to ramp that soon. In the long term, we forecast VIS to deliver a revenue CAGR of nearly 30% over 2026-28 for an EPS CAGR of 26%.

### Revenue and customers

**77% of revenue was from PMIC in 2Q26, with customers across Taiwan, China, Japan, Europe, and the US**

As of 2Q26, power management IC (PMIC) accounted for the majority of revenue (77%; see chart on next page), on a rising trend from 40% a decade ago thanks to the co-efforts between VIS and TSMC strategically transforming the former's business up the value verticals from logic commodity display drivers (D/D) for consumer electronics devices to power discrete, analog, and PMIC for not only consumer but A&I applications. Riding on the escalating trend of demand for advanced high-V PMIC accommodating AI servers and power infrastructure under the AI cycle, we expect the PMIC revenue contribution to rise further over our forecast period, while the D/D contribution will drop to c.10%-plus for base-line customer demand support.

As of 2Q26, VIS found 16%, 16%, and 46% of revenue from major process nodes of 0.25u, 0.18u, and 0.13u-and-below, respectively, on our estimates. Since the VSMC fab will focus on 0.13u all the way to 40nm, and TSMC's wafer interposers will take c.30% of the capacity ramp on our estimates focusing on 65/55nm, we expect the 0.13u-and-below to increase to more than 60% of revenue over our forecast period. Both the PMIC and node advances should be blended ASP and margin accretive, helping mitigate the depreciation burden associated with the VSMC fab ramp. Illustrated in a chart on the next page, we expect VIS's blended ASP to trend upward from c.USD630 in 2Q26, rising by 1-5% QoQ through our forecast period to exceed USD700 by 2028.

**High variety of customer base across D/D and PMIC**

VIS services a high variety of customers around the world, including most fabless chipmakers in Taiwan and mainland China focusing on the D/D, power MOSFET and PMIC, and most integrated device manufacturers (IDM) across Japan, Europe and the US focusing on power semiconductor foundry works.

**VIS: 3Q26 results preview and 4Q26 business outlook**

| | | | 3Q26E | | | 4Q26E |
|---|---|---|---|---|---|---|
| (in TWDm) | Daiwa | Consensus | Variance | Daiwa | Consensus | Variance |
| Revenue | 15,160 | 15,369 | -1% | 15,558 | 16,302 | -5% |
| Gross profit | 5,112 | | | 5,214 | | |
| Operating profit | 3,369 | | | 3,386 | | |
| Pretax profit | 3,569 | | | 3,529 | | |
| Net profit | 2,944 | 2,983 | -1% | 2,911 | 3,255 | -11% |
| Adjusted EPS (TWD) | 1.57 | 1.59 | -1% | 1.55 | 1.73 | -11% |
| **Margins** | | | | | | |
| Gross | 33.7% | | | 33.5% | | |
| Operating | 22.2% | | | 21.8% | | |
| Net | 19.4% | | | 18.7% | | |
| **Operation** | | | | | | |
| Shipment (12" equ. wafers) ('000 units) | 734 | | | 749 | | |
| Utilisation* | 87% | | | 89% | | |
| <=0.13u sales contribution | 45% | | | 44% | | |

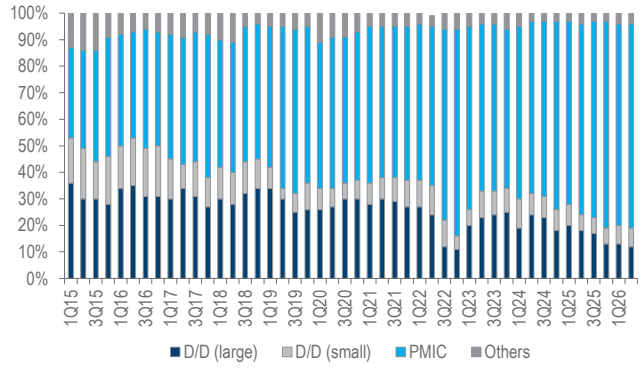
*Source: Bloomberg, Daiwa estimates and forecasts*
*Note: * Calculated as wafer shipment divided by capacity*

## VIS: key operating assumptions, quarterly P&L estimates and forecasts

| TWDm | 1Q26 | 2Q26 | 3Q26E | 4Q26E | 1Q27E | 2Q27E | 3Q27E | 4Q27E | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Wafer shipment (8" equ) ('000 units) | 642 | 713 | 734 | 749 | 757 | 855 | 940 | 940 | 2,533 | 2,838 | 3,492 | 4,109 |
| Capacity utilisation | 80% | 85% | 87% | 89% | 91% | 94% | 98% | 96% | 76% | 85% | 95% | 97% |
| Blended ASP (USD) | 618 | 632 | 645 | 649 | 650 | 685 | 697 | 704 | 616 | 637 | 686 | 723 |
| Foundry revenue (USDm) | 397 | 451 | 474 | 486 | 492 | 586 | 656 | 662 | 1,560 | 1,807 | 2,396 | 2,969 |
| **Total revenue** | **12,532** | **14,245** | **15,160** | **15,558** | **15,737** | **18,753** | **20,983** | **21,189** | **48,591** | **57,494** | **76,662** | **95,017** |
| COGS | -8,861 | -9,640 | -10,048 | -10,344 | -10,589 | -12,328 | -13,931 | -14,259 | -34,937 | -38,893 | -51,107 | -62,341 |
| Gross profit | 3,671 | 4,604 | 5,112 | 5,214 | 5,148 | 6,425 | 7,052 | 6,930 | 13,654 | 18,602 | 25,555 | 32,676 |
| Opex | -1,584 | -1,704 | -1,743 | -1,828 | -1,857 | -2,082 | -2,329 | -2,394 | -5,880 | -6,859 | -8,662 | -10,394 |
| Operating profit | 2,087 | 2,901 | 3,369 | 3,386 | 3,291 | 4,343 | 4,723 | 4,536 | 7,773 | 11,742 | 16,893 | 22,282 |
| EBITDA | 4,278 | 5,128 | 5,709 | 5,891 | 5,891 | 7,643 | 8,723 | 8,864 | 16,325 | 21,006 | 31,121 | 41,235 |
| Non-op gain/loss | 350 | 412 | 200 | 143 | 120 | 118 | 30 | 35 | 1,477 | 1,106 | 303 | 521 |
| Pretax profit | 2,437 | 3,313 | 3,569 | 3,529 | 3,411 | 4,461 | 4,753 | 4,571 | 9,251 | 12,848 | 17,196 | 22,803 |
| Income taxes & MI | -190 | -339 | -625 | -618 | -324 | -618 | -686 | -692 | -1,343 | -1,771 | -2,320 | -5,167 |
| Net profit | 2,246 | 2,975 | 2,944 | 2,911 | 3,087 | 3,843 | 4,067 | 3,879 | 7,908 | 11,076 | 14,876 | 17,636 |
| FD O/S (m) | 1,880 | 1,879 | 1,879 | 1,879 | 1,879 | 1,879 | 1,879 | 1,879 | 1,867 | 1,879 | 1,879 | 1,879 |
| **FD EPS (TWD)** | **1.19** | **1.58** | **1.57** | **1.55** | **1.64** | **2.05** | **2.16** | **2.06** | **4.24** | **5.90** | **7.92** | **9.39** |
| **Margins** | | | | | | | | | | | | |
| Gross | 29% | 32% | 34% | 34% | 33% | 34% | 34% | 33% | 28% | 32% | 33% | 34% |
| Operating | 17% | 20% | 22% | 22% | 21% | 23% | 23% | 21% | 16% | 20% | 22% | 23% |
| EBITDA | 34% | 36% | 38% | 38% | 37% | 41% | 42% | 42% | 34% | 37% | 41% | 43% |
| Net | 18% | 21% | 19% | 19% | 20% | 20% | 19% | 18% | 16% | 19% | 19% | 19% |
| **Growth (QoQ)** | | | | | | | | | | | | |
| Total revenue | 0% | 14% | 6% | 3% | 1% | 19% | 12% | 1% | | | | |
| Gross profit | 6% | 25% | 11% | 2% | -1% | 25% | 10% | -2% | | | | |
| Operating profit | 15% | 39% | 16% | 1% | -3% | 32% | 9% | -4% | | | | |
| EBITDA | 6% | 20% | 11% | 3% | 0% | 30% | 14% | 2% | | | | |
| Net profit | 29% | 32% | -1% | -1% | 6% | 24% | 6% | -5% | | | | |
| FD EPS | 28% | 33% | -1% | -1% | 6% | 24% | 6% | -5% | | | | |
| **Growth (YoY)** | | | | | | | | | | | | |
| Total revenue | 5% | 22% | 23% | 24% | 26% | 32% | 38% | 36% | 10% | 18% | 33% | 24% |
| Gross profit | 2% | 40% | 54% | 50% | 40% | 40% | 38% | 33% | 14% | 36% | 37% | 28% |
| Operating profit | -7% | 53% | 84% | 87% | 58% | 50% | 40% | 34% | 9% | 51% | 44% | 32% |
| EBITDA | 0% | 29% | 41% | 46% | 38% | 49% | 53% | 50% | 4% | 29% | 48% | 32% |
| Net profit | -7% | 46% | 73% | 67% | 37% | 29% | 38% | 33% | 12% | 40% | 34% | 19% |
| FD EPS | -8% | 44% | 71% | 66% | 38% | 29% | 38% | 33% | 12% | 39% | 34% | 19% |

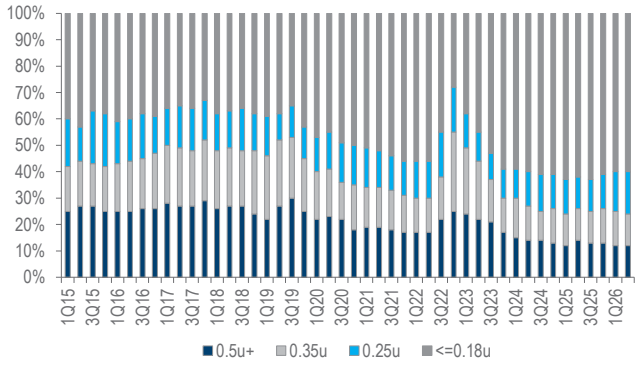
*Source: Company, Daiwa estimates and forecasts*

## VIS: revenue mix by product*



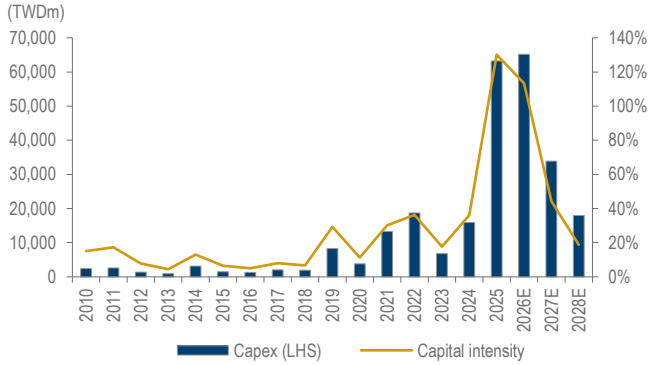

*Source: Company*
*Note: * D/D = display driver, PMIC = power management IC, others include LED driver, embedded memory, CMOS image sensor, etc.*

## VIS: revenue mix by process node*



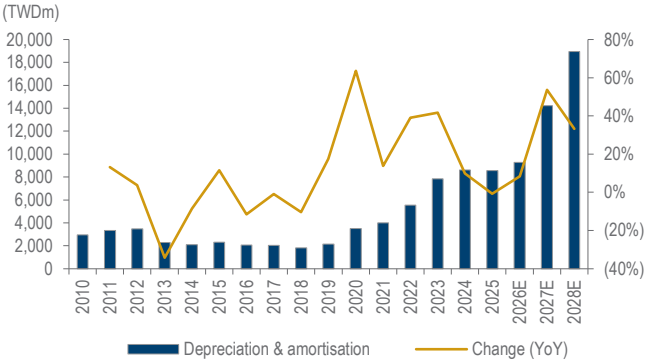

*Source: Company*
*Note: * <=0.18u including 0.18u, 0.15u, 0.13u and 0.11u*

## VIS: capex and capital intensity trend*




*Source: Company, Daiwa forecasts*
*Note: * Capital intensity = capex divided by revenue*

## VIS: depreciation and amortisation trend




*Source: Company, Daiwa forecasts*

## Cost analysis

**We forecast GM to stall at 32-34% over 2Q26-1Q28 and then pick up afterwards**

Over the past decades, VIS's cost structure has fluctuated in fixed overheads (mainly D&A) from time to time, depending on its fab acquisitions, varying from 10% to 30% of COGS (refer back to the key assumption table). Given VSMC is about to ramp in production with a total capex of USD6.8bn for phase one, or roughly 2x VIS's 2025-26E aggregate revenue, we expect the D&A portion to return to the 30% level over our forecast period, acting as a margin dilutor. Yet with VIS's capex budget of TWD60-70bn (c.USD2bn) this year, we expect the capex to largely subside from 2027 for the depreciation cycle to peak in 2029. As a result, we forecast its D&A in absolute terms to rise by 54% YoY in 2027 to TWD14bn and 33% YoY in 2028 to nearly TWD19bn, with gross margin (GM) stalling at 32-34% over 2Q26-1Q28, then picking up to 35% or higher in 2H28 and likely rising further after the depreciation comes off the cycle into 2029.

## Minority interest

**We forecast MI expense to begin to dilute parent income from 2Q28**

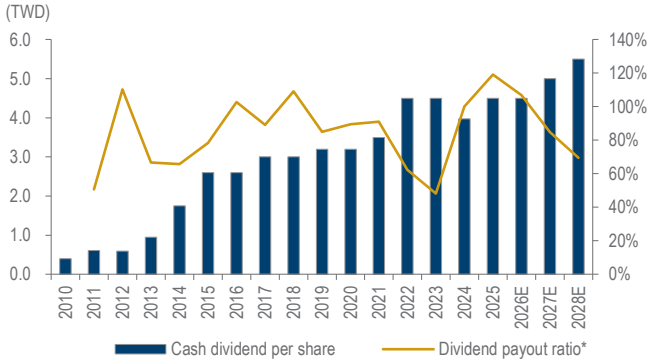
Minority interest (MI), or non-controlling interest as stated by VIS, kicked in from 1Q25 and rose to 2.4% of pretax income in 2Q26 due to preparation for the VSMC investment. We forecast the MI to rise to TWD341m this year (TWD137m in 2025), TWD568m in 2027 and TWD1.45bn in 2028, mainly from the 40% MI owned by NXP as VIS ramps the 12" fab investment in Singapore. As illustrated in a table below, we forecast VSMC to record revenue of nearly TWD9bn in 2027 and TWD26bn in 2028 for operating loss of TWD1.4bn and operating profit of TWD3.6bn, respectively, on the basis of a standalone operating entity.

## Dividend policy

**We expect c.80% payout ratio subject to capex requirement**

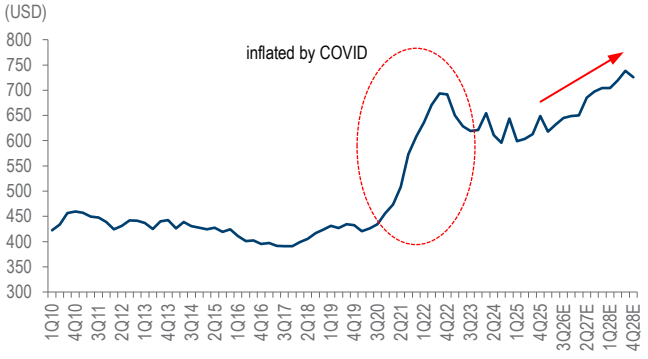
Over the past decade, VIS has stepped up its dividend payout ratios from 50% in 2011 to more than 100% this year. We expect the company to keep the ratios at c.80% over our forecast period, subject to the AI development which should determine the capex requirement for the VSMC investment, affecting its FCF generating power. VIS paid a TWD4.5/share cash dividend this year (against last year's earnings), and we forecast it to pay TWD5.0/share for 2027 with a payout ratio of 85% against this year's earnings for a 2.7% yield based on the closing price as of 5 October.

**VIS: dividend trend and payout ratio***




*Source: Company, Daiwa estimates and forecasts*
*Note: * against previous year's P&L*

**VIS: quarterly ASP trend***



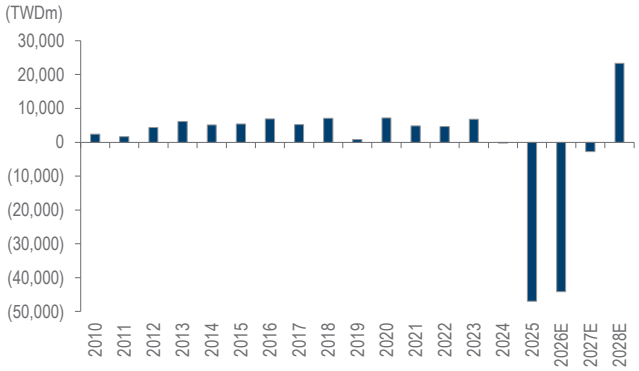

*Source: Daiwa estimates and forecasts*
*Note: * Blended basis in 8" equivalent*

**VSMC: standalone P&L at core operation**

| | 1Q27E | 2Q27E | 3Q27E | 4Q27E | 1Q28E | 2Q28E | 3Q28E | 4Q28E |
|---|---|---|---|---|---|---|---|---|
| Wafer shipments (8" equ) ('000 units) | 2 | 55 | 100 | 120 | 121 | 188 | 255 | 245 |
| Blended ASP (USD; 8" equ) | 1,000 | 1,000 | 1,000 | 1,000 | 1,000 | 1,000 | 1,000 | 980 |
| Revenue (USDm) | 2 | 55 | 100 | 120 | 121 | 188 | 255 | 240 |
| Revenue (TWDm) | 50 | 1,758 | 3,213 | 3,853 | 3,872 | 6,007 | 8,156 | 7,687 |
| COGS (TWDm) | (497) | (1,540) | (2,820) | (3,373) | (3,518) | (4,702) | (5,699) | (5,725) |
| Opex (TWDm) | (450) | (457) | (578) | (578) | (581) | (601) | (652) | (615) |
| Operating profit (TWDm) | (896) | (239) | (185) | (98) | (226) | 704 | 1,804 | 1,347 |
| MI against parent P&L (TWDm) | (359) | (96) | (74) | (39) | (91) | 282 | 722 | 539 |
| MI as % of VIS's pre-tax profit | 11% | 2% | 2% | 1% | 2% | -5% | -11% | -10% |

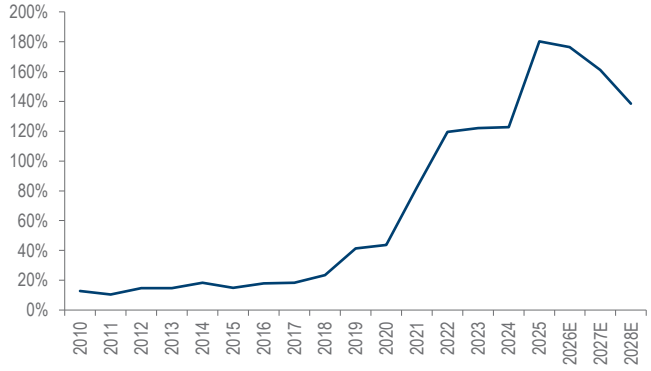
*Source: Daiwa estimates and forecasts*

VIS: free cashflow trend




Source: Company, Daiwa forecasts

VIS: debt-to-equity ratio




Source: Company, Daiwa forecasts

## Cashflow and gearing

Given its hefty capex over 2025-27E, we expect VIS's free cashflow (FCF) to turn negative during the same period. Foreseeing the cash gap, VIS issued new shares of 228m in 2024 for a 12% per-share dilution and collected TWD17.6bn. It further issued ECBs in February this year to collect nearly TWD11bn; therefore, we forecast its debt-to-equity (D/E) ratio to approach 170% in 2026. Yet with the VSMC ramp in profitability for operating cash inflow, we forecast the FCF to turn positive in 2028, helping lower the gearing to c.140%.

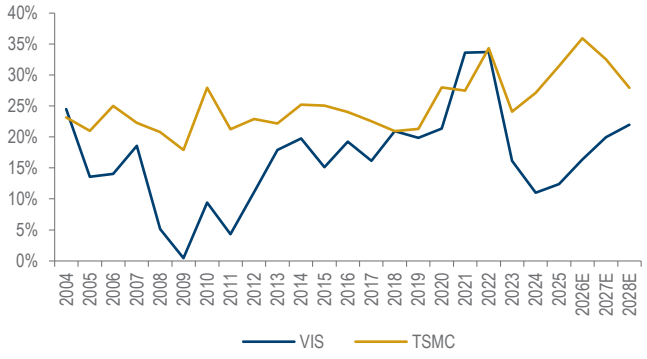
## Valuation and risk

**We set our 12M TP for VIS at TWD210, based on an ROE-adjusted PBR target of 5.2x**

We employ an ROE-adjusted PBR methodology to value the foundry stocks under our coverage, where we compare a foundry's projected ROE with its historical ROE average, work out a premium or discount, and apply it to the foundry's historical average PBR for our ROE-adjusted PBR target. Given TSMC is VIS's strategic partner, we tweak our methodology a bit by anchoring VIS's ROE-adjusted PBR to TSMC's, where we compare their long-term ROE projections (2004-28E), work out a discount of 33% and then apply the discount to our 7.7x target PBR for TSMC, resulting in our target PBR of 5.2x and 12M TP of TWD210 for VIS on our one-year forward BVPS forecast.

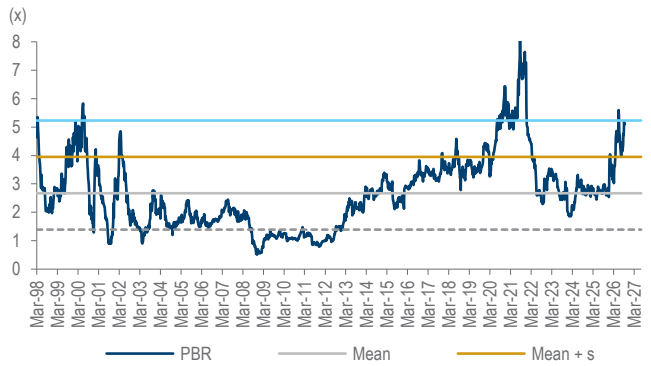
Key downside risks to our call would be: 1) the current chip upcycle ends earlier than expected; and 2) VSMC's 12" fab ramp/execution comes in below expectation.

ROE comparison: VIS vs. TSMC




Source: Company, Daiwa forecasts

VIS: PBR trend




Source: Company, TEJ, Daiwa forecasts

Asian foundry: valuation panel

| Stock | Ticker | Price (LC)* | Daiwa rating | PER (x) | | | PBR (x) | | | ROE (%) | | | Earnings growth (%) | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | | | | 2025 | 2026E | 2027E | 2025 | 2026E | 2027E | 2025 | 2026E | 2027E | 2025 | 2026E | 2027E |
| TSMC | 2330 TT | 2,585.0 | Buy (1) | 39.0 | 23.6 | 19.2 | 12.4 | 8.5 | 6.3 | 35.4 | 42.8 | 37.6 | 46.4 | 65.5 | 22.9 |
| HHGrace | 1347 HK | 105.3 | Buy (1) | n.m. | 126.5 | 87.2 | 3.5 | 3.4 | 3.3 | 0.9 | 2.7 | 3.9 | -5.6 | 235.5 | 45.2 |
| **VIS** | **5347 TT** | 190.0 | Outperform (2) | 44.9 | 32.2 | 24.0 | 5.6 | 5.3 | 4.7 | 12.4 | 16.8 | 20.8 | 12.2 | 40.1 | 34.3 |
| UMC | 2303 TT | 148.5 | Hold (3) | 44.8 | 20.6 | 20.9 | 4.9 | 4.8 | 4.4 | 11.0 | 23.6 | 21.8 | -11.6 | 117.7 | -1.7 |
| SMIC | 981 HK | 60.90 | Sell (5) | 75.5 | 44.4 | 38.1 | 1.8 | 1.7 | 1.6 | 4.0 | 6.6 | 7.1 | 115.3 | 71.9 | 16.6 |
| GlobalFoundries | GFS US | 48.07 | Not rated | 21.9 | 24.6 | 18.6 | 1.6 | 2.2 | 2.0 | 7.8 | 8.3 | 10.9 | 10.3 | 13.5 | 32.8 |
| Average | | | | 45.2 | 45.3 | 34.7 | 5.0 | 4.3 | 3.8 | 11.9 | 16.8 | 16.9 | 26.2 | 89.7 | 20.4 |

Source: Companies, Bloomberg, Daiwa forecasts
Note: * Local currency based on closing prices as of 7 October 2026

# Appendix: company profile

**Commanding 1.1% market share, VIS is a leading specialty foundry in the world**

Founded in December 1994 with headquarters located in Hsinchu Science Park and shares listed in March 1998, Vanguard International Semiconductor (VIS) is a leading specialty foundry in the world focusing on mix signal, power semiconductor and embedded memory chip manufacturing for value-added differentiation against competition in the mature foundry market. With strategic help from its parent company TSMC on business transformation and technology transfer, VIS commanded a 1.1% share in the global foundry market by 2025 revenue on our estimates (total size c.USD140bn), or nearly 4% in the global mature foundry market (ex-TSMC as a proxy), behind SMIC, UMC, GlobalFoundries (GF) and Huahong Grace Semiconductor (HHGrace; see chart on the next page). Note: our foundry market calculation is for dedicated foundry works only, different from TSMC's revised definition of the Foundry 2.0 that includes not only the dedicated foundry but packaging, testing and other non-memory semiconductor manufacturing services.

## The foundry market

**We expect VIS to outgrow the global foundry market (ex-TSMC) over 2026-28**

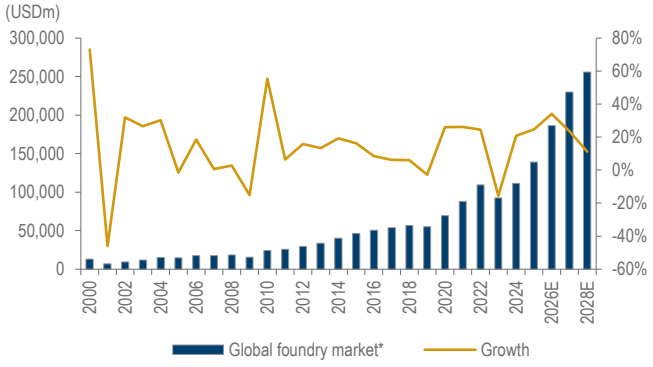
Ever since TSMC's founder innovated the semiconductor foundry service model, the foundry market has been in operation for more than 3 decades. Thanks to a rise in the global AI buildout, the global foundry revenue, after a dip in 2023 on the post-COVID inventory correction, recovered by more than 20% YoY pa over 2024-25. We forecast the growth to accelerate to more than 30% YoY this year, with revenue reaching USD186bn and exceeding USD255bn in 2028 for a robust 23% CAGR over 2025-28. If excluding TSMC, we forecast the market to grow by 14% YoY this year and approach USD60bn in 2028 for a CAGR of 13%, where we expect VIS to outgrow the market growth over our forecast period as illustrated in a chart below, thanks to its fast capacity expansion to capitalise on the AI scaling and paradigm shift in the specialty foundry segment.

## Operation and customer

**VIS has 5 fabs in operations, with its first 12" fab slated for mass-production from 1Q27**

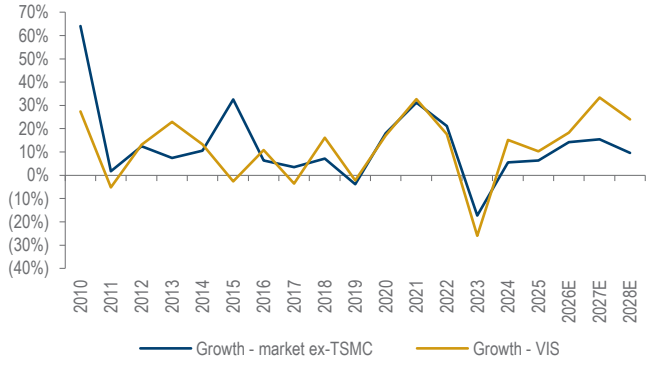
VIS currently operates 5 wafer fabs with 4 in Taiwan, including Fab 1 which commenced operations in 1994 as a memory setup and then converted to mixed signal, power metal oxide semiconductor field effect transistor (MOSFET) and logic foundry fab; Fab 2 which was acquired in 2007 from Winbond; Fab 3 which was acquired from Nanya Tech in 2014; and Fab 5 which was acquired from AUO in 2021, plus 1 in Singapore, Fab VS1, acquired from GF in 2019 and previously named 3E. The 5 fabs currently operate a total of 280,000 wpm capacity all in 8" wafer size, in which the Fab VS1 and 5 are scalable for an extra 10,000 wpm capacity each, though VIS doesn't seem to be keen in exercising the scalability since VSMC apparently is the focus for expansion. Following its opening ceremony on 28 September this year, VIS's first 12" fab via VSMC is slated for mass-production from 1Q27, aimed to bring up total capacity to c.380,000 wpm in 8" equivalent wafer by end-2028.

**Global foundry market forecasts**



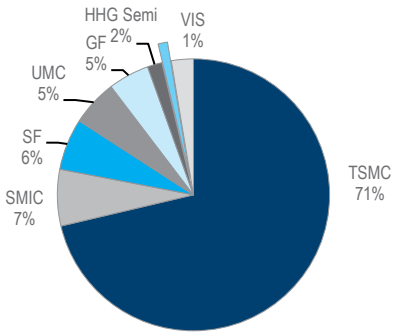

*Source: Company, Daiwa estimates and forecasts*
*Note: * Dedicated foundries only, not TSMC's definition of the Foundry 2.0*

**Revenue growth: VIS vs. foundry market ex-TSMC***



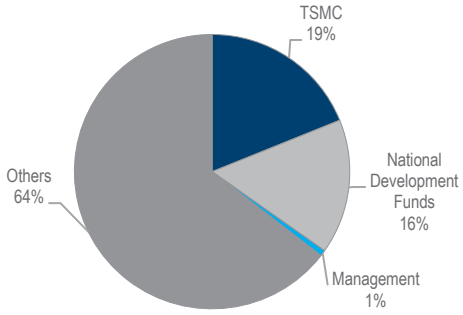

*Source: Company, Daiwa estimates and forecasts*
*Note: * As a proxy of the mature foundry market*

**2025 global foundry market share***




*Source: Company, Daiwa estimates*
*Note: * GF = GlobalFoundries, SF = Samsung Foundry*

**VIS: major shareholder structure**




*Source: Bloomberg*

**VIS covers a variety of fabless and IDM customers across Taiwan, China, Japan, Europe and the US**

VIS doesn't disclose its key customers due to confidentiality issues, but we believe its key customers cover most of the fabless chipmakers in Taiwan and mainland China focusing on display driver (D/D), power MOSFET and power management IC (PMIC), as well as integrated device manufacturers (IDM) across Japan, Europe and the US. According to our industry survey, key D/D vendors in the greater China region are Novatek (3034 TT, TWD529, Hold [3]), Himax (HIMX US, not rated), Raydium (3592 TT, not rated), Ilitek (6962 TT, not rated), Sitronix Technology (8016 TT, not rated), FocalTech (3545 TT, not rated), Chipone Technology (not listed), OmniVision (603501 CH, CNY82.21, Hold [3]) and GalaxyCore (688728 CH, not rated), while key power semiconductor vendors in the world include Qualcomm (QCOM US, USD177.12, Outperform [2]; covered by Louis Miscioscia), Renesas (6723 JP, JPY3,924, Outperform [2]; covered by Junji Okawa), Monolithic Power Systems (MPS; MPWR US, not rated), NXP (NXPI US, not rated), STMicro (STM US, not rated), Infineon (IFX GR, not rated), Microchip (MCHP US, not rated), TI (TXN US, not rated), MediaTek (2454 TT, TWD4,835, Buy [1], via Richtek), Global Mixed-mode Technology (GMT; 8081 TT, not rated) and Niko Semiconductor (3317 TT, not rated).

## Shareholder structure

**Major shareholders are TSMC and Taiwan government**

VIS's major shareholders were TSMC and the Taiwan government's Development Funds, with c.19% and c.16% of holdings, respectively, as of August 2026 under total share outstanding of 1.88bn. With management in aggregate holding an insignificant stake and the rest being held by institutional investors (QFII holding was 32.7% as of 5 October), we estimate a healthy free float of more than 60% for the stock, with decent cap of c.USD11bn and 3-month daily turnover of more than USD100m.

TSMC reduced its holding in VIS this year by 8pp, raising investor concerns on whether the move would jeopardise the former's strategic support to the latter. We see no direct link between the stake reduction and strategic support, and believe TSMC will continue the support, evidenced by its licence of gallium-nitride (GaN) and interposer technologies and equipment consignment to VSMC.

# ESG analysis

## ESG risks

| Risks | | Management | Analyst comments |
|---|---|---|---|
| G | Executive/board quality | 1 | VIS's board of directors (BoD) consists of 9 members, including 5 independent directors, representing 56% of the total board seats. The board comprises members with diverse backgrounds in business management, finance, industry, and academia, providing a broad range of expertise and perspectives.<br><br>We believe the majority-independent board structure and the directors' collective experience in leadership, corporate governance, industry expertise, financial management, risk management, and sustainability strengthen the effectiveness of the BoD and support VIS's long-term growth and corporate governance practices. |
| | Capital management | 1 | VIS pays its dividend on a quarterly basis. In the past 5 years, it has managed its dividend payout well, as evidenced by its dividend in dollar terms, where it has never lowered its dividend. |
| | Related party & transaction | 1 | Sales to related parties were around 1-2% of its total revenue each year. The percentage is insignificant and thus we see limited risk for VIS. |
| S | Supply chain management | 1 | VIS has established a comprehensive sustainable supply chain management framework to ensure suppliers comply with its sustainability requirements covering environmental protection, labor and human rights, occupational health and safety, business ethics, and responsible sourcing. The company requires suppliers to adhere to its "VIS Supplier Code of Conduct" and "Corporate Sustainability Policy", and conducts supplier sustainability assessments and audits as part of its supplier management process. We believe these efforts strengthen VIS's supply chain resilience and help mitigate supply chain risks. |
| E | Water & wastewater management | 2 | VIS is committed to improving water efficiency and sustainable water management. In 2022, the company implemented the ISO 46001 Water Efficiency Management System to analyze water consumption patterns, identify significant water-use equipment, evaluate water-saving opportunities, and establish improvement measures. VIS also provides annual water management training at its Taiwan facilities to promote continuous improvement in water-use efficiency. We believe these efforts demonstrate the company's commitment to responsible water stewardship and help reduce operational risks associated with water resources. |
| E | Waste & hazardous materials management | 1 | VIS adopts a comprehensive resource management approach to waste management and has established waste management procedures in accordance with ISO 14001 standards. Through dedicated waste management personnel and regular employee training, the company promotes effective waste reduction, classification, collection, storage, and treatment practices across its operations. |
| E | GHG emissions | 1 | VIS adopts a source-segregation and multi-stage treatment approach, supported by high-efficiency air pollution control systems, to effectively manage VOC and acidic/alkaline gas emissions from semiconductor manufacturing processes.<br>The company's emission levels remain well below regulatory limits, reflecting its commitment to environmental compliance and sustainable operations. |

*Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.*

*Update Date: 8 Oct 2026*

*Source: Daiwa, Company*

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**Disclosure of investment ratings**

| Rating | Percentage of total |
|---|---|
| Buy* | 73.96% |
| Hold** | 19.58% |
| Sell*** | 6.46% |

*Source: Daiwa*

*Notes: data is for single-branded Daiwa research in Asia (ex Japan) and correct as of 30 September 2026.*
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| | |
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# FOCI (3363.TWO): CPO FAU in contribution; 3Q26 revenues +40% QoQ; Buy

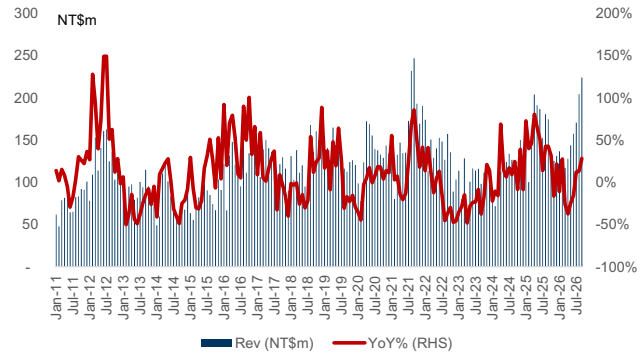
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FOCI's 3Q26 revenues were up 18% YoY/40% QoQ to NT$600m, and we expect to see strong QoQ revenues growth in 4Q26E to NT$1.2bn, supported by better seasonality and the gradual ramp up of 3.2T CPO FAU shipment, after starting mass production in 3Q26. The company continues to expand FAU capacity, riding on the growing demand of high-speed FAU products with expansion from the scale-out to scale-up market. We expect the company's high-speed CPO FAU revenues contribution to reach 21%/59%/73% in 2026E-28E. Maintain Buy.

**Exhibit 1: FOCI monthly revenues and YoY**




Source: Company data

**3-month preview:** The company's Sep revenues were up 28% YoY/10% MoM to NT$224m, though 27% below our previous estimates, we attribute this to the longer-than-expected time to see high-speed CPO FAU ramp up. Looking ahead, we expect to see sequential MoM increase at 15%/20% MoM in Oct/Nov 2026 to NT$258m/ NT$309m, supported by capacity expansion, efficiency improvement, and rack-level AI server ramp up.

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**Exhibit 2: We expect FOCI Oct revenues to grow 92% YoY/15% MoM to NT$258m**
FOCI quarterly/monthly revenues

| | Jul-26 | Aug-26 | Sep-26 | Oct-26 (E) | Nov-26 (E) | Dec-26 (E) | 2Q26 | 3Q26 | 4Q26E |
|---|---|---|---|---|---|---|---|---|---|
| Rev (NT$m) | 171 | 204 | 224 | 258 | 297 | 679 | 429 | 600 | 1,234 |
| YoY | 12% | 13% | 28% | 92% | 136% | 418% | -26% | 18% | 216% |
| MoM / QoQ | 9% | 20% | 10% | 15% | 15% | 129% | 12% | 40% | 106% |
| GS estimates (NT$m) | | 174 | 306 | | | | 433 | 651 | |
| Act. Vs. GS. | | 17% | -27% | | | | -1% | -8% | |

Source: Company data, Goldman Sachs Global Investment Research

**Earnings revision:** Factoring in FOCI's 3Q26 revenues, we revise down 2026E earnings by 6% on lower-than-expected CPO FAU revenues in 3Q, and revise up 2027E-30E earnings by 1%/1%/1%/1% mainly on higher revenues of high-speed CPO FAU, supported by FOCI's focus on CPO-scale up and rising CPO switch demand.

**Exhibit 3: Earnings revision**

| | 2026E | | | 2027E | | | 2028E | | | 2029E | | | 2030E | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| NT$m | Old | New | Diff % | Old | New | Diff % | Old | New | Diff % | Old | New | Diff % | Old | New | Diff % |
| Revenues | 2,704 | 2,644 | -2% | 9,745 | 9,767 | 0% | 25,477 | 25,700 | 1% | 32,769 | 33,140 | 1% | 36,583 | 37,026 | 1% |
| GP | 500 | 484 | -3% | 3,265 | 3,281 | 0% | 9,653 | 9,766 | 1% | 12,436 | 12,607 | 1% | 14,148 | 14,349 | 1% |
| OP | 52 | 44 | -15% | 2,193 | 2,207 | 1% | 6,927 | 7,016 | 1% | 9,225 | 9,359 | 1% | 10,819 | 10,979 | 1% |
| Net income | 90 | 84 | -6% | 1,917 | 1,930 | 1% | 5,460 | 5,530 | 1% | 7,245 | 7,350 | 1% | 8,491 | 8,617 | 1% |
| EPS (diluted) | 0.82 | 0.77 | -6% | 17.49 | 17.60 | 1% | 49.80 | 50.43 | 1% | 66.08 | 67.04 | 1% | 77.44 | 78.59 | 1% |
| Margins | | | | | | | | | | | | | | | |
| GM | 18.5% | 18.3% | | 33.5% | 33.6% | | 37.9% | 38.0% | | 38.0% | 38.0% | | 38.7% | 38.8% | |
| Opex ratio | 16.6% | 16.6% | | 11.0% | 11.0% | | 10.7% | 10.7% | | 9.8% | 9.8% | | 9.1% | 9.1% | |
| OPM | 1.9% | 1.7% | | 22.5% | 22.6% | | 27.2% | 27.3% | | 28.2% | 28.2% | | 29.6% | 29.7% | |
| NM | 3.3% | 3.2% | | 19.7% | 19.8% | | 21.4% | 21.5% | | 22.1% | 22.2% | | 23.2% | 23.3% | |

Source: Company data, Goldman Sachs Global Investment Research

**Exhibit 4: FOCI P&L Summary**

| (NT$ m) | 1Q25 | 2Q25 | 3Q25 | 4Q25 | 1Q26 | 2Q26 | 3Q26E | 4Q26E | 2024 | 2025 | 2026E | 2027E | 2028E | 2029E | 2030E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Revenue | 411 | 582 | 508 | 391 | 382 | 429 | 600 | 1,234 | 1,364 | 1,892 | 2,644 | 9,767 | 25,700 | 33,140 | 37,026 |
| Gross profit | 71 | 115 | 121 | 49 | 7 | 1 | 101 | 375 | 181 | 356 | 484 | 3,281 | 9,766 | 12,607 | 14,349 |
| Operating expense | (77) | (83) | (110) | (84) | (163) | (93) | (88) | (95) | (272) | (354) | (439) | (1,074) | (2,750) | (3,248) | (3,369) |
| Operating income | (6) | 33 | 11 | (36) | (156) | (92) | 12 | 280 | (92) | 1 | 44 | 2,207 | 7,016 | 9,359 | 10,979 |
| Net income | 1 | 17 | 21 | (22) | (107) | (25) | 14 | 202 | (48) | 16 | 84 | 1,930 | 5,530 | 7,350 | 8,617 |
| EPS, diluted (NT$) | 0.01 | 0.16 | 0.20 | (0.22) | (0.98) | (0.23) | 0.13 | 1.84 | (0.48) | 0.16 | 0.77 | 17.60 | 50.43 | 67.04 | 78.59 |
| **Margins / ratio** | | | | | | | | | | | | | | | |
| Gross margin | 17.2% | 19.8% | 23.8% | 12.4% | 1.9% | 0.2% | 16.8% | 30.4% | 13.3% | 18.8% | 18.3% | 33.6% | 38.0% | 38.0% | 38.8% |
| Opex ratio | -18.8% | -14.2% | -21.7% | -21.6% | -42.7% | -21.7% | -14.7% | -7.7% | -20.0% | -18.7% | -16.6% | -11.0% | -10.7% | -9.8% | -9.1% |
| Operating margin | -1.6% | 5.6% | 2.2% | -9.2% | -40.8% | -21.4% | 2.1% | 22.7% | -6.7% | 0.1% | 1.7% | 22.6% | 27.3% | 28.2% | 29.7% |
| Net margin | 0.3% | 2.9% | 4.1% | -5.7% | -28.0% | -5.8% | 2.3% | 16.4% | -3.5% | 0.9% | 3.2% | 19.8% | 21.5% | 22.2% | 23.3% |
| **QoQ** | | | | | | | | | | | | | | | |
| Revenue | 14% | 41% | -13% | -23% | -2% | 12% | 40% | 106% | | | | | | | |
| Gross profit | 110% | 63% | 5% | -60% | -85% | -87% | 10343% | 273% | | | | | | | |
| Operating income | nm | nm | -66% | nm | nm | nm | nm | 2154% | | | | | | | |
| Net income | nm | 1420% | 22% | nm | nm | nm | nm | 1342% | | | | | | | |
| **YoY** | | | | | | | | | | | | | | | |
| Revenue | 53% | 65% | 33% | 9% | -7% | -26% | 18% | 216% | 7% | 39% | 40% | 269% | 163% | 29% | 12% |
| Gross profit | 235% | 62% | 121% | 44% | -90% | -99% | -17% | 672% | 0% | 97% | 36% | 578% | 198% | 29% | 14% |
| Operating income | nm | 376% | nm | nm | nm | nm | 13% | nm | nm | nm | 3630% | 4868% | 218% | 33% | 17% |
| Net income | nm | -34% | nm | nm | nm | nm | -32% | nm | nm | nm | 419% | 2197% | 187% | 33% | 17% |

Source: Company data, Goldman Sachs Global Investment Research

**Valuation:** We continue to derive our 12m target price via a discounted P/E and derive the target P/E multiple via peers' trading P/E vs. forward year EPS YoY (methodology unchanged). With this, our target multiple declines slightly to 16.4x (vs. 15.4x previously) based on FOCI's largely unchanged long-term earnings growth (2030E-31E EPS YoY at 15% on avg.), reflecting improving sentiment on rack-level AI server ramp up and high-speed transition. We continue to apply the target P/E to 2030E EPS (unchanged), and discount it back to 2027E via a 12.6% COE (unchanged). Our new TP is NT$900 (vs. NT$833 previously). Our new TP implies 51x 2027E P/E. Our new TP implies 10x 2027E P/S, within its historical trading range of 5x to 30x. Maintain Buy.

**Exhibit 5: FOCI discounted P/E**

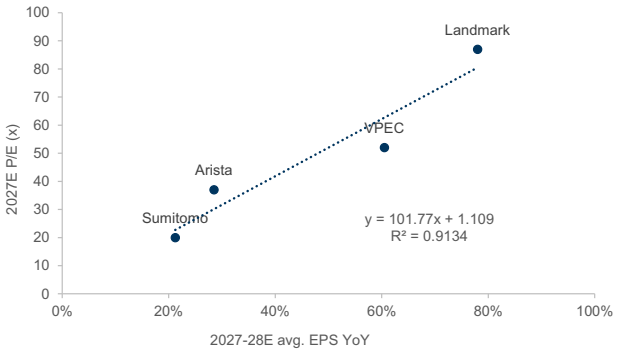
| NT$m | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E | 2029E | 2030E | 2031E |
|---|---|---|---|---|---|---|---|---|---|---|
| **Milestones** | Optical components | | | High-speed FAU for CPO | | | Migrating to higher speed FAU | | | |
| **Revenue** | **1,621** | **1,272** | **1,364** | **1,892** | **2,644** | **9,767** | **25,700** | **33,140** | **37,026** | **40,654** |
| *YoY* | | *-22%* | *7%* | *39%* | *40%* | *269%* | *163%* | *29%* | *12%* | *10%* |
| Gross margin | 18.4% | 14.1% | 13.3% | 18.8% | 18.3% | 33.6% | 38.0% | 38.0% | 38.8% | 39.3% |
| **Operating profit** | **99** | **-58** | **-92** | **1** | **44** | **2,207** | **7,016** | **9,359** | **10,979** | **12,400** |
| *YoY* | | na | na | na | 3630% | 4868% | 218% | 33% | 17% | 13% |
| Operating margin | *6%* | *-5%* | *-7%* | *0%* | *2%* | *23%* | *27%* | *28%* | *30%* | *31%* |
| **Pre-tax profit** | **73** | **6** | **-57** | **23** | **146** | **2,270** | **7,079** | **9,423** | **11,047** | **12,467** |
| **Net profit** | **47** | **12** | **-48** | **16** | **84** | **1,930** | **5,530** | **7,350** | **8,617** | **9,725** |
| **EPS (NTD, diluted)** | **0.53** | **0.13** | **-0.48** | **0.16** | **0.77** | **17.60** | **50.43** | **67.04** | **78.59** | **88.69** |
| *YoY* | | *-74%* | *na* | *na* | *419%* | *2197%* | *187%* | *33%* | *17%* | *13%* |
| TP implied P/S | | | | | | 10 | 4 | 3 | 3 | 2 |
| TP implied P/E | | | | | | 51 | 18 | 13 | 11 | 10 |

| | |
|---|---|
| 2030E target P/E | 16.4 |
| Target multiple x EPS | 1,285 |
| **Discounted back to 2027; TP (NTD)** | **900** |
| Implied 2027 P/E | 51 |

| COE assumption | |
|---|---|
| Beta | 1.4 |
| Risk free | 3.5% |
| Market risk premium | 6.5% |
| **COE** | **12.6%** |

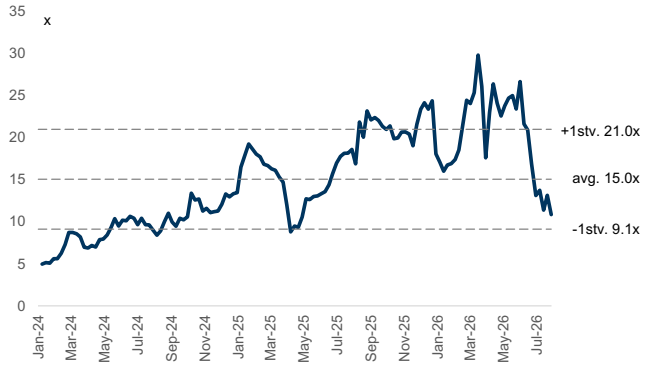
Source: Company data, Goldman Sachs Global Investment Research

**Exhibit 6: FOCI peers' 2027E P/E vs. 2027-28E EPS YoY**




Source: Company data, Goldman Sachs Global Investment Research

**Exhibit 7: FOCI 12M forward P/S ratio**




Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

**Valuation:** Our 12-month target price of NT$900 is based on a 16.4x 2030E P/E, discounted back to 2027E at a COE of 12.6%. Our target multiple is derived from peers' correlation between forward-year trading P/E and earnings growth.

**Key downside risks:** Fiercer-than-expected market competition, technology migration trends in optical networking, and slower-than-expected capacity ramp-up.

| 3363.TWO | 12m Price Target: **NT$900.00** | Price: **NT$667.00** | Upside: **34.9%** |
|---|---|---|---|

**Buy**

Market cap: NT$73.1bn / $2.3bn
Enterprise value: NT$70.2bn / $2.2bn
3m ADTV: NT$2.4bn / $75.9mn
Taiwan
Greater China Technology
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

## GS Forecast

| | 12/25 | 12/26E | 12/27E | 12/28E |
|---|---|---|---|---|
| **Revenue (NT$ mn) New** | **1,892.0** | **2,644.3** | **9,767.2** | **25,700.0** |
| Revenue (NT$ mn) Old | 1,892.0 | 2,704.0 | 9,745.0 | 25,477.2 |
| EBITDA (NT$ mn) | 124.2 | 221.9 | 2,665.4 | 7,761.3 |
| **EPS (NT$) New** | **0.16** | **0.77** | **17.60** | **50.43** |
| EPS (NT$) Old | 0.16 | 0.82 | 17.49 | 49.80 |
| P/E (X) | NM | NM | 37.9 | 13.2 |
| P/B (X) | 12.3 | 12.3 | 9.3 | 5.5 |
| Dividend yield (%) | 0.0 | 0.0 | 0.0 | 0.0 |
| CROCI (%) | 3.6 | 9.6 | 47.2 | 77.4 |

| | 6/26 | 9/26E | 12/26E | 3/27E |
|---|---|---|---|---|
| EPS (NT$) | (0.23) | 0.13 | 1.84 | 2.30 |

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 8 Oct 2026 close.

# Disclosure Appendix

## Reg AC

We, Allen Chang, Verena Jeng and Ting Song, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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**Growth** is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

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There are no company-specific disclosures for: FOCI (NT$667.00)

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Goldman Sachs Investment Research global Equity coverage universe

| | Rating Distribution | | | Investment Banking Relationships | | |
|---|---|---|---|---|---|---|
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| Global | 50% | 34% | 16% | 65% | 59% | 43% |

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## Target price history table(s)
### FOCI (3363.TWO)

| Date of report | Target price (NT$) | Closing price (NT$) |
|---|---|---|
| 06-Aug-26 | 833.00 | 604.00 |
| 06-Jul-26 | 864.00 | 574.00 |

Price targets shown in table(s) are unadjusted for corporate actions.

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# Largan (3008.TW)

## FAU to drive strong earnings growth and re-rating; TP up to NT$11,000, Buy

| 3008.TW | 12m Price Target: **NT$11,000.00** | Price: **NT$6,660.00** | Upside: **65.2%** |
|---|---|---|---|

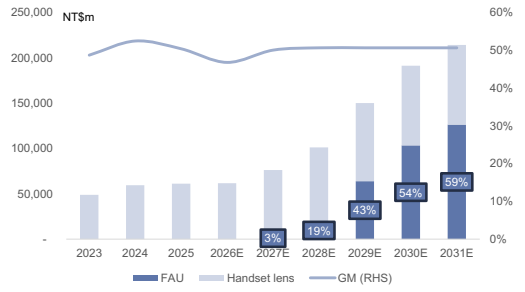
**BUY**

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We are positive on Largan and expect its strong alignment technology to continue supporting its expansion from handset lens into FA and FAU for CPO switches. The company's FA has passed customer qualification with strong positive feedback, while customers prefer to purchase its integrated product (FA+FAU), reaffirming our positive view on Largan's business expansion. Management highlights that its strong alignment and automated production provide strong precision, fast production and testing, supporting customer penetration. We model FAU revenue contribution at 3% in 2027E and above 50% in 2030E, driving Largan's earnings growth, margin expansion, and valuation re-rating. Maintain Buy with TP up to NT$11,000 (implies 39.8x 2028E PE).

**Exhibit 1: Largan revenues by products and GM trend**




Source: Company data, Goldman Sachs Global Investment Research

**3-month revenue preview:** Largan delivered weak revenue growth in 3Q26 with revenue -11% YoY, which we attribute to a slow smartphone market amid high memory costs, fewer model launches of its major smartphone brand customer, and foldable phones released in 4Q26 (report link). The miss also reflects a slower handset lens pixel mix upgrade than we had previously estimated.

### Key Data

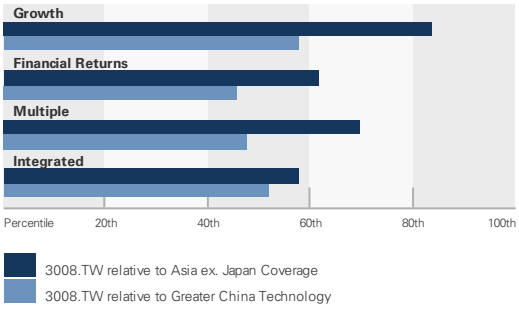
Market cap: NT$896.1bn / $28.1bn
Enterprise value: NT$782.7bn / $24.5bn
3m ADTV: NT$13.2bn / $413.8mn
Taiwan
Greater China Technology
M&A Rank: 3
Leases incl. in net debt & EV?: No

### GS Forecast

| | 12/25 | 12/26E | 12/27E | 12/28E |
|---|---|---|---|---|
| **Revenue (NT$ mn) New** | **61,147.9** | **61,653.5** | **76,334.7** | **101,306.6** |
| Revenue (NT$ mn) Old | 61,147.9 | 65,503.4 | 76,561.8 | 85,020.5 |
| EBITDA (NT$ mn) | 31,290.3 | 30,251.2 | 42,329.3 | 53,616.0 |
| **EPS (NT$) New** | **159.41** | **162.60** | **207.41** | **278.57** |
| EPS (NT$) Old | 159.41 | 187.34 | 217.11 | 239.29 |
| P/E (X) | 14.8 | 41.0 | 32.1 | 23.9 |
| P/B (X) | 1.7 | 4.5 | 4.2 | 3.9 |
| Dividend yield (%) | 3.3 | 1.2 | 1.5 | 2.1 |
| CROCI (%) | 11.2 | 11.5 | 14.4 | 16.2 |

| | 9/26 | 12/26E | 3/27E | 6/27E |
|---|---|---|---|---|
| EPS (NT$) | 39.62 | 40.65 | 49.77 | 36.05 |

### GS Factor Profile




Source: Company data, Goldman Sachs Research estimates. See disclosures for details.

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BUY

# Largan (3008.TW)

Rating since Nov 12, 2024

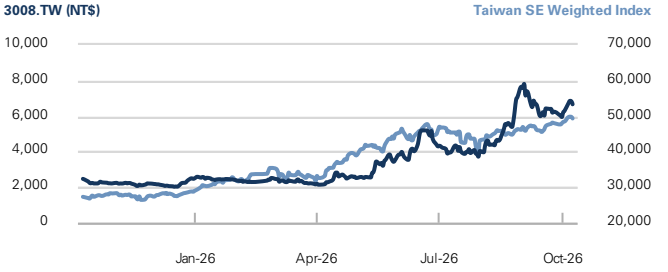
## Ratios & Valuation

| | 12/25 | 12/26E | 12/27E | 12/28E |
|---|---|---|---|---|
| P/E (X) | 14.8 | 41.0 | 32.1 | 23.9 |
| P/B (X) | 1.7 | 4.5 | 4.2 | 3.9 |
| FCF yield (%) | 4.3 | 1.1 | 3.7 | 3.3 |
| EV/EBITDAR (X) | 6.4 | 25.6 | 17.8 | 13.8 |
| EV/EBITDA (excl. leases) (X) | 6.4 | 25.6 | 17.8 | 13.8 |
| CROCI (%) | 11.2 | 11.5 | 14.4 | 16.2 |
| ROE (%) | 11.4 | 11.1 | 13.4 | 16.7 |
| Net debt/equity (%) | (64.1) | (60.3) | (66.6) | (68.0) |
| Net debt/equity (excl. leases) (%) | (64.1) | (60.3) | (66.6) | (68.0) |
| Interest cover (X) | 15,611.8 | 7,608.9 | 9,940.7 | 13,702.5 |
| Days inventory outst, sales | 37.1 | 47.9 | 40.9 | 40.4 |
| Receivable days | 62.1 | 62.0 | 50.0 | 50.0 |
| Days payable outstanding | 21.6 | 22.0 | 22.0 | 22.0 |
| DuPont ROE (%) | 11.1 | 10.7 | 12.9 | 15.9 |
| Turnover (X) | 0.3 | 0.3 | 0.3 | 0.4 |
| Leverage (X) | 1.2 | 1.2 | 1.2 | 1.2 |
| Gross cash invested (ex cash) (NT$) | 222,420.9 | 241,679.6 | 267,828.7 | 298,740.5 |
| Average capital employed (NT$) | 73,429.5 | 80,655.1 | 82,379.7 | 79,780.5 |
| BVPS (NT$) | 1,395.59 | 1,484.98 | 1,579.62 | 1,727.59 |

## Growth & Margins (%)

| | 12/25 | 12/26E | 12/27E | 12/28E |
|---|---|---|---|---|
| Total revenue growth | 2.8 | 0.8 | 23.8 | 32.7 |
| EBITDA growth | 3.4 | (3.3) | 39.9 | 26.7 |
| EPS growth | (19.7) | 2.0 | 27.6 | 34.3 |
| DPS growth | (19.0) | 2.4 | 27.0 | 35.0 |
| EBIT margin | 38.5 | 35.2 | 39.2 | 40.7 |
| EBITDA margin | 51.2 | 49.1 | 55.5 | 52.9 |
| Net income margin | 34.8 | 35.1 | 36.3 | 36.7 |

## Price Performance




| | 3m | 6m | 12m |
|---|---|---|---|
| Absolute | 68.6% | 192.1% | 168.0% |
| Rel. to the Taiwan SE Weighted Index | 56.4% | 105.9% | 47.1% |

Source: FactSet. Price as of 8 Oct 2026 close.

## Income Statement (NT$ mn)

| | 12/25 | 12/26E | 12/27E | 12/28E |
|---|---|---|---|---|
| Total revenue | 61,147.9 | 61,653.5 | 76,334.7 | 101,306.6 |
| Cost of goods sold | (30,310.8) | (32,786.7) | (38,112.7) | (49,958.8) |
| SG&A | (1,985.5) | (1,885.5) | (1,832.0) | (1,620.9) |
| R&D | (5,293.3) | (5,295.8) | (6,488.4) | (8,509.8) |
| Other operating inc./(exp.) | – | – | – | – |
| **EBITDA** | **31,290.3** | **30,251.2** | **42,329.3** | **53,616.0** |
| Depreciation & amortization | (7,732.0) | (8,565.7) | (12,427.8) | (12,398.9) |
| **EBIT** | **23,558.3** | **21,685.5** | **29,901.5** | **41,217.1** |
| Net interest inc./(exp.) | 4,258.6 | 3,896.3 | 3,913.0 | 4,104.2 |
| Income/(loss) from associates | 87.0 | 83.3 | – | – |
| **Pre-tax profit** | **25,900.2** | **26,446.2** | **33,814.6** | **45,321.3** |
| Provision for taxes | (4,340.0) | (4,539.3) | (5,883.7) | (7,891.5) |
| Minority interest | (284.9) | (241.0) | (248.7) | (250.2) |
| Preferred dividends | – | – | – | – |
| **Net inc. (pre-exceptionals)** | **21,275.4** | **21,665.9** | **27,682.2** | **37,179.6** |
| Post-tax exceptionals | – | – | – | – |
| **Net inc. (post-exceptionals)** | **21,275.4** | **21,665.9** | **27,682.2** | **37,179.6** |
| **EPS (basic, pre-except) (NT$)** | **159.41** | **162.60** | **207.41** | **278.57** |
| **EPS (diluted, pre-except) (NT$)** | **157.21** | **161.03** | **204.55** | **276.22** |
| **EPS (basic, post-except) (NT$)** | **159.41** | **162.60** | **207.41** | **278.57** |
| **EPS (diluted, post-except) (NT$)** | **157.21** | **161.03** | **204.55** | **276.22** |
| DPS (NT$) | 77.87 | 79.76 | 101.32 | 136.83 |
| Div. payout ratio (%) | 48.9 | 49.1 | 48.9 | 49.1 |

## Balance Sheet (NT$ mn)

| | 12/25 | 12/26E | 12/27E | 12/28E |
|---|---|---|---|---|
| Cash & cash equivalents | 115,941.7 | 115,177.0 | 136,906.6 | 152,609.6 |
| Accounts receivable | 10,461.7 | 10,483.6 | 10,430.0 | 17,325.2 |
| Inventory | 6,713.2 | 9,455.6 | 7,669.0 | 14,778.3 |
| Other current assets | 21,168.8 | 21,168.8 | 21,168.8 | 21,168.8 |
| **Total current assets** | **154,285.5** | **156,285.0** | **176,174.5** | **205,881.9** |
| Net PP&E | 51,472.4 | 60,978.8 | 57,943.2 | 52,866.6 |
| Net intangibles | 474.6 | 351.6 | 344.5 | 213.7 |
| Total investments | 26.5 | 26.5 | 26.5 | 26.5 |
| Other long-term assets | 14,528.1 | 14,528.1 | 14,528.1 | 14,528.1 |
| **Total assets** | **220,787.0** | **232,169.9** | **249,016.8** | **273,516.7** |
| Accounts payable | 1,727.9 | 2,224.5 | 2,369.9 | 3,652.5 |
| Short-term debt | 0.0 | 0.0 | 0.0 | 0.0 |
| Short-term lease liabilities | – | – | – | – |
| Other current liabilities | 28,020.6 | 28,214.1 | 31,194.1 | 35,898.7 |
| **Total current liabilities** | **29,748.5** | **30,438.5** | **33,564.1** | **39,551.2** |
| Long-term debt | – | – | – | – |
| Long-term lease liabilities | – | – | – | – |
| Other long-term liabilities | 170.6 | 170.6 | 170.6 | 170.6 |
| **Total long-term liabilities** | **170.6** | **170.6** | **170.6** | **170.6** |
| **Total liabilities** | **29,919.1** | **30,609.1** | **33,734.6** | **39,721.7** |
| Preferred shares | – | – | – | – |
| Total common equity | 188,867.2 | 199,801.1 | 213,771.1 | 232,534.0 |
| **Minority interest** | **2,000.8** | **1,759.8** | **1,511.1** | **1,261.0** |
| **Total liabilities & equity** | **220,787.0** | **232,169.9** | **249,016.8** | **273,516.7** |
| Net debt, adjusted | (122,308.6) | (121,543.8) | (143,273.5) | (158,976.5) |

## Cash Flow (NT$ mn)

| | 12/25 | 12/26E | 12/27E | 12/28E |
|---|---|---|---|---|
| Net income | 25,900.2 | 21,665.9 | 27,682.2 | 37,179.6 |
| D&A add-back | 7,732.0 | 8,565.7 | 12,427.8 | 12,398.9 |
| Minority interest add-back | (284.9) | (241.0) | (248.7) | (250.2) |
| Net (inc)/dec working capital | (1,208.2) | (2,267.7) | 1,985.6 | (12,721.8) |
| Other operating cash flow | (6,058.9) | – | – | – |
| **Cash flow from operations** | **26,080.2** | **27,723.0** | **41,846.9** | **36,606.6** |
| | | | | |
| Capital expenditures | (12,340.0) | (17,849.1) | (9,160.2) | (7,091.5) |
| Acquisitions | (2,040.4) | – | – | – |
| Divestitures | (2.6) | (100.0) | (225.0) | (100.0) |
| Others | 5,147.2 | – | – | – |
| **Cash flow from investing** | **(9,235.7)** | **(17,949.1)** | **(9,385.2)** | **(7,191.5)** |
| | | | | |
| Repayment of lease liabilities | – | – | – | – |
| Dividends paid (common & pref) | (13,013.1) | (10,538.6) | (10,732.1) | (13,712.2) |
| Inc/(dec) in debt | (203.4) | – | – | – |
| Other financing cash flows | (1,344.6) | 0.0 | 0.0 | 0.0 |
| **Cash flow from financing** | **(14,561.2)** | **(10,538.6)** | **(10,732.1)** | **(13,712.2)** |
| **Total cash flow** | **2,283.4** | **(764.7)** | **21,729.7** | **15,703.0** |
| Free cash flow | 13,740.3 | 9,873.9 | 32,686.7 | 29,515.1 |

Source: Company data, Goldman Sachs Research estimates.

We expect Oct revenues to be at a similar level to Sep, and to sequentially decline in Nov and Dec, resulting in 4Q26 revenue growth of +7% QoQ.

**Exhibit 2: Largan monthly revenues preview**

| | Jul 2026 | Aug 2026 | Sep 2026 | Oct 2026E | Nov 2026E | Dec 2026E | 2Q26 | 3Q26 | 4Q26E |
|---|---|---|---|---|---|---|---|---|---|
| Rev (NT$m) | 4,877 | 5,012 | 5,779 | 5,895 | 5,600 | 5,299 | 13,665 | 15,651 | 16,794 |
| YoY | -11% | -16% | -7% | -6% | 6% | -6% | 17% | -11% | -2% |
| MoM/QoQ | 31% | 3% | 15% | 2% | -5% | -5% | -12% | 15% | 7% |
| GS estimates (NT$m) | 4,826 | 6,756 | 7,285 | | | | 13,750 | 18,866 | |
| Act. Vs. GS | 1% | -26% | -21% | | | | -1% | -17% | |

Source: Company data, Goldman Sachs Global Investment Research

## Earnings revision

Our net income estimates are revised by -13% / -4% / +16% in 2026-28E mainly on changes in revenues, GM, and Opex ratio, reflecting: **(1) handset lens:** we continue to expect Largan's lens pixel mix upgrade, but at a slower pace, reflecting the 3Q26 miss and slow smartphone market amid high memory costs, **(2) FAU:** we estimate revenue contribution will begin in 2H27, with 0.6m / 5m in 2027 / 28E, along with product mix upgrade toward higher bandwidth FAU that should support ASP and GM. We expect FAU revenue contribution of 3% in 2027E and exceed 50% in 2030E, **(3) GM:** we lower our GM estimates to reflect the slower pace of handset lens pixel mix upgrade and the company's higher costs on green energy. We expect GM to sustain at ~50% in 2026-28E, supported by continuous handset lens pixel mix upgrade and strong demand of FAU, **(4) Opex ratio:** we continue to expect rising opex, while the opex ratio would improve as strong revenue growth driven by FAU and FAU's higher ASP relative to handset lens enhance operating efficiency.

**Exhibit 3: Largan earnings revision**

| | 2026E | | | 2027E | | | 2028E | | |
|---|---|---|---|---|---|---|---|---|---|
| NT m | Old | New | Chg | Old | New | Chg | Old | New | Chg |
| Revenue | 65,503 | 61,654 | -6% | 76,562 | 76,335 | 0% | 85,021 | 101,307 | 19% |
| GP | 33,681 | 28,867 | -14% | 42,012 | 38,222 | -9% | 47,968 | 51,348 | 7% |
| OP | 25,995 | 21,685 | -17% | 32,893 | 29,902 | -9% | 37,757 | 41,217 | 9% |
| Net income | 24,904 | 21,666 | -13% | 28,976 | 27,682 | -4% | 31,937 | 37,180 | 16% |
| EPS (Diluted) | 185.12 | 161.03 | -13% | 214.48 | 204.55 | -5% | 237.27 | 276.22 | 16% |
| Margins | | | | | | | | | |
| GM | 51.4% | 46.8% | | 54.9% | 50.1% | | 56.4% | 50.7% | |
| OPM | 39.7% | 35.2% | | 43.0% | 39.2% | | 44.4% | 40.7% | |
| NM | 38.0% | 35.1% | | 37.8% | 36.3% | | 37.6% | 36.7% | |

Source: Goldman Sachs Global Investment Research

**Exhibit 4: Largan revenues and GM revision**

| Revenues (NT$m) | 2026E | 2027E | 2028E | GM | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|
| NEW | 61,654 | 76,335 | 101,307 | NEW | 46.8% | 50.1% | 50.7% |
| FAU | - | 2,074 | 19,191 | FAU | | 46.0% | 47.4% |
| Periscope lens | 19,653 | 23,178 | 26,702 | Periscope lens | 38.4% | 38.3% | 38.2% |
| 20MPx+ handset lens | 11,911 | 26,562 | 34,714 | 20MPx+ handset lens | 70.5% | 70.4% | 70.4% |
| Other handset lens | 17,833 | 13,078 | 9,657 | Other handset lens | 57.1% | 56.4% | 55.6% |
| Others | 12,256 | 11,443 | 11,042 | Others | 22.5% | 20.3% | 20.3% |
| OLD | 65,503 | 76,562 | 85,021 | OLD | 51.4% | 54.9% | 56.4% |
| FAU | 63 | 1,067 | 4,518 | FAU | 50.3% | 50.4% | 50.5% |
| Periscope lens | 18,610 | 18,570 | 20,741 | Periscope lens | 38.9% | 38.5% | 38.5% |
| 20MPx+ handset lens | 16,705 | 31,766 | 38,447 | 20MPx+ handset lens | 72.9% | 73.0% | 75.0% |
| Other handset lens | 17,796 | 13,029 | 9,611 | Other handset lens | 62.7% | 62.3% | 62.0% |
| Others | 12,330 | 12,130 | 11,705 | Others | 24.8% | 24.8% | 24.9% |
| CHG | -6% | 0% | 19% | CHG (NEW - OLD) | -5% | -5% | -6% |
| FAU | -100% | 94% | 325% | FAU | -50% | -4% | -3% |
| Periscope lens | 6% | 25% | 29% | Periscope lens | -1% | 0% | 0% |
| 20MPx+ handset lens | -29% | -16% | -10% | 20MPx+ handset lens | -2% | -3% | -5% |
| Other handset lens | 0% | 0% | 0% | Other handset lens | -6% | -6% | -6% |
| Others | -1% | -6% | -6% | Others | -2% | -5% | -5% |

Source: Company data, Goldman Sachs Global Investment Research

**Exhibit 5: Largan 3Q26 results snapshot**

| NT m | 3Q25 | 2Q26 | 3Q26 | QoQ | YoY | GS | Act / GS | Cons. | Act/Cons. |
|---|---|---|---|---|---|---|---|---|---|
| Revenue | 17,677 | 13,665 | 15,651 | 15% | -11% | 18,866 | -17% | 18,196 | -14% |
| GP | 8,352 | 6,753 | 6,607 | -2% | -21% | 9,339 | -29% | 9,120 | -28% |
| OP | 6,265 | 5,148 | 4,735 | -8% | -24% | 7,094 | -33% | 6,946 | -32% |
| Net income | 7,080 | 4,670 | 5,182 | 11% | -27% | 6,699 | -23% | 6,723 | -23% |
| Margins | | | | | | | | | |
| GM | 47.2% | 49.4% | 42.2% | | | 49.5% | | 50.1% | |
| OPM | 35.4% | 37.7% | 30.3% | | | 37.6% | | 38.2% | |
| NM | 40.1% | 34.2% | 33.1% | | | 35.5% | | 36.9% | |

Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

Compared to Bloomberg consensus, we are 4% / 16% ahead in 2027 / 28E net income, mainly on higher revenues and lower opex ratio, reflecting our positive view on Largan's FAU, which is in strong demand with bandwidth upgrade.

**Exhibit 6: GS vs. Bloomberg consensus**

| | 2027E | | | 2028E | | |
|---|---|---|---|---|---|---|
| NT m | GS | BB | Diff % | GS | BB | Diff % |
| Revenue | 76,335 | 72,074 | 6% | 101,307 | 90,479 | 12% |
| GP | 38,222 | 36,929 | 4% | 51,348 | 45,410 | 13% |
| OP | 29,902 | 28,454 | 5% | 41,217 | 34,680 | 19% |
| Net income | 27,682 | 26,732 | 4% | 37,180 | 31,942 | 16% |
| Margins | | | | | | |
| GM | 50.1% | 51.2% | | 50.7% | 50.2% | |
| OPM | 39.2% | 39.5% | | 40.7% | 38.3% | |
| NM | 36.3% | 37.1% | | 36.7% | 35.3% | |

Source: Goldman Sachs Global Investment Research, Bloomberg

## Valuation

We change our valuation methodology from 2027E PE to discounted PE to better capture the company's long term opportunities in FAU. Our target PE multiple (29.8x) is derived from (1) peers' avg. ratio of trading PE to forward year fundamentals (NI YoY and OPM), which is at 0.5x, and (2) Largan's forward year fundamentals: 2030-31E NI YoY at

19% on avg. and OPM at 41% on avg. We apply the target PE multiple to Largan's 2030E EPS and discount it back to 2027E via a COE of 10.7%, which is based on beta at 1.1x, risk free at 3.5%, and market risk premium at 6.5%. Our new target price is NT$11,000 (vs. NT$6,263 previously). Our target price implies 39.8x 2028E PE, the first full year of FAU contribution, which is within Largan's historical trading range of 8.0x to 45.1x, reflecting our positive view on Largan's expansion from handset lens to FAU, which broadens its exposure from consumer electronics to AI data center that enjoys strong market growth, and could support a valuation re-rating. We note that Taiwan AI supply chain also enjoys re-rating when expanding from consumer electronics to AI data center. Maintain Buy.

**Exhibit 7: Largan discounted PE**

| NT$m | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E | 2029E | 2030E | 2031E |
|---|---|---|---|---|---|---|---|---|---|
| **Key assumptions** | | | | | | | | | |
| **Revenues (NT$m)** | **48,842** | **59,458** | **61,148** | **61,654** | **76,335** | **101,307** | **150,128** | **191,476** | **214,294** |
| FAU | - | - | - | - | 2,074 | 19,191 | 63,908 | 103,530 | 126,348 |
| Others | 48,842 | 59,458 | 61,148 | 61,654 | 74,261 | 82,115 | 86,221 | 87,945 | 87,945 |
| **YoY** | **2%** | **22%** | **3%** | **1%** | **24%** | **33%** | **48%** | **28%** | **12%** |
| FAU | | | | | | 825% | 233% | 62% | 22% |
| Others | 2% | 22% | 3% | 1% | 20% | 11% | 5% | 2% | 0% |
| *FAU revenues contribution* | | | | | *3%* | *19%* | *43%* | *54%* | *59%* |
| **FAU shipment (k units)** | | | | | 592 | 4,789 | 14,368 | 21,551 | 25,862 |
| *YoY* | | | | | | *710%* | *200%* | *50%* | *20%* |
| **FAU ASP (US$)** | | | | | 117 | 134 | 148 | 160 | 163 |
| *YoY* | | | | | | *14%* | *11%* | *8%* | *2%* |
| **P&L** | | | | | | | | | |
| **Revenue** | **48,842** | **59,458** | **61,148** | **61,654** | **76,335** | **101,307** | **150,128** | **191,476** | **214,294** |
| **Gross profit** | **23,808** | **31,209** | **30,837** | **28,867** | **38,222** | **51,348** | **76,093** | **97,050** | **108,616** |
| Gross margin | 48.7% | 52.5% | 50.4% | 46.8% | 50.1% | 50.7% | 50.7% | 50.7% | 50.7% |
| OPEX | 5,986 | 7,177 | 7,279 | 7,181 | 8,320 | 10,131 | 15,013 | 19,148 | 21,429 |
| Opex ratio | 12.3% | 12.1% | 11.9% | 11.6% | 10.9% | 10.0% | 10.0% | 10.0% | 10.0% |
| **Operating profit** | **17,821** | **24,033** | **23,558** | **21,685** | **29,902** | **41,217** | **61,081** | **77,903** | **87,186** |
| OPM | 36.5% | 40.4% | 38.5% | 35.2% | 39.2% | 40.7% | 40.7% | 40.7% | 40.7% |
| Non-op | 4,280 | 8,142 | 2,342 | 4,761 | 3,913 | 4,104 | 4,104 | 4,104 | 4,104 |
| **Pre-tax profit** | **22,102** | **32,174** | **25,900** | **26,446** | **33,815** | **45,321** | **65,185** | **82,007** | **91,291** |
| Tax | 4,200 | 5,963 | 4,340 | 4,539 | 5,884 | 7,891 | 11,350 | 14,279 | 15,896 |
| Tax rate | 19.0% | 18.5% | 16.8% | 17.2% | 17.4% | 17.4% | 17.4% | 17.4% | 17.4% |
| Minority | - | 296 | 285 | 241 | 249 | 250 | 250 | 250 | 250 |
| **Net profit** | **17,902** | **25,915** | **21,275** | **21,666** | **27,682** | **37,180** | **53,584** | **67,478** | **75,145** |
| **EPS (NTD, diluted)** | **132.62** | **191.44** | **157.21** | **161.03** | **204.55** | **276.22** | **398.10** | **501.32** | **558.28** |
| *YoY* | *-21%* | *44%* | *-18%* | *2%* | *27%* | *35%* | *44%* | *26%* | *11%* |
| TP implied P/E | | | | | 53.8 | 39.8 | 27.6 | 21.9 | 19.7 |

| | |
|---|---|
| 2030E target P/E | 29.8 |
| Target multiple x EPS | 14,939 |
| **Discounted back to 2027; TP (NTD)** | **11,000** |
| Implied 2027 P/E | 53.8 |

| COE assumption | |
|---|---|
| Beta | 1.1 |
| Risk free | 3.5% |
| Market risk premium | 6.5% |
| **COE** | **10.7%** |

Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

**Exhibit 8: Largan peer comparison**

| Company | Ticker | Rating | PE | NI YoY | | OPM | | Ratio |
|---|---|---|---|---|---|---|---|---|
| | | | 2030E | 2030E | 2031E | 2030E | 2031E | |
| Largan | 3008.TW | Buy | 13.3 | 26% | 11% | 40.7% | 40.7% | 0.2 |
| Largan (TP implied) | 3008.TW | Buy | 29.8 | 26% | 11% | 40.7% | 40.7% | 0.5 |
| **Company** | **Ticker** | **Rating** | **PE** | **NI YoY** | | **OPM** | | **Ratio** |
| | | | **2027E** | **2027E** | **2028E** | **2027E** | **2028E** | |
| Peers | | | | | | | | |
| AAC | 2018.HK | Neutral | 12.4 | 17% | 12% | 9.7% | 10.0% | 0.5 |
| T&S | 300570.SZ | NC | 47.1 | 96% | 62% | 24.2% | 25.4% | 0.5 |
| VPEC | 2455.TW | Buy | 48.9 | 67% | 55% | 35.2% | 37.3% | 0.5 |
| Sumitomo | 5802.JT | Buy | 17.2 | 18% | 25% | 9.8% | 11.2% | 0.5 |
| **Average** | | | **31.4** | **50%** | **38%** | **19.7%** | **21.0%** | **0.5** |

NC: Not Covered; data from Bloomberg consensus. Price as of Oct 9, 2026.

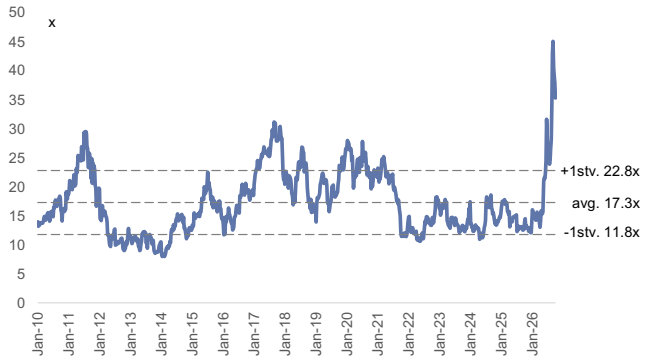
Source: Goldman Sachs Global Investment Research, Bloomberg

**Exhibit 9: Taiwan AI server supply chain enjoys strong re-rating when expanding from consumer electronics to AI data center**

| Company | Ticker | 2020-2025 PE | | |
|---|---|---|---|---|
| | | Trough | Peak | Diff |
| Largan | 3008.TW | 10.6 | 28.0 | 163% |
| **Taiwan AI server supply chain** | | | | |
| Landmark | 3081.TWO | 28.9 | 144.1 | 398% |
| VPEC | 2455.TW | 18.1 | 74.1 | 310% |
| Auras | 3324.TWO | 8.8 | 54.6 | 523% |
| Fositek | 6805.TW | 11.3 | 49.9 | 343% |
| AVC | 3017.TW | 4.7 | 32.8 | 604% |
| Inventec | 2356.TW | 9.9 | 31.0 | 213% |
| King Slide | 2059.TW | 9.0 | 30.2 | 236% |
| Gigabyte | 2376.TW | 3.8 | 29.6 | 685% |
| Mitac | 3706.TW | 2.5 | 28.7 | 1044% |
| Chenbro | 8210.TW | 6.7 | 25.6 | 282% |
| Wiwynn | 6669.TW | 6.1 | 23.4 | 287% |
| Wistron | 3231.TW | 6.0 | 21.8 | 262% |
| Quanta | 2382.TW | 6.8 | 20.4 | 201% |
| Hon Hai | 2317.TW | 7.7 | 17.5 | 129% |
| **Avg.** | | **9.3** | **41.7** | **394%** |

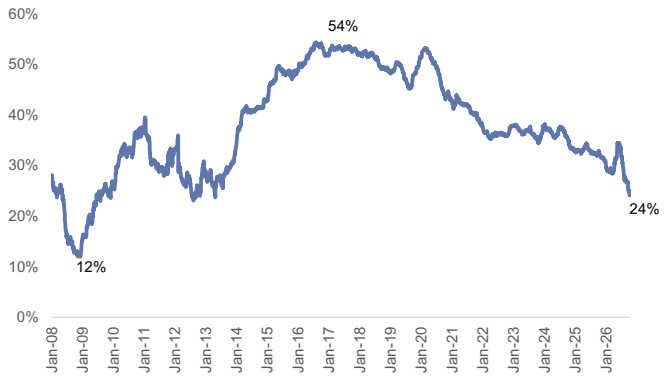
Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

**Exhibit 10: Largan 12M forward PE ratio**




Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

**Exhibit 11: Largan QFII holdings**




Source: TEJ

# Financial tables

## Exhibit 12: Largan P&L

| NT$m | 1Q26 | 2Q26 | 3Q26 | 4Q26E | 1Q27E | 2Q27E | 3Q27E | 4Q27E | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Revenues | 15,544 | 13,665 | 15,651 | 16,794 | 18,095 | 13,322 | 19,655 | 25,263 | 48,842 | 59,458 | 61,148 | 61,654 | 76,335 | 101,307 |
| GP | 7,680 | 6,753 | 6,607 | 7,827 | 9,110 | 6,375 | 9,995 | 12,743 | 23,808 | 31,209 | 30,837 | 28,867 | 38,222 | 51,348 |
| OP income | 5,812 | 5,148 | 4,735 | 5,990 | 7,137 | 4,923 | 7,852 | 9,989 | 17,821 | 24,033 | 23,558 | 21,685 | 29,902 | 41,217 |
| Net income | 6,123 | 4,670 | 5,182 | 5,690 | 6,643 | 4,812 | 7,230 | 8,996 | 17,902 | 25,915 | 21,275 | 21,666 | 27,682 | 37,180 |
| EPS, diluted (NT$) | 46.11 | 35.61 | 39.52 | 39.79 | 49.09 | 35.56 | 53.43 | 66.48 | 132.62 | 191.44 | 157.21 | 161.03 | 204.55 | 276.22 |
| **YoY** | | | | | | | | | | | | | | |
| Revenues | 7% | 17% | -11% | -2% | 16% | -3% | 26% | 50% | 2% | 22% | 3% | 1% | 24% | 33% |
| GP | -4% | 8% | -21% | -5% | 19% | -6% | 51% | 63% | -9% | 31% | -1% | -6% | 32% | 34% |
| OP income | -5% | 6% | -24% | -5% | 23% | -4% | 66% | 67% | -13% | 35% | -2% | -8% | 38% | 38% |
| Net income | -5% | 352% | -27% | -15% | 8% | 3% | 40% | 58% | -21% | 45% | -18% | 2% | 28% | 34% |
| EPS, diluted (NT$) | -3% | 362% | -25% | -19% | 6% | 0% | 35% | 67% | -21% | 44% | -18% | 2% | 27% | 35% |
| **QoQ** | | | | | | | | | | | | | | |
| Revenues | -10% | -12% | 15% | 7% | 8% | -26% | 48% | 29% | | | | | | |
| GP | -7% | -12% | -2% | 18% | 16% | -30% | 57% | 27% | | | | | | |
| OP income | -8% | -11% | -8% | 27% | 19% | -31% | 60% | 27% | | | | | | |
| Net income | -9% | -24% | 11% | 10% | 17% | -28% | 50% | 24% | | | | | | |
| EPS, diluted (NT$) | -6% | -23% | 11% | 1% | 23% | -28% | 50% | 24% | | | | | | |
| **Margins** | | | | | | | | | | | | | | |
| GM | 49.4% | 49.4% | 42.2% | 46.6% | 50.3% | 47.9% | 50.9% | 50.4% | 48.7% | 52.5% | 50.4% | 46.8% | 50.1% | 50.7% |
| OPM | 37.4% | 37.7% | 30.3% | 35.7% | 39.4% | 37.0% | 40.0% | 39.5% | 36.5% | 40.4% | 38.5% | 35.2% | 39.2% | 40.7% |
| NM | 39.4% | 34.2% | 33.1% | 33.9% | 36.7% | 36.1% | 36.8% | 35.6% | 36.7% | 43.6% | 34.8% | 35.1% | 36.3% | 36.7% |
| **Ratios** | | | | | | | | | | | | | | |
| Opex ratio | 12% | 12% | 12% | 11% | 11% | 11% | 11% | 11% | 12% | 12% | 12% | 12% | 11% | 10% |
| Tax rate | 15% | 23% | 14% | 17% | 17% | 17% | 17% | 17% | 19% | 19% | 17% | 17% | 17% | 17% |

Source: Company data, Goldman Sachs Global Investment Research

## Exhibit 13: Largan balance sheet

| NT$ mn | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|
| **Balance Sheet** | | | | | | |
| Cash and equivalents | 107,490 | 113,658 | 115,942 | 115,177 | 136,907 | 152,610 |
| Accounts receivable | 10,091 | 10,360 | 10,462 | 10,484 | 10,430 | 17,325 |
| Inventory | 4,591 | 5,733 | 6,713 | 9,456 | 7,669 | 14,778 |
| Other current assets | 12,149 | 16,012 | 21,169 | 21,169 | 21,169 | 21,169 |
| **Current assets** | **134,321** | **145,764** | **154,285** | **156,285** | **176,174** | **205,882** |
| Net PP&E/Fixed assets | 41,135 | 46,936 | 51,472 | 60,979 | 57,943 | 52,867 |
| Net intangibles | 239 | 505 | 475 | 352 | 345 | 214 |
| Other long-term assets | 19,443 | 23,322 | 14,555 | 14,555 | 14,555 | 14,555 |
| **Non-current assets** | **60,817** | **70,763** | **66,502** | **75,885** | **72,842** | **67,635** |
| **Total assets** | **195,138** | **216,527** | **220,787** | **232,170** | **249,017** | **273,517** |
| Accounts payable | 1,731 | 1,855 | 1,728 | 2,224 | 2,370 | 3,653 |
| Short-term debt | - | 203 | - | - | - | - |
| Other current liabilities | 27,787 | 28,520 | 28,021 | 28,214 | 31,194 | 35,899 |
| **Current liabilities** | **29,517** | **30,578** | **29,749** | **30,439** | **33,564** | **39,551** |
| Long-term debt | - | - | - | - | - | - |
| Other long-term liabilities | 110 | 561 | 171 | 171 | 171 | 171 |
| **Non-current liabilities** | **110** | **561** | **171** | **171** | **171** | **171** |
| **Total liabilities** | **29,627** | **31,139** | **29,919** | **30,609** | **33,735** | **39,722** |
| Common stock | 1,335 | 1,335 | 1,335 | 1,335 | 1,335 | 1,335 |
| Retained earnings | 160,871 | 175,969 | 185,818 | 196,752 | 210,722 | 229,485 |
| Other common equity | 3,305 | 6,215 | 1,714 | 1,714 | 1,714 | 1,714 |
| **Total common equity** | **165,510** | **183,519** | **188,867** | **199,801** | **213,771** | **232,534** |
| Minority interest | - | 1,869 | 2,001 | 1,760 | 1,511 | 1,261 |
| **Total equity** | **165,510** | **185,388** | **190,868** | **201,561** | **215,282** | **233,795** |
| BVPS | 1,226.07 | 1,369.51 | 1,410.38 | 1,498.06 | 1,590.78 | 1,736.96 |
| **Cash conversion cycle** | | | | | | |
| Account receivable days | 68 | 63 | 62 | 62 | 50 | 50 |
| Inventory days | 71 | 67 | 75 | 90 | 82 | 82 |
| Net payable days | 25 | 23 | 22 | 22 | 22 | 22 |
| Cash conversion cycle | 114 | 106 | 116 | 130 | 110 | 110 |
| **Ratios** | | | | | | |
| ROE (common equity) | 11% | 15% | 11% | 11% | 13% | 17% |
| ROA | 9% | 13% | 10% | 10% | 12% | 14% |
| Net debt to total equity | -67% | -64% | -64% | -60% | -67% | -68% |
| Total liabilities to total assets | 15% | 14% | 14% | 13% | 14% | 15% |
| **Dupont analysis** | | | | | | |
| Asset turnover | 0.3 | 0.3 | 0.3 | 0.3 | 0.3 | 0.4 |
| Leverage (assets to equity) | 1.2 | 1.2 | 1.2 | 1.2 | 1.2 | 1.2 |
| Net margin | 36.7% | 43.6% | 34.8% | 35.1% | 36.3% | 36.7% |
| ROE (total equity) | 11% | 15% | 11% | 11% | 13% | 17% |

Source: Company data, Goldman Sachs Global Investment Research

## Exhibit 14: Largan cash flow

| NT$ mn | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|
| **Cash flow statement** | | | | | | |
| Net income | 22,102 | 32,174 | 25,900 | 21,666 | 27,682 | 37,180 |
| Minority interest add-back | - | (296) | (285) | (241) | (249) | (250) |
| Depreciation and amortization add-back | 5,422 | 6,230 | 7,732 | 8,566 | 12,428 | 12,399 |
| (Increase)/decrease in working capital | (1,400) | (1,287) | (1,208) | (2,268) | 1,986 | (12,722) |
| Other operating cash flow items | (7,925) | (5,243) | (6,059) | - | - | - |
| **Cash flow from operating** | **18,199** | **31,579** | **26,080** | **27,723** | **41,847** | **36,607** |
| Capital expenditure | (8,237) | (11,133) | (12,340) | (17,849) | (9,160) | (7,091) |
| Other investment cash flow items | (2,915) | (4,933) | 3,104 | (100) | (225) | (100) |
| **Cash flow from investing** | **(11,151)** | **(16,066)** | **(9,236)** | **(17,949)** | **(9,385)** | **(7,191)** |
| Dividends paid | (11,412) | (9,009) | (13,013) | (10,539) | (10,732) | (13,712) |
| Change in common stock | - | - | - | - | - | - |
| Increase/(decrease) in short-term debt | (19) | 203 | (203) | - | - | - |
| Increase/(decrease) in long-term debt | - | - | - | - | - | - |
| Other financing cash flow items | 1,680 | (1,958) | (241) | - | - | - |
| **Cash flow from financing** | **(9,750)** | **(10,764)** | **(13,458)** | **(10,539)** | **(10,732)** | **(13,712)** |
| Net change in cash | (2,682) | 6,168 | 2,283 | (765) | 21,730 | 15,703 |
| FCF | 9,962 | 20,446 | 13,740 | 9,874 | 32,687 | 29,515 |
| **Ratio** | | | | | | |
| Capex to revenue | 17% | 19% | 20% | 29% | 12% | 7% |

Source: Company data, Goldman Sachs Global Investment Research

**Price Target Risks and Methodology - Largan**

**Valuation**: We are Buy rated on Largan and have a 12-month target price of NT$11,000, which is based on discounted PE. Our target P/E multiple of 29.8x is derived from (1) peers' avg. ratio of trading PE to forward year fundamentals (NI YoY and OPM), which is at 0.5x, and (2) Largan's forward year fundamentals: 2030-31E NI YoY at 19% on avg. and OPM at 41% on avg. We apply the target PE multiple to Largan's 2030E EPS and discount it back to 2027E via a COE of 10.7%, which is based on beta at 1.1x, risk free at 3.5%, and market risk premium at 6.5%. Our target price of NT$11,000 implies 39.8x 2028E PE, the first full year of FAU contribution, which is within Largan's historical trading range of 8.0x to 45.1x, reflecting our positive view on Largan's expansion from handset lens to FAU, which broadens its exposure from consumer electronics to AI data center that enjoys strong market growth, and could support a valuation re-rating. We note that Taiwan AI supply chain also enjoys re-rating when expanding from consumer electronics to AI data center. Maintain Buy.

**Key risks**: (1) slower-than-expected smartphone market growth, (2) fiercer competition in handset lenses, (3) slower-than-expected smartphone camera lens specification upgrades or Largan's handset lens pixel mix upgrade, (4) slower-than-expected FAU ramp up, and (5) fiercer competition in FAU.

# Disclosure Appendix

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**Growth** is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

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**The rating(s) for Largan is/are relative to the other companies in its/their coverage universe:** AAC, ACM Research, AMEC, ASMPT, AVC, AccoTest, Anji Micro, Asus, Auras, BOE, BYDE, Biren, CR Micro, CXMT, Cambricon, Chenbro, China Mobile (HK), China Telecom, China Tower Corp., China Unicom, Chinasoft Intl, Compal, Desay SV, E Ink, E-Town Semis, EHang, Empyrean, Eoptolink, FOCI, Fositek, Foxconn Industrial Internet, Gigabyte, Gigadevice, Glodon Co., HTC Corp., Hikvision, Hon Hai, Horizon Robotics, Hua Hong, Huace Navigation, Huaqin Co.(A), Huaqin Co.(H), Hwatsing, Iluvatar, InnoScience, Innolight (A), Innolight (H), Inspur, Insta360, Inventec, JCET, Kematek, King Slide, Kingdee, Kingsoft Office, LandMark, Largan, Lenovo, Lingyi, Luxshare (A), Luxshare (H), Maxscend, Meitu, MetaX, Mitac, Montage (A), Montage (H), NAURA, NSIG, Nexchip, OmniVision, Pegatron, Pony AI Inc. (ADR), Pony AI Inc. (H), Quanta, RoboTechnik, Ruijie Networks, SG Micro, SICC, SMIC (A), SMIC (H), SZS, Sangfor, SenseTime, Shengyi Tech, Shennan Circuits, StarPower, Sunny Optical, TFC Optical, Thundersoft, Tongyu Communication, Transsion, UMT, UNIS, VPEC, Vanchip, VeriSilicon, Victory Giant, WNC, WUS, WeRide, Wistron, Wiwynn, YJ Semitech, YOFC, Yonyou, ZTE (A), ZTE (H), iFlytek

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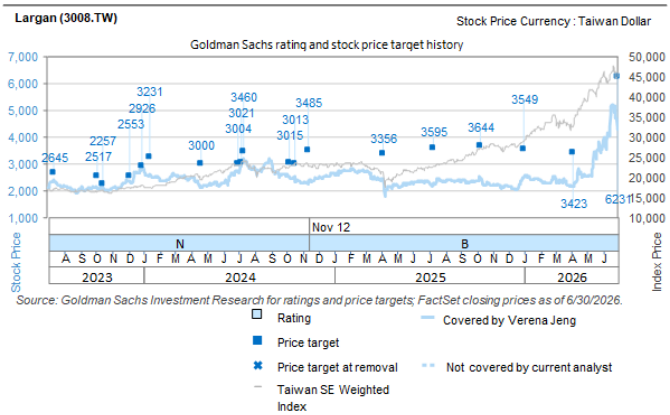
Goldman Sachs Investment Research global Equity coverage universe

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## Target price history table(s)

### Largan (3008.TW)

| Date of report | Target price (NT$) | Closing price (NT$) |
|---|---|---|
| 13-Jul-26 | 6,263.00 | 4,345.00 |
| 30-Jun-26 | 6,231.00 | 4,290.00 |
| 07-Apr-26 | 3,423.00 | 2,170.00 |
| 01-Jan-26 | 3,549.00 | 2,495.00 |
| 09-Oct-25 | 3,644.00 | 2,470.00 |
| 11-Jul-25 | 3,595.00 | 2,285.00 |
| 06-Apr-25 | 3,356.00 | 2,450.00 |
| 12-Nov-24 | 3,485.00 | 2,255.00 |
| 18-Oct-24 | 3,013.00 | 2,325.00 |
| 07-Oct-24 | 3,015.00 | 2,525.00 |
| 11-Jul-24 | 3,460.00 | 3,200.00 |
| 08-Jul-24 | 3,021.00 | 3,030.00 |
| 01-Jul-24 | 3,004.00 | 2,700.00 |
| 21-Apr-24 | 3,000.00 | 2,120.00 |
| 12-Jan-24 | 3,231.00 | 2,600.00 |
| 29-Dec-23 | 2,926.00 | 2,870.00 |
| 06-Dec-23 | 2,553.00 | 2,320.00 |
| 15-Oct-23 | 2,257.00 | 2,175.00 |

Price targets shown in table(s) are unadjusted for corporate actions.

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BofA SECURITIES

# Lotes

# Lighter 3Q26 sales +4% QoQ; improving margins; reiterate Buy, PO to NT$2,245

**Reiterate Rating: BUY | PO: 2,245 TWD | Price: 1,915 TWD**

## Sep sales +5% MoM; lighter 3Q26 sales at +4% QoQ

Lotes posted Sep sales of NT$3.4bn (+5% MoM, +16% YoY). 3Q26 sales of NT$9.9bn (+4% QoQ, +18% YoY) were 11%/3% below BofAe/consensus. We attributed the lighter sales mainly to industry-wise key component shortage (e.g. memory, CPU, PCB), which likely capped the demand in general server and PC. While sales mix by segment is yet to be disclosed, we believe server should remain the biggest segment (BofAe: 55%) in 3Q26, vs. 54%/40% in 2Q26/3Q25. We now project 3Q26 GM at 45.7%, similar to 45.5% in 2Q26, vs. 51.2% in 3Q25, mainly due to higher raw material cost.

## Gradually improving margins; new platform from '27

We project 4Q26 sales +4% QoQ (+12% YoY) amid likely fewer working days in Oct/Dec and market demand push out due to component shortage. Yet, we believe Lotes' quarterly GM should gradually improve with new CPU platform launches in early 2027 and more new products. We project 2027/28E GM at 49.0%/49.9%, considering potential margin dilution from QD (BofAe: 1.4%/3.5%/5.0% of 2026/27/28E sales).

## PO to NT$2,245; reiterate Buy; cost pressure fully aware

We cut 2026-28E EPS by 9-18% to reflect 3Q26 preliminary sales, more conservative margin assumptions under material cost pressure, and higher share count (+1.3%) for new CB (total NT$300mn) and fund-raising plan (maximum 1.3mn shares). We cut PO to NT$2,245 (20x 2027E EPS) from NT$2,800 (was 22x) with valuation base unchanged but a lower P/E multiple. We lower P/E multiple to 20x (2SD above historical average) on industry-wise component tightness, which may partially cap CPU server market demand. In our view, Lotes' near-term margin pressure has been fully reflected as its share price corrected 15% in 3Q26, vs. TAIEX +4%. We reiterate our Buy rating on Lotes as a clear CPU server beneficiary to capture still robust market demand (see Vivek Arya's 15 Sep note), with attractive valuation under 24%/36% sales/EPS CAGR in 2026-28.

| Estimates (Dec) (NT$) | 2024A | 2025A | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|
| Net Income (Adjusted - mn) | 9,277 | 7,866 | 8,936 | 12,748 | 16,550 |
| EPS | 82.77 | 70.17 | 79.20 | 112.26 | 145.74 |
| EPS Change (YoY) | 63.4% | -15.2% | 12.9% | 41.8% | 29.8% |
| Consensus EPS (Visible Alpha) | | | 80.50 | 112.18 | 136.86 |
| Dividend / Share | 41.50 | 35.00 | 39.60 | 56.13 | 72.87 |
| Free Cash Flow / Share | 56.29 | 31.68 | 70.75 | 78.99 | 110.66 |
| **Valuation (Dec)** | | | | | |
| P/E | 23.14x | 27.29x | 24.18x | 17.06x | 13.14x |
| Dividend Yield | 2.17% | 1.83% | 2.07% | 2.93% | 3.81% |
| EV / EBITDA* | 16.14x | 15.60x | 15.10x | 10.82x | 8.64x |
| Free Cash Flow Yield* | 2.93% | 1.65% | 3.70% | 4.16% | 5.83% |

* For full definitions of IQmethod℠ measures, see page 7.

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**Refer to important disclosures on page 8 to 10. Analyst Certification on page 5. Price**

**09 October 2026**

Equity

### Key Changes

| (NT$) | Previous | Current |
|---|---|---|
| Price Obj. | 2,800.00 | 2,245.00 |
| 2026E EPS | 96.64 | 79.20 |
| 2027E EPS | 127.27 | 112.26 |
| 2028E EPS | 160.10 | 145.74 |
| 2026E EBITDA (m) | 16,258.2 | 13,390.2 |
| 2027E EBITDA (m) | 20,846.5 | 18,688.1 |
| 2028E EBITDA (m) | 25,411.6 | 23,392.1 |

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### Stock Data

| | |
|---|---|
| Price | 1,915 TWD |
| Price Objective | 2,245 TWD |
| Date Established | 9-Oct-2026 |
| Investment Opinion | C-1-7 |
| 52-Week Range | 1,140 TWD-2,955 TWD |
| Mrkt Val / Shares Out (mn) | 6,774 USD / 112.5 |
| Market Value (mn) | 215,504 TWD |
| Average Daily Value (mn) | 77.45 USD |
| Free Float | 80.0% |
| BofA Ticker / Exchange | ZYZTF / TAI |
| Bloomberg / Reuters | 3533 TT / 3533.TW |
| ROE (2026E) | 21.8% |
| Net Dbt to Eqty (Dec-2025A) | -30.4% |

Acronyms, see page 4

# *iQ*profile℠ Lotes

| Key Income Statement Data (Dec) | 2024A | 2025A | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|
| **(NT$ Millions)** | | | | | |
| Sales | 30,089 | 33,783 | 39,184 | 49,355 | 60,589 |
| Gross Profit | 15,769 | 17,334 | 18,318 | 24,179 | 30,237 |
| Sell General & Admin Expense | (2,794) | (3,486) | (3,975) | (4,292) | (4,728) |
| Operating Profit | 10,245 | 10,344 | 10,285 | 15,607 | 20,446 |
| Net Interest & Other Income | 1,624 | (154) | 1,072 | 658 | 658 |
| Associates | NA | NA | NA | NA | NA |
| Pretax Income | 11,869 | 10,191 | 11,357 | 16,265 | 21,103 |
| Tax (expense) / Benefit | (2,488) | (2,244) | (2,347) | (3,436) | (4,473) |
| Net Income (Adjusted) | 9,277 | 7,866 | 8,936 | 12,748 | 16,550 |
| Average Fully Diluted Shares Outstanding | 112 | 112 | 113 | 114 | 114 |
| **Key Cash Flow Statement Data** | | | | | |
| Net Income | 9,277 | 7,866 | 8,936 | 12,748 | 16,550 |
| Depreciation & Amortization | 2,279 | 2,610 | 3,105 | 3,081 | 2,947 |
| Change in Working Capital | (2,775) | (1,664) | (1,058) | (4,359) | (4,430) |
| Deferred Taxation Charge | NA | NA | NA | NA | NA |
| Other Adjustments, Net | 1,277 | (284) | 0 | 0 | 0 |
| Cash Flow from Operations | 10,058 | 8,528 | 10,983 | 11,471 | 15,066 |
| Capital Expenditure | (3,749) | (4,976) | (3,000) | (2,500) | (2,500) |
| (Acquisition) / Disposal of Investments | 0 | 0 | 0 | 0 | 0 |
| Other Cash Inflow / (Outflow) | (938) | (881) | 0 | 0 | 0 |
| Cash Flow from Investing | (4,687) | (5,857) | (3,000) | (2,500) | (2,500) |
| Shares Issue / (Repurchase) | 0 | 0 | 0 | 0 | 0 |
| Cost of Dividends Paid | (3,012) | (4,803) | (3,924) | (4,468) | (6,374) |
| Cash Flow from Financing | (322) | (8,844) | (3,924) | (4,468) | (6,374) |
| Free Cash Flow | 6,309 | 3,552 | 7,983 | 8,971 | 12,566 |
| Net Debt | (14,894) | (12,275) | (16,335) | (20,837) | (27,029) |
| Change in Net Debt | (5,526) | 6,159 | (4,060) | (4,503) | (6,192) |
| **Key Balance Sheet Data** | | | | | |
| Property, Plant & Equipment | 10,990 | 13,429 | 13,324 | 12,743 | 12,297 |
| Other Non-Current Assets | 3,459 | 3,770 | 3,770 | 3,770 | 3,770 |
| Trade Receivables | 12,638 | 14,182 | 15,021 | 19,255 | 23,432 |
| Cash & Equivalents | 18,659 | 12,500 | 16,560 | 21,062 | 27,254 |
| Other Current Assets | 4,465 | 6,552 | 6,862 | 7,985 | 9,086 |
| Total Assets | 50,211 | 50,433 | 55,536 | 64,816 | 75,839 |
| Long-Term Debt | 0 | 0 | 0 | 0 | 0 |
| Other Non-Current Liabilities | 1,069 | 1,013 | 1,013 | 1,013 | 1,013 |
| Short-Term Debt | 3,765 | 225 | 225 | 225 | 225 |
| Other Current Liabilities | 7,417 | 8,780 | 8,871 | 9,870 | 10,717 |
| Total Liabilities | 12,251 | 10,018 | 10,109 | 11,108 | 11,956 |
| Total Equity | 37,960 | 40,415 | 45,427 | 53,708 | 63,883 |
| Total Equity & Liabilities | 50,211 | 50,433 | 55,536 | 64,816 | 75,839 |
| ***iQ***method℠ **- Bus Performance*** | | | | | |
| Return On Capital Employed | 22.6% | 19.8% | 18.9% | 24.6% | 27.2% |
| Return On Equity | 29.1% | 21.1% | 21.8% | 26.8% | 29.1% |
| Operating Margin | 34.0% | 30.6% | 26.2% | 31.6% | 33.7% |
| EBITDA Margin | 41.6% | 38.3% | 34.2% | 37.9% | 38.6% |
| ***iQ***method℠ **- Quality of Earnings*** | | | | | |
| Cash Realization Ratio | 1.1x | 1.1x | 1.2x | 0.9x | 0.9x |
| Asset Replacement Ratio | 1.7x | 2.0x | 1.0x | 0.8x | 0.8x |
| Tax Rate (Reported) | 21.0% | 22.0% | 20.7% | 21.1% | 21.2% |
| Net Debt-to-Equity Ratio | -39.2% | -30.4% | -36.0% | -38.8% | -42.3% |
| Interest Cover | NM | NM | NM | NM | NM |

**Key Metrics**

* For full definitions of *iQmethod*℠ measures, see page 7.

## Company Sector

Connectors, Passive Components & Distribution

## Company Description

Lotes was founded in Keelung, Taiwan, in 1986, and went publicly listed on Taiwan Stock Exchange in 2007. Lotes is the global top-tier PC/server CPU socket supplier. It also supplies connector/cable/harness for PC, server, auto and industrial. Key end-customers include global PC brands (Lenovo, HP, Dell, Apple) and global datacenter hyperscalers (FAMG). Besides headquarter in Taiwan, Lotes has production sites in China (Guangzhou, Suzhou, and Hunan) and Vietnam.

## Investment Rationale

We have a Buy rating on Lotes in view of (1) solid CPU server demand outlook, (2) ongoing server/DT CPU platform upgrade to support ASP, (3) double-digit sales/earnings CAGR in 2026-28 with margin improvement in 2027-28, (4) solid balance sheet, and (5) attractive valuation. AI business remains the watch point with potential upside.

## Stock Data

| | |
|---|---|
| Price to Book Value | 5.0x |

**Exhibit 1: We trim our 2026-28E EPS by 9-18%**
Earnings revisions summary, 2026-28E

| | BofA 2026E | | | BofA 2027E | | | BofA 2028E | | |
|---|---|---|---|---|---|---|---|---|---|
| **NT$mn** | **New** | **Old** | **Diff (%)** | **New** | **Old** | **Diff (%)** | **New** | **Old** | **Diff (%)** |
| Sales | 39,184 | 42,108 | -7% | 49,355 | 51,188 | -4% | 60,589 | 61,636 | -2% |
| Gross profit | 18,318 | 21,592 | -15% | 24,179 | 27,133 | -11% | 30,237 | 32,845 | -8% |
| Operating profit | 10,285 | 13,153 | -22% | 15,607 | 17,766 | -12% | 20,446 | 22,465 | -9% |
| Pretax profit | 11,357 | 13,890 | -18% | 16,265 | 18,347 | -11% | 21,103 | 23,045 | -8% |
| Net income | 8,936 | 10,834 | -18% | 12,748 | 14,268 | -11% | 16,550 | 17,947 | -8% |
| EPS (NT$) | 79.20 | 96.64 | -18% | 112.26 | 127.27 | -12% | 145.74 | 160.10 | -9% |
| **Margin %** | | | | | | | | | |
| Gross margin | 46.7% | 51.3% | | 49.0% | 53.0% | | 49.9% | 53.3% | |
| Operating margin | 26.2% | 31.2% | | 31.6% | 34.7% | | 33.7% | 36.4% | |
| Pre-tax margin | 29.0% | 33.0% | | 33.0% | 35.8% | | 34.8% | 37.4% | |
| Net margin | 22.8% | 25.7% | | 25.8% | 27.9% | | 27.3% | 29.1% | |

**Source:** BofA Global Research estimates

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**Exhibit 2: Our 2026-27E EPS is 2-4% below consensus while 2028E EPS is 4% above consensus**
BofAe vs. consensus, 2026-28E

| | 2026E | | | 2027E | | | 2028E | | |
|---|---|---|---|---|---|---|---|---|---|
| **NT$mn** | **BofAe** | **Consensus** | **Diff (%)** | **BofAe** | **Consensus** | **Diff (%)** | **BofAe** | **Consensus** | **Diff (%)** |
| Sales | 39,184 | 39,887 | -2% | 49,355 | 49,638 | -1% | 60,589 | 58,506 | 4% |
| Gross profit | 18,318 | 18,684 | -2% | 24,179 | 24,428 | -1% | 30,237 | 29,618 | 2% |
| Operating profit | 10,285 | 10,471 | -2% | 15,607 | 15,489 | 1% | 20,446 | 19,590 | 4% |
| Pretax profit | 11,357 | 11,699 | -3% | 16,265 | 16,295 | 0% | 21,103 | 20,319 | 4% |
| Net income | 8,936 | 9,168 | -3% | 12,748 | 12,725 | 0% | 16,550 | 15,756 | 5% |
| EPS (NT$) | 79.20 | 82.40 | -4% | 112.26 | 114.37 | -2% | 145.74 | 140.29 | 4% |
| **Margin %** | | | | | | | | | |
| Gross margin | 46.7% | 46.8% | | 49.0% | 49.2% | | 49.9% | 50.6% | |
| Operating margin | 26.2% | 26.3% | | 31.6% | 31.2% | | 33.7% | 33.5% | |
| Pre-tax margin | 29.0% | 29.3% | | 33.0% | 32.8% | | 34.8% | 34.7% | |
| Net margin | 22.8% | 23.0% | | 25.8% | 25.6% | | 27.3% | 26.9% | |

**Source:** BofA Global Research estimates, Bloomberg consensus

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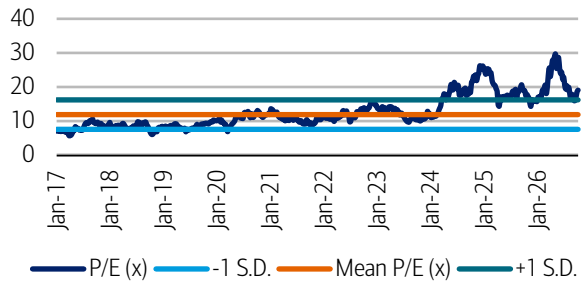
**Exhibit 3: Our new 3Q26E EPS was 6% below consensus**
3Q26 key earnings change summary and comparison to consensus

| | 3Q26 BofAe | | | 3Q26 BofAe | | 3Q26 | | | |
|---|---|---|---|---|---|---|---|---|---|
| **NT$mn** | **New** | **QoQ %** | **YoY %** | **Old** | **Diff (%)** | **Consensus** | **Diff (%)** | **2Q26** | **3Q25** |
| Sales | 9,924 | 4% | 18% | 11,088 | -11% | 10,235 | -3% | 9,569 | 8,422 |
| Gross profit | 4,533 | 4% | 5% | 5,781 | -22% | 4,690 | -3% | 4,351 | 4,313 |
| Operating profit | 2,568 | 22% | 2% | 3,585 | -28% | 2,698 | -5% | 2,103 | 2,525 |
| Pretax profit | 2,719 | 5% | -6% | 3,727 | -27% | 2,902 | -6% | 2,598 | 2,882 |
| Net income | 2,150 | 8% | -7% | 2,956 | -27% | 2,273 | -5% | 1,984 | 2,318 |
| EPS (NT$) | 19.06 | 8% | -8% | 26.37 | -28% | 20.36 | -6% | 17.59 | 20.68 |
| **Margin %** | | | | | | | | | |
| Gross margin | 45.7% | 0.2 ppt | -5.5 ppt | 52.1% | -6.5 ppt | 45.8% | -0.2 ppt | 45.5% | 51.2% |
| Operating margin | 25.9% | 3.9 ppt | -4.1 ppt | 32.3% | -6.5 ppt | 26.4% | -0.5 ppt | 22.0% | 30.0% |
| Pre-tax margin | 27.4% | 0.2 ppt | -6.8 ppt | 33.6% | -6.2 ppt | 28.4% | -1.0 ppt | 27.1% | 34.2% |
| Net margin | 21.7% | 0.9 ppt | -5.9 ppt | 26.7% | -5.0 ppt | 22.2% | -0.5 ppt | 20.7% | 27.5% |

**Source:** BofA Global Research estimates, Bloomberg consensus. Diff: difference to new 3Q26 BofAe data

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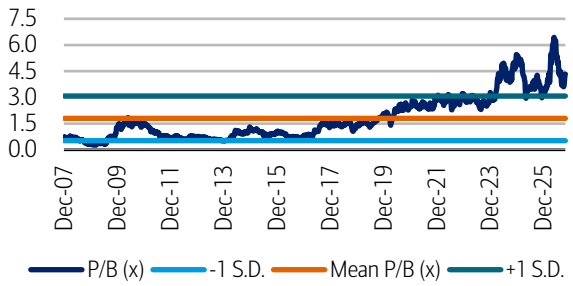
**Exhibit 4: Lotes' historical P/E trading average since 2017 is 12x**
Lotes' P/E trend and -1/+1 standard deviation since 2017




**Source:** BofA Global Research estimates, Bloomberg

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**Exhibit 5: Lotes' historical P/B trading average since the IPO is 1.8x**
Lotes' P/B trend and -1/+1 standard deviation since the IPO




**Source:** BofA Global Research estimates, Bloomberg

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**Exhibit 4: We model 2026-28E sales/EPS CAGR at 24%/36%**
Quarterly earnings summary, 2025-28E

| NT$mn | 1Q26 | 2Q26 | 3Q26E | 4Q26E | 1Q27E | 2Q27E | 3Q27E | 4Q27E | 1Q28E | 2Q28E | 3Q28E | 4Q28E | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Sales | 9,328 | 9,569 | 9,924 | 10,364 | 10,467 | 11,402 | 12,981 | 14,506 | 14,214 | 14,704 | 15,466 | 16,205 | 33,783 | 39,184 | 49,355 | 60,589 |
| Gross profit | 4,622 | 4,351 | 4,533 | 4,813 | 4,961 | 5,558 | 6,430 | 7,230 | 7,134 | 7,369 | 7,722 | 8,011 | 17,334 | 18,318 | 24,179 | 30,237 |
| Operating profit | 2,708 | 2,103 | 2,568 | 2,906 | 3,057 | 3,517 | 4,198 | 4,836 | 4,689 | 4,899 | 5,309 | 5,548 | 10,344 | 10,285 | 15,607 | 20,446 |
| Pretax profit | 3,003 | 2,598 | 2,719 | 3,037 | 3,208 | 3,670 | 4,399 | 4,988 | 4,841 | 5,051 | 5,511 | 5,700 | 10,191 | 11,357 | 16,265 | 21,103 |
| Net income | 2,397 | 1,984 | 2,150 | 2,405 | 2,547 | 2,732 | 3,500 | 3,970 | 3,853 | 3,768 | 4,389 | 4,540 | 7,866 | 8,936 | 12,748 | 16,550 |
| EPS (NT$) | 21.24 | 17.59 | 19.06 | 21.31 | 22.42 | 24.06 | 30.82 | 34.96 | 33.93 | 33.18 | 38.65 | 39.98 | 70.17 | 79.20 | 112.26 | 145.74 |
| **Margin %** | | | | | | | | | | | | | | | | |
| Gross margin | 49.5% | 45.5% | 45.7% | 46.4% | 47.4% | 48.7% | 49.5% | 49.8% | 50.2% | 50.1% | 49.9% | 49.4% | 51.3% | 46.7% | 49.0% | 49.9% |
| Operating margin | 29.0% | 22.0% | 25.9% | 28.0% | 29.2% | 30.8% | 32.3% | 33.3% | 33.0% | 33.3% | 34.3% | 34.2% | 30.6% | 26.2% | 31.6% | 33.7% |
| Pretax margin | 32.2% | 27.1% | 27.4% | 29.3% | 30.7% | 32.2% | 33.9% | 34.4% | 34.1% | 34.4% | 35.6% | 35.2% | 30.2% | 29.0% | 33.0% | 34.8% |
| Net margin | 25.7% | 20.7% | 21.7% | 23.2% | 24.3% | 24.0% | 27.0% | 27.4% | 27.1% | 25.6% | 28.4% | 28.0% | 23.3% | 22.8% | 25.8% | 27.3% |
| **QoQ %** | | | | | | | | | | | | | | | | |
| Sales | 1% | 3% | 4% | 4% | 1% | 9% | 14% | 12% | -2% | 3% | 5% | 5% | | | | |
| Gross profit | -3% | -6% | 4% | 6% | 3% | 12% | 16% | 12% | -1% | 3% | 5% | 4% | | | | |
| Operating profit | -2% | -22% | 22% | 13% | 5% | 15% | 19% | 15% | -3% | 4% | 8% | 4% | | | | |
| Pretax profit | -7% | -13% | 5% | 12% | 6% | 14% | 20% | 13% | -3% | 4% | 9% | 3% | | | | |
| Net income | -5% | -17% | 8% | 12% | 6% | 7% | 28% | 13% | -3% | -2% | 16% | 3% | | | | |
| **YoY %** | | | | | | | | | | | | | | | | |
| Sales | 20% | 15% | 18% | 12% | 12% | 19% | 31% | 40% | 36% | 29% | 19% | 12% | 12% | 16% | 26% | 23% |
| Gross profit | 16% | 2% | 5% | 1% | 7% | 28% | 42% | 50% | 44% | 33% | 20% | 11% | 10% | 6% | 32% | 25% |
| Operating profit | 11% | -19% | 2% | 5% | 13% | 67% | 63% | 66% | 53% | 39% | 26% | 15% | 1% | -1% | 52% | 31% |
| Pretax profit | 5% | 113% | -6% | -6% | 7% | 41% | 62% | 64% | 51% | 38% | 25% | 14% | -14% | 11% | 43% | 30% |
| Net income | 5% | 165% | -7% | -5% | 6% | 38% | 63% | 65% | 51% | 38% | 25% | 14% | -15% | 14% | 43% | 30% |

**Source:** BofA Global Research estimates, company data

BofA GLOBAL RESEARCH

**Exhibit 11: Acronyms**
Acronyms used through the report

| Acronym | | Acronym | | Acronym | |
|---|---|---|---|---|---|
| AI | Artificial Intelligence | FX | Foreign Exchange | PC | Personal Computer |
| AMD | Advanced Micro Devices (AMD US) | GM | Gross Margin | P/E | Price to Earnings |
| ASP | Average Selling Price | GPU | Graphic Processing Unit | PO | Price Objective |
| CAGR | Compound Annual Growth Rate | IPO | Initial Public Offering | QD | Quick Disconnect |
| CPU | Central Processing Unit | NPO | Near-Packaged Optics | R&D | Research & Development |
| DT | Desktop | NTD / NT$ | New Taiwan Dollar | RMB | Renminbi (Chinese Yuan) |
| EPS | Earnings Per Share | OPM | Operating Profit Margin | SD | Standard Deviation |
| FAMG | Facebook (Meta), Amazon, Microsoft, Google | P/B | Price to Book | USD / US$ | US Dollars |

**Source:** BofA Global Research

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## Price objective basis & risk

**Lotes (ZYZTF)**
Our PO of NT$2,245 is based on 20x 2027E EPS. Our valuation multiple of 20x (2SD above historical P/E trading average) reflects rising sales mix from better-margin server business with ASP increase, double-digit sales/EPS CAGR in 2026-28, and solid balance sheet. Our P/E multiple can also be justified by solid CPU server demand amid accelerating agentic AI needs, Lotes' top position as desktop/server CPU socket supplier to ride on Intel/AMD's ongoing desktop/server CPU platform upgrade.

Upside risks: (1) further ASP increase thanks to faster adoption/penetration of new DT/server platform and new product, (2) faster progress in AI related business, (3) faster AI PC launch/adoption, (4) GM upside from lowering/stabilizing raw material prices, and (5) more favorable FX (USD/NTD and/or USD/RMB) movement to benefit GM and/or non-operating items.

Downside risks: (1) slower ASP increase due to new CPU platform delay, (2) slower progress from AI business, (3) weaker PC/server market demand amid inflation/macro uncertainties, (4) GM pressure from higher raw material prices, (5) higher labor/logistics cost from supply-chain disruption and uncertain China lockdown policy, (6) unfavorable FX movement to weigh on GM and/or non-operating items, and (7) peers' more aggressive pricing competition.

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**APR - Technology Hardware Coverage Cluster**

| Investment rating | Company | BofA Ticker | Bloomberg symbol | Analyst |
|---|---|---|---|---|
| **BUY** | | | | |
| | AAC Technologies | AACAF | 2018 HK | Katherine Zhu |
| | Advantech | ADTEF | 2395 TT | Robert Cheng |
| | Asia Vital Components | AVMPF | 3017 TT | Doris Kao |
| | Asustek | AKCPF | 2357 TT | Robert Cheng |
| | BizLink | BIZLF | 3665 TT | Doris Kao |
| | Chenbro | CEOMF | 8210 TT | Doris Kao |
| | Cowell | CWLLF | 1415 HK | Katherine Zhu |
| | Crystal-Optech | XMKAF | 002273 CH | Katherine Zhu |
| | Delta Electronics (Thailand) | XLETF | DELTA TB | Suppapong Iemkongaek, CFA, CMT |
| | Delta Electronics Inc. | DLTEF | 2308 TT | Robert Cheng |
| | Duksan Neolux | XDSXF | 213420 KS | Simon Woo, CFA |
| | Dynamic Holding | XLHCF | 3715 TT | Mike Yang |
| | Elite Material | ETMCF | 2383 TT | Mike Yang |
| | Foxconn Industrial Internet | XDAZF | 601138 CH | Robert Cheng |
| | Goertek | XGKCF | 002241 CH | Katherine Zhu |
| | Gold Circuit | GOCCF | 2368 TT | Doris Kao |
| | Hana Microelectronics | XHNNF | HANA TB | Suppapong Iemkongaek, CFA, CMT |
| | Hon Hai Precision Industry | HNHAF | 2317 TT | Robert Cheng |
| | Huaqin | XHUAF | 603296 CH | Katherine Zhu |
| | Huaqin | XPEZF | 3296 HK | Katherine Zhu |
| | ISU Petasys | IPTYF | 007660 KS | Matt Shin |
| | Jentech | XVFSF | 3653 TT | Doris Kao |
| | KCE Electronics | XKKRF | KCE TB | Suppapong Iemkongaek, CFA, CMT |
| | King Slide | KGSLF | 2059 TT | Doris Kao |
| | Kingboard Laminates | KGBLF | 1888 HK | Katherine Zhu |
| | Kinsus | KNSUF | 3189 TT | Mike Yang |
| | Largan Precision | LGANF | 3008 TT | Robert Cheng |
| | Lenovo Group | LNVGF | 992 HK | Robert Cheng |
| | Lenovo Group | LNVGY | LNVGY US | Robert Cheng |
| | Lens Tech | XLTVF | 6613 HK | Katherine Zhu |
| | LG CNS | XLGLF | 064400 KS | Simon Woo, CFA |
| | LG Electronics | LGEAF | 066570 KS | Simon Woo, CFA |
| | LG Innotek | XLGQF | 011070 KS | Simon Woo, CFA |
| | Lotes | ZYZTF | 3533 TT | Doris Kao |
| | Luxshare | XNJQF | 002475 CH | Katherine Zhu |
| | Netweb Technologies | XNTZF | NETWEB IN | Jatin Kalra, CFA |
| | NYPCB | NANYF | 8046 TT | Mike Yang |
| | Quanta Computer | QUCPF | 2382 TT | Robert Cheng |
| | Samsung Electro-Mechanics | SMSGF | 009150 KS | Simon Woo, CFA |
| | Samsung SDI | SSDIF | 006400 KS | Simon Woo, CFA |
| | Samsung SDS | XWPBF | 018260 KS | Simon Woo, CFA |
| | Shennan Circuits | XAMKF | 002916 CH | Katherine Zhu |
| | Taiwan Union Technology Corporation | TWUNF | 6274 TT | Mike Yang |
| | Unimicron | UMCRF | 3037 TT | Mike Yang |
| | Universal Display | OLED | OLED US | Simon Woo, CFA |
| | Victory Giant | XENEF | 300476 CH | Katherine Zhu |
| | Wistron | WICOF | 3231 TT | Doris Kao |
| | Wiwynn | XWIQF | 6669 TT | Robert Cheng |
| | Xiaomi Corporation | XIACF | 1810 HK | Robert Cheng |
| | Yageo | YGEQF | 2327 TT | Robert Cheng |
| | Zhen Ding Tech | XFAGF | 4958 TT | Doris Kao |
| | Zhongji Innolight | XZICF | 300308 CH | Katherine Zhu |
| **NEUTRAL** | | | | |
| | Auras Technology | AUTCF | 3324 TT | Doris Kao |
| | BYD Electronic | BYDIF | 285 HK | Katherine Zhu |
| | DS Precision | XBASF | 002384 CH | Katherine Zhu |
| | E Ink Holdings | PVWIF | 8069 TT | Doris Kao |
| | Lite-On Tech | LOTZF | 2301 TT | Doris Kao |
| | Sunny Optical | SNPTF | 2382 HK | Katherine Zhu |
| **UNDERPERFORM** | | | | |
| | Acer | ASIYF | 2353 TT | Robert Cheng |
| | Catcher Tech | CHERF | 2474 TT | Robert Cheng |
| | Compal Electron | XLCPF | 2324 TT | Doris Kao |

**APR - Technology Hardware Coverage Cluster**

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| | Genius Electronic Optical | GNSEF | 3406 TT | Robert Cheng |
| | Lens Tech | XLTGF | 300433 CH | Katherine Zhu |
| | LG Display | LPHLF | 034220 KS | Simon Woo, CFA |
| | LG Display-ADR | LPL | LPL US | Simon Woo, CFA |
| | Pegatron | PGTRF | 4938 TT | Robert Cheng |
| | Sanan Opto | XEQYF | 600703 CH | Katherine Zhu |
| | Seoul Semiconductor | SLSOF | 046890 KS | Simon Woo, CFA |
| | Shengyi | DGUNF | 600183 CH | Mike Yang |
| | Sunway Communications | XWSVF | 300136 CH | Katherine Zhu |
| | Transsion | XCINF | 688036 CH | Robert Cheng |
| | ZTE Corporation | SHZZF | 000063 CH | Katherine Zhu |
| | ZTE Corporation | ZTCOF | 763 HK | Katherine Zhu |

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| Business Performance | Numerator | Denominator |
|---|---|---|
| Return On Capital Employed | NOPAT = (EBIT + Interest Income) × (1 − Tax Rate) + Goodwill Amortization | Total Assets − Current Liabilities + ST Debt + Accumulated Goodwill Amortization |
| Return On Equity | Net Income | Shareholders' Equity |
| Operating Margin | Operating Profit | Sales |
| Earnings Growth | Expected 5 Year CAGR From Latest Actual | N/A |
| Free Cash Flow | Cash Flow From Operations − Total Capex | N/A |
| **Quality of Earnings** | **Numerator** | **Denominator** |
| Cash Realization Ratio | Cash Flow From Operations | Net Income |
| Asset Replacement Ratio | Capex | Depreciation |
| Tax Rate | Tax Charge | Pre-Tax Income |
| Net Debt-To-Equity Ratio | Net Debt = Total Debt − Cash & Equivalents | Total Equity |
| Interest Cover | EBIT | Interest Expense |
| **Valuation Toolkit** | **Numerator** | **Denominator** |
| Price / Earnings Ratio | Current Share Price | Diluted Earnings Per Share (Basis As Specified) |
| Price / Book Value | Current Share Price | Shareholders' Equity / Current Basic Shares |
| Dividend Yield | Annualised Declared Cash Dividend | Current Share Price |
| Free Cash Flow Yield | Cash Flow From Operations − Total Capex | Market Cap = Current Share Price × Current Basic Shares |
| Enterprise Value / Sales | EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities | Sales |
| EV / EBITDA | Enterprise Value | Basic EBIT + Depreciation + Amortization |

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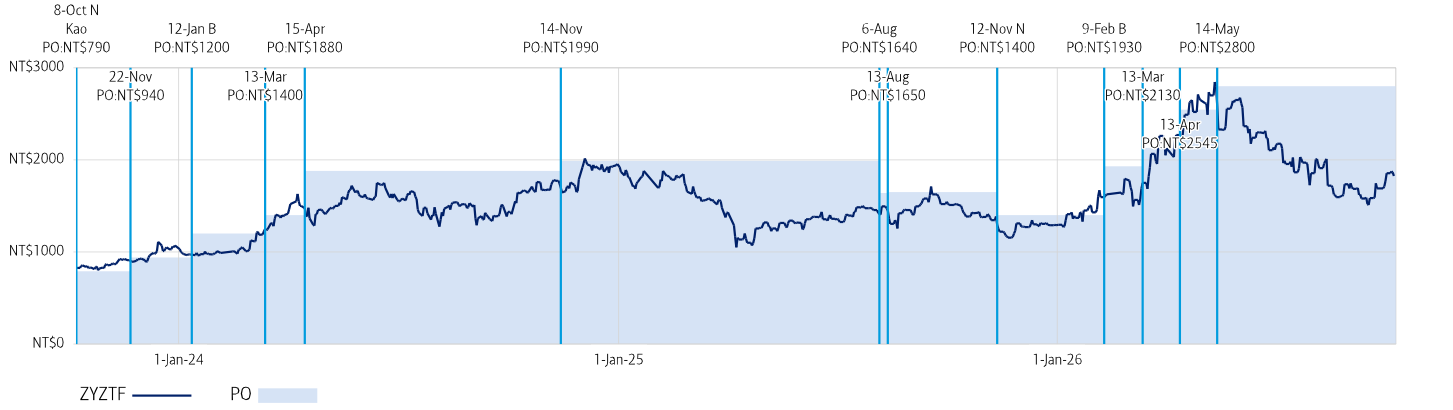
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**Equity Investment Rating Distribution: Electronics Group (as of 30 Sep 2026)**

| Coverage Universe | Count | Percent | Inv. Banking Relationships [R1] | Count | Percent |
|---|---|---|---|---|---|
| Buy | 41 | 65.08% | Buy | 20 | 48.78% |
| Hold | 9 | 14.29% | Hold | 1 | 11.11% |
| Sell | 13 | 20.63% | Sell | 7 | 53.85% |

**Equity Investment Rating Distribution: Global Group (as of 30 Sep 2026)**

| Coverage Universe | Count | Percent | Inv. Banking Relationships [R1] | Count | Percent |
|---|---|---|---|---|---|
| Buy | 2057 | 57.03% | Buy | 1386 | 67.38% |
| Hold | 806 | 22.35% | Hold | 563 | 69.85% |
| Sell | 744 | 20.63% | Sell | 446 | 59.95% |

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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| Investment rating | Total return expectation (within 12-month period of date of initial rating) | Ratings dispersion guidelines for coverage cluster[R2] |
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| Neutral | ≥ 0% | ≤ 30% |
| Underperform | N/A | ≥ 20% |

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# Largan (3008.TW)

## FAU to drive strong earnings growth and re-rating; TP up to NT$11,000, Buy

| 3008.TW | 12m Price Target: **NT$11,000.00** | Price: **NT$6,660.00** | Upside: **65.2%** |
|---|---|---|---|

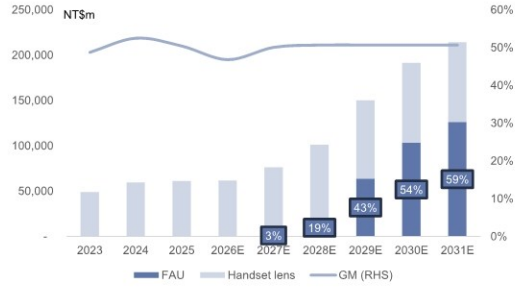
**BUY**

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We are positive on Largan and expect its strong alignment technology to continue supporting its expansion from handset lens into FA and FAU for CPO switches. The company's FA has passed customer qualification with strong positive feedback, while customers prefer to purchase its integrated product (FA+FAU), reaffirming our positive view on Largan's business expansion. Management highlights that its strong alignment and automated production provide strong precision, fast production and testing, supporting customer penetration. We model FAU revenue contribution at 3% in 2027E and above 50% in 2030E, driving Largan's earnings growth, margin expansion, and valuation re-rating. Maintain Buy with TP up to NT$11,000 (implies 39.8x 2028E PE).

**Exhibit 1: Largan revenues by products and GM trend**




Source: Company data, Goldman Sachs Global Investment Research

**3-month revenue preview:** Largan delivered weak revenue growth in 3Q26 with revenue -11% YoY, which we attribute to a slow smartphone market amid high memory costs, fewer model launches of its major smartphone brand customer, and foldable phones released in 4Q26 (report link). The miss also reflects a slower handset lens pixel mix upgrade than we had previously estimated.

### Key Data

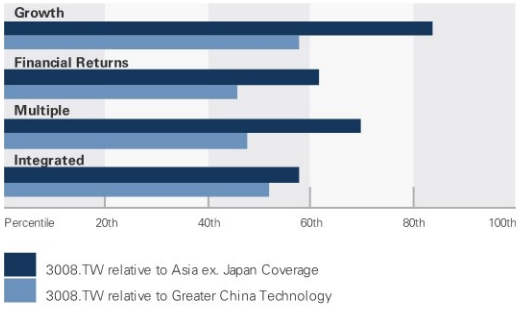
Market cap: NT$896.1bn / $28.1bn
Enterprise value: NT$782.7bn / $24.5bn
3m ADTV: NT$13.2bn / $413.8mn
Taiwan
Greater China Technology
M&A Rank: 3
Leases incl. in net debt & EV?: No

### GS Forecast

| | 12/25 | 12/26E | 12/27E | 12/28E |
|---|---|---|---|---|
| **Revenue (NT$ mn) New** | **61,147.9** | **61,653.5** | **76,334.7** | **101,306.6** |
| Revenue (NT$ mn) Old | 61,147.9 | 65,503.4 | 76,561.8 | 85,020.5 |
| EBITDA (NT$ mn) | 31,290.3 | 30,251.2 | 42,329.3 | 53,616.0 |
| **EPS (NT$) New** | **159.41** | **162.60** | **207.41** | **278.57** |
| EPS (NT$) Old | 159.41 | 187.34 | 217.11 | 239.29 |
| P/E (X) | 14.8 | 41.0 | 32.1 | 23.9 |
| P/B (X) | 1.7 | 4.5 | 4.2 | 3.9 |
| Dividend yield (%) | 3.3 | 1.2 | 1.5 | 2.1 |
| CROCI (%) | 11.2 | 11.5 | 14.4 | 16.2 |

| | 9/26 | 12/26E | 3/27E | 6/27E |
|---|---|---|---|---|
| EPS (NT$) | 39.62 | 40.65 | 49.77 | 36.05 |

### GS Factor Profile




Source: Company data, Goldman Sachs Research estimates. See disclosures for details.

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BUY

# Largan (3008.TW)

Rating since Nov 12, 2024

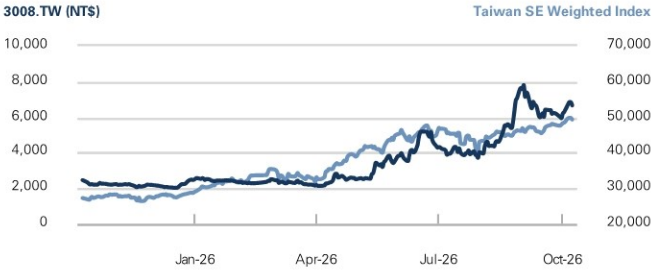
## Ratios & Valuation

| | 12/25 | 12/26E | 12/27E | 12/28E |
|---|---|---|---|---|
| P/E (X) | 14.8 | 41.0 | 32.1 | 23.9 |
| P/B (X) | 1.7 | 4.5 | 4.2 | 3.9 |
| FCF yield (%) | 4.3 | 1.1 | 3.7 | 3.3 |
| EV/EBITDAR (X) | 6.4 | 25.6 | 17.8 | 13.8 |
| EV/EBITDA (excl. leases) (X) | 6.4 | 25.6 | 17.8 | 13.8 |
| CROCI (%) | 11.2 | 11.5 | 14.4 | 16.2 |
| ROE (%) | 11.4 | 11.1 | 13.4 | 16.7 |
| Net debt/equity (%) | (64.1) | (60.3) | (66.6) | (68.0) |
| Net debt/equity (excl. leases) (%) | (64.1) | (60.3) | (66.6) | (68.0) |
| Interest cover (X) | 15,611.8 | 7,608.9 | 9,940.7 | 13,702.5 |
| Days inventory outst, sales | 37.1 | 47.9 | 40.9 | 40.4 |
| Receivable days | 62.1 | 62.0 | 50.0 | 50.0 |
| Days payable outstanding | 21.6 | 22.0 | 22.0 | 22.0 |
| DuPont ROE (%) | 11.1 | 10.7 | 12.9 | 15.9 |
| Turnover (X) | 0.3 | 0.3 | 0.3 | 0.4 |
| Leverage (X) | 1.2 | 1.2 | 1.2 | 1.2 |
| Gross cash invested (ex cash) (NT$) | 222,420.9 | 241,679.6 | 267,828.7 | 298,740.5 |
| Average capital employed (NT$) | 73,429.5 | 80,655.1 | 82,379.7 | 79,780.5 |
| BVPS (NT$) | 1,395.59 | 1,484.98 | 1,579.62 | 1,727.59 |

## Growth & Margins (%)

| | 12/25 | 12/26E | 12/27E | 12/28E |
|---|---|---|---|---|
| Total revenue growth | 2.8 | 0.8 | 23.8 | 32.7 |
| EBITDA growth | 3.4 | (3.3) | 39.9 | 26.7 |
| EPS growth | (19.7) | 2.0 | 27.6 | 34.3 |
| DPS growth | (19.0) | 2.4 | 27.0 | 35.0 |
| EBIT margin | 38.5 | 35.2 | 39.2 | 40.7 |
| EBITDA margin | 51.2 | 49.1 | 55.5 | 52.9 |
| Net income margin | 34.8 | 35.1 | 36.3 | 36.7 |

## Price Performance




| | 3m | 6m | 12m |
|---|---|---|---|
| Absolute | 68.6% | 192.1% | 168.0% |
| Rel. to the Taiwan SE Weighted Index | 56.4% | 105.9% | 47.1% |

Source: FactSet. Price as of 8 Oct 2026 close.

## Income Statement (NT$ mn)

| | 12/25 | 12/26E | 12/27E | 12/28E |
|---|---|---|---|---|
| Total revenue | 61,147.9 | 61,653.5 | 76,334.7 | 101,306.6 |
| Cost of goods sold | (30,310.8) | (32,786.7) | (38,112.7) | (49,958.8) |
| SG&A | (1,985.5) | (1,885.5) | (1,832.0) | (1,620.9) |
| R&D | (5,293.3) | (5,295.8) | (6,488.4) | (8,509.8) |
| Other operating inc./(exp.) | – | – | – | – |
| **EBITDA** | **31,290.3** | **30,251.2** | **42,329.3** | **53,616.0** |
| Depreciation & amortization | (7,732.0) | (8,565.7) | (12,427.8) | (12,398.9) |
| **EBIT** | **23,558.3** | **21,685.5** | **29,901.5** | **41,217.1** |
| Net interest inc./(exp.) | 4,258.6 | 3,896.3 | 3,913.0 | 4,104.2 |
| Income/(loss) from associates | 87.0 | 83.3 | – | – |
| **Pre-tax profit** | **25,900.2** | **26,446.2** | **33,814.6** | **45,321.3** |
| Provision for taxes | (4,340.0) | (4,539.3) | (5,883.7) | (7,891.5) |
| Minority interest | (284.9) | (241.0) | (248.7) | (250.2) |
| Preferred dividends | – | – | – | – |
| **Net inc. (pre-exceptionals)** | **21,275.4** | **21,665.9** | **27,682.2** | **37,179.6** |
| Post-tax exceptionals | – | – | – | – |
| **Net inc. (post-exceptionals)** | **21,275.4** | **21,665.9** | **27,682.2** | **37,179.6** |
| **EPS (basic, pre-except) (NT$)** | **159.41** | **162.60** | **207.41** | **278.57** |
| **EPS (diluted, pre-except) (NT$)** | **157.21** | **161.03** | **204.55** | **276.22** |
| **EPS (basic, post-except) (NT$)** | **159.41** | **162.60** | **207.41** | **278.57** |
| **EPS (diluted, post-except) (NT$)** | **157.21** | **161.03** | **204.55** | **276.22** |
| DPS (NT$) | 77.87 | 79.76 | 101.32 | 136.83 |
| Div. payout ratio (%) | 48.9 | 49.1 | 48.9 | 49.1 |

## Balance Sheet (NT$ mn)

| | 12/25 | 12/26E | 12/27E | 12/28E |
|---|---|---|---|---|
| Cash & cash equivalents | 115,941.7 | 115,177.0 | 136,906.6 | 152,609.6 |
| Accounts receivable | 10,461.7 | 10,483.6 | 10,430.0 | 17,325.2 |
| Inventory | 6,713.2 | 9,455.6 | 7,669.0 | 14,778.3 |
| Other current assets | 21,168.8 | 21,168.8 | 21,168.8 | 21,168.8 |
| **Total current assets** | **154,285.5** | **156,285.0** | **176,174.5** | **205,881.9** |
| Net PP&E | 51,472.4 | 60,978.8 | 57,943.2 | 52,866.6 |
| Net intangibles | 474.6 | 351.6 | 344.5 | 213.7 |
| Total investments | 26.5 | 26.5 | 26.5 | 26.5 |
| Other long-term assets | 14,528.1 | 14,528.1 | 14,528.1 | 14,528.1 |
| **Total assets** | **220,787.0** | **232,169.9** | **249,016.8** | **273,516.7** |
| Accounts payable | 1,727.9 | 2,224.5 | 2,369.9 | 3,652.5 |
| Short-term debt | 0.0 | 0.0 | 0.0 | 0.0 |
| Short-term lease liabilities | – | – | – | – |
| Other current liabilities | 28,020.6 | 28,214.1 | 31,194.1 | 35,898.7 |
| **Total current liabilities** | **29,748.5** | **30,438.5** | **33,564.1** | **39,551.2** |
| Long-term debt | – | – | – | – |
| Long-term lease liabilities | – | – | – | – |
| Other long-term liabilities | 170.6 | 170.6 | 170.6 | 170.6 |
| **Total long-term liabilities** | **170.6** | **170.6** | **170.6** | **170.6** |
| **Total liabilities** | **29,919.1** | **30,609.1** | **33,734.6** | **39,721.7** |
| Preferred shares | – | – | – | – |
| Total common equity | 188,867.2 | 199,801.1 | 213,771.1 | 232,534.0 |
| **Minority interest** | **2,000.8** | **1,759.8** | **1,511.1** | **1,261.0** |
| **Total liabilities & equity** | **220,787.0** | **232,169.9** | **249,016.8** | **273,516.7** |
| Net debt, adjusted | (122,308.6) | (121,543.8) | (143,273.5) | (158,976.5) |

## Cash Flow (NT$ mn)

| | 12/25 | 12/26E | 12/27E | 12/28E |
|---|---|---|---|---|
| Net income | 25,900.2 | 21,665.9 | 27,682.2 | 37,179.6 |
| D&A add-back | 7,732.0 | 8,565.7 | 12,427.8 | 12,398.9 |
| Minority interest add-back | (284.9) | (241.0) | (248.7) | (250.2) |
| Net (inc)/dec working capital | (1,208.2) | (2,267.7) | 1,985.6 | (12,721.8) |
| Other operating cash flow | (6,058.9) | – | – | – |
| **Cash flow from operations** | **26,080.2** | **27,723.0** | **41,846.9** | **36,606.6** |
| Capital expenditures | (12,340.0) | (17,849.1) | (9,160.2) | (7,091.5) |
| Acquisitions | (2,040.4) | – | – | – |
| Divestitures | (2.6) | (100.0) | (225.0) | (100.0) |
| Others | 5,147.2 | – | – | – |
| **Cash flow from investing** | **(9,235.7)** | **(17,949.1)** | **(9,385.2)** | **(7,191.5)** |
| Repayment of lease liabilities | – | – | – | – |
| Dividends paid (common & pref) | (13,013.1) | (10,538.6) | (10,732.1) | (13,712.2) |
| Inc/(dec) in debt | (203.4) | – | – | – |
| Other financing cash flows | (1,344.6) | 0.0 | 0.0 | 0.0 |
| **Cash flow from financing** | **(14,561.2)** | **(10,538.6)** | **(10,732.1)** | **(13,712.2)** |
| **Total cash flow** | **2,283.4** | **(764.7)** | **21,729.7** | **15,703.0** |
| Free cash flow | 13,740.3 | 9,873.9 | 32,686.7 | 29,515.1 |

Source: Company data, Goldman Sachs Research estimates.

We expect Oct revenues to be at a similar level to Sep, and to sequentially decline in Nov and Dec, resulting in 4Q26 revenue growth of +7% QoQ.

**Exhibit 2: Largan monthly revenues preview**

| | Jul 2026 | Aug 2026 | Sep 2026 | Oct 2026E | Nov 2026E | Dec 2026E | 2Q26 | 3Q26 | 4Q26E |
|---|---|---|---|---|---|---|---|---|---|
| Rev (NT$m) | 4,877 | 5,012 | 5,779 | 5,895 | 5,600 | 5,299 | 13,665 | 15,651 | 16,794 |
| YoY | -11% | -16% | -7% | -6% | 6% | -6% | 17% | -11% | -2% |
| MoM/QoQ | 31% | 3% | 15% | 2% | -5% | -5% | -12% | 15% | 7% |
| GS estimates (NT$m) | 4,826 | 6,756 | 7,285 | | | | 13,750 | 18,866 | |
| Act. Vs. GS | 1% | -26% | -21% | | | | -1% | -17% | |

Source: Company data, Goldman Sachs Global Investment Research

## Earnings revision

Our net income estimates are revised by -13% / -4% / +16% in 2026-28E mainly on changes in revenues, GM, and Opex ratio, reflecting: **(1) handset lens:** we continue to expect Largan's lens pixel mix upgrade, but at a slower pace, reflecting the 3Q26 miss and slow smartphone market amid high memory costs, **(2) FAU:** we estimate revenue contribution will begin in 2H27, with 0.6m / 5m in 2027 / 28E, along with product mix upgrade toward higher bandwidth FAU that should support ASP and GM. We expect FAU revenue contribution of 3% in 2027E and exceed 50% in 2030E, **(3) GM:** we lower our GM estimates to reflect the slower pace of handset lens pixel mix upgrade and the company's higher costs on green energy. We expect GM to sustain at ~50% in 2026-28E, supported by continuous handset lens pixel mix upgrade and strong demand of FAU, **(4) Opex ratio:** we continue to expect rising opex, while the opex ratio would improve as strong revenue growth driven by FAU and FAU's higher ASP relative to handset lens enhance operating efficiency.

**Exhibit 3: Largan earnings revision**

| | 2026E | | | 2027E | | | 2028E | | |
|---|---|---|---|---|---|---|---|---|---|
| NT m | Old | New | Chg | Old | New | Chg | Old | New | Chg |
| Revenue | 65,503 | 61,654 | -6% | 76,562 | 76,335 | 0% | 85,021 | 101,307 | 19% |
| GP | 33,681 | 28,867 | -14% | 42,012 | 38,222 | -9% | 47,968 | 51,348 | 7% |
| OP | 25,995 | 21,685 | -17% | 32,893 | 29,902 | -9% | 37,757 | 41,217 | 9% |
| Net income | 24,904 | 21,666 | -13% | 28,976 | 27,682 | -4% | 31,937 | 37,180 | 16% |
| EPS (Diluted) | 185.12 | 161.03 | -13% | 214.48 | 204.55 | -5% | 237.27 | 276.22 | 16% |
| Margins | | | | | | | | | |
| GM | 51.4% | 46.8% | | 54.9% | 50.1% | | 56.4% | 50.7% | |
| OPM | 39.7% | 35.2% | | 43.0% | 39.2% | | 44.4% | 40.7% | |
| NM | 38.0% | 35.1% | | 37.8% | 36.3% | | 37.6% | 36.7% | |

Source: Goldman Sachs Global Investment Research

**Exhibit 4: Largan revenues and GM revision**

| Revenues (NT$m) | 2026E | 2027E | 2028E | GM | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|
| NEW | 61,654 | 76,335 | 101,307 | NEW | 46.8% | 50.1% | 50.7% |
| FAU | - | 2,074 | 19,191 | FAU | | 46.0% | 47.4% |
| Periscope lens | 19,653 | 23,178 | 26,702 | Periscope lens | 38.4% | 38.3% | 38.2% |
| 20MPx+ handset lens | 11,911 | 26,562 | 34,714 | 20MPx+ handset lens | 70.5% | 70.4% | 70.4% |
| Other handset lens | 17,833 | 13,078 | 9,657 | Other handset lens | 57.1% | 56.4% | 55.6% |
| Others | 12,256 | 11,443 | 11,042 | Others | 22.5% | 20.3% | 20.3% |
| OLD | 65,503 | 76,562 | 85,021 | OLD | 51.4% | 54.9% | 56.4% |
| FAU | 63 | 1,067 | 4,518 | FAU | 50.3% | 50.4% | 50.5% |
| Periscope lens | 18,610 | 18,570 | 20,741 | Periscope lens | 38.9% | 38.5% | 38.5% |
| 20MPx+ handset lens | 16,705 | 31,766 | 38,447 | 20MPx+ handset lens | 72.9% | 73.0% | 75.0% |
| Other handset lens | 17,796 | 13,029 | 9,611 | Other handset lens | 62.7% | 62.3% | 62.0% |
| Others | 12,330 | 12,130 | 11,705 | Others | 24.8% | 24.8% | 24.9% |
| CHG | -6% | 0% | 19% | CHG (NEW - OLD) | -5% | -5% | -6% |
| FAU | -100% | 94% | 325% | FAU | -50% | -4% | -3% |
| Periscope lens | 6% | 25% | 29% | Periscope lens | -1% | 0% | 0% |
| 20MPx+ handset lens | -29% | -16% | -10% | 20MPx+ handset lens | -2% | -3% | -5% |
| Other handset lens | 0% | 0% | 0% | Other handset lens | -6% | -6% | -6% |
| Others | -1% | -6% | -6% | Others | -2% | -5% | -5% |

Source: Company data, Goldman Sachs Global Investment Research

**Exhibit 5: Largan 3Q26 results snapshot**

| NT m | 3Q25 | 2Q26 | 3Q26 | QoQ | YoY | GS | Act / GS | Cons. | Act/Cons. |
|---|---|---|---|---|---|---|---|---|---|
| Revenue | 17,677 | 13,665 | 15,651 | 15% | -11% | 18,866 | -17% | 18,196 | -14% |
| GP | 8,352 | 6,753 | 6,607 | -2% | -21% | 9,339 | -29% | 9,120 | -28% |
| OP | 6,265 | 5,148 | 4,735 | -8% | -24% | 7,094 | -33% | 6,946 | -32% |
| Net income | 7,080 | 4,670 | 5,182 | 11% | -27% | 6,699 | -23% | 6,723 | -23% |
| Margins | | | | | | | | | |
| GM | 47.2% | 49.4% | 42.2% | | | 49.5% | | 50.1% | |
| OPM | 35.4% | 37.7% | 30.3% | | | 37.6% | | 38.2% | |
| NM | 40.1% | 34.2% | 33.1% | | | 35.5% | | 36.9% | |

Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

Compared to Bloomberg consensus, we are 4% / 16% ahead in 2027 / 28E net income, mainly on higher revenues and lower opex ratio, reflecting our positive view on Largan's FAU, which is in strong demand with bandwidth upgrade.

**Exhibit 6: GS vs. Bloomberg consensus**

| | 2027E | | | 2028E | | |
|---|---|---|---|---|---|---|
| NT m | GS | BB | Diff % | GS | BB | Diff % |
| Revenue | 76,335 | 72,074 | 6% | 101,307 | 90,479 | 12% |
| GP | 38,222 | 36,929 | 4% | 51,348 | 45,410 | 13% |
| OP | 29,902 | 28,454 | 5% | 41,217 | 34,680 | 19% |
| Net income | 27,682 | 26,732 | 4% | 37,180 | 31,942 | 16% |
| Margins | | | | | | |
| GM | 50.1% | 51.2% | | 50.7% | 50.2% | |
| OPM | 39.2% | 39.5% | | 40.7% | 38.3% | |
| NM | 36.3% | 37.1% | | 36.7% | 35.3% | |

Source: Goldman Sachs Global Investment Research, Bloomberg

## Valuation

We change our valuation methodology from 2027E PE to discounted PE to better capture the company's long term opportunities in FAU. Our target PE multiple (29.8x) is derived from (1) peers' avg. ratio of trading PE to forward year fundamentals (NI YoY and OPM), which is at 0.5x, and (2) Largan's forward year fundamentals: 2030-31E NI YoY at

19% on avg. and OPM at 41% on avg. We apply the target PE multiple to Largan's 2030E EPS and discount it back to 2027E via a COE of 10.7%, which is based on beta at 1.1x, risk free at 3.5%, and market risk premium at 6.5%. Our new target price is NT$11,000 (vs. NT$6,263 previously). Our target price implies 39.8x 2028E PE, the first full year of FAU contribution, which is within Largan's historical trading range of 8.0x to 45.1x, reflecting our positive view on Largan's expansion from handset lens to FAU, which broadens its exposure from consumer electronics to AI data center that enjoys strong market growth, and could support a valuation re-rating. We note that Taiwan AI supply chain also enjoys re-rating when expanding from consumer electronics to AI data center. Maintain Buy.

**Exhibit 7: Largan discounted PE**

| NT$m | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E | 2029E | 2030E | 2031E |
|---|---|---|---|---|---|---|---|---|---|
| **Key assumptions** | | | | | | | | | |
| **Revenues (NT$m)** | **48,842** | **59,458** | **61,148** | **61,654** | **76,335** | **101,307** | **150,128** | **191,476** | **214,294** |
| FAU | - | - | - | - | 2,074 | 19,191 | 63,908 | 103,530 | 126,348 |
| Others | 48,842 | 59,458 | 61,148 | 61,654 | 74,261 | 82,115 | 86,221 | 87,945 | 87,945 |
| **YoY** | **2%** | **22%** | **3%** | **1%** | **24%** | **33%** | **48%** | **28%** | **12%** |
| FAU | | | | | | 825% | 233% | 62% | 22% |
| Others | 2% | 22% | 3% | 1% | 20% | 11% | 5% | 2% | 0% |
| *FAU revenues contribution* | | | | | *3%* | *19%* | *43%* | *54%* | *59%* |
| **FAU shipment (k units)** | | | | | 592 | 4,789 | 14,368 | 21,551 | 25,862 |
| *YoY* | | | | | | *710%* | *200%* | *50%* | *20%* |
| **FAU ASP (US$)** | | | | | 117 | 134 | 148 | 160 | 163 |
| *YoY* | | | | | | *14%* | *11%* | *8%* | *2%* |
| **P&L** | | | | | | | | | |
| **Revenue** | **48,842** | **59,458** | **61,148** | **61,654** | **76,335** | **101,307** | **150,128** | **191,476** | **214,294** |
| **Gross profit** | **23,808** | **31,209** | **30,837** | **28,867** | **38,222** | **51,348** | **76,093** | **97,050** | **108,616** |
| Gross margin | 48.7% | 52.5% | 50.4% | 46.8% | 50.1% | 50.7% | 50.7% | 50.7% | 50.7% |
| OPEX | 5,986 | 7,177 | 7,279 | 7,181 | 8,320 | 10,131 | 15,013 | 19,148 | 21,429 |
| Opex ratio | 12.3% | 12.1% | 11.9% | 11.6% | 10.9% | 10.0% | 10.0% | 10.0% | 10.0% |
| **Operating profit** | **17,821** | **24,033** | **23,558** | **21,685** | **29,902** | **41,217** | **61,081** | **77,903** | **87,186** |
| OPM | 36.5% | 40.4% | 38.5% | 35.2% | 39.2% | 40.7% | 40.7% | 40.7% | 40.7% |
| Non-op | 4,280 | 8,142 | 2,342 | 4,761 | 3,913 | 4,104 | 4,104 | 4,104 | 4,104 |
| **Pre-tax profit** | **22,102** | **32,174** | **25,900** | **26,446** | **33,815** | **45,321** | **65,185** | **82,007** | **91,291** |
| Tax | 4,200 | 5,963 | 4,340 | 4,539 | 5,884 | 7,891 | 11,350 | 14,279 | 15,896 |
| Tax rate | 19.0% | 18.5% | 16.8% | 17.2% | 17.4% | 17.4% | 17.4% | 17.4% | 17.4% |
| Minority | - | 296 | 285 | 241 | 249 | 250 | 250 | 250 | 250 |
| **Net profit** | **17,902** | **25,915** | **21,275** | **21,666** | **27,682** | **37,180** | **53,584** | **67,478** | **75,145** |
| **EPS (NTD, diluted)** | **132.62** | **191.44** | **157.21** | **161.03** | **204.55** | **276.22** | **398.10** | **501.32** | **558.28** |
| *YoY* | *-21%* | *44%* | *-18%* | *2%* | *27%* | *35%* | *44%* | *26%* | *11%* |
| TP implied P/E | | | | | 53.8 | 39.8 | 27.6 | 21.9 | 19.7 |

| | |
|---|---|
| 2030E target P/E | 29.8 |
| Target multiple x EPS | 14,939 |
| **Discounted back to 2027; TP (NTD)** | **11,000** |
| Implied 2027 P/E | 53.8 |

| COE assumption | |
|---|---|
| Beta | 1.1 |
| Risk free | 3.5% |
| Market risk premium | 6.5% |
| **COE** | **10.7%** |

Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

**Exhibit 8: Largan peer comparison**

| Company | Ticker | Rating | PE | NI YoY | | OPM | | Ratio |
|---|---|---|---|---|---|---|---|---|
| | | | 2030E | 2030E | 2031E | 2030E | 2031E | |
| Largan | 3008.TW | Buy | 13.3 | 26% | 11% | 40.7% | 40.7% | 0.2 |
| Largan (TP implied) | 3008.TW | Buy | 29.8 | 26% | 11% | 40.7% | 40.7% | 0.5 |
| **Company** | **Ticker** | **Rating** | **PE** | **NI YoY** | | **OPM** | | **Ratio** |
| | | | **2027E** | **2027E** | **2028E** | **2027E** | **2028E** | |
| Peers | | | | | | | | |
| AAC | 2018.HK | Neutral | 12.4 | 17% | 12% | 9.7% | 10.0% | 0.5 |
| T&S | 300570.SZ | NC | 47.1 | 96% | 62% | 24.2% | 25.4% | 0.5 |
| VPEC | 2455.TW | Buy | 48.9 | 67% | 55% | 35.2% | 37.3% | 0.5 |
| Sumitomo | 5802.JT | Buy | 17.2 | 18% | 25% | 9.8% | 11.2% | 0.5 |
| **Average** | | | **31.4** | **50%** | **38%** | **19.7%** | **21.0%** | **0.5** |

NC: Not Covered; data from Bloomberg consensus. Price as of Oct 9, 2026.

Source: Goldman Sachs Global Investment Research, Bloomberg

**Exhibit 9: Taiwan AI server supply chain enjoys strong re-rating when expanding from consumer electronics to AI data center**

| Company | Ticker | 2020-2025 PE | | |
|---|---|---|---|---|
| | | Trough | Peak | Diff |
| Largan | 3008.TW | 10.6 | 28.0 | 163% |
| **Taiwan AI server supply chain** | | | | |
| Landmark | 3081.TWO | 28.9 | 144.1 | 398% |
| VPEC | 2455.TW | 18.1 | 74.1 | 310% |
| Auras | 3324.TWO | 8.8 | 54.6 | 523% |
| Fositek | 6805.TW | 11.3 | 49.9 | 343% |
| AVC | 3017.TW | 4.7 | 32.8 | 604% |
| Inventec | 2356.TW | 9.9 | 31.0 | 213% |
| King Slide | 2059.TW | 9.0 | 30.2 | 236% |
| Gigabyte | 2376.TW | 3.8 | 29.6 | 685% |
| Mitac | 3706.TW | 2.5 | 28.7 | 1044% |
| Chenbro | 8210.TW | 6.7 | 25.6 | 282% |
| Wiwynn | 6669.TW | 6.1 | 23.4 | 287% |
| Wistron | 3231.TW | 6.0 | 21.8 | 262% |
| Quanta | 2382.TW | 6.8 | 20.4 | 201% |
| Hon Hai | 2317.TW | 7.7 | 17.5 | 129% |
| **Avg.** | | **9.3** | **41.7** | **394%** |

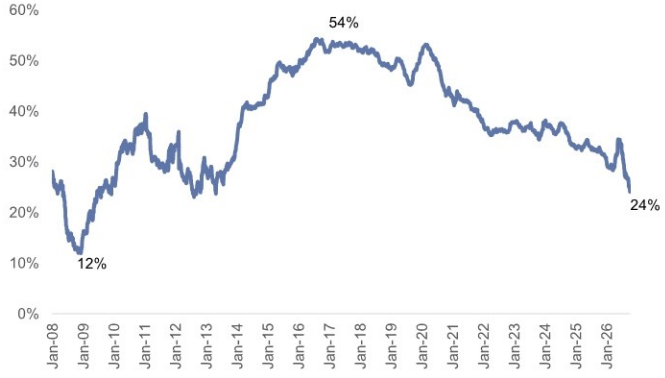
Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

**Exhibit 10: Largan 12M forward PE ratio**




Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

**Exhibit 11: Largan QFII holdings**




Source: TEJ

# Financial tables

**Exhibit 12: Largan P&L**

| NT$m | 1Q26 | 2Q26 | 3Q26 | 4Q26E | 1Q27E | 2Q27E | 3Q27E | 4Q27E | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Revenues | 15,544 | 13,665 | 15,651 | 16,794 | 18,095 | 13,322 | 19,655 | 25,263 | 48,842 | 59,458 | 61,148 | 61,654 | 76,335 | 101,307 |
| GP | 7,680 | 6,753 | 6,607 | 7,827 | 9,110 | 6,375 | 9,995 | 12,743 | 23,808 | 31,209 | 30,837 | 28,867 | 38,222 | 51,348 |
| OP income | 5,812 | 5,148 | 4,735 | 5,990 | 7,137 | 4,923 | 7,852 | 9,989 | 17,821 | 24,033 | 23,558 | 21,685 | 29,902 | 41,217 |
| Net income | 6,123 | 4,670 | 5,182 | 5,690 | 6,643 | 4,812 | 7,230 | 8,996 | 17,902 | 25,915 | 21,275 | 21,666 | 27,682 | 37,180 |
| EPS, diluted (NT$) | 46.11 | 35.61 | 39.52 | 39.79 | 49.09 | 35.56 | 53.43 | 66.48 | 132.62 | 191.44 | 157.21 | 161.03 | 204.55 | 276.22 |
| **YoY** | | | | | | | | | | | | | | |
| Revenues | 7% | 17% | -11% | -2% | 16% | -3% | 26% | 50% | 2% | 22% | 3% | 1% | 24% | 33% |
| GP | -4% | 8% | -21% | -5% | 19% | -6% | 51% | 63% | -9% | 31% | -1% | -6% | 32% | 34% |
| OP income | -5% | 6% | -24% | -5% | 23% | -4% | 66% | 67% | -13% | 35% | -2% | -8% | 38% | 38% |
| Net income | -5% | 352% | -27% | -15% | 8% | 3% | 40% | 58% | -21% | 45% | -18% | 2% | 28% | 34% |
| EPS, diluted (NT$) | -3% | 362% | -25% | -19% | 6% | 0% | 35% | 67% | -21% | 44% | -18% | 2% | 27% | 35% |
| **QoQ** | | | | | | | | | | | | | | |
| Revenues | -10% | -12% | 15% | 7% | 8% | -26% | 48% | 29% | | | | | | |
| GP | -7% | -12% | -2% | 18% | 16% | -30% | 57% | 27% | | | | | | |
| OP income | -8% | -11% | -8% | 27% | 19% | -31% | 60% | 27% | | | | | | |
| Net income | -9% | -24% | 11% | 10% | 17% | -28% | 50% | 24% | | | | | | |
| EPS, diluted (NT$) | -6% | -23% | 11% | 1% | 23% | -28% | 50% | 24% | | | | | | |
| **Margins** | | | | | | | | | | | | | | |
| GM | 49.4% | 49.4% | 42.2% | 46.6% | 50.3% | 47.9% | 50.9% | 50.4% | 48.7% | 52.5% | 50.4% | 46.8% | 50.1% | 50.7% |
| OPM | 37.4% | 37.7% | 30.3% | 35.7% | 39.4% | 37.0% | 40.0% | 39.5% | 36.5% | 40.4% | 38.5% | 35.2% | 39.2% | 40.7% |
| NM | 39.4% | 34.2% | 33.1% | 33.9% | 36.7% | 36.1% | 36.8% | 35.6% | 36.7% | 43.6% | 34.8% | 35.1% | 36.3% | 36.7% |
| **Ratios** | | | | | | | | | | | | | | |
| Opex ratio | 12% | 12% | 12% | 11% | 11% | 11% | 11% | 11% | 12% | 12% | 12% | 12% | 11% | 10% |
| Tax rate | 15% | 23% | 14% | 17% | 17% | 17% | 17% | 17% | 19% | 19% | 17% | 17% | 17% | 17% |

Source: Company data, Goldman Sachs Global Investment Research

## Exhibit 13: Largan balance sheet

| NT$ mn | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|
| **Balance Sheet** | | | | | | |
| Cash and equivalents | 107,490 | 113,658 | 115,942 | 115,177 | 136,907 | 152,610 |
| Accounts receivable | 10,091 | 10,360 | 10,462 | 10,484 | 10,430 | 17,325 |
| Inventory | 4,591 | 5,733 | 6,713 | 9,456 | 7,669 | 14,778 |
| Other current assets | 12,149 | 16,012 | 21,169 | 21,169 | 21,169 | 21,169 |
| **Current assets** | **134,321** | **145,764** | **154,285** | **156,285** | **176,174** | **205,882** |
| Net PP&E/Fixed assets | 41,135 | 46,936 | 51,472 | 60,979 | 57,943 | 52,867 |
| Net intangibles | 239 | 505 | 475 | 352 | 345 | 214 |
| Other long-term assets | 19,443 | 23,322 | 14,555 | 14,555 | 14,555 | 14,555 |
| **Non-current assets** | **60,817** | **70,763** | **66,502** | **75,885** | **72,842** | **67,635** |
| **Total assets** | **195,138** | **216,527** | **220,787** | **232,170** | **249,017** | **273,517** |
| Accounts payable | 1,731 | 1,855 | 1,728 | 2,224 | 2,370 | 3,653 |
| Short-term debt | - | 203 | - | - | - | - |
| Other current liabilities | 27,787 | 28,520 | 28,021 | 28,214 | 31,194 | 35,899 |
| **Current liabilities** | **29,517** | **30,578** | **29,749** | **30,439** | **33,564** | **39,551** |
| Long-term debt | - | - | - | - | - | - |
| Other long-term liabilities | 110 | 561 | 171 | 171 | 171 | 171 |
| **Non-current liabilities** | **110** | **561** | **171** | **171** | **171** | **171** |
| **Total liabilities** | **29,627** | **31,139** | **29,919** | **30,609** | **33,735** | **39,722** |
| Common stock | 1,335 | 1,335 | 1,335 | 1,335 | 1,335 | 1,335 |
| Retained earnings | 160,871 | 175,969 | 185,818 | 196,752 | 210,722 | 229,485 |
| Other common equity | 3,305 | 6,215 | 1,714 | 1,714 | 1,714 | 1,714 |
| **Total common equity** | **165,510** | **183,519** | **188,867** | **199,801** | **213,771** | **232,534** |
| Minority interest | - | 1,869 | 2,001 | 1,760 | 1,511 | 1,261 |
| **Total equity** | **165,510** | **185,388** | **190,868** | **201,561** | **215,282** | **233,795** |
| BVPS | 1,226.07 | 1,369.51 | 1,410.38 | 1,498.06 | 1,590.78 | 1,736.96 |
| **Cash conversion cycle** | | | | | | |
| Account receivable days | 68 | 63 | 62 | 62 | 50 | 50 |
| Inventory days | 71 | 67 | 75 | 90 | 82 | 82 |
| Net payable days | 25 | 23 | 22 | 22 | 22 | 22 |
| Cash conversion cycle | 114 | 106 | 116 | 130 | 110 | 110 |
| **Ratios** | | | | | | |
| ROE (common equity) | 11% | 15% | 11% | 11% | 13% | 17% |
| ROA | 9% | 13% | 10% | 10% | 12% | 14% |
| Net debt to total equity | -67% | -64% | -64% | -60% | -67% | -68% |
| Total liabilities to total assets | 15% | 14% | 14% | 13% | 14% | 15% |
| **Dupont analysis** | | | | | | |
| Asset turnover | 0.3 | 0.3 | 0.3 | 0.3 | 0.3 | 0.4 |
| Leverage (assets to equity) | 1.2 | 1.2 | 1.2 | 1.2 | 1.2 | 1.2 |
| Net margin | 36.7% | 43.6% | 34.8% | 35.1% | 36.3% | 36.7% |
| ROE (total equity) | 11% | 15% | 11% | 11% | 13% | 17% |

Source: Company data, Goldman Sachs Global Investment Research

## Exhibit 14: Largan cash flow

| NT$ mn | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|
| **Cash flow statement** | | | | | | |
| Net income | 22,102 | 32,174 | 25,900 | 21,666 | 27,682 | 37,180 |
| Minority interest add-back | - | (296) | (285) | (241) | (249) | (250) |
| Depreciation and amortization add-back | 5,422 | 6,230 | 7,732 | 8,566 | 12,428 | 12,399 |
| (Increase)/decrease in working capital | (1,400) | (1,287) | (1,208) | (2,268) | 1,986 | (12,722) |
| Other operating cash flow items | (7,925) | (5,243) | (6,059) | - | - | - |
| **Cash flow from operating** | **18,199** | **31,579** | **26,080** | **27,723** | **41,847** | **36,607** |
| Capital expenditure | (8,237) | (11,133) | (12,340) | (17,849) | (9,160) | (7,091) |
| Other investment cash flow items | (2,915) | (4,933) | 3,104 | (100) | (225) | (100) |
| **Cash flow from investing** | **(11,151)** | **(16,066)** | **(9,236)** | **(17,949)** | **(9,385)** | **(7,191)** |
| Dividends paid | (11,412) | (9,009) | (13,013) | (10,539) | (10,732) | (13,712) |
| Change in common stock | - | - | - | - | - | - |
| Increase/(decrease) in short-term debt | (19) | 203 | (203) | - | - | - |
| Increase/(decrease) in long-term debt | - | - | - | - | - | - |
| Other financing cash flow items | 1,680 | (1,958) | (241) | - | - | - |
| **Cash flow from financing** | **(9,750)** | **(10,764)** | **(13,458)** | **(10,539)** | **(10,732)** | **(13,712)** |
| Net change in cash | (2,682) | 6,168 | 2,283 | (765) | 21,730 | 15,703 |
| FCF | 9,962 | 20,446 | 13,740 | 9,874 | 32,687 | 29,515 |
| **Ratio** | | | | | | |
| Capex to revenue | 17% | 19% | 20% | 29% | 12% | 7% |

Source: Company data, Goldman Sachs Global Investment Research

**Price Target Risks and Methodology - Largan**

**Valuation**: We are Buy rated on Largan and have a 12-month target price of NT$11,000, which is based on discounted PE. Our target P/E multiple of 29.8x is derived from (1) peers' avg. ratio of trading PE to forward year fundamentals (NI YoY and OPM), which is at 0.5x, and (2) Largan's forward year fundamentals: 2030-31E NI YoY at 19% on avg. and OPM at 41% on avg. We apply the target PE multiple to Largan's 2030E EPS and discount it back to 2027E via a COE of 10.7%, which is based on beta at 1.1x, risk free at 3.5%, and market risk premium at 6.5%. Our target price of NT$11,000 implies 39.8x 2028E PE, the first full year of FAU contribution, which is within Largan's historical trading range of 8.0x to 45.1x, reflecting our positive view on Largan's expansion from handset lens to FAU, which broadens its exposure from consumer electronics to AI data center that enjoys strong market growth, and could support a valuation re-rating. We note that Taiwan AI supply chain also enjoys re-rating when expanding from consumer electronics to AI data center. Maintain Buy.

**Key risks**: (1) slower-than-expected smartphone market growth, (2) fiercer competition in handset lenses, (3) slower-than-expected smartphone camera lens specification upgrades or Largan's handset lens pixel mix upgrade, (4) slower-than-expected FAU ramp up, and (5) fiercer competition in FAU.

# Disclosure Appendix

## Reg AC

We, Verena Jeng and Allen Chang, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

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Unless otherwise stated, the individuals listed in the Contributing Authors disclosure of this report are analysts in Goldman Sachs' Global Investment Research division.

## GS Factor Profile

The Goldman Sachs Factor Profile provides investment context for a stock by comparing key attributes to the market (i.e. our universe of rated stocks) and its sector peers. The four key attributes depicted are: Growth, Financial Returns, Multiple (e.g. valuation) and Integrated (a composite of Growth, Financial Returns and Multiple). Growth, Financial Returns and Multiple are calculated by using normalized ranks for specific metrics for each stock. The normalized ranks for the metrics are then averaged and converted into percentiles for the relevant attribute. The precise calculation of each metric may vary depending on the fiscal year, industry and region, but the standard approach is as follows:

**Growth** is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

For a more detailed description of how we calculate the GS Factor Profile, please contact your GS representative.

## M&A Rank

Across our global coverage, we examine stocks using an M&A framework, considering both qualitative factors and quantitative factors (which may vary across sectors and regions) to incorporate the potential that certain companies could be acquired. We then assign a M&A rank as a means of scoring companies under our rated coverage from 1 to 3, with 1 representing high (30%-50%) probability of the company becoming an acquisition target, 2 representing medium (15%-30%) probability and 3 representing low (0%-15%) probability. For companies ranked 1 or 2, in line with our standard departmental guidelines we incorporate an M&A component into our target price. M&A rank of 3 is considered immaterial and therefore does not factor into our price target, and may or may not be discussed in research.

## Quantum

Quantum is Goldman Sachs' proprietary database providing access to detailed financial statement histories, forecasts and ratios. It can be used for in-depth analysis of a single company, or to make comparisons between companies in different sectors and markets.

## Disclosures

## Rating and pricing information

AAC (Neutral, HK$37.36), Sumitomo Electric Industries (Buy, ¥2,361) and VPEC (Buy, NT$558.00)

**The rating(s) for Largan is/are relative to the other companies in its/their coverage universe:** AAC, ACM Research, AMEC, ASMPT, AVC, AccoTest, Anji Micro, Asus, Auras, BOE, BYDE, Biren, CR Micro, CXMT, Cambricon, Chenbro, China Mobile (HK), China Telecom, China Tower Corp., China Unicom, Chinasoft Intl, Compal, Desay SV, E Ink, E-Town Semis, EHang, Empyrean, Eoptolink, FOCI, Fositek, Foxconn Industrial Internet, Gigabyte, Gigadevice, Glodon Co., HTC Corp., Hikvision, Hon Hai, Horizon Robotics, Hua Hong, Huace Navigation, Huaqin Co.(A), Huaqin Co.(H), Hwatsing, Iluvatar, InnoScience, Innolight (A), Innolight (H), Inspur, Insta360, Inventec, JCET, Kematek, King Slide, Kingdee, Kingsoft Office, LandMark, Largan, Lenovo, Lingyi, Luxshare (A), Luxshare (H), Maxscend, Meitu, MetaX, Mitac, Montage (A), Montage (H), NAURA, NSIG, Nexchip, OmniVision, Pegatron, Pony AI Inc. (ADR), Pony AI Inc. (H), Quanta, RoboTechnik, Ruijie Networks, SG Micro, SICC, SMIC (A), SMIC (H), SZS, Sangfor, SenseTime, Shengyi Tech, Shennan Circuits, StarPower, Sunny Optical, TFC Optical, Thundersoft, Tongyu Communication, Transsion, UMT, UNIS, VPEC, Vanchip, VeriSilicon, Victory Giant, WNC, WUS, WeRide, Wistron, Wiwynn, YJ Semitech, YOFC, Yonyou, ZTE (A), ZTE (H), iFlytek

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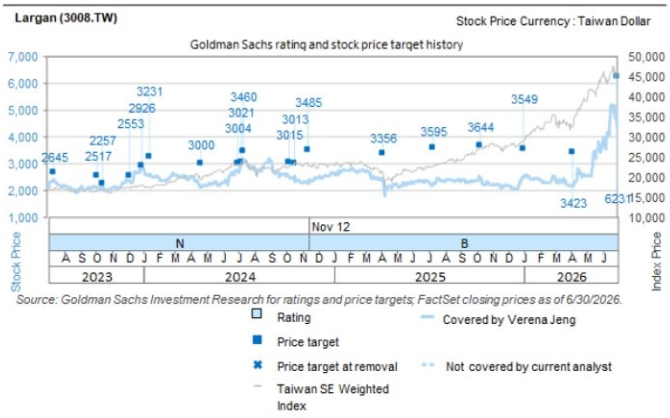
Goldman Sachs Investment Research global Equity coverage universe

| | Rating Distribution | | | Investment Banking Relationships | | |
|---|---|---|---|---|---|---|
| | Buy | Hold | Sell | Buy | Hold | Sell |
| Global | 50% | 34% | 16% | 65% | 59% | 43% |

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## Price target and rating history chart(s)




The price targets shown should be considered in the context of all prior published Goldman Sachs research, which may or may not have included price targets, as well as developments relating to the company, its industry and financial markets.

## Target price history table(s)

### Largan (3008.TW)

| Date of report | Target price (NT$) | Closing price (NT$) |
|---|---|---|
| 13-Jul-26 | 6,263.00 | 4,345.00 |
| 30-Jun-26 | 6,231.00 | 4,290.00 |
| 07-Apr-26 | 3,423.00 | 2,170.00 |
| 01-Jan-26 | 3,549.00 | 2,495.00 |
| 09-Oct-25 | 3,644.00 | 2,470.00 |
| 11-Jul-25 | 3,595.00 | 2,285.00 |
| 06-Apr-25 | 3,356.00 | 2,450.00 |
| 12-Nov-24 | 3,485.00 | 2,255.00 |
| 18-Oct-24 | 3,013.00 | 2,325.00 |
| 07-Oct-24 | 3,015.00 | 2,525.00 |
| 11-Jul-24 | 3,460.00 | 3,200.00 |
| 08-Jul-24 | 3,021.00 | 3,030.00 |
| 01-Jul-24 | 3,004.00 | 2,700.00 |
| 21-Apr-24 | 3,000.00 | 2,120.00 |
| 12-Jan-24 | 3,231.00 | 2,600.00 |
| 29-Dec-23 | 2,926.00 | 2,870.00 |
| 06-Dec-23 | 2,553.00 | 2,320.00 |
| 15-Oct-23 | 2,257.00 | 2,175.00 |

Price targets shown in table(s) are unadjusted for corporate actions.

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